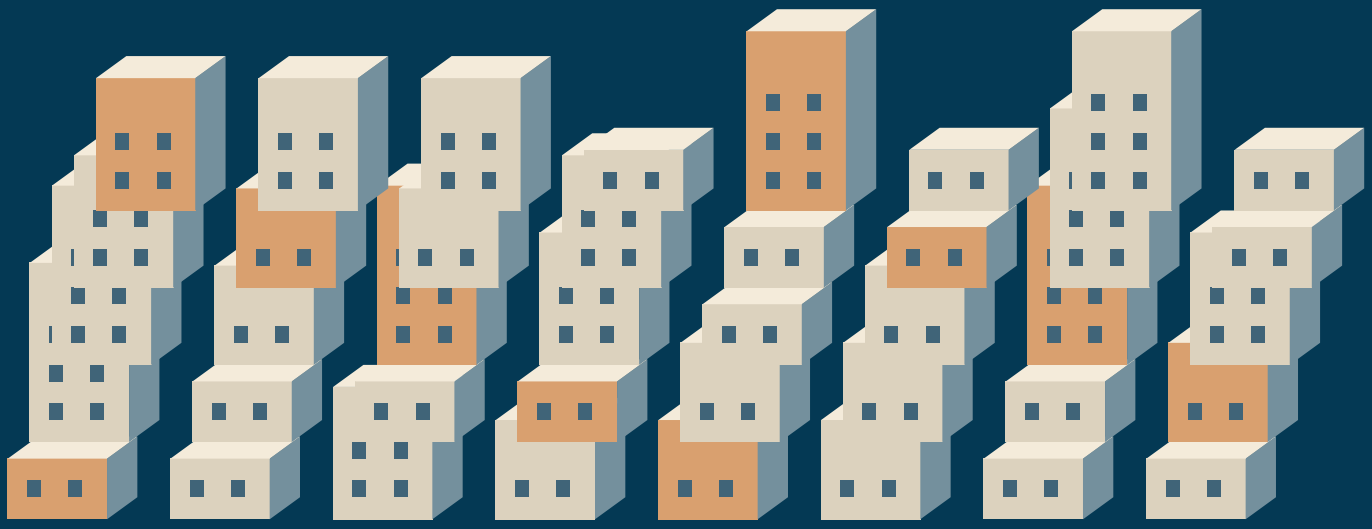
HOUSING THE NEXT BILLION

Land, finance, institutions, and technology for affordable housing



ABHAS JHA

About this discussion edition

Discussion edition · October 2026. Comments, corrections, criticism, and suggestions for improvement are welcome. This is a contribution to an ongoing discussion; conclusions should be read alongside the evidence and limitations stated in each chapter.

This book is written in my personal capacity. The views, interpretations, and conclusions expressed are my own and do not necessarily reflect those of the World Bank, its Board of Executive Directors, or the governments they represent. Institutional affiliation is provided for identification only. Any errors or omissions are my responsibility.

This book brings together the introduction, 24 revised chapters and a new synthesis chapter of Housing the Next Billion. It examines affordable housing as a coordination and information problem embedded in political economy. AI and digital technology are assessed throughout as tools for improving specific decisions, with attention to who benefits and whose rights may be affected.

The original chapter order is retained, followed by a synthesis on inclusive neighbourhoods. Comparisons sit alongside the relevant cases, and adaptation, financing and evaluation tests are integrated into implementation guidance. Concise transfer boxes summarise each chapter’s conditions and limits. Where evidence is incomplete, recommendations remain conditional. Titles and section headings have been standardised, standalone introductions and closing announcements reduced, and selected passages rewritten in direct language. Numerical exhibits retain their original values, assumptions, and evidence qualifications. Chapter source notes retain their original links.

This edition includes a targeted evidence and citation audit of the main empirical claims and cross-city comparisons, completed on 24 October 2026. It distinguishes experimental estimates, model-dependent results, administrative counts and policy judgments. The audit does not independently reproduce datasets or certify every statement in the original chapters. Unresolved source access and numerical reconciliation issues are flagged at the point of use and in the accompanying audit note. Reporting periods are retained; figures from different snapshots are not a single time series.

An occupied home-year means one year in which a dwelling meets the stated safety, service, affordability, and occupancy conditions. It is a proposed outcome measure, not an existing universal statistical standard. Proposed agreements and assessment tools in this book are analytical recommendations, not adopted government requirements.

How to navigate: the contents link to each chapter. PDF bookmarks also identify section headings and chapter source notes. Bracketed citations in the text link to the source notes for that chapter. Source links open the original publications.

Contents

Introduction: how housing systems work . . . 4
1. Access to land . . . 12
2. Planning rules and development rights . . . 18
3. Infrastructure and serviced land . . . 25
4. Construction costs and productivity . . . 32
5. Tenure, rental housing, and ownership . . . 40
6. Housing finance systems . . . 49
7. Housing subsidies and their beneficiaries . . . 59
8. Coordinating housing delivery . . . 70
9. Maintaining affordable housing . . . 81
10. Metropolitan growth and coordination . . . 91
11. Climate risk and housing affordability . . . 102
12. Incremental and small-scale rental housing . . . 115
13. Housing information and policy evaluation . . . 126
14. Public finance and long-term affordability . . . 141
15. Project readiness, procurement, and delivery . . . 156
16. Neighbourhood management after occupation . . . 170
17. Implementing planning reform . . . 182
18. Redevelopment and resident protection . . . 194
19. Rental markets and municipal policy . . . 208
20. Credit assessment and household risk . . . 220
21. Subsidy accounting and accountability . . . 233
22. Public-land development agreements . . . 248
23. Financing neighbourhood infrastructure . . . 261
24. Municipal services and maintenance . . . 274
25. Inclusive neighbourhoods: housing, opportunity and social integration . . . 289

Introduction: how housing systems work

Housing and access to opportunity

Affordable housing is access to a safe, well-serviced, high-opportunity neighbourhood at a total cost the household can sustain. The objective is a durable place in the city: a home that allows ordinary households to reach work, schools, care and public services and remain as their neighbourhood improves.

Housing policy is a coordination and information problem embedded in political economy. Land, development rights, finance, construction, infrastructure and management must work together. Information determines which constraints are visible and whose claims count. Political institutions determine who can block change, who captures publicly created value and who pays when services fail.

Existing residents are represented in today's political institutions; future residents usually have no equivalent voice in decisions about where they could live. This is a structural asymmetry, not a claim that all incumbents oppose housing. Owners can defend scarcity as well as legitimate amenities. Tenants can fear displacement. Municipalities can resist additional households if service costs rise without revenue. A workable coalition must address these interests while representing those excluded from the area.

Evidence and policy transfer

Every major recommendation in this book and its masterclass use requires four elements: a documented case that worked on a specified outcome; a comparable failure, underperformance or adverse consequence; an explanation of the mechanism that plausibly accounts for the difference; and a statement of what transfers. A case that improved buildings but did not improve livelihoods is a partial success with a boundary, not an all-purpose model.

Comparability is a test, not an assumption. Different cities, populations and periods are rarely a controlled experiment. Paired cases can identify mechanisms worth testing but cannot prove that one difference caused the whole outcome. Where the evidence lacks a matched comparison, the chapter states the limitation and treats the recommendation as a conditional design proposition. An illustrative calculation is never used as a successful or failed field case.

The recurring What transfers? box records enabling conditions, failure conditions, the visible form that should not be copied, the underlying principle and the scale test. Its conditions are the book's synthesis unless a cited study directly identifies them. A policy instrument may serve the principle in one place and defeat it in another. The standard applies to major financing, institutional and technology recommendations, not only to the chapter's headline instrument.

For masterclass discussion, participants should defend a local adaptation rather than nominate a favourite city. Each proposal must identify a positive and negative comparison, specify the remaining evidence gap, and explain what observation would cause the team to change or stop the proposal. A successful pilot earns a larger test only when the conditions needed at the next scale are credible.

Opportunity-adjusted affordability

Use an Opportunity-Adjusted Affordability Test alongside the conventional housing-payment-to-income ratio. Record recurring housing payments, utilities, transport, maintenance and fees; expected uninsured losses and service interruptions; and travel and care time. Record accessible jobs, school places, health services, safety and social support separately. A low rent can coexist with high time costs and poor access.

This is a multidimensional appraisal, not a validated universal index. If time or risk is monetised, disclose the values and uncertainty, and show results without that monetisation as well. Avoid counting the same repair both in a maintenance fee and in an expected-loss allowance. Test income volatility and seasonal expenses, not only average income. Report residual income after essential costs by household type, alongside the ability to enter and remain in the neighbourhood.

Access should mean an opportunity a household can actually use. Map the jobs matching residents' skills, affordable and safe routes, school admission rules, disability access and opening hours. A 45-60-minute journey can be a useful locally chosen screen; it is not a universal entitlement threshold or proof of opportunity. Informal work, customers, childcare and mutual support belong in the assessment.

The Inclusive Neighbourhood Check

Entry and retention: can households in the bottom 40% enter, and remain after improvement? Identify deposits, documentation, fees and discrimination as well as rents. Track displaced households outside the project boundary.

Integration and choice: are affordable homes physically integrated, do rental and ownership options coexist, and can children use shared schools and public spaces? Proximity alone does not establish equal access or social interaction.

Opportunity and services: can residents reach suitable jobs in a locally justified travel-time range, and are schools, clinics and utilities actually available? Can the municipality sustain the additional services?

Rights and distribution: are existing residents protected from involuntary displacement, are affluent areas contributing feasible housing capacity, and what happens to land values and rents? Distinguish owner gains, tenant gains and gains for future entrants.

Transfer and Scale Test

Mechanism: specify the causal chain and the outcome the evidence supports. Distinguish observed effects from the proposed explanation.

Preconditions: identify the legal powers, market demand, infrastructure, finance, institutions and political agreement that must exist. Name missing conditions before selecting an instrument.

Adaptation: identify what changes with local tenure, informal work, social exclusion, municipal capacity and household preferences. Africa and India each contain many different housing systems.

Scale: test what breaks at ten times and one hundred times the pilot volume. Consider prices, network thresholds, staff, supply chains, spillovers and changes in who participates.

Fiscal sustainability: name who pays for operations, renewal, assistance and oversight when pilot funding ends, and disclose contingent liabilities.

Political sustainability: identify concentrated losses and credible vetoes, including resistance from agencies that lose discretion or revenue. Set lawful, transparent terms for sharing gains and protecting rights.

Implementation capacity: name the agency responsible for each reliable action, the resources it needs and the remedy when it fails.

Measurement: specify baseline, comparison, household outcome, distribution, review date and stop or adaptation trigger. Follow both original residents and future entrants. A map, approval, disbursement or completed unit is an intermediate result.

What transfers?

Worked because	The positive case changed a specified constraint under documented conditions.
Failed when	A comparable negative or partial result reveals missing conditions, adverse effects or a limit on the claim.
Do not copy	The visible institutional form, target percentage or technology label.
Transfer instead	The evidenced mechanism, adapted to local rights, markets, finance and implementation capability.
Scale test	Preserve affordable access and service quality at tenfold and hundredfold volume, with credible fiscal and political support.

Reading the chapters as a decision sequence

Each chapter develops the constraint, the evidence and the choices available to government. Comparisons appear alongside the cases they qualify. Implementation sections explain how to adapt, finance and evaluate the proposed action; the closing What transfers? box summarises the conditions and limits. Questions of access, political power and technology run through this sequence.

Mixed-income neighbourhood production requires a coordinated bundle of land, planning rights, infrastructure, affordable and market homes, rental options, tenure protections, schools, transit, public space and long-term management. Chapter 25 brings the evidence together. The chapter-specific tests provide a consistent way to decide which part of that bundle needs action first.

Housing need and vacant homes

Affordable housing depends on assembling land, infrastructure, finance, permissions, materials, builders, and household purchasing power at a cost people can afford. These inputs are controlled by different actors whose decisions and interests must be coordinated.

Construction costs are only part of the problem. Legal, serviced land near employment can remain scarce even when building materials are inexpensive. A household may pay rent reliably for years but lack the records required by a mortgage lender. An efficient developer may wait years for approvals or infrastructure. A heavily subsidised home may impose transport costs that offset the saving in its purchase price.

UN-Habitat's World Cities Report 2026 estimates that up to 3.4 billion people lack secure, safe and adequate housing, including more than one billion living in informal settlements and slums. It reports a global housing deficit of 288 million units in 2023, up from 251 million in 2010. The report also estimates that 44% of tenant households worldwide spent more than 30% of income on rent in 2023. That denominator is tenant households, not all households. People, dwellings and rent burdens measure different dimensions of inadequacy; these totals must not be added together. [1,201]

India and Africa make the stakes unusually clear. India's urban population is expected to approach 951 million by 2050, and a 2025 World Bank assessment estimated that more than 144 million new homes will be needed by 2070. Africa already has a housing deficit estimated by UN-Habitat at roughly 70 million units, while its May 2025 summary reports that 53.6 percent of urban residents in Sub-Saharan Africa live in slums. [3,4] The next generation of urban growth will therefore be built under conditions of scarce public capital, weak municipal capacity, high informality and fast technological change.

Coordination, information, and political economy

The core thesis of this book is that affordable housing is a coordination and information problem embedded in political economy.

The coordination problem comes first. A usable home requires many complementary inputs to arrive in the right place and roughly the right sequence. Land without roads, water and drainage is cheap for a reason. Infrastructure without legal development rights can strand public capital. Mortgage liquidity does little for a household whose income is informal or whose property cannot be pledged. A construction subsidy can raise demand while land supply remains fixed, allowing part of the subsidy to leak into land prices. Each intervention can be sensible in isolation and disappointing in combination.

The information problem runs through the same chain. Governments often do not know who owns a parcel, what has been built on it, which households are renting, where infrastructure capacity is exhausted, what a low-income household can reliably pay, or whether a subsidized unit remains occupied by its intended beneficiary. Developers face uncertain title, approvals and demand. Lenders cannot cheaply observe informal income or collateral quality. Households struggle to compare products, verify developers or understand future service charges. Information gaps raise risk; risk raises prices; high prices shrink the formal market; a smaller formal market produces less reliable information. The loop reinforces itself.

Political economy determines which of these failures persist. Scarcity creates rents. Rents create constituencies. Landowners can gain from restrictive conversion rules. Incumbent homeowners can resist density that might lower scarcity values or change neighborhood composition. Agencies can defend approval powers that generate discretion. Developers may prefer a small protected market to a large competitive one. Banks can rationally serve salaried borrowers whose incomes are cheap to verify. Politicians can prefer visible new units to the less visible work of drainage, cadasters, rental regulation or maintenance. Informal systems also have beneficiaries: brokers, local power holders, landlords and households who value flexibility or fear formal fees.

Reform requires agreement on land access, infrastructure costs, risk allocation, and the distribution of rising land values. Technical proposals need institutions that can make and enforce those decisions.

The housing delivery chain

Think of affordable housing as a chain with at least ten links: land; planning and development rights; trunk infrastructure; local services; construction and materials; developers and contractors; household finance; developer finance and capital markets; allocation, rental and ownership institutions; and long-run operations and maintenance. Jobs and transport determine whether the resulting dwelling is economically useful. State capacity determines whether the chain can be assembled at scale.

The binding constraint differs by city and by income group. In a peripheral Indian city, serviced land may be abundant while mortgage access is narrow. In Nairobi, Accra or Lagos, the formal land and approval process can add uncertainty and time before construction starts. In central Johannesburg, the physical stock may already exist while building management, safety, finance and neighborhood conditions constrain reuse. In an informal settlement, the relevant product may be a secure rental room, drainage and a street address rather than a new ownership unit.

Policy should identify the constraint that most limits adequate housing for the intended income group. Removing it may expose another constraint. Governments therefore need to diagnose problems, act, measure the response, and adjust.

India's Pradhan Mantri Awas Yojana-Urban shows both the power and limits of scale. The official dashboard reports 12.493 million homes sanctioned, 11.836 million grounded and 10.026 million completed under PMAY-U, with total investment of about Rs 8.98 trillion. PMAY-U 2.0 had sanctioned another 1.361 million homes by April 2026. This is administrative scale few countries can match. Yet the

next frontier is visible in the program's own evolution: rental housing, beneficiary-led construction, location near mass transit, and the need to join housing to land and city systems. Counting units remains necessary; it is insufficient as a measure of whether households gained access to opportunity.

What technology can change

Digital technology and artificial intelligence matter because they can change the cost of seeing, coordinating, verifying and enforcing. They should be judged by those effects.

Consider land. High-resolution imagery, drones, computer vision and digital registries can reduce the cost of identifying parcels and structures. India's SVAMITVA program illustrates the scale now possible: by March 2026 drone surveys had been completed in about 329,000 villages, and 31 million property cards had been prepared for 187,000 villages. By August 2026, official data reported 32.4 million cards prepared.

Yet a map does not settle every right. A polygon can make possession visible while leaving inheritance disputes, overlapping claims, tenancy, customary rights, women's rights or public-land encroachment unresolved. Digitization can lower measurement costs dramatically while barely changing the political cost of adjudication. It can also shift power toward the agency that controls the database.

The same test applies across the housing chain. Alternative data and machine learning can reduce the cost of underwriting households with thin credit files. Digital permitting can reveal bottlenecks and reduce face-to-face discretion. Satellite imagery can detect settlement growth, flood exposure and vacant land. Building information systems can reduce design errors and material waste. Platforms can match renters and landlords. Digital payments can create transaction histories. AI can help a city compare thousands of parcels against infrastructure, hazard, accessibility and ownership constraints.

Each application should face five questions. Which constraint changes? By how much? Who captures the gain? Who gains new power? What new risk appears?

A faster permit has little value if serviced land is the binding constraint. Better credit scoring can expand lending while pushing up prices if housing supply cannot respond. A perfect parcel map can improve taxation and investment planning while also making informal occupants easier to evict. A digital rental platform can reduce search costs while enabling new forms of screening. Technology alters bargaining power as well as transaction costs.

Data, rights, and accountability

Digital tools can lower the cost of collecting and updating information about cities.

For most of urban history, governments knew surprisingly little about the city at parcel level. Censuses arrived years apart. Cadasters were incomplete. Informal construction could grow faster than maps were updated. Utility records sat in separate agencies. Property transactions were thin or opaque. This ignorance constrained taxation and planning, but it also created a kind of shelter for informality.

Earth observation, street imagery, mobile payments, digital identity, property databases and AI can now combine into a much more legible city. The potential gains are large: target infrastructure where people actually live; identify buildings exposed to floods; find underused public land; estimate development capacity; update property rolls; monitor construction; and measure whether subsidized housing is close to jobs.

But visibility is never neutral. The same layer that helps extend a water network can help identify an 'encroachment.' The same address that allows a household to receive a service can make it taxable. The same income trail that makes a borrower lendable can make her screenable. The same model that identifies a high-value redevelopment site can strengthen the bargaining position of the state or investor against occupants who lack formal rights.

Rules must specify who can access housing data, for what purpose, how errors can be appealed, and which secondary uses are prohibited. This matters especially where data collection improves faster than administrative remedies.

The distribution of costs and benefits

The ratio of housing costs to household income is a useful affordability measure. Explaining it requires attention to the policies and market conditions that determine both costs and incomes.

The numerator reflects decisions about where urban growth is allowed, how much floor space can be built, who pays for infrastructure, which construction standards are mandatory, how long approvals take, what finance costs, and how land value is shared. The denominator reflects labor productivity, women's access to paid work, commuting costs, informality and income volatility. A household's effective housing cost also includes transport, utilities, maintenance, service charges, climate risk and the time spent navigating unreliable systems.

Every rule has distributional effects. A minimum plot size can improve amenity for those who can afford it while excluding those who cannot. A height restriction can preserve a neighborhood's character while raising the scarcity value of existing property. Free infrastructure can capitalize into land values. Mortgage interest subsidies can help eligible borrowers while increasing demand for a fixed stock. Rent control can protect sitting tenants while discouraging new supply or pushing allocation into informal channels. Redevelopment can replace unsafe structures while displacing renters whose claims were never recorded.

The analysis follows the actors who control land conversion, infrastructure finance, construction risk, housing allocation, and maintenance. It asks how they benefit, who can challenge their decisions, and who receives the value created by public investment.

These questions explain why housing is a test of the state. A capable housing system must coordinate across agencies, commit over long periods, protect rights, raise and spend public money, regulate private actors, resolve disputes and update policy as cities change.

Evidence from Africa and India

Africa and India should not be treated as a single 'Global South' housing market. Their legal systems, financial depth, state capacity, urban forms and political settlements vary enormously. The value of comparing them lies in mechanisms.

India offers scale, deep domestic capital markets, a large construction sector, extensive digital public infrastructure and unusually ambitious national programs. It also contains sharp variation across states and cities in land administration, municipal capacity, rental markets, planning enforcement and infrastructure. Its experience shows what becomes possible when administrative systems can operate at tens of millions of households, and what remains hard even after scale is achieved.

African cities expose another frontier. Many are urbanizing at lower income levels, with thinner mortgage markets, smaller municipal tax bases, incomplete cadasters and a large share of housing supplied incrementally by households and small landlords. Formal developers often serve a narrow upper segment because land, infrastructure, approvals and finance make cheaper units commercially difficult. Yet this apparent weakness also contains institutional innovation: incremental building, savings groups, housing microfinance, community enumeration, serviced plots and new forms of digital land and payment infrastructure.

The comparison disciplines the analysis. A solution that works only where salaried employment, clean title and deep mortgage markets already exist cannot house the next billion. A solution that celebrates informality while ignoring fire, flood, sanitation, tenure insecurity or exclusion is equally inadequate. The objective is to preserve the flexibility and low entry cost of incremental systems while extending the public goods, legal protection and finance that formal systems can provide.

Housing costs and access to jobs

Housing is both a consumption good and part of the productive city. Its location determines access to labor markets; its construction creates demand for workers and materials; its financing shapes household balance sheets; its value affects municipal revenue and collateral; its maintenance supports local service economies.

This is why the cheapest unit can be an expensive housing policy. A low-cost home far from employment may force a worker to spend money and hours commuting. Peripheral projects can require new roads, pipes, schools and transit. Households may abandon or sublet units that do not fit their livelihoods. Public accounts record the capital subsidy while households carry the recurring cost.

The jobs link also runs through supply. Housing construction is labor intensive, but job claims need discipline. A program that imports high-cost systems, stalls on approvals or builds units households cannot afford will not sustain employment. The stronger route is to make the whole housing production system more contestable and predictable: more serviced land, clearer rights, faster approvals, competitive materials markets, finance for smaller builders, reliable demand support, and infrastructure that connects new neighborhoods to jobs.

The metric should therefore move from 'units delivered' toward a fuller set: total household housing-and-transport cost; travel time to major job centers; number of additional households able to access adequate housing without distress; private capital mobilized per unit of public subsidy; jobs created per unit of fiscal cost; infrastructure cost per resident; tenure security; neighborhood service quality; and long-run maintenance performance.

How housing reform produces results

The book's theory of change has four stages.

First, make the system visible. Build reliable information on parcels, rights, buildings, infrastructure, hazards, prices, rents, household demand, approvals and public assets. Use technology where it lowers the cost and frequency of measurement. Pair visibility with rules for privacy, appeal and protection against harmful use.

Second, expand the feasible supply of well-located housing. This means land assembly, development rights, infrastructure, street networks, redevelopment rules, incremental building, rental supply and construction productivity. The objective is an elastic response to demand so that subsidies and easier credit translate into more and better housing rather than mainly higher land prices.

Third, widen access to finance and support. Match instruments to how people actually earn and build: mortgages for some; microfinance, incremental loans, rental support, guarantees, savings products, developer finance and targeted subsidies for others. Public money should buy outcomes the market will underprovide, especially access for poor households, trunk infrastructure, risk reduction and public goods.

Fourth, build institutions that can sustain the agreement. Cities need revenue to maintain infrastructure. Regulators need data and enforcement capacity. Tenants and owners need predictable rights. Subsidies need transparent eligibility and exit rules. Land-value gains need a politically credible sharing mechanism. Neighborhoods need schools, transport, safety and public space. Reform coalitions must include actors who gain from a larger, more competitive housing system.

Technology can accelerate every stage. It cannot substitute for the political settlement that decides whose claims count.

Sources and evidence notes

The chapter distinguishes sourced facts from the book's analytical judgments. Quantitative claims are drawn from the public sources below; access dates: September 2026.

1. UN-Habitat, World Cities Report 2026: The Global Housing Crisis: Pathways to Action [source]

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6. PMAY-U Newsletter, 15 April 2026 [source]

7. Ministry of Panchayati Raj, Government of India, SVAMITVA Scheme [source]

8. Press Information Bureau, SVAMITVA progress data, 2026 [source]

9. OECD, Urban Housing [source]

10. Centre for Affordable Housing Finance in Africa, Housing Finance in Africa Yearbook [source] [additional source] [additional source] [additional source]

[201] UN-Habitat (2026). World Cities Report 2026. Executive Director's introduction and affordability findings. Global estimates use different units and definitions. [source]

PART I · FOUNDATIONS

1. Access to land

Access to serviced land

The cost of housing depends on access to serviced land near work, as well as on the building itself.

Urban land combines location, legal rights, development permission, infrastructure, public investment, and expectations about future uses. Governments create part of its value, while private owners may receive much of the gain. Where serviced land and permitted floor space respond slowly to demand, subsidies can raise prices without adding enough housing.

Africa makes the cost of this failure unusually visible. The World Bank's Africa's Cities study found that urban households in 39 Sub-Saharan African countries paid 20-31 percent more overall than households in countries at similar income levels; a second city comparison put the urban cost premium at about 31 percent. The report traced part of that penalty to cities that are crowded, disconnected and costly, with fragmented land markets and infrastructure arriving after settlement. UN-Habitat now estimates a housing deficit of roughly 70 million units across Africa and reports that 53.6 percent of Sub-Saharan Africa's urban population lives in slums.

Land policy must convert urban growth into an adequate supply of legal, serviced floor space near employment while deciding how the resulting land-value gains are shared.

Four components of land cost

Housing debates often speak of 'the land price' as though it were a single number. In practice there are at least four.

The first is the price of raw land at the urban edge. The second is the price after legal conversion and development rights. The third is the price after roads, drainage, water, sewerage, power and public transport make the parcel usable. The fourth is the price of location: the premium created by access to jobs, schools, markets and networks.

Policy acts on all four. A zoning decision can multiply permissible floor area without moving a boundary. A road can turn cheap agricultural land into valuable urban land. A title can make an asset tradable and financeable. A metro station can increase accessibility and land value. A flood map can destroy an expected development premium. The price of urban land therefore reflects public decisions as much as soil.

This is why the relevant unit for housing policy is usually serviced floor space, not hectares. A hectare that permits one-storey detached houses can support a fraction of the households that the same hectare can support with mid-rise apartments, smaller plots, fewer parking requirements and adequate infrastructure. Planning rules silently ration access to location.

Infrastructure and land development in African cities

Many African cities settle first and service later. That sequence is fiscally expensive and politically hard to reverse.

Kinshasa shows the physical speed of the problem. The World Bank estimates that the city, already home to more than 15 million people, expands by roughly 2,000 people and five hectares each day. Much of that growth pushes into areas without drainage and other basic services. Once homes occupy the future road reserve, every trunk line requires compensation, demolition, negotiation or a crooked alignment. The city pays twice: households first build without services; government later retrofits networks at higher cost.

Ethiopia illustrates the market mechanism. World Bank work found that formal urban land supply failed to meet demand and that discretionary allocation helped push households toward peri-urban informal markets. The same work estimated that Ethiopia would need nearly 400,000 new urban housing units a year to meet new demand. Older evidence from Addis Ababa found that about 30 percent of the housing stock was considered illegal in 2004 and documented a large informal secondary market alongside slow regularization.

Restricted formal land supply raises the price of legal plots. Lower-income households move to informal subdivisions. Infrastructure agencies then face dispersed, irregular settlement patterns. Retrofitting costs rise. Governments hesitate to recognize settlements because recognition can reward unauthorized conversion. Residents hesitate to invest because tenure remains uncertain. Informality becomes a stable political equilibrium rather than a temporary planning failure.

Land readjustment in India

India offers a different mechanism: change the shape and rights of land rather than buy every parcel.

Gujarat's Town Planning Scheme pools or readjusts private land as an area urbanizes. Roads and land for public purposes are carved out; owners receive smaller, serviced final plots whose value can rise because access and infrastructure improve. A recent World Bank land guidance note describes a legal ability to take up to 50 percent of scheme land for public purposes, with typical deductions around 40 percent. The statutory menu can include 15 percent for roads, 5 percent for parks, 5 percent for social amenities, 10 percent for affordable housing and 15 percent for a land bank. Betterment charges can recover part of the public investment.

Owners give up land rather than cash. The city obtains connected rights-of-way before dense settlement makes them expensive. Public action creates a land-value gain; the scheme captures part of that gain to pay for the urban fabric.

Ahmedabad also shows that a good instrument can fail through slow administration. By the mid-1990s, schemes could take years, infrastructure lagged and the value-capture formula failed to keep pace with costs. Reforms after 2001 allowed infrastructure to begin after draft approval, increased the land available to fund infrastructure and allowed private contractors to prepare schemes. World Bank research reports that more than 200 square kilometres were developed through Town Planning Schemes between 2000 and 2009, compared with about 100 square kilometres in the preceding 25 years.

Land pooling works when the state can credibly promise that the smaller plot returned to the owner will become more valuable, deliver infrastructure quickly enough to make that promise real, adjudicate objections, and prevent insiders from capturing the most valuable reconfigured parcels.

WRI’s review adds evidence on who benefited: land readjustment enabled roughly 33,000 low-income homes, but tenants and informal occupants often lacked a place in negotiations. Some amenities remained unfunded, and owners resisted where appreciation was unlikely. These case-study findings support a conditional principle: share future land value credibly with owners, while securing separate rights and services for other residents. They do not establish a causal effect on affordability. [101]

Interests and constraints in land reform

Every land reform creates winners before a single house is built.

An incumbent owner benefits when regulation keeps competing floor space scarce. A peripheral landowner benefits when a new road changes agricultural land into urban land. A developer benefits from information about future zoning before the market has priced it. A municipal agency can gain power from discretionary conversion. A politician can allocate plots to supporters. An informal broker can sell access to land whose legal status is ambiguous. A sitting informal resident can lose everything if a cadastral correction treats possession as encroachment.

These rents create veto points. Upzoning can face homeowner opposition. Public-land inventories can threaten agencies that treat land as an institutional reserve. Transparent auctions can threaten discretionary allocation networks. Property taxation can face owners whose wealth has risen faster than cash income. Regularization can divide owners, tenants and subtenants because a title awarded to one may weaken the claims of the others.

The coalition for abundant housing is structurally weak. Future residents do not yet vote in the neighborhood. Renters often have less political voice than owners. The gains from reform are spread across thousands of households, while the loss of a scarcity rent can be concentrated in a handful of owners. This asymmetry explains why cities can endorse affordability in strategy documents while preserving rules that make well-located housing scarce.

Count affordable homes near jobs, rather than hectares released. Record whether existing tenants can remain and whether valuable public sites include low-income households.

Valuing public land

Governments often respond to high land costs by donating public land to housing projects. The fiscal cost then disappears from the housing budget while remaining real.

A public parcel has an opportunity cost. If it could have been sold, leased, used for a school or retained for future infrastructure, transferring it below market value is a subsidy. The right question is whether that subsidy buys more social value than alternative uses.

A disciplined public-land policy starts with an inventory, clear title, valuation and a statement of public purpose. It then chooses among sale, long lease, joint development, land readjustment, community use and affordable-housing reservation. Competitive disposal matters because opacity converts a housing subsidy into a land rent for the recipient. Outcome covenants matter because a developer can otherwise receive cheap land and later sell a higher-priced product.

The strongest design often separates the land subsidy from the developer. The public authority can retain ownership, lease the site competitively, specify affordability and occupancy conditions, and recover the land if delivery fails. This keeps part of future appreciation in public hands and reduces the temptation to treat one-off land sales as recurring revenue.

Land-value capture

The arithmetic of land value capture is seductive. Public action raises land value; government captures part of the increment; the proceeds finance infrastructure that creates more value.

Implementation is harder. A World Bank comparison of Sao Paulo, Addis Ababa and Hyderabad found positive economic outcomes but mixed equity effects in Sao Paulo, and few observable economic or equity gains in Addis Ababa and Hyderabad at the time of study. The differences turned on land tenure, planning systems, financial instruments, real-estate conditions and state capacity. Political and private interests could subvert instruments that looked sound on paper.

This is a recurring theme in housing policy. Value capture needs a credible counterfactual land value, a legal claim on the increment, administrative capacity to assess and collect, and a market active enough to generate the value. Charges set too high can suppress development. Charges negotiated project by project invite discretion. Revenues earmarked without maintenance plans can finance new infrastructure while old systems decay.

The feasible sequence is usually to make development rights clear, publish the formula, capture a moderate share, invest visibly in the affected area, and build a constituency that sees the exchange: more development in return for better infrastructure and inclusion.

Digital land records

Land administration is undergoing a measurement revolution. India shows the scale. The Digital India Land Records Modernization Programme reports computerization of records of rights in 626,237 villages, 95.56 percent of the total in its current dashboard; 5,229 sub-registrar offices are computerized and 4,837 are integrated with land records. The Department of Land Resources now reports more than 408 million Bhu-Aadhaar unique parcel identifiers. Its 2026-31 guidelines extend the program into a new phase.

Kenya is moving in the same direction through Ardhisasa, its National Land Information Management System. As of September 2026, the government reports the live platform in Nairobi, Murang'a, Mombasa and Isiolo, alongside digital payments and a national stamp-duty module. The Lands Ministry reported KES 1.946 billion in stamp duty collected in two months through the new system and projected collections above KES 20 billion by June 2026.

These systems change several constraints at once: search costs fall; transactions become traceable; duplicate records become harder to sustain; tax administration improves; and spatial data can be joined to planning and infrastructure. AI and earth observation add another layer. Computer vision can detect buildings faster than field surveys; change detection can flag new construction; parcel models can rank sites by access, hazard and infrastructure.

Yet digitization can faithfully encode a bad institution. If the source record is wrong, the digital record can make the error harder to challenge. If women, tenants, customary users or informal occupants are absent from the source system, a cleaner database can strengthen exclusion. If one agency controls the authoritative map, digitization can centralize power. The right metric is therefore not the number of records scanned. It is the reduction in transaction time and disputes, the increase in legally usable serviced land, the distribution of gains, and the quality of appeal when the database is wrong.

AI and land information

AI matters most where it changes the cost of a decision that governments currently make rarely, slowly or blindly.

A city can now estimate built floor area from imagery, compare it with permitted floor area, map vacant or underused parcels, infer roof materials, identify settlement expansion, model access to jobs, and screen exposure to flood or heat. The marginal cost of updating such information can fall sharply once a common geospatial backbone exists.

The housing gain depends on what happens next. If better data lets a city release serviced public land six months earlier, the technology has changed supply. If it only produces a dashboard, it has changed presentation. If automated valuation expands the property-tax base and the city invests the revenue in infrastructure, it can create a fiscal loop. If the same valuation raises taxes without credible appeals, it can trigger resistance and erode trust.

The five-question test is useful here: Which constraint changes? By how much? Who captures the gain? Who gains new power? What new risk appears? For parcel intelligence, the answers may be: information and search costs fall; project preparation accelerates; developers and public agencies gain; the data custodian gains power; and occupants with weak tenure face greater exposure. The safeguard belongs inside the product design, not in a later ethics annex.

Implementing land reform

In customary-tenure settings, map customary and occupancy rights alongside the registry; in Indian cities, test state approval powers and tenant eligibility separately. Use conservative land receipts for capital works and a separate recurrent revenue plan for services.

The land authority must settle rights and valuations; the utility must commit capacity; an independent appeals body must remain accessible. Track net additional occupied affordable homes in accessible locations, service completion dates, owner gains and displacement by tenure group.

A government that wants cheaper housing should resist the urge to begin with a housing unit. Begin with the map of opportunity.

First, identify where jobs, transit, infrastructure capacity, public land, hazards and existing settlement overlap. Second, estimate the legal floor-space capacity under current rules and under plausible changes. Third, map ownership and claims, including tenants and informal users. Fourth, choose the mechanism: upzoning, land readjustment, public-land lease, redevelopment, serviced plots, in-situ upgrading or expansion. Fifth, secure the trunk infrastructure and rights-of-way before land values fully capitalize the public investment. Sixth, make the land-value-sharing rule explicit. Seventh, add housing finance and household subsidy only when supply can respond.

The political sequence is just as important. Publish who gains and loses. Compensate genuine losses without preserving scarcity rents. Give existing residents a stake in appreciation. Reserve land for low-income housing before prices rise. Use visible infrastructure delivery to make land pooling credible. Protect tenants separately from owners. Create appeals before mass digitization. Tie intergovernmental transfers to measurable increases in serviced floor space and access to jobs.

The objective is a self-reinforcing coalition: landowners gain from serviced development; cities gain infrastructure and revenue; developers gain predictable supply; low-income households gain access; and existing residents gain services and protection. Where one actor can take the gain while shifting the cost to others, the coalition will eventually break.

Land policy assessment

Before a government or MDB finances an affordable-housing program, ask ten land questions.

1. How much developable floor space exists within 60 minutes of major job centers under current rules? 2. Who owns or claims it? 3. What share has trunk infrastructure capacity? 4. Which planning rules constrain additional floor space? 5. How long does conversion, subdivision and registration take? 6. What public investment will raise land values, and who will capture the increment? 7. Which public parcels could support housing, and what is their opportunity cost? 8. Which residents, tenants or customary users become vulnerable if the land becomes more valuable or more visible? 9. Can digital systems reduce a binding transaction cost, and is there a functioning appeal process? 10. What coalition can sustain the reform after land prices begin to move?

The key output is an affordable floor-space frontier: the number of additional low- and middle-income households that could live within a defined job-access threshold under each land, planning and infrastructure reform, together with fiscal cost and distributional incidence.

Land becomes housing only when planning rules decide what can be built and infrastructure makes those development rights real.

What transfers?

Worked because	credible demand; legally workable readjustment; a service-delivery commitment; a visible owner share of uplift
Failed when	weak expected uplift; disputed or invisible claims; services without finance; approval delays that erode the bargain
Do not copy	a fixed land-deduction percentage or an owner-only negotiation forum
Transfer instead	exchange a verifiable share of publicly created value for serviced land and durable affordable access
Scale test	At 100 times the pilot size, test whether independent valuation, appeals and trunk-service delivery can keep pace. Do not use expected land-sale proceeds as committed cash.

Sources and evidence notes

Evidence. Quantitative claims and program descriptions in this chapter are drawn from the sources below. Judgment. The concepts of four land prices, the affordable floor-space frontier, the coalition sequence, and the five-question technology test are analytical syntheses. They should be tested against city-level prices, tenure systems and political institutions before use.

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2. Planning rules and development rights

Development permission and housing supply

Planning rules determine how many homes can share a site and its access to transport. Allowing apartments on a plot previously limited to one house changes both the supply of housing and the value of the land.

Housing policy often treats land as a physical input and planning as a technical activity. In a growing city, planning also creates and rations an asset: legal floor space. Floor-area ratios, plot sizes, setbacks, height limits, parking rules, use restrictions and approval procedures determine how much housing may exist on a piece of urban land. These rules can protect real public goods, light, safety, drainage, heritage and infrastructure capacity. They can also create scarcity whose price appears later in rents, land values, commuting costs and informal construction.

The mechanism is straightforward. A developer starts with expected revenue from the completed building. From that revenue come construction cost, finance, taxes, infrastructure, professional fees, marketing and a return for taking risk. What remains is residual land value. A rule that allows more valuable floor space can increase the residual value of land. A rule that requires expensive parking, large plots or long delays can reduce the number of feasible homes. The household ultimately faces the result through the price of the legal unit.

Planning reform must align development rights with infrastructure and feasible construction. Uncertain network capacity, parcel rights and approval times can prevent a project from proceeding. Because permission also changes land value, those who control decisions have strong incentives to influence the rules.

How planning rules affect housing costs

Consider a minimum parking rule. On paper it concerns cars. In a small apartment project it may require land or concrete that the poorest tenant does not want to buy. The developer either builds fewer homes, raises rents, moves to cheaper land, or abandons the project. A parking rule becomes a housing rule.

The same is true of minimum plot sizes. A household that can afford 40 square metres of dwelling on a 60-square-metre plot is excluded if the legal minimum plot is 200 square metres. A minimum unit size can ban the room a migrant worker can afford. A setback can make a narrow parcel undevelopable. A ban on mixed use can separate a street vendor's home from her livelihood. A cap on floor space can push the marginal household farther from work.

These effects interact with finance. A bank will not lend against an illegal extension. A formal developer cannot sell units that the planning code does not permit. An informal landlord may build anyway, accepting enforcement risk in exchange for rental yield. The code then splits the market: scarce formal housing for households that can pay and abundant informal adaptation for households that cannot.

This is one reason informality is so persistent. It is sometimes a failure of enforcement. It can also be revealed demand. When thousands of households add rooms, divide plots, convert shops, or build extra floors, they reveal a demand for forms of floor space the formal system supplies too slowly or too expensively.

A reform can fail at the next link. Upzoning without water, sewer, drainage, streets or transit creates paper capacity. Infrastructure without legal density wastes expensive networks. Higher density with

discretionary approval gives officials a more valuable permission to sell, trade or delay. The relevant product is therefore legal, serviced, financeable floor space.

Floor-space regulation in India

World Bank analysis has noted that Mumbai historically permitted floor-space indices around 1.33 to 4, while limits in Tokyo, Hong Kong, and Shanghai could reach 10 to 15. These figures cannot be transferred directly between cities because infrastructure, street widths, fire access, and transit differ. They show how planning limits can constrain floor space in high-demand locations.

A World Bank simulation for Bangalore illustrated the spatial consequence: relaxing density restrictions could reduce the city's radius from about 12 kilometres to 8 kilometres and save households about 4 percent of income through lower transport costs. Such simulations depend on assumptions, yet the causal chain is compelling. Restrict central supply, and some households bid harder for the limited stock while others move outward. The housing saving at the edge can reappear as a transport bill and hours of lost time.

Delhi's transit-oriented development framework points toward a more coherent approach. On large parcels in transit influence zones, the framework permits higher density, requires a mix of uses, mandates smaller housing units and reserves floor space for economically weaker sections. Land pooling can obtain public space and transit plazas. The policy joins development rights to transport capacity and inclusion.

The implementation problem sits inside the design. Large minimum parcel sizes favor actors able to assemble land. Owners can hold out. Inclusion obligations can make a project unviable if calibrated without a residual-land-value test. Agencies may approve exceptions unevenly. A good plan therefore needs a transaction architecture: clear rights, predictable time limits, infrastructure commitments, transparent obligations and a route through fragmented ownership.

India also shows why planning politics cannot be reduced to a homeowner-versus-developer story. Caste and class shape where households can rent or buy. Informal settlements, unauthorized colonies and subdivided peripheral land provide entry where the formal system excludes. Regularization can improve security while rewarding earlier rule-breaking and encouraging expectations of future regularization. Enforcement can protect public land while falling disproportionately on households with the weakest legal claims. The planning code sits inside a social hierarchy.

Planning rules and informal development in African cities

Across much of urban Africa, the formal plan governs only part of the housing system. Small landlords, households and informal developers build the rest. The gap is large enough that policy cannot close it through public construction alone.

Kenya's earlier housing assessments illustrate the arithmetic. The World Bank estimated a deficit above two million units, formal production below 50,000 units a year against a target of about 200,000, and a majority of urban households living in slum conditions. The exact figures move over time; the structural point remains. When formal production is an order of magnitude below need, the city must ask which rules keep ordinary builders outside the legal market.

Dandora in Nairobi offers an older lesson. Sites-and-services gave households a serviced plot and a foothold in the city. Over time, owners added rooms and floors as income and demand grew. The plot became a platform rather than a finished product. Incremental density allowed households to finance construction in stages and created rental supply. A code that froze the original built form would have erased much of that option value.

The cost structure also matters. CAHF's cross-country work has estimated that construction materials and labor often account for roughly 45 percent of the cost of a typical 55-square-metre house, while infrastructure contributes around 14 percent. Administrative compliance, land and finance make up much

of the rest. This is why a search for a miraculous cheap building material can disappoint: the wall is only one part of the price.

Ethiopia makes the infrastructure complement visible. World Bank-supported urban programs reported more than 2,700 kilometres of roads and 2,700 hectares of serviced land delivered across 117 cities between 2018 and 2024. That is the physical counterpart to planning reform. A right to build becomes economically meaningful when pipes, roads, drainage and public services can support the building.

Density and access to work in South Africa

South Africa turns the planning question into a labor-market question. Apartheid located many Black households far from economic centers. Three decades later, the geography remains unusually dispersed. New World Bank research using administrative, census and satellite data finds about 9,300 fewer residents per square kilometre than expected within five kilometres of commercial centers relative to twenty global peers, roughly 60 percent below the global median.

Distance carries measurable penalties. The same research finds that in Johannesburg, greater distance from business hubs is associated with lower employment and household asset wealth. Housing location therefore affects whether a worker can reach opportunity, whether a firm can reach labor, and how much of a wage disappears into transport.

This changes the meaning of upzoning. In an exclusionary, infrastructure-rich neighborhood close to jobs, allowing apartments can widen access to an asset created partly by public investment. In a low-income rental corridor, the same increase in development rights can trigger redevelopment pressure and displacement. The map may look technically identical; the distributional incidence is opposite.

South Africa also exposes the fiscal side. Metros must maintain water, sanitation, electricity, roads and waste systems. National government captures large tax bases while municipalities carry much of the service burden. A municipality asked to permit more residents needs a credible way to finance the networks those residents use. The country's new Metro Trading Services Program makes this institutional link explicit by tying national performance-based grants to improvements in metro trading services. Housing supply and municipal finance cannot be separated for long.

International evidence on zoning reform

The strongest case for planning reform does not claim that every upzoning instantly lowers rents. It claims that housing markets cannot respond to demand when law blocks the physical forms through which supply would respond.

Minneapolis is useful because it changed several rules over time. The city reduced and then eliminated parking requirements, made apartment construction easier near commerce and transit, reduced minimum lot sizes, and later allowed duplexes and triplexes more widely. Between 2017 and 2022 its housing stock grew about 12 percent while rents rose about 1 percent; the rest of Minnesota added about 4 percent to housing stock while rents rose 14 percent. Pew estimates that nearly 21,000 units were permitted in Minneapolis over that period, 87 percent in buildings with twenty or more units.

The composition is as important as the headline. Legalizing duplexes and triplexes produced relatively little construction. Corridor apartments and parking reform did much more. A reform matters when it changes a constraint that actually binds a feasible project. Permission alone cannot overcome construction cost, finance, parcel geometry or weak demand.

Houston provides another mechanism. After reducing minimum lot sizes, from 5,000 square feet to as little as 1,400 in parts of the city and later citywide, nearly 80,000 townhouses and other small-lot homes were built, according to Pew. Smaller legal parcels created a product between an apartment and a detached suburban house.

These comparisons are observational and policy packages overlap. They do not identify a single universal elasticity. They do establish a practical proposition: cities that permit many more homes in high-demand places give the market room to absorb demand through quantity rather than price alone.

Auckland and Chicago show why the size and location of reform need testing. Auckland's 2016 reform covered about three-quarters of residential land; researchers estimate 21,808 additional permitted dwellings over five years. These were permits, not net completed homes. Chicago's narrower transit-area reforms raised property values without a detectable increase in newly permitted dwellings in the initial five-year study. The markets, periods and methods differ, so this is not a controlled test of breadth alone. A city should test whether enough competing sites become viable, alongside demand, finance and infrastructure. [102,103]

Interests and constraints in planning reform

Why, then, is reform so hard? Scarcity has owners.

The incumbent homeowner holds an asset whose value may benefit from restricted supply. The homeowner also bears real local costs from construction, traffic, school crowding or infrastructure failure. The developer wants more rights and faster approval, while preferring scarcity if it keeps competitors out. The landowner wants the uplift from new development rights. The planning agency wants safety and order and may also value discretion. The utility fears a network it cannot finance. The tenant wants lower rent and location security, yet can lose when a newly valuable parcel is redeveloped. The politician wants visible benefits before the next election and may value the ability to grant exceptions.

This produces a classic asymmetry. Future residents do not attend today's planning hearing. Existing owners do. The household that would have occupied the apartment that was never permitted has no address in the jurisdiction and often no vote there. The gains from restriction are concentrated; many of the costs are dispersed or borne by outsiders.

Narratives then matter. 'Neighborhood character' can describe a real public good or serve as a socially acceptable defense of exclusion. 'Affordable housing' can justify a project whose units are affordable only to the upper middle class. 'Infrastructure capacity' can be a genuine engineering constraint or a reason never to add the capacity. 'Regularization' can protect vulnerable households or reward politically connected encroachment. Good reform requires distinguishing the mechanism from the justification offered for it.

A durable coalition often needs four pieces: renters and younger households who gain from supply; employers who gain from a larger accessible labor market; landowners who gain from predictable development rights; and governments that receive revenue or infrastructure in exchange for those rights. Tenant protections and targeted anti-displacement measures can bring existing low-income residents into the coalition. Infrastructure funding can reduce homeowner resistance grounded in service quality.

Include affluent and employment-rich areas in the capacity calculation. Count demolition losses and entry by lower-income households.

Allocating the value of development rights

When a city changes FAR from one to four, it may create a windfall overnight. The increase is produced by a public decision layered on public infrastructure and private land. Who should receive it?

There is no single answer. The city can grant the right freely to encourage rapid supply. It can auction additional development rights. It can charge for infrastructure. It can require affordable units. It can use land readjustment to obtain streets, parks and public sites. It can tax some of the uplift later through property taxation. Each instrument changes the project's economics and the politics of reform.

The discipline is residual land value. Estimate the revenue from the proposed building. Subtract construction, finance, infrastructure, taxes, professional costs, marketing and a competitive developer return. The residual is what can support land acquisition and public obligations. If the city demands more than that residual, the project stalls or the obligation is evaded. If it demands nothing where rights create a large uplift, it transfers public value to the landowner.

Public land deserves an even stricter rule. An auction to the highest bidder maximizes the immediate receipt. A long lease with density, affordability and delivery conditions can purchase a stream of urban outcomes. A negotiated allocation creates room for patronage. The minimum information set should be public: parcel boundaries, valuation, permitted rights, bids, beneficial ownership, milestones and subsequent changes to the contract.

Digital planning rules and AI

Planning is unusually amenable to digital reform because many rules apply to geometry. A parcel has an area. A code specifies setbacks, height, use and floor area. Infrastructure networks have capacity. Transit has travel times. Hazards have spatial footprints. A city can combine these layers into a parcel-level statement of what can safely and legally be built.

The useful product is not an AI chatbot that summarizes the zoning code. It is a computable development-rights system: for every parcel, a citizen or developer can see the applicable rule, the evidence behind it, the infrastructure constraint, the approval path and any exception already granted nearby.

AI can lower the cost of several tasks. Computer vision can estimate existing buildings and floor space from imagery. Models can flag parcels where actual use diverges from records. Network models can estimate where additional density would overload drainage or water. Generative tools can test whether a compliant building envelope fits a parcel. Workflow data can reveal which approval stage creates delay.

Apply the book's five tests. Which constraint changes? Information, design and approval costs can fall. By how much? Measure days removed from approval, parcels made financeable and legal square metres unlocked. Who captures the gain? Faster approval may raise land value before it lowers housing prices. Who gains power? A planning agency with real-time imagery can enforce rules far more effectively. What new risk arises? Wrong parcel data, biased enforcement or opaque automated decisions can deny rights at scale.

The political effect may exceed the technical one. A public map of parcel rights and approval times makes exceptions visible. That can reduce the value of discretion. It can also reveal informal occupation to an agency that has not decided whether visibility will bring services or eviction. Data governance therefore belongs inside planning reform, not in an appendix.

Implementation constraints

African cities may need recognition of small rental buildings and tenure clarification; Indian reforms may need coordination of floor-space rights, fire access and trunk capacity. Publish infrastructure costs and feasible charges before land prices absorb the new entitlement.

Planning, utilities and building control must share a dated delivery schedule; appeals must not become an alternative indefinite queue. Track permits, starts, completions and net occupied stock separately; rents relative to a credible comparison; affordable entry and involuntary moves.

Planning reform fails in predictable ways. Governments change the headline FAR while leaving parking, height or setback rules untouched. They upzone where demand is weak and declare victory when nothing is built. They create density around transit while utilities lack capital. They impose inclusion obligations without testing project viability. They digitize a discretionary process and produce faster discretion. They announce citywide reform while continuing to negotiate parcel-by-parcel exceptions.

Political timing can also defeat sound design. The costs of construction arrive immediately; the housing supply arrives later. An incumbent sees a crane before she sees lower citywide rent growth. A mayor may prefer a subsidized housing project with a public completion date to a zoning reform whose beneficiaries are thousands of households that will never know which rule made their apartment possible.

The sequence matters. Start where demand is strong, infrastructure exists or can be funded, and the planning constraint clearly binds. Make additional floor space legal by right. Remove rules with high private cost and weak public purpose. Publish parcel-level rights. Fund network upgrades. Protect vulnerable tenants where redevelopment pressure is likely. Measure permits, starts, completions, rents, land prices, travel times and displacement. Then watch which constraint binds next.

Planning policy assessment

Question	Operational measure	Failure signal
1. Where is demand strongest?	Rents/prices, vacancy, job access, informal intensification	High prices + crowding + outward growth
2. What is legally buildable?	FAR/FSI, height, lot coverage, plot/unit minima, parking	Physical capacity exceeds legal capacity
3. What can networks carry?	Water, sewer, drainage, transit, schools	Paper upzoning without service headroom
4. Is a project viable?	Residual land value under current/proposed rules	Rights rise but no starts
5. Who is excluded?	Minimum legal unit cost by income/social group	Code prices out target households
6. Who may be displaced?	Tenant/owner/informal occupancy map	Uplift falls on occupied low-income sites
7. Who captures uplift?	Land value before/after reform; public share	Large windfall with no supply/public return
8. Who can veto?	Actor-rent-veto map	Reform relies on actors who lose without compensation
9. Can rules be audited?	Parcel rules engine, approval clock, exceptions log	Digital process preserves hidden discretion
10. Did capacity become homes?	Permits, starts, completions, rents, commute, displacement	Legal capacity rises; occupied supply does not

Implications for housing supply

Land was the subject of the previous chapter. This chapter adds a crucial distinction: owning land and possessing the right to build are different assets. Cities create the second asset through law. They also create much of its value through infrastructure and access.

That makes the right to build one of the most consequential distributional choices in urban policy. Restrict it too tightly and scarcity rents flow to incumbents while poor households pay through rent, crowding, informality and distance. Grant it carelessly and windfalls flow to landowners while infrastructure and vulnerable residents absorb the cost. The task is to make enough floor space legal, service it, share the value created, and protect those with weak claims.

What transfers?

Worked because	broad coverage; demand for added floor space; viable building types; service capacity
Failed when	rights concentrated on few sites; costs above achievable rents; infrastructure bottlenecks; lengthy discretionary approvals
Do not copy	Auckland’s zoning map or a universal floor-area ratio
Transfer instead	make additional buildable capacity competitive and economically usable, then verify the supply response
Scale test	When permits increase tenfold, check utility queues, contractor capacity and cumulative demolition. A citywide rule requires citywide service finance.

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3. Infrastructure and serviced land

Infrastructure and housing affordability

A dwelling needs streets, drainage, water, sanitation, power, waste collection and access to schools, markets and jobs. Each network has its own operator and budget. Housing agencies must coordinate these services before occupation.

Infrastructure converts legal development capacity into usable housing. Its timing and financing affect affordability before construction starts.

The causal chain is simple: land and development rights create potential; trunk infrastructure opens an area; local networks make parcels serviceable; reliable operations preserve the service; transport connects residents to opportunity; the resulting accessibility raises land value. That final step creates both the financing opportunity and the political fight. Public investment makes private land more valuable. Who captures the gain?

The central policy error is to treat infrastructure as a residual cost added after housing has been designed. It should be designed and financed with land, density and tenure from the start.

The cost of serviced land

A useful distinction is between trunk and local infrastructure. Trunk systems, arterial roads, bulk water, treatment plants, substations, main drains and mass transit, serve many developments. Local infrastructure, neighborhood streets, pipes, sewers, lighting and public space, connects individual parcels. A third layer is operations: pumps must run, drains must be cleared, bills must be collected, assets must be repaired.

The cost allocation problem follows. If the first affordable-housing project must pay the entire cost of a trunk main that will later serve wealthy developments, its units become artificially expensive. If government pays everything from general taxation, landowners may receive a windfall. If a utility charges full connection costs upfront, low-income households may remain unconnected even when a pipe passes their door.

The right unit of analysis is the marginal serviced square metre of legal floor space. Ask how much public and private infrastructure is needed to support another 1,000 square metres of housing at a given location and density, who pays upfront, who repays over time, and how much of the investment returns through land value, tariffs, taxes or productivity.

Density changes this arithmetic. A kilometre of pipe serving forty homes costs more per household than the same pipe serving four hundred, up to the point where capacity upgrades are needed. agreement development can therefore lower per-household network cost. Excess density without network investment creates the opposite result: outages, sewage overflows, flooding and political resistance to further housing.

Municipal infrastructure and capacity in Ethiopia

Ethiopia offers one of the strongest African examples of infrastructure and local institutions moving together. Between 2018 and 2024, the Urban Institutional and Infrastructure Development Program financed more than 2,700 kilometres of roads and 2,700 hectares of serviced land across 117 cities. World Bank reporting attributes improved living conditions for more than 6.6 million people and 1.15 million jobs, 915,000 temporary and 237,000 permanent, to the broader program and associated investments.

The important mechanism sits behind the kilometres. Participating cities strengthened financial management, audits, planning and own-source revenue. Arba Minch, for example, reported a 262 percent

increase in municipal revenue over five years. Infrastructure was therefore used as an incentive for city capability rather than delivered as a stand-alone engineering package.

The causal chain is powerful: predictable intergovernmental finance rewards minimum institutional conditions; cities prepare and execute capital plans; visible infrastructure raises political support for local government; stronger revenue and asset systems improve the next investment cycle. Performance finance can make state capacity endogenous to infrastructure delivery.

There are limits. Job numbers include temporary construction employment and should not be read as permanent productivity gains. Serviced land does not automatically become affordable housing. Allocation rules, lease prices, building standards and credit determine who ultimately occupies it. A road can unlock formal development or accelerate speculative land conversion. The reported outputs demonstrate delivery at scale; they do not isolate the programme's causal effect on institutional capacity or establish who retained the benefits. [124]

Sustained service needs a separate test. The IDB's follow-up assessment of 88 Favela-Bairro II settlements found uneven durability: roughly one-third had problems with street paving and drainage, and two-thirds had poor street lighting and sewers. These are conditions in upgraded settlements, not an experimental estimate of the programme's long-run effect. Ethiopia's delivery figures do not establish that it has avoided such maintenance problems. Performance-linked funding should verify operating services and resident access as well as completed works. [124,110]

Land readjustment and delivery times in India

Ahmedabad's Town Planning Schemes show how land and infrastructure can finance one another. Instead of buying every parcel for roads and public facilities, the city readjusts ownership. Landowners surrender part of their original holding for streets, amenities and sale plots, then receive a smaller serviced parcel whose value may be higher because the area is accessible and developable.

World Bank documentation reports that in three Ahmedabad schemes, 25 to 40 percent of land was taken for infrastructure and public facilities. Betterment charges captured part of the increase in value. The model reduces the need for cash acquisition and creates a coalition: landowners can gain from the uplift even after contributing land.

Its weakness is time. The same World Bank review found that Ahmedabad schemes typically took about ten years from initiation to final government approval, despite a statutory expectation of three to four years; some took fifteen. A mechanism designed to solve land assembly can itself become a coordination bottleneck.

The lesson is wider than Gujarat. Land value capture works only when the state can credibly deliver the infrastructure that creates the value, calculate obligations transparently, and complete the transaction within an economically meaningful period. A betterment levy against an uplift that arrives a decade later is a different agreement from one tied to a three-year delivery schedule.

Amaravati takes the logic to a much larger scale. The government assembled about 90 percent of required land through land pooling; roughly 29,000 farmers contributed agricultural land in exchange for serviced residential and commercial plots. The current program plans 320 kilometres of arterial roads, 1,280 kilometres of neighborhood roads, water, wastewater, stormwater, power and telecom ducts. The master plan reserves 22 percent of residential area for affordable housing. This is coordination in its purest form: land pooling, infrastructure, transport, housing, institutions and private capital must mature together.

Infrastructure maintenance in South Africa

South Africa demonstrates what happens after completion. Its eight metropolitan municipalities serve more than 22 million people and account for about 85 percent of national economic activity. Yet water, sanitation, electricity and solid-waste services have faced declining reliability, weak revenue collection, underinvestment and poor asset management.

The Metro Trading Services Program changes the fiscal incentive. A US$925 million World Bank Program-for-Results supports a broader government effort; national grants to metros are released against verified improvements in governance, revenue management, asset management and service delivery. Failure to achieve results means the grant is not released.

This matters for housing because every new unit inherits the balance sheet of its utility. A housing program can finance a connection, yet a water service with low collection, high losses and deferred maintenance cannot sustain it. The household experiences infrastructure through reliability, not capital expenditure.

South Africa's reforms link national urban objectives to municipal service responsibilities. Performance-based transfers can give metropolitan governments a financial incentive to maintain networks while accommodating growth. Housing supply policy therefore requires an explicit municipal financing arrangement.

South Africa is also trying to crowd private capital into infrastructure. A new Credit Guarantee Vehicle, backed by a World Bank program approved in March 2026, is expected over ten years to help mobilize about US$10 billion for resilient infrastructure. Guarantees can reduce financing risk. They cannot repair weak tariffs, procurement, project preparation or governance. Bankability begins with institutions.

Infrastructure investment and land values

Build a road, station or sewer and nearby land becomes more valuable. This is one of the oldest facts in urban economics and one of the least systematically used in affordable-housing finance. The public sector often pays for the network, while private owners receive much of the uplift.

That creates five broad choices. Government can recover value through property tax; levy a betterment charge; sell or lease public land after infrastructure raises its value; auction development rights; or require developers to finance specified infrastructure. Each has different incidence and administrative demands.

Value capture has an important boundary. A charge can capture value only after the investment and planning rights create enough value to leave a viable project. Excessive charges suppress development and therefore destroy their own tax base. Weak charges socialize infrastructure cost and privatize the uplift. The correct amount depends on residual land value, not a politically attractive percentage.

Public land creates a sharper dilemma. Selling serviced land to the highest bidder may maximize fiscal revenue and push the site toward high-income housing. Allocating it cheaply to a developer may create a hidden subsidy with weak delivery incentives. A long lease with clear affordability, density and delivery milestones can preserve public ownership while making obligations enforceable. The contract matters as much as the land.

Interests and responsibilities in infrastructure provision

Actor	What it wants	Rent / exposure	Veto point	Feasible bargain
Existing landowner	Maximum uplift	Infrastructure-created land gain	Holdout, litigation, political pressure	Predictable rights + transparent value-sharing
Developer	Serviced site, certainty	Avoid trunk costs / delay	Can defer project or change segment	Published connection charges + delivery clock
Utility	Cost recovery, manageable demand	Connection fees, tariff revenue	Can delay/no-connect	Capital plan + tariff/transfer settlement
Municipality	Growth without fiscal stress	Rates and fees vs service liabilities	Planning, permits, local capex	Transfers/value capture tied to serviced floor space
National government	Housing/jobs/growth	Tax base and political credit	Intergovernmental transfers	Performance grants + national trunk investment
Informal resident	Service without displacement	Location and tenure value	Protest, electoral pressure	In-situ service + tenure safeguards
Contractor/broker	Contracts and discretion	Procurement rents	Claims, delay, political networks	Open procurement + benchmarked unit costs
Future resident	Affordable access	Benefits from added supply	Almost no current voice	Represent through housing targets/access metrics

Infrastructure politics differs from zoning politics because the gains can be geographically precise. A proposed road or sewer changes the value of named parcels. That invites land banking, insider information and route manipulation. Political actors can steer investment toward supporters or public land toward connected developers. Informal power enters through who controls access to land before the network arrives.

The narrative of 'cost recovery' also hides distributional choices. A uniform connection charge can be efficient administratively and regressive economically. A low tariff with no operating subsidy can starve the utility. Free basic service can protect poor households while leaving capital costs unfunded. Every tariff is both a financial instrument and a coalition.

Successful reform coalitions tend to make gains simultaneous. Ahmedabad landowners surrender land because they receive serviced plots. Ethiopia's cities accept performance conditions because infrastructure finance follows. South African metros receive grants when institutional performance improves. Failed bargains ask one actor to bear a visible cost now for an uncertain gain later.

Assess the cost of housing, fares, utility bills and time together. Track whether original low-income residents remain after services improve.

Services and tenure in informal settlements

Infrastructure agencies often face settlements where tenure is disputed. Requiring full title before connection can leave entire neighborhoods without water or sanitation. Providing permanent infrastructure can be interpreted as recognition of occupation. The engineering decision becomes a land-policy decision.

A practical approach separates service entitlement from final adjudication of property ownership where law allows. Basic water, sanitation, drainage and fire access protect public health and the wider city. Digital enumeration can record occupants and service accounts without converting every record into title. Tenure regularization can proceed through its own due process.

This sequencing matters for slum upgrading. In-situ infrastructure can raise rents and land values. Owner-occupiers may gain; tenants can lose. Structure owners may capture public investment through higher rents. Upgrading therefore needs a tenant strategy: rent monitoring, additional supply, targeted support, rights during redevelopment, and protection against opportunistic eviction.

Operating and maintenance costs

A household pays for failure even when the tariff is low. Intermittent water creates storage costs. Poor drainage destroys possessions. Unreliable power requires batteries or generators. Broken streetlights raise safety costs. A distant dump becomes neighborhood pollution. These costs rarely appear in the housing subsidy ledger.

Asset management should therefore enter housing appraisal. For every network, identify the owner, expected asset life, maintenance standard, annual operating cost, replacement reserve, tariff or transfer source, and service-level target. If these fields are blank, the project has financed construction rather than service.

This is also where public finance becomes concrete. Capital grants can encourage municipalities to build assets they cannot afford to operate. Results-based finance can reverse the incentive by rewarding service reliability, collections and asset management. The appropriate metric is household-years of reliable service per public dollar, not kilometres of pipe installed.

Transport and household affordability

A peripheral home can be cheap because the household pays the missing land value in time and fares. The correct household budget is rent or mortgage plus utilities plus transport plus expected maintenance and climate loss. Location changes every term.

This creates a coordination rule: large affordable-housing sites should pass a job-access test before public money is committed. Measure the number of jobs reachable within 45 and 60 minutes by the modes low-income residents actually use, at peak times, and include fares. A proposed transport line counts only when funding and delivery are credible.

Transport investment can itself raise land prices and displace the households it was meant to connect. Preserve affordable floor space around stations before or alongside the investment, through public land, inclusion rules, social rental, land acquisition, or value-capture agreements. Waiting until the station opens means buying back the value the public sector just created.

Digital infrastructure records

Infrastructure suffers from fragmented information. Housing agencies know planned units; utilities know networks; land agencies know parcels; transport agencies know routes; municipalities know permits. These datasets often do not meet. The result is a coordination failure disguised as a construction delay.

A shared geospatial operating picture can connect parcel, development-right, network-capacity, hazard and project data. Satellite imagery and AI can detect growth before official maps catch up. Digital twins can test network loads. Smart meters can reveal losses. Mobile payments can improve collections. Remote sensing can verify whether roads and drains were built where contracts say they were.

Apply the five tests. Constraint: does the tool reduce uncertainty about demand, capacity, delivery or maintenance? Magnitude: how many months, outages or dollars does it save? Capture: does the gain lower household cost, improve utility finances or raise land value? Power: who gains the ability to see informal occupation, arrears or unauthorized connections? Risk: can visibility trigger eviction, disconnection or selective enforcement?

The best digital system is therefore a decision system rather than a map. It should answer: where can 10,000 additional low-income households be accommodated at the lowest combined cost of land, networks and transport; what investments are required; which agency owns each action; and when will capacity become available?

Sequencing infrastructure and subsidies

Use affordable service standards and settlement-sensitive street widths; test whether charges displace renters or small businesses. Identify tariffs, transfers and renewal contributions separately from the construction grant.

The municipality and utility must inspect, repair and renew assets; grant verification should check service outcomes rather than paperwork alone. Track service uptime, flood interruption, travel time, total household bills, maintenance spending and retention of original residents.

Housing programs often reverse the efficient sequence. They announce beneficiary numbers, identify remote public land, design units, and then discover that trunk infrastructure is missing. The subsidy expands to pay for roads and utilities; the location remains poor; the project becomes expensive despite cheap land.

A better sequence starts with access and network capacity. Identify places where jobs, land and infrastructure can be coordinated. Reserve or assemble land before the public investment capitalizes into prices. Set density high enough to spread network costs. Agree who funds trunk and local systems. Put operations and maintenance on a funded footing. Then choose tenure, subsidy and finance.

This sequence also protects public balance sheets. It reveals when a 'cheap' public parcel is expensive after trunk infrastructure and transport are counted. It exposes when a private developer is asking the state to socialize site costs. It makes value capture possible before land prices incorporate the public investment.

Serviced neighbourhood assessment

Gate	Question	Metric / decision
1 Access	Can low-income residents reach opportunity?	Jobs within 45/60 min + fare/time burden
2 Trunk capacity	What bulk investment is required?	Water, sewer, drainage, power, roads/transit headroom
3 Local networks	Who funds on-site and neighborhood works?	Cost per serviced parcel / legal m²
4 Density	Is infrastructure being used efficiently?	Households or floor area per network kilometre
5 Timing	Will services arrive before occupancy?	Critical-path dates by agency
6 Incidence	Who ultimately pays?	Taxes, tariffs, developer charge, land value, household price

Gate	Question	Metric / decision
7 Value capture	Who receives the uplift?	Pre/post land value; public recovery share
8 O&M;	Who keeps the service working?	Collection, losses, maintenance plan, replacement reserve
9 Informality	Will service delivery displace residents?	Tenure/tenant map + safeguards
10 Politics	Who can block or redirect investment?	Actor-rent-veto-coalition map
11 Digital power	What new visibility is created?	Data rights, purpose limits, appeal, enforcement protocol
12 Outcome	Did infrastructure create affordable access?	Housing+utilities+transport cost; service reliability; occupancy

Investment criteria

Do not call land affordable until the cost of making it habitable and accessible has been counted. Compare sites on the full public-and-household cost: land + trunk infrastructure + local networks + operations + transport. Capture part of infrastructure-created land value where feasible. Fund maintenance before expansion. If a remote site is cheap only because the household will pay through time, unreliable service and transport, reject the site.

Evidence and limitations

Evidence in this chapter includes Ethiopia's program outputs and municipal results; Ahmedabad's documented land-readjustment experience; Amaravati's current land-pooling and infrastructure program; and South Africa's current metro-service and infrastructure-finance reforms. These sources establish scale, institutional design and observed delivery. They do not prove that every reported job, land-value increase or service improvement was caused solely by the cited program.

The serviced-square-metre framework, the sequencing rule and the Serviced Neighborhood Test are judgments derived from urban economics and operational experience. They should be populated with local engineering costs, land values, travel-time data, utility financials and household expenditure before project decisions.

What transfers?

Worked because	capital tied to delivery capability; clear asset ownership; reliable operating finance; access for repair crews
Failed when	handover without a budget; unclear service boundaries; population growth beyond design capacity; inaccessible or unsafe maintenance conditions
Do not copy	a performance-grant formula without verification capacity
Transfer instead	fund the agency responsible for service over the asset life and verify what residents actually receive
Scale test	Model the cumulative utility load and replacement bill for 50,000 homes. Replicating a 500-home layout does not replicate bulk-water capacity.

Sources and evidence notes

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4. Construction costs and productivity

Components of housing cost

Cheaper materials and faster building methods can lower housing costs. Their effect on affordability depends on their share of total cost, whether savings reach households and whether the method can be used reliably at scale.

CAHF's cross-country work makes the arithmetic visible. For a typical 55-square-metre house, materials and labour have accounted for about 45 percent of total cost in its benchmarking, while infrastructure has contributed around 14 percent. The shares vary sharply by country and city. Older city-level benchmarks found construction near 40 percent of total development cost in Nairobi and Kampala, while it exceeded 60 percent in some other markets. Land, infrastructure, statutory compliance, finance, holding costs, taxes and marketing fill the rest.

This yields a simple rule. If construction is 40 percent of the delivered price and a new method cuts construction cost by 20 percent, the maximum direct saving on the home is 8 percent. That assumes full pass-through. If landowners capture some gain through higher land prices, developers retain it as margin, or the method requires expensive finance, the buyer sees less.

The relevant policy calculation is therefore: cost share x feasible reduction x pass-through x probability of scale. A spectacular percentage reduction in a small component can matter less than a modest reduction in approval time or finance cost.

Construction inputs and productivity

A finished home is the output of several linked production systems. Materials must be made or imported. Contractors need labour, equipment and working capital. Designs must satisfy codes. Developers must hold land while approvals proceed. Banks or investors must finance the interval between spending and sale. Utilities must connect the site. Buyers must trust the product enough to purchase it.

A change in one link alters the economics of the others. Prefabrication can shorten site time and reduce defects, which lowers financing cost. It can also require a factory whose fixed cost becomes punitive when the project pipeline is irregular. A local earth block can cut transport and embodied carbon, while a bank valuer may refuse to recognize it. A standard design can speed approval while making later household extension harder.

The production system therefore has three kinds of scale. Product scale means repeating a design. Firm scale means spreading overhead and equipment across many projects. Market scale means having enough suppliers, contractors, lenders, inspectors and buyers that the technology no longer depends on one champion. Public pilots often achieve the first and mistake it for the third.

Institutional differences in African construction costs

CAHF's comparative work shows extraordinary variation in the cost of a standardized house across African cities. Its early bill-of-quantities exercise priced the same specification from under US$30,000 in Dar es Salaam to more than US$60,000 in Nairobi. Labour accounted for more than one-third of construction value in some high-cost markets and more than half of the construction component in Nigeria. Finance and holding costs were especially high in Maputo; sales taxes were unusually high in Nairobi.

The result is conceptually important. There is no African construction-cost coefficient. The same physical object passes through different labour markets, tax systems, logistics chains, approval regimes and financing systems. Policy has to explain the variance before choosing the remedy.

Rwanda illustrates the logistics channel. World Bank analysis estimated that import taxes plus transport and logistics could raise construction-material prices by as much as 43 percent. Benchmark housing costs were about 30 percent higher than in South Africa, with building and infrastructure costs important contributors. The analysis identified alternatives such as autoclaved aerated concrete, compressed stabilized earth blocks and modern clay products, while stressing that scale remained limited.

A locally made material can lower transport cost and foreign-exchange exposure. It can also collide with standards written for incumbent products, contractors trained in another system, and lenders who prefer familiar collateral. The technical substitution is only the first step. Market adoption requires a coalition.

Construction cost monitoring in Kenya

A recent Huruma upgrading pilot in Nairobi shows the value of granular cost measurement. The cited case account reports construction costs of KSh2.85 million for four pilot units and KSh717,485 per two-bedroom unit, alongside KSh16,491 per square metre as of December 2024. The first two figures do not reconcile exactly: KSh2.85 million divided by four is KSh712,500. The difference in cost scope or rounding remains unresolved, so these figures should not be used as a reconciled tender benchmark. [3,201] Interior works - plumbing, plastering, windows, doors, electrical works and kitchen slabs - represented 29 percent of construction cost. Masonry walls on the two main floors together represented 17 percent.

That decomposition disciplines innovation. A technology that halves masonry cost would still leave most of the bill untouched. A design that simplifies wet services, reduces finishing cost or improves procurement may produce a larger total saving. The pilot also illustrates why cost databases matter: governments cannot manage what they record only as a final contract price.

The same principle applies to Kenya's wider affordable-housing push. Large pipelines can create economies of scale in materials and contracting, yet they also create procurement rents and concentration risk. If a small group of developers or suppliers wins repeated packages, scale economies can become market power. Procurement should therefore publish unit-cost benchmarks, bidder concentration, variation orders, delivery times and defect rates.

Construction technology adoption in India

India has treated construction technology as an explicit policy field through the Global Housing Technology Challenge and the Light House Projects. Six demonstration projects in Chennai, Rajkot, Indore, Lucknow, Ranchi and Agartala have tested different industrialized and alternative systems. The public sector plays the role of first buyer: it creates reference projects, gives regulators experience with unfamiliar systems, and lets engineers observe construction and performance.

Evaluation should continue after a demonstration project. Assess whether developers adopt the system without a special grant, local suppliers can support it, contractors can repair it, and lenders, insurers, and households accept it. Cost comparisons must include transport, royalties, factory utilisation, and financing.

Tamil Nadu offers a broader institutional example. Between 2020 and 2025, a World Bank-supported housing and habitat program delivered roughly 15,000 affordable homes through public-private market interventions, including a state-sponsored investment fund. Units used resilient-design standards and received green certification. Parallel reforms included faster planning permissions, mixed-income approaches, private-sector participation, housing finance for poorer households and stronger resident roles in upkeep.

The lesson is that construction technology travels farther when embedded in a market reform. A green building standard can lower lifecycle cost. A faster permit lowers holding cost. An investment fund expands developer capital. Resident responsibility affects maintenance. The dwelling is one node in a system.

Demand and industrialised construction

Prefabrication, precast concrete, modular systems and digital fabrication can move work from an uncertain site to a controlled production environment. In principle they reduce waste, improve dimensional accuracy, shorten site time and reduce defects. Their fixed costs create the central economic condition: utilization.

Imagine a factory sized for 5,000 units a year. If procurement delivers 5,000 predictable orders, fixed costs are spread widely and suppliers can invest. If public budgets release 800 units one year and none the next, the same factory becomes an expensive warehouse. Stop-start public procurement can destroy the economics of the technology it is trying to promote.

This creates a role for the state that differs from subsidy. Government can publish a multi-year pipeline, standardize performance specifications, pre-approve systems, and aggregate demand across agencies. It can also avoid locking the market to a single proprietary system. Open interfaces, multiple qualified suppliers and performance-based codes matter for competition.

Speed has a financial value. A shorter construction cycle reduces interest during construction and returns developer equity sooner. Where finance is expensive, time savings may be more valuable than material savings. The pro forma should price both.

Huruma's cost accounting does not establish the economics of industrial production. The UK House of Lords inquiry documented the collapse of Ilke Homes and House by Urban Splash and the closure of L&G's modular operation. Witnesses cited insufficient orders and wider business and economic problems. These are different technologies and markets, not a matched comparison with Huruma. They show why factory utilisation, financing and all-in delivery cost need testing before a government commits to scale. [3,114]

Developer returns and cost savings

Developers are often described as builders. Economically, they are coordinators who bear residual risk. They assemble land, permissions, finance, design, contractors, utilities and buyers before knowing exactly what the finished units will sell for. Their margin compensates for that risk and for the capital tied up during the process.

This explains why an apparently cheap technology may be rejected. A developer may prefer a familiar system that costs 5 percent more if contractors, banks, valuers, buyers and building officials understand it. The expected value of fewer delays and lower tail risk can exceed the headline saving.

For affordable housing, the policy goal is therefore to reduce risk that serves no public purpose: uncertain approval time, unclear title, unpredictable connection dates, arbitrary standards, slow inspections and volatile subsidy payments. Lowering these risks can reduce the return a developer requires and widen the set of viable projects.

Competition then determines incidence. In a constrained market with scarce development rights, a cost reduction can capitalize into land. In a competitive supply market, developers have stronger incentives to pass savings to buyers. The same construction innovation can therefore produce different affordability outcomes in two cities.

Households, builders, and small landlords

Most low-income housing in Africa and much of India is not produced by large formal developers. Households build a room, then a second room, then a floor. Small landlords add rental units. Local masons and micro-contractors supply labour. Savings and remittances finance stages. The building may take years to complete.

This production system sacrifices speed for flexibility. It matches volatile household cash flow. It avoids a large mortgage. It can adapt the dwelling to a shop, workshop or rental room. Its weaknesses are equally clear: households buy materials at retail prices, technical advice is weak, work stops when cash runs out, and hidden structural defects can accumulate.

A serious affordable-housing strategy should improve this system rather than pretend it does not exist. Accredited mason networks, standard structural designs, bulk-purchase platforms, staged construction loans, digital bills of quantities and milestone inspections can bring scale economies to decentralized production. Regulation should focus first on structure, fire, sanitation, drainage and electrical safety.

This is also a jobs strategy. Industrialized construction can reduce some site labour; incremental construction sustains large networks of local trades. The correct comparison includes productivity, wages, skills, safety and total housing output, rather than maximizing construction employment per house.

Safety standards and affordability

A building code defines the minimum legal home. Raise the minimum and safety or quality can improve. Raise it beyond household purchasing power and the legal market can disappear for the poor. The result is a dual city: formal compliance for higher-income development and informal construction for everyone else.

The answer is risk-based regulation. Structural stability, fire escape, sanitation, drainage, electrical safety and hazard exposure justify hard minimums because failure harms occupants and neighbors. Finishes, room dimensions, parking and some amenity standards deserve a separate affordability test. Performance-based rules can allow a new material to prove that it meets the safety outcome without copying the incumbent construction method.

Standards also create rents. Material producers can lobby for specifications that favor their products. Professional bodies can favor processes that require more professional inputs. Officials can prefer detailed discretion because it increases control. A reform should publish the evidence behind each costly requirement and create a transparent path for equivalent performance.

Carbon, resilience, and lifetime costs

A cheap house can be expensive to occupy. Poor thermal design raises cooling cost and heat exposure. Weak drainage destroys household assets. Cheap roofing fails in storms. Materials that cannot be repaired locally raise future maintenance cost. The household's relevant price is the present value of shelter services over time.

Tamil Nadu's recent program shows how affordability and resilience can be joined. Its affordable housing adopted resilient design and green certification while reforms promoted mixed-income development and community responsibility for upkeep. The important metric is monthly housing service cost: rent or debt service plus energy, water, transport, expected maintenance and expected climate loss.

This can reverse rankings. A unit that costs 5 percent more to build may be cheaper over twenty years if it sharply reduces energy and repair bills. A green premium that households cannot finance upfront still needs a financing instrument. Lifecycle efficiency and liquidity have to be solved together.

Interests in the construction supply chain

Actor	Gain / rent	Veto point	Narrative	Feasible reform
Cement/steel producer	Price, market share, tariff protection	Standards, lobbying, distribution	Jobs and quality	Competition + transition support + performance standards
Large developer	Margin, speed, risk reduction	Can change segment/location	Affordable projects do not pencil	Serviced land + predictable approvals + competitive pipeline
Small builder/mason	Work and cash flow	Can remain informal	Formal rules cost too much	Simple code + training + staged finance
Contractor	Equipment and workforce utilization	Bids, claims, adoption	New systems are risky	Multi-year pipeline + training + shared performance risk
Professional body	Fees, liability, professional control	Codes and approvals	Safety	Risk-based rules + open equivalence path
Municipality	Safety, fees, enforcement power	Permits and inspections	Capacity constraints	Digital permit clock + standard designs + risk inspection
Household	Low monthly cost, adaptability	Purchase/acceptance	I need a home I can extend	Lifecycle cost + incremental design
Politician	Visible units, jobs, contracts	Budget/procurement	New technology will solve shortage	Publish total unit economics + post-occupancy evidence

Construction technology is politically attractive because it can promise a visible answer without redistributing land rents. A minister can inaugurate a factory or a demonstration block. Reforming land allocation, zoning, property tax or rent regulation creates immediate losers. This political asymmetry helps explain why governments repeatedly reach for novel construction systems even when land, infrastructure or finance is the binding constraint.

Industrial policy adds another coalition. Tariffs on cement or steel can protect domestic jobs and firms while raising housing cost. Import liberalization can lower input prices while exposing local producers. Local-content mandates can build a supply chain or create protected rents. The housing ministry rarely controls these choices; trade and industry ministries may value different outcomes.

Technically sound reform fails when it threatens a concentrated rent without creating a counter-coalition. The feasible sequence is often to make cost data public, demonstrate an alternative at meaningful scale, certify several competing suppliers, retrain workers and contractors, then remove protection or obsolete standards gradually. Consumers alone are usually too dispersed to defeat an organized incumbent industry.

A low factory-gate price is insufficient if transport, land or building form confines cheaper homes to remote sites.

Public procurement and market development

Compare locally available labour and materials, site access, climate and household extension needs before choosing a system. Publish the cost and duration of purchase guarantees; avoid indefinite subsidy to unused capacity.

The procurer must verify quantities, structural performance and defects, and retain the ability to procure alternatives. Track comparable all-in cost per usable square metre, delivery time, defects, energy and maintenance bills, and household access to jobs.

Government is often the largest single buyer of low-cost housing. Procurement therefore shapes the construction industry. Lowest-price tendering can reward unrealistic bids followed by claims and variation orders. Highly prescriptive specifications can freeze incumbent technologies. Giant packages can exclude small firms. Tiny annual packages can prevent industrial investment.

A better procurement design buys performance: delivered cost, time, structural and fire safety, energy performance, defect rate, maintainability and adaptability. Bidders can choose the means. Framework contracts or multi-year pipelines can create demand certainty while keeping several suppliers in competition. Open cost data make collusion and drift easier to detect.

Public-private partnerships add financing and delivery capacity, yet they do not make costs disappear. Private capital prices land risk, approval risk, demand risk and government-payment risk. Transfer a risk the private party cannot control and the bid price rises. The contract should allocate each risk to the actor best able to manage it.

Construction finance

Construction finance is a bridge between expenditure today and sale or rent tomorrow. Its cost rises with time and uncertainty. A two-year approval delay before construction can be as economically important as an expensive material. A six-month reduction in build time matters most where interest rates and required equity returns are high.

Small builders face a different gap. They need working capital in thousands of dollars, not project finance in millions. Banks often cannot underwrite an incomplete structure on weak title. Supplier credit, micro-construction loans, savings-linked finance and milestone disbursement can fit the production cycle better.

Capital markets enter further upstream. Long-term finance can fund rental portfolios, factories, warehouses and developer pipelines. Yet finance amplifies the underlying economics. Cheap capital for an uncompetitive supplier or an unviable project postpones the loss; it does not remove it.

AI and digital construction tools

Construction produces repetitive information: drawings, bills of quantities, schedules, procurement records, site photographs, inspection reports, invoices, defects and change orders. This is fertile ground for digital tools and AI because the gains can be measured.

A government can compare material quantities per square metre across designs, flag bids that diverge from benchmark costs, predict schedule slippage from project histories, use computer vision to verify progress, detect clashes in digital models, and analyze variation orders for patterns. A small contractor can generate a bill of quantities from a standard design and receive a staged loan against verified milestones.

Apply the five tests. Constraint: does the tool reduce design error, information asymmetry, procurement leakage, inspection cost or delay? Magnitude: how many dollars, defects or days disappear? Capture: does the household receive the saving? Power: does a platform owner gain control over contractors, cost data or access to public work? Risk: can opaque scoring exclude small firms, proprietary formats create lock-in, or automated inspection miss hidden defects?

The first digital priority is often a public cost observatory. Track land, infrastructure, materials, labour, approval time, finance, taxes, developer margin, change orders and defects by project. A government that cannot explain why two similar homes cost 30 percent different amounts is not ready to automate procurement.

Construction technology assessment

Gate	Question	Metric / decision
1 Total delivered cost	What does the serviced, completed home cost?	Land + infrastructure + approvals + build + finance + taxes + margin
2 Cost share	Which component does the innovation change?	Component as % of total cost
3 Magnitude	How much does it change that component?	Audited counterfactual, not vendor claim
4 Time	Does it shorten approvals/build?	Months saved x cost of capital
5 Pass-through	Who receives the gain?	Buyer/renter price vs land value/developer margin
6 Scale	Can it work beyond a pilot?	Supplier depth, pipeline, utilization, competition
7 Finance	Will lenders fund it?	Valuation, collateral, construction finance terms
8 Standards	Can it obtain approval predictably?	Performance-code route and inspection capacity
9 Adaptability/O&M;	Can households repair and extend it?	Local skills, spares, lifecycle cost
10 Jobs	What happens to labour demand and skill?	Output per worker, wage, safety, transition plan
11 Politics	Who loses rent if it scales?	Actor-rent-veto-coalition map
12 Household outcome	Did shelter become cheaper?	Housing + energy + transport + maintenance / income

Investment criteria

Never subsidize a construction technology from its headline saving. Rebuild the entire developer and household cost stack with and without the technology. Price time, finance, infrastructure, maintenance and adaptation. Test the result at scale. Then ask who captures the gain. If construction cost falls while the household price barely moves, the technology has revealed the next constraint; attack that constraint rather than increasing the subsidy.

Evidence and limitations

The cost shares, African cross-country comparisons, Rwanda logistics estimates, Huruma pilot costs and Tamil Nadu results in this chapter come from the public sources listed below. Several construction-cost benchmarks are snapshots from different years and should not be used as current tender prices. They establish mechanisms and variation rather than a current ranking of cities.

The cost-share x reduction x pass-through x scale rule, the political-economy map and the breakthrough-technology test are judgments derived from these data and from developer economics. For an actual project, they require current bills of quantities, land and infrastructure costs, financing terms, approval times, sales or rental evidence, and post-occupancy performance.

What transfers?

Worked because	a funded repeat-order pipeline; standardised but adaptable designs; reliable logistics; local repair and quality-control capability
Failed when	intermittent orders; large fixed factory costs; approval or warranty obstacles; transport and finance costs omitted from quotations
Do not copy	a demonstration building or proprietary factory system
Transfer instead	pay for verified productivity and lifecycle performance under a commercially credible demand pipeline
Scale test	Test tenfold volume and a demand shortfall together. Include factory failure, spare-part supply and the cost of switching contractors.

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5. Tenure, rental housing, and ownership

Tenure, mobility, and household finances

Tenure determines who can occupy a home, on what terms and with what rights. It affects mobility, wealth exposure, maintenance incentives, access to credit, political voice and the ability to absorb a shock.

Ownership bundles shelter with an asset. The household supplies equity, often takes debt, bears repair costs and gains or loses with the property's value. Rental unbundles shelter from the asset. The tenant buys use for a period; the landlord holds the capital and residual property risk. Social rental adds a public subsidy and an institution charged with preserving affordability. Informal rental strips away some formal protections while often achieving a price and location that formal markets cannot match.

The right question is therefore not which tenure is morally superior. It is which allocation of risk fits the household and the city. A young migrant with uncertain work may value a room near jobs more than an asset on the fringe. A stable family planning to stay twenty years may rationally prefer ownership. An elderly low-income household may value security of tenure and predictable costs above both mobility and capital gain.

The policy preference for ownership

Homeownership has three political advantages. It produces a visible asset, turns a subsidy into something the recipient can point to, and creates a constituency with a direct interest in property values. Governments can count units and titles. New ownership units give elected officials a visible result. Banks gain borrowers. Developers gain buyers. Landowners gain demand.

Rental produces a quieter benefit: a flow of housing services. Its success is measured by years of decent occupancy, rent collection, repairs and access to jobs. These outcomes are harder to photograph and depend on competent management long after construction. This difference in political visibility helps explain why ownership programs receive attention even in cities where poor households overwhelmingly rent.

The bias can become self-reinforcing. Subsidized ownership expands the owner class. Owners then have reason to resist new supply that may lower scarcity rents or change neighborhood composition. Planning becomes harder. Prices rise. Governments answer with larger buyer subsidies. Public policy can end up chasing the price pressure created by restricted supply.

Mortgage subsidies, tax preferences, discounted public land, and infrastructure support often favour owners. Renters receive fewer asset-linked benefits. Assess the distribution of support by identifying who qualifies, who can wait for allocation, and who receives the resulting land-value gains.

Rental housing in African cities

In many fast-growing African cities, low-income households have settled the tenure question for themselves: they rent. A World Bank review of Nairobi's slums found that 92 percent of residents were rent-paying tenants. The same work described a striking combination - poor services and high rents - because landlords could monetize scarce, well-located shelter even when water and electricity connections were weak.

This changes the object of policy. Slum upgrading that assumes residents are owner-occupiers can transfer public value to structure owners while tenants pay higher rents. Tenure regularization that recognizes only

one claimant can erase subtenants, room renters and informal commercial users. Compensation tied to title can make the poorest households invisible.

Kenya's 2023/24 Housing Survey provides a contemporary base for this debate. It was designed to measure tenure, affordability and housing conditions across all 47 counties. The core policy implication is methodological as much as statistical: rental markets should be measured as carefully as mortgage markets - rents, deposits, vacancy, lease length, landlord type, utilities, arrears, eviction, and the cost of moving.

Small landlords are central because they can produce units that large developers rarely can. They already control a parcel. They add a room or floor when cash permits. They know the local tenant market. They can accept a lower absolute return because the investment is incremental. They also operate with weak finance, weak safety oversight and weak tenant protection.

Small landlords as housing producers

The small landlord solves several coordination problems by internalizing them. Land acquisition has already happened. Design is simple. Construction is staged. Marketing occurs through local networks. Management is on site or nearby. A household may finance an extra room from savings, remittances or a rotating savings group and recover the investment through rent.

Formal policy can improve this production system without converting every landlord into a corporation. Cities can publish pre-approved designs for room additions and backyard units; utilities can offer bulk or simplified connections; lenders can make small construction loans against staged inspections; building departments can focus on structure, fire, sanitation, drainage and electrical safety.

The incidence test is essential. Suppose a public program pays for sanitation, drainage and structural improvement in a rental settlement. The asset becomes more valuable. If supply remains fixed and tenants have little bargaining power, the landlord can capture part of the subsidy through higher rent. Tenant protection and additional supply must therefore accompany upgrading.

This is a general rule for housing subsidies: follow the rent. The nominal recipient of a subsidy may differ from the economic beneficiary. A tenant grant can flow to a landlord if supply is inelastic. A landlord construction subsidy can benefit tenants if it expands competitive supply. Incidence depends on market response.

Relocation costs in India

India provides unusually strong causal evidence on the value of location. In Ahmedabad, a randomized housing lottery offered slum households improved subsidized homes on the urban periphery. Fourteen years later, winners had better physical housing farther from the center, yet family income and human capital had not improved. Winners were more isolated from family and caste networks and had less access to informal insurance. Thirty-four percent never moved into the subsidized housing; another 32 percent eventually left.

Those exit rates are an economic verdict. Households were offered a valuable physical asset and many declined or abandoned it because the full package was unattractive. Commuting, jobs, customers, schools, kin, credit and informal insurance were embedded in the old location. The project changed the house and simultaneously destroyed some location-specific capital.

The lesson is wider than relocation. Housing policy often prices land and construction while treating social networks as free. For poor households, networks can substitute for formal insurance, childcare, job search and credit. Their value can be large precisely because formal markets are weak.

This does not imply that every household should remain in every settlement. Floodways, unstable slopes, railway reserves and toxic sites can make relocation necessary. The point is to price the loss. A relocation

package should measure job access, transport cost, school continuity, network disruption and the ability to rent or sell the new unit. Otherwise a housing ministry can report success while households quietly exit.

Discrimination in housing access

Housing markets allocate neighborhoods as well as dwellings. Landlords screen tenants. Owners form associations. brokers steer households. Lenders price risk. Planning rules sort by income through minimum lot sizes, parking requirements and limits on apartments. In India, caste and religion can affect access to rental and ownership markets. In South Africa, the geography of apartheid still shapes distance to economic opportunity. In both settings, income alone cannot explain residential sorting.

A cash voucher does little when the household cannot find a landlord willing to rent to it. A formal title does little when the neighborhood remains disconnected from jobs. A social housing project can improve inclusion when it places lower-income households in high-opportunity areas, yet that same location can trigger resistance from incumbent owners.

This is where NIMBY and YIMBY politics meet the developing-city problem. Incumbent residents have a clear address, vote and asset to protect. Future residents are dispersed and often unknown. Developers are organized but may seek high-margin supply rather than low-income housing. The coalition for inclusion therefore needs employers, transit agencies, younger households, renters and citywide fiscal interests.

Rental policy in India

The COVID-19 migration shock exposed a gap in India's ownership-heavy housing system. The Affordable Rental Housing Complexes framework was designed for urban migrants and poor households who often choose informal settlements or peripheral areas to keep housing costs near work.

The program uses two channels: convert existing government-funded vacant housing into rental complexes, and allow public or private entities to build, operate and maintain rental housing on their own land. The architecture matters because it recognizes that affordable rental is an operating business. The asset must be managed, maintained and re-let for years.

PMAY-U 2.0 has carried rental forward as a distinct Affordable Rental Housing vertical. As of April 15, 2026, the broader PMAY-U 2.0 program had sanctioned more than 1.361 million homes, while the ministry continued to promote affordable rental for migrants, homeless people, industrial workers, working women, construction workers and other vulnerable groups. The ministry also emphasized locating partnership housing near mass transit and within cities.

The key financial question remains unresolved by construction alone: what rent can the target household pay, and can that rent cover management, maintenance, vacancy, utilities, debt and replacement reserves after the capital subsidy? If the answer is no, the program needs an explicit operating subsidy or a deeper capital write-down. Hidden O&M; gaps eventually appear as deteriorating buildings.

Rental housing and spatial inclusion in South Africa

South Africa's social housing program is unusually explicit about location. Social rental projects are targeted to restructuring zones and well-serviced areas of economic activity. The state uses a capital grant to make the project viable for lower-income tenants, while accredited social housing institutions and other delivery agents manage the stock.

The current SHRA investment model shows the size of the public role. Its published material reports an average unit cost around R426,000 including land and bulk services, with a large capital grant covering much of the project cost. Current capital-investment guidance also varies the grant with the share of units allocated to the primary low-income target market. The design recognizes a basic truth: a well-located rental asset serving poor households often cannot be financed from target rents alone.

This makes management quality the scarce input. Social housing institutions must collect rent, handle arrears, select tenants, maintain common areas, repair buildings, manage security and preserve the income mix. SHRA accredits and regulates institutions and projects, tying grant access to institutional capability.

The model also reveals a distributional boundary. Eligibility requires the ability to pay rent. The poorest households may still fall below the social-housing market. Social rental can bridge a large gap between informal renting and market housing, while deeper poverty requires income support, public housing, shelter assistance or other instruments.

Rent regulation and housing supply

Tenants invest in place. They learn a commute, build local networks, place children in schools and find nearby work. A sudden rent increase can destroy those investments. Rent regulation therefore answers a real insurance problem.

A San Francisco quasi-experiment found that rent control increased covered tenants' probability of remaining at their address by nearly 20% relative to the comparison group. Affected landlords reduced their rental supply by about 15%; this is not a 15% fall in the city's entire rental stock. The authors' structural model estimated a 5.1% increase in citywide market rents from the supply response. The local treatment estimates and the model-based citywide result are different kinds of evidence. [9,109]

The mechanism matters more than the city. A price rule changes the return to supplying, maintaining or converting rental property. Where landlords can withdraw units, shift to owner occupation or avoid new construction, strict controls can shrink the regulated stock. Where supply is fixed for other reasons, tenant protection may have smaller quantity effects but larger allocation effects.

A better design often separates insurance from supply. Longer leases, predictable indexation, eviction due process, targeted housing allowances and temporary hardship support can protect tenants while preserving an investable rental sector. Where stronger controls are needed, governments should track conversions, maintenance, vacancy, new construction and rents in uncontrolled units.

The San Francisco result applies to its particular rules and landlords' options. It supports separating protection against income and rent shocks from the return needed to maintain and add rental homes. Before adapting the instrument, establish whether owners can convert or withdraw units, which tenants receive protection, and what options remain for newcomers. [109]

When ownership suits household needs

Ownership can be a powerful instrument for households with stable income and a long horizon. Mortgage amortization turns payments into equity. A paid-off home can reduce housing costs in old age. The household gains control over alterations and can use the property for a business or rental room. In markets with secure title and liquid resale, the asset can store wealth.

The risks are equally real. A household can become overleveraged. A peripheral home can trap workers far from changing jobs. Climate risk can destroy an uninsured asset. A weak condominium association can leave common infrastructure unfunded. Title can be secure while resale demand is weak. Homeownership concentrates household wealth in one neighborhood and one local economy.

Ownership subsidies should therefore be tested against a rental counterfactual. Compare the present value of down payment, debt service, maintenance, taxes, transaction costs, insurance and transport with the cost of renting an equivalent location. Include the value of mobility. A mortgage payment alone is an incomplete comparison.

Incremental ownership

Between renting and a finished mortgaged house lies a large space of incremental tenure. A household may acquire a plot, occupy a core unit, add rooms over time, rent part of the structure, formalize tenure gradually and connect to services in stages. This pattern is common because household income is volatile and long-term mortgage credit is scarce.

Incrementality is financially rational when the alternative is waiting years for a complete formal product. It turns construction into a sequence of small options. The household can stop after a shock and restart later. A rental room can finance the next stage. The cost is slower completion and greater exposure to technical error.

Policy can improve the path through serviced plots, expandable core designs, clear building envelopes, staged title or occupancy rights, small construction loans and inspections at critical structural points. The aim is to make the informal production logic safer and more legible without imposing the full cost of a finished formal product on day one.

Distribution of upgrading benefits

An informal settlement is rarely a community of identical owner-occupiers. It contains tenants, structure owners, land claimants, shopkeepers, subtenants and brokers. Public investment changes the value of each claim. Drainage, roads, water and tenure security can raise rents and land prices.

This creates a distributional trap. In-situ upgrading preserves location and networks, which is often its greatest virtue. The same improvement can price out tenants. A title issued to a structure owner can strengthen the landlord's bargaining position. A compensation system that recognizes only owners can erase renters entirely.

Every upgrading project should therefore begin with a tenure census rather than a parcel map alone: who occupies, who owns the structure, who claims the land, who pays rent, who runs a business, and who would receive compensation? The project should then state explicitly how much of the public investment may be capitalized into private rents and what will protect tenants.

The feasible tools include temporary rent stabilization during works, additional rental supply, tenant relocation rights, return rights, compensation for documented tenants, and community land or lease structures where appropriate. None is free. The objective is to prevent the public subsidy from financing displacement.

Public land and housing services

Public land is one of the few tools that can permanently shape the location of low-income housing. Selling it at auction maximizes immediate fiscal revenue. Giving it away hides a subsidy. A long lease can preserve public ownership while exchanging land value for a stream of affordable housing.

The contract should make the subsidy visible. Price the land at market value, record the concession, specify the affordable-rent or income mix, require delivery milestones and maintenance standards, and define what happens at expiry. This converts a one-time land transfer into a measurable purchase of housing services.

The political temptation is to dispose of land before the public sees its future value. Transit, rezoning and infrastructure can create large uplifts. If government sells first and invests later, private buyers capture the gain. Reserving well-located land for rental or mixed-income housing before major public investment can be more valuable than a later cash subsidy.

Interests in tenure reform

Actor	What it seeks	Rent / exposure	Veto point	Coalition bargain
Tenant	Low rent, location, security	Rent shock, eviction, moving cost	Exit, protest, vote	Supply + due process + targeted support
Small landlord	Yield, asset value, simple rules	Compliance cost, credit constraint	Can stay informal / stop investing	Legal pathway + finance + minimum safety
Institutional landlord	Stable long-term yield	Regulatory and vacancy risk	Can shift capital	Predictable rules + targeted capital subsidy
Homeowner	Asset value, neighborhood control	Price decline / congestion fears	Planning hearings, elections	Infrastructure + citywide rules + credible design
Developer	Viable margin and absorption	Land, approval, sales/rent risk	Can change segment/location	Predictable rights + competition
Housing agency	Visible delivery, budget	O&M; and project failure	Project selection	Tenure-neutral outcome metrics
Informal broker	Control over access and claims	Patronage / information rent	Local networks, coercion	Transparent allocation + enforcement + local legitimacy
Future resident	Access to opportunity	Excluded by today's scarcity	Little present voice	Represent through citywide housing targets

Technically sound tenure reform fails because gains and losses arrive on different clocks. A future renter gains from more supply in five years; a protected tenant can lose next month. A city gains from density over decades; an incumbent homeowner sees construction outside the window tomorrow. A landlord faces an inspection cost now; the benefit of formal finance may remain uncertain.

Successful reform coalitions make the gains concrete and early. Small landlords receive finance and legal permission when safety rules tighten. Tenants receive due process before rent rules change. Municipalities receive infrastructure funding when density rises. Social housing institutions receive capital grants tied to long-term management. The sequence is part of the economics.

Narratives matter because housing is also identity. 'Property-owning democracy' frames ownership as citizenship. 'Protect the neighborhood' can encode class or racial exclusion. 'Slum clearance' can turn residents into a nuisance rather than workers with location-specific assets. 'World-class city' can legitimize displacement. Reformers should state the distributional choice in plain language: who will be able to live here after the reform?

Test who can enter protected neighbourhoods, not only who remains. Include migrants, young households and applicants facing discrimination.

Municipal finance and rental housing

A municipality bears the service cost of new residents: streets, drainage, waste, water interfaces, public space and local administration. The tax gain may accrue partly to national government. If local revenue does not rise with population or density, resistance to new rental housing can be fiscally rational.

This is especially important for well-located social rental. The metropolitan economy gains when workers live closer to jobs, while the host jurisdiction bears visible local costs. National or metropolitan transfers can compensate the locality and reduce exclusionary incentives. Property taxation can also turn added floor space into recurring local revenue.

The theory of change is direct: more legal rental floor space increases residents; residents increase service demand; predictable local revenue finances capacity; credible capacity reduces incumbent opposition; lower political resistance allows more supply. Break the fiscal link and planning politics harden.

Maintenance responsibilities under different tenures

Ownership transfers much routine maintenance to the household, though common property still requires collective institutions. Rental concentrates maintenance with the landlord. Social rental adds a public interest in preserving the asset. Each tenure therefore needs an operating model before construction begins.

For a rental project, calculate target rent, collection rate, vacancy, management cost, routine maintenance, major-repair reserve, utilities, insurance and debt service. Stress-test arrears and inflation. If the affordable rent cannot cover sustainable operations after the capital subsidy, write the operating subsidy into the fiscal plan. Deterioration is simply an unfunded liability arriving late.

For condominiums and subsidized ownership, the equivalent risk is the owners' association. Elevators, roofs, pumps, facades and common pipes eventually fail. A low-income owner who can afford the mortgage may not afford a large special assessment. Reserve funds and simple, enforceable governance are part of affordability.

Digital tenure records and resident protection

Rental and informal tenure are information-poor. Governments may not know who occupies a unit. Tenants may not know comparable rents. Lenders may not see a small landlord's cash flow. Owners may lack proof of regular payments.

Digital systems can reduce each information gap.

A digital lease can document rent and duration. Payment histories can support small-landlord or tenant underwriting. Geospatial data can identify new rental structures and service needs. Complaint systems can track unsafe buildings. AI can classify maintenance requests, flag discriminatory screening patterns and estimate market rents.

The five tests remain essential. Constraint: which information gap falls? Magnitude: does search time, vacancy, default or inspection cost change materially? Capture: does the gain lower rent, expand credit, or become platform margin? Power: who gains the ability to see informal occupancy, income and arrears? Risk: can data enable eviction, tax enforcement before legalization, or automated discrimination by caste, race, neighborhood or migration status?

Data rights therefore belong inside housing policy. Purpose limitation, correction rights, explainable decisions, audit trails and separation between service enrollment and punitive enforcement can determine whether digitization brings informal households into the city or makes them easier to remove.

Tenure policy assessment

Where tenancy is informal, begin with accessible contracts and dispute resolution. Do not require documentation that makes most tenants ineligible. Budget any public insurance explicitly and distinguish temporary income support from permanent rent subsidy.

Rent adjudication, building inspection and benefit administration must work together without requiring tenants to risk retaliation. Track tenant retention, new entrants, evictions, repair quality, rental-stock changes and total household cost by income group.

Gate	Question	Metric / decision
1 Income risk	How volatile is household income?	Monthly variance; shock buffer; informal/formal earnings
2 Duration	How long is the household likely to stay?	Expected years in city/neighborhood
3 Mobility value	What does moving preserve?	Job turnover, migration, household change
4 Entry cost	Can the household fund deposit/equity?	Cash required / liquid savings
5 Location	Does tenure preserve access to opportunity?	Jobs within 45/60 min; fare + time
6 Asset risk	Can the household bear ownership risk?	Title, hazard, resale liquidity, maintenance
7 Supply response	Who can add units?	Small landlord, developer, social landlord, household
8 Tenant power	Can renters enforce basic rights?	Lease, deposit, eviction, complaint mechanisms
9 Incidence	Who captures subsidy?	Tenant/owner/landlord/developer/landowner shares
10 O&M;	Who funds 20+ years of upkeep?	Collection, reserve, management, operating subsidy
11 Inclusion	Who is screened out?	Caste/race/class/gender/migrant outcomes
12 Fiscal fit	Does the city gain resources with residents?	Local revenue vs marginal service cost
13 Digital power	What new visibility is created?	Purpose, appeal, audit, enforcement boundaries
14 Outcome	Did life become more affordable?	Shelter + utilities + transport + maintenance / income; exit; job access

Investment criteria

Choose tenure by minimizing the household's total risk-adjusted cost of shelter and access. Compare ownership, market rental, social rental and incremental tenure at the same level of job access. Count entry cash, monthly payments, utilities, transport, maintenance, moving costs and asset risk. Then test subsidy incidence and the long-run operating model. If the program creates an affordable unit that the target household cannot afford to occupy, maintain or reach work from, change the tenure or location before increasing the subsidy.

Evidence and limitations

The quantitative evidence in this chapter comes from primary government sources, World Bank material and peer-reviewed or NBER research. The Ahmedabad lottery provides causal evidence on one relocation program; its magnitudes should not be mechanically transferred to other cities. The San Francisco rent-control study identifies a credible supply response in one regulatory setting; the mechanism should be tested against local landlord options and supply constraints before policy transfer.

The Tenure Portfolio Test, the political-economy map and the risk-allocation framing are judgments that synthesize the evidence. They are intended as decision tools. A city should populate them with household income panels, rent and vacancy data, job-access measures, landlord economics, local fiscal data and actual maintenance costs.

What transfers?

Worked because	clear protected tenancies; enforceable rights; credible administration; tenant knowledge of entitlements
Failed when	easy conversion out of rental use; inadequate maintenance revenue; exclusion of new entrants; protections limited to fortunate incumbents
Do not copy	a historic rent ceiling or blanket exemption
Transfer instead	design tenant insurance and sustainable rental returns as distinct obligations
Scale test	At national scale, quantify the fiscal cost of targeted support and monitor conversions, repairs and new supply outside the protected stock.

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6. Housing finance systems

Housing costs and the timing of income

A house costs many years of household income. Housing finance turns that stock cost into a stream of payments. This is its first and most important function. A bank, housing finance company, cooperative or microfinance institution advances capital now and recovers it over time. The household moves in before it has saved the full price.

That transformation can be powerful. Consider an illustrative US$10,000 loan. At 14 percent for 12 years, the monthly payment is about US$144. At 8 percent for 20 years, it falls to about US$84. A household able to devote US$90 a month to debt can borrow roughly US$6,260 at the first terms and US$10,760 at the second. Better tenor and cheaper capital expand borrowing capacity by about 72 percent in this example.

The same arithmetic exposes the boundary. If the cheapest adequate, well-located home costs US$20,000, a household with US$90 monthly debt capacity still faces a large resource gap. Extending the loan again may reduce the payment, yet it also lengthens exposure to job loss, interest-rate changes, property risk and maintenance. Finance can bridge timing, liquidity and some risk. It cannot repeal the underlying production cost.

The practical test is simple: calculate the cheapest adequate housing product first, then ask which financing friction keeps the household from reaching it. Starting with a mortgage product reverses the logic.

Five constraints on housing finance

Housing programs often use one diagnosis for very different problems. A resource gap exists when the household cannot afford the efficient cost of adequate shelter. A liquidity gap exists when lifetime affordability is adequate and the deposit or construction stage is too large. A term gap exists when lenders fund themselves short and cannot safely lend long. An information and credit-risk gap exists when lenders cannot observe informal income, collateral or repayment capacity at reasonable cost. A currency and rate-risk gap appears when long-term funds exist only in foreign currency or at rates households cannot absorb.

Each constraint has a different instrument. Capital grants address a resource gap. Savings matches, smaller deposits and staged construction loans address liquidity. Refinance companies and covered funding address term. Guarantees and better underwriting address credit risk. Local-currency capital markets address currency mismatch. Supply reform lowers the price that finance must cover.

A government that uses an interest subsidy against a land shortage increases purchasing power while leaving the scarce factor fixed. A government that creates a refinance company for households whose main problem is a down payment may lengthen tenor without creating a borrower. Diagnosis should precede instrument.

Mortgage markets and household access

A large mortgage market can reflect high incomes, secure property rights, low inflation, deep capital markets and abundant housing supply. A small mortgage market can reflect low incomes, informal work, expensive homes, weak title, shallow long-term funding or all of these at once. Raising mortgage-to-GDP is therefore a weak policy target on its own.

Kenya shows the distinction. The Central Bank of Kenya reported 30,762 residential mortgages at the end of 2025, with an outstanding value of KES 307.2 billion. The average loan was KES 10.0 million. Average mortgage rates were 13.5 percent and average maturity 11.5 years. The mortgage book remains

concentrated: nine institutions held 90.6 percent of lending. Non-performing mortgages were 16.3 percent of the gross mortgage portfolio.

Those figures describe a formal mortgage market that remains small relative to the number of urban households. A larger mortgage book can help middle-income borrowers and developers. Reaching lower incomes requires smaller loans, lower transaction costs, better information about irregular earnings, and housing products whose prices fit those earnings.

Mortgage refinancing in Kenya

The Kenya Mortgage Refinance Company was built to address the term and funding-cost problem. It borrows long and refinances primary lenders, which allows banks and SACCOs to extend longer, fixed-rate mortgages. The mechanism targets the liability side of the lender balance sheet: a lender with stable long-term funding can offer a borrower a longer repayment period with less maturity mismatch.

By December 2025, World Bank project documents report that KMRC had refinanced about KES 25.3 billion across 5,148 mortgages. Average repayment tenor increased from 8.3 years in 2021 to 12.3 years in 2025. Nearly 48 percent of refinanced mortgages went to women. SACCOs rose from 7 percent of the KMRC refinance portfolio in 2022 to 15.2 percent by end-2025.

These are meaningful changes in market plumbing. They also reveal the next constraint. The same World Bank assessment states that affordability remains binding for much of the low- and middle-income population and that lower-income and informal-sector households require products beyond conventional mortgage refinancing. Kenya has therefore added a Mortgage Guarantee Trust with EUR 4 million of initial capitalization to share credit losses on lending further down-market.

The current generation of reform also links finance to land. A World Bank operation signed in March 2026 combines US$210 million for mortgage refinancing with US$125 million for land administration reform and US$135 million for sustainable financing instruments. The operation addresses funding and land administration together; its results will depend on how these changes support viable housing supply.

Wholesale housing finance in Tanzania

Tanzania provides the clearest African case of a refinance institution changing market depth over time. The IDA-supported Tanzania Housing Finance Project created the Tanzania Mortgage Refinance Company and a Housing Microfinance Fund. The refinance company supplied medium- and long-term liquidity to mortgage lenders; the microfinance fund supplied medium-term liquidity for smaller incremental housing loans.

World Bank results report a seven-fold expansion in the housing finance market. Mortgage lending rose from TZS 77 billion in 2011 to TZS 508 billion in 2018. The number of financial institutions offering mortgages rose from four in 2010 to 33 by project close. Mortgage rates fell from above 21 percent to about 15 percent, while maximum tenors extended from roughly 10-15 years to 25-30 years. The project financed about 5,000 mortgages and 2,000 housing microfinance loans; women represented about 34 percent of beneficiaries.

The mechanism matters more than the headline. Public and concessional funds helped establish a new wholesale institution. The institution then gained access to domestic capital markets through bond issuance. IFC later invested in TMRC equity and bonds. The reform built a funding channel that could outlive the original credit line.

Tanzania also shows why one wholesale window is insufficient. The conventional mortgage serves a household that can document enough income and carry a long obligation. Housing microfinance fits households that build in stages. One market needs both.

These are programme-reported results, not a causal estimate of poverty reduction. Kenya's experience shows why the same funding channel may still leave informal earners unable to borrow. That limit does not mean refinancing failed at its liquidity objective. It means that income verification, repayment capacity and the cost of a suitable home require separate responses. Evaluate each product against the barrier it is intended to remove. [113] (See sources 1-3.)

Regional housing finance in West Africa

Eight WAEMU countries share a currency and regional capital market. That creates an opportunity a small national mortgage market cannot easily create alone. The regional mortgage refinancing company, CRRH-UEMOA, pools demand for long-term funding across lenders and countries.

A US$155 million IDA-supported regional project enabled more than 12,000 people to become homeowners and helped CRRH-UEMOA raise an additional US$385 million through regional and international bonds. World Bank reporting says 86 percent of beneficiaries were first-time mortgage borrowers and three-quarters were low- or middle-income. Almost 100 banks and microfinance institutions received support.

Regionalization changes two constraints at once. It creates enough scale for bond investors and lets smaller lenders access term funding. It also raises the importance of common underwriting standards, property law, servicing quality and data. A regional bond can pool funding; it cannot cure weak collateral at the loan level.

Lending to informal earners in India

India has a much deeper housing finance system and a distinctive problem: a large share of prospective borrowers earn income through self-employment and informal activity. Traditional salary-based underwriting misses households that may have stable cash flow without formal payroll documents.

National Housing Bank data show outstanding individual housing loans of about INR 36.07 lakh crore in March 2025. Housing finance companies held roughly 19 percent of this market. NHB reports that HFCs play a large role in smaller-ticket lending and informal-income assessment: around 45 percent of HFC housing loan portfolios were in loans up to INR 25 lakh in March 2025, compared with smaller shares for public and private banks.

Earlier World Bank support to NHB demonstrated the model. A low-income housing finance project refinanced about 15,000 mortgages by 2017; 82 percent went to borrowers working in the informal sector. The average beneficiary household earned about US$2,753 a year. The project helped a new class of affordable housing finance companies use field-based income assessment and smaller loans.

The institutional lesson is strong. Informal income is partly an information problem. Lenders can observe business turnover, residence stability, payment behavior, inventory, supplier relationships and household cash flow. The underwriting process costs money, so small-ticket lending needs operating systems that keep the cost per loan low.

Credit subsidies and housing supply in India

PMAY-U 2.0 uses an Interest Subsidy Scheme for households earning up to INR 9 lakh, on loans up to INR 25 lakh for homes priced up to INR 35 lakh. Eligible borrowers receive a 4 percent subsidy on the first INR 8 lakh for up to 12 years. The maximum actual subsidy release is INR 1.80 lakh, paid in five annual installments.

The household arithmetic can be material. The policy lowers debt service for a borrower already close to the ownership threshold. Eligibility still depends on access to a lender, an eligible property and enough residual income to service the rest of the loan. The poorest households remain outside the instrument when the property price is far above their payment capacity.

Supply conditions decide where part of the benefit lands. Global evidence shows that cheaper credit and interest subsidies can capitalize into house prices when housing supply is constrained. Swedish evidence found near-full capitalization of subsidized financing into asset values. U.S. evidence using conforming loan limits also finds that easier credit raises prices at the margin. The effect strengthens where new supply responds slowly.

This gives a hard rule for subsidy design: combine buyer finance with evidence that the relevant submarket can add homes. When the stock is fixed, a buyer subsidy can become a seller subsidy through the price.

Housing finance for middle-income households in South Africa

South Africa names the gap directly. First Home Finance targets first-time buyers earning R3,501 to R22,000 a month - households above the fully subsidized housing threshold and often below conventional mortgage qualification. A current Department of Human Settlements release reports close to R2 billion disbursed and more than 32,000 subsidy approvals since 2019, with about R10.6 billion in private investment leveraged.

The scheme can reduce a deposit or bond balance and can also support households building on serviced sites through approved builders. Its value lies in moving a household across a narrow affordability or liquidity threshold. The instrument weakens when the household remains far from bankable after the subsidy.

This is the core design question for every "gap market" program: does public money create an additional owner, or does it reduce the debt of a household that would have bought anyway? Programs should measure approval-to-purchase conversion, counterfactual access, default, resale and the income distribution of beneficiaries.

Microfinance for incremental housing

A conventional mortgage assumes a complete house, clear collateral and a long repayment stream. Low-income households often build in stages: foundation, one room, roof, second room, rental unit, services. Their financing need may be US$500 or US$3,000 at a time.

Housing microfinance matches this production path. Loans are smaller and shorter, underwriting can rely on household cash flow and social or business information, and collateral may be weaker than a registered mortgage. The product can finance improvements that immediately raise health, resilience or rental income.

World Bank programme reporting records a commercial housing-microfinance market of TZS 30 billion within four years of the Tanzanian fund’s development; this is a reported market outcome, not an isolated causal estimate. [113] A separate IFC-supported program in the Kyrgyz Republic channelled US$44.1 million to 41,505 families for housing construction and improvement over a decade, plus US$15.7 million to 15,434 families for energy-efficiency upgrades.

Short tenor creates its own affordability risk. A US$2,000 loan paid over two years can have a higher monthly burden than a much larger mortgage spread over twenty years. The product should match the stage of construction and the household cash-flow cycle. Repeat lending should follow verified improvements and repayment, rather than becoming permanent short-term debt.

Guarantees and risk allocation

A partial credit guarantee can help when lenders overprice uncertainty or cannot absorb first-loss risk from a new borrower segment. The public sector agrees to cover a defined share of losses; the lender retains enough risk to preserve underwriting discipline.

The instrument works best when the problem is risk perception, thin data or the cost of entering a new market. It performs poorly when the borrower simply lacks payment capacity. Guaranteeing a loan that a household cannot service shifts an expected loss onto the public balance sheet.

Guarantees also create incentives. Lenders may select borrowers they would have financed anyway, a problem known as low additionality. They may relax underwriting if the public share is too high. Government should therefore price the guarantee, cap coverage, require lender risk retention, publish cohort performance and compare guaranteed borrowers with a credible non-guaranteed counterfactual.

Kenya is moving in this direction with the Kenya Mortgage Guarantee Trust, designed to provide partial default protection for lower-income and informal-sector borrowers. India also operates credit-risk guarantee arrangements for low-income housing. The decisive test is whether these tools expand access with acceptable realized losses.

Secondary markets and investor confidence

Mortgage refinance companies, covered bonds and residential mortgage-backed securities turn household cash flows into investable assets. Pension funds and insurers hold long-duration liabilities and can be natural investors in long-duration housing assets. The match can lower reliance on bank deposits and make fixed-rate, long-term lending easier.

The chain requires trust at every link: clean title, standard loan files, sound underwriting, reliable servicing, clear foreclosure rules, transparent performance data and credible regulation. A weak link raises the risk premium for the entire pool.

India is now deepening this channel. In December 2025 IFC committed up to INR 3 billion to residential mortgage-backed securities issued by Grihum Housing Finance, its first RMBS investment in India. Grihum serves more than 85,000 customers with an average loan ticket of about INR 10 lakh. The transaction aims to broaden market-based funding for affordable housing lenders.

The benefit is cheaper and more diverse funding. The risk is distance between the originator and the ultimate holder of credit risk. Securitization works best with clear underwriting standards, loan-level data, retention of meaningful risk by originators, and surveillance of arrears and prepayment.

Concessional finance and market development

Public capital can perform several jobs: seed a refinance company, absorb first loss, lengthen tenor, subsidize a poor household, fund data infrastructure, or finance the land and services that make the house cheaper. These uses have very different multipliers.

The West African project shows one form of leverage: US$155 million of IDA support helped CRRH-UEMOA mobilize US$385 million in additional bond finance. Tanzania used US$100 million of IDA financing to create institutions that later accessed private capital. Kenya is using public and development finance to support KMRC, a guarantee facility and the next generation of land and finance reform.

Leverage alone can mislead. A public guarantee can mobilize a large face value of private loans while creating substantial contingent risk. A refinance line can replace funding that banks would have raised anyway. The correct denominator is additional housing service to target households per unit of expected public cost.

For guarantees, expected public cost equals probability of default times loss given default times the public share, adjusted for correlation in a downturn and administrative cost. For concessional credit, the subsidy is the present value difference from market funding. These costs belong in the housing budget even when cash does not leave the treasury on day one.

Finance for housing producers

Demand-side finance receives most attention because the mortgage is familiar. Affordable housing also needs finance before the household arrives: land acquisition, infrastructure, construction, rental portfolios, small-landlord improvement and working capital for material suppliers.

A developer facing expensive construction finance may require a higher selling price even when mortgage rates are low. A small landlord may have tenants ready to rent an extra room and no access to a US$2,000 construction loan. A social rental provider may need twenty-year debt because the asset repays capital slowly through rent.

This is why a housing finance system should map funds by stage: pre-development, construction, take-out, mortgage, incremental improvement, rental operations and major maintenance. A gap at any stage can stop the chain. Buyer finance cannot compensate for a developer who cannot reach completion.

Interests in credit allocation

Actor	What it gains	Rent / risk	Veto point	Feasible bargain
Borrower	Earlier access to a home	Debt burden, rate risk, asset risk	Take-up, default, political voice	Transparent terms + suitability + shock options
Bank / HFC	Interest income, customer relationship	Credit loss, funding mismatch	Underwriting, pricing	Refinance + risk sharing with lender retention
Mortgage refinance company	Scale and fee income	Market and liquidity risk	Eligibility standards	Standardization + market funding path
Developer	More buyers, faster sales	Absorption and construction risk	Can shift segment/location	Supply-linked finance + transparent eligibility

Actor	What it gains	Rent / risk	Veto point	Feasible bargain
Landowner	Higher bid capacity	Captures credit-driven price gains	Land supply, holdout	Value capture + abundant serviced supply
Investor / pension fund	Long-duration asset	Credit and duration risk	Pricing and allocation	Loan data + standards + local-currency instruments
Government	Visible homeownership, jobs	Fiscal subsidy, guarantees, bailout risk	Budget and regulation	Publish full fiscal cost and additionality
Renter	Possible future buyer; may face price spillover	Excluded from owner subsidy	Weak voice	Tenure-neutral policy + rental finance
Fintech / data platform	Fees, data and market power	Model risk, cyber risk	Access to data/model	Auditability + portability + fair-lending tests

Housing finance creates concentrated industries. Banks and housing finance companies know the rules, have data and can lobby. Developers want buyer purchasing power. Landowners benefit when cheaper credit raises bids for scarce sites. Homeowners gain when credit expansion raises asset prices. Renters and future buyers face the price effects with weaker representation.

This coalition can make demand subsidies politically easier than supply reform. An interest subsidy creates an identifiable beneficiary and a bank transaction. Planning reform creates conflict with incumbent owners. Land taxation creates immediate losers. Governments can therefore spend money around the constraint instead of removing it.

Reform coalitions work when benefits line up. Refinance institutions gain scale, lenders gain stable funding, borrowers gain longer tenor, capital-market investors gain a new asset class, and government gains private capital. The agreement weakens when the underlying house remains too expensive: lenders retreat up-market, subsidy costs rise, and low-income households remain renters.

Count the neighbourhood choices a loan makes affordable after transport, services and risk, rather than the loan volume alone.

Arrears, foreclosure, and borrower protection

Housing finance needs a credible response to default. A system with no enforceable collateral raises lender risk and interest rates. A system that evicts rapidly after a small shock can create severe social harm and political backlash. The design problem is to separate temporary distress from persistent inability to pay.

Tools include payment rescheduling, temporary forbearance, term extension, mortgage insurance, sale before foreclosure and targeted social assistance. Lenders need clear recovery rules. Borrowers need notice, due process and a route to cure arrears. The public sector should avoid ad hoc political moratoria that destroy contract credibility while designing formal shock protocols in advance.

Kenya provides an interesting data point. A 2026 World Bank appraisal cites data from seven KMRC-participating lenders showing an average realized loss rate of about 2.6 percent despite much higher headline non-performing-loan ratios, because collateral recoveries were strong. The distinction between arrears and realized loss matters for pricing.

Interest-rate and currency risks

A low initial payment is useful only when the household can survive the path of rates and income. Variable-rate mortgages transfer interest-rate risk to borrowers. Foreign-currency mortgages transfer exchange-rate risk to households whose income is usually local. Long maturities amplify both when the reset is large.

Kenya has moved modestly toward more fixed-rate lending: the Central Bank reported fixed-rate mortgages rising from 14.1 percent of loans in 2024 to 24.3 percent in 2025. Most mortgages still carried variable rates. Refinance companies can help lenders offer longer fixed periods when they obtain matching long-duration funding.

The policy principle is risk alignment. Keep household debt in the currency of household income. Match lender asset duration with liabilities. Price fixed-rate options transparently. Stress-test payment-to-income ratios under rate and income shocks before approval.

AI and digital underwriting

Low-income and self-employed borrowers often lack the document that traditional mortgage underwriting treats as the gateway: a regular payslip. Digital finance can replace some missing paperwork with evidence of cash flow and behavior.

India offers a live example. IFC describes Vastu Housing Finance as using a digital platform that combines field verification with more than 1,500 data points from credit bureaus, employment and prior loans. Around 80 percent of Vastu borrowers are self-employed, and most are first-time homeowners. The system can approve cases quickly while field agents still verify income. This hybrid model matters: local knowledge and digital data solve different parts of the information problem.

AI should be tested through five questions. Constraint: which information cost falls? Magnitude: how much do approval time, operating cost and default change? Capture: does lower underwriting cost reduce borrower pricing or raise lender margin? Power: who controls the data and can deny credit? Risk: do neighborhood, occupation, language, caste, race or gender proxies reproduce old exclusion at machine speed?

Fair-lending governance should include reason codes for rejection, correction rights, model monitoring by group, limits on unrelated data, independent audit, cyber protection and a human appeal path. A model that improves prediction can still worsen access if it optimizes profit against groups with thin data.

Implementation constraints

Use staged loans for incremental building where appropriate, and do not force renters into ownership to access public support. Price guarantees and subsidy per additional sustainably housed household, including losses and servicing costs.

Lenders must assess irregular earnings and handle arrears; the regulator must monitor concentration and consumer treatment. Track additional eligible borrowers, full repayment burden, arrears, location, gender and income distribution, and public cost per sustained outcome.

Housing finance reform can be technically sound and politically weak. Refinance institutions need lenders to standardize loan files. Lenders resist standards that expose weak practices or reduce product flexibility. Pension funds want long-duration assets and can reject housing bonds when pricing, ratings or liquidity are unattractive. Governments want lower mortgage rates and may pressure institutions to lend below risk-adjusted cost. Borrowers want fixed payments while lenders fear long-term rate risk.

Subsidies create another trap. Once a buyer subsidy exists, banks, developers and beneficiaries build processes around it. Removing it creates visible losses. Supply reform produces future gains for households who may not yet live in the city. The political clock favors the subsidy.

A feasible sequence begins with housing supply and property-market plumbing, then deepens finance. Build reliable land records, foreclosure and consumer-protection rules. Develop standardized origination and servicing. Create refinance or liquidity facilities where term funding is scarce. Add guarantees for clearly defined underserved segments. Develop housing microfinance for incremental builders. Open capital-market channels after loan performance data exist. Use subsidies for the residual affordability gap and publish incidence.

Housing finance assessment

Gate	Question	Metric / decision
1 Product	What is the cheapest adequate housing option?	Price/rent at viable location and safety standard
2 Payment capacity	What can the household sustain through a shock?	Debt + utilities + transport / disposable income
3 Gap type	Which constraint binds?	Resource, liquidity, term, credit risk, rate/currency risk
4 Supply response	Can more homes appear if credit expands?	Permits, completions, serviced land, vacancy
5 Underwriting	Can irregular income be observed cheaply?	Cost per loan, approval time, default by segment
6 Tenor	Does lender funding match the loan?	Asset-liability maturity and repricing gap
7 Currency/rate	Who bears macro risk?	Local-currency share; fixed/variable share; stress test
8 Guarantee	Is public risk sharing additional?	New borrower share; realized public loss; lender retention
9 Capital markets	Can investors trust the asset?	Standard data, servicing, arrears, rating, liquidity

Gate	Question	Metric / decision
10 Subsidy incidence	Who captures cheaper finance?	Borrower payment vs house/land price and margins
11 O&M;/asset risk	Can the owner maintain the property?	Maintenance reserve, insurance, climate exposure
12 Politics	Who benefits from preserving the current system?	Actor-rent-veto-coalition map
13 Digital rights	Can the borrower understand and challenge decisions?	Reason codes, correction, audit, appeal
14 Outcome	Did finance widen adequate housing access?	Additional low-income households housed per public dollar

Investment criteria

Finance the constraint that actually binds. Start with an adequate housing product in a viable location and the household payment capacity. Use refinance for tenor, guarantees for measurable risk gaps, microfinance for incremental construction, capital markets for scalable long-term funding, and grants for the residual resource gap. Expand supply before adding large demand subsidies. Track land and house prices so public support does not leak into scarcity rents.

Evidence and limitations

Evidence. Kenya mortgage-market data come from the Central Bank of Kenya and the 2026 World Bank appraisal; Tanzania and WAEMU results come from World Bank results reporting; Indian market structure comes from National Housing Bank; PMAY-U 2.0 parameters come from MoHUA; current Indian digital-underwriting and RMBS examples come from IFC; South African First Home Finance figures come from the Department of Human Settlements. The global capitalization evidence comes from published empirical studies.

Judgment. The five-gap taxonomy, sequencing rule, political-economy map and Housing Finance Frontier Test synthesize this evidence into an operating framework. Each requires local borrower cash-flow data, housing prices, lender costs, default and recovery data, supply indicators and fiscal-cost estimates before policy decisions.

What transfers?

Worked because	long-term local-currency funding; lenders able to originate and service loans; suitable housing supply; products aligned with repayment capacity
Failed when	low income treated as a documentation problem; unaffordable deposits; weak collateral rights; cheap credit capitalised into scarce land
Do not copy	a refinance corporation or a target mortgage-to-GDP ratio
Transfer instead	finance the binding gap and measure additional access by households previously excluded
Scale test	Stress-test default correlations, investor demand and liquidity during a downturn. A small subsidised portfolio does not establish a sustainable national market.

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7. Housing subsidies and their beneficiaries

How subsidies reach households

A housing subsidy reaches households through changes in prices, rents, borrowing costs, developer returns, and supply. The government may pay a buyer, developer, lender, municipality, or landlord; the household benefit can differ substantially from that payment.

A mortgage interest subsidy can lower a borrower's monthly payment and simultaneously increase the amount she can bid for a scarce house. Free public land can lower a developer's cost and increase the developer's margin if the sale price remains unchanged. A tenant subsidy can reduce rent burden while stronger landlord demand raises market rents. A road built for a housing project can raise the value of adjoining private land. An explicit grant appears in the budget. A land concession, tax preference or state guarantee can be larger and almost invisible.

This is the central idea of subsidy incidence. A transfer's legal recipient and its economic beneficiary can differ. The division depends on which side of the market can adjust. When housing supply can expand, a demand subsidy can produce more homes. When well-located land and permissions are fixed, extra purchasing power chases a fixed stock and part of the gain is capitalized into land and property values. Empirical work finds stronger capitalization where housing supply is more constrained.[1]

The full cost of public support

Housing subsidies come in at least seven forms. Cash grants reduce the household's or developer's direct cost. Interest subsidies lower the price of credit. Guarantees shift credit risk to the state. Public land transfers reduce land cost. Infrastructure spending supplies roads, utilities and transit. Tax expenditures lower the tax burden on ownership, development or finance. Operating subsidies cover the difference between affordable rents or tariffs and the long-run cost of running the asset.

Each should be converted to a present-value fiscal cost. A public parcel transferred at one shilling has a subsidy equal to its opportunity value less the price paid. A guarantee has an expected fiscal cost equal to the probability-weighted loss, adjusted for correlated defaults. A tax exemption is foregone revenue. A maintenance liability is future expenditure. Once these costs are visible, government can compare instruments on equal terms.

This accounting disciplines political claims. A project on free land can look cheaper than a project that buys land, even when the public gives up a larger asset. A guarantee can look costless until a downturn. A low social rent can look sustainable until the roof, lift and pipes need replacement. Public finance should record the full lifecycle subsidy when the commitment is made.

The useful denominator is household-years of adequate housing. A US$20,000 subsidy that produces twenty years of safe, well-located occupancy has a different value from the same subsidy attached to a peripheral unit that remains vacant, is sold informally, or deteriorates after five years.

Four types of financing gap

Subsidy design improves when the affordability problem is split into four gaps.

A resource gap exists when even the cheapest adequate housing in a viable location costs more than the household can sustainably pay. The remedy requires a real transfer, cheaper inputs, or a smaller housing product. A liquidity gap exists when the household can afford the lifetime cost but cannot fund a deposit, connection fee or construction stage. Savings matches, staged finance or deferred payment can work. A

credit-risk gap exists when lenders cannot observe or price irregular income, collateral or repayment risk. Guarantees and better underwriting can help. A supply gap exists when land, planning, infrastructure or market structure prevents enough suitable housing from being produced.

The order matters. A government that uses an interest subsidy against a supply gap raises demand without fixing quantity. A government that gives a deep capital grant to a household facing a short-term liquidity problem overspends. A government that offers mortgage credit to a household with a resource gap creates debt stress rather than affordability.

The sequence should run from supply to residual subsidy. Remove avoidable scarcity. Define the minimum adequate product. Measure what the household can pay. Solve liquidity and information frictions. Subsidize the remaining resource gap. The state then buys affordability rather than financing the costs of its own restrictions.

Subsidy instruments in India

India's Pradhan Mantri Awas Yojana - Urban demonstrates the administrative power of a national housing platform. The official dashboard in October 2026 reports 12.768 million houses sanctioned, 12.103 million grounded and 9.907 million completed under PMAY-U, with Rs 1.806 trillion in central assistance released and total investment of about Rs 8.96 trillion.[2] These numbers represent delivery scale on a level few housing systems achieve.

Yet PMAY is better understood as several programs sharing a label. Beneficiary-led construction supports households that already control a site. In-situ redevelopment ties subsidy to slum land and developer economics. Partnership housing works through projects. Credit-linked subsidy works through lenders. PMAY-U 2.0 adds a distinct rental vertical. Each channel reaches a different household and creates a different path for subsidy capture.

The current PMAY-U 2.0 Interest Subsidy Scheme illustrates the mechanics. Eligible households with income up to Rs 900,000, loans up to Rs 2.5 million and properties up to Rs 3.5 million can receive a 4 percent subsidy on the first Rs 800,000 for up to twelve years; the maximum subsidy released is Rs 180,000, paid in five annual installments.[3] For a household close to the ownership threshold, this can change the decision. For a household that cannot pass underwriting or whose affordable home costs far more than its borrowing capacity, the same instrument does little.

Beneficiary-led construction has a different incidence. When a poor household already possesses a viable plot, a grant can turn an incomplete structure into usable housing with relatively little land-price leakage. The household controls the scarce factor. In a developer-led project on scarce urban land, part of a buyer subsidy can appear in land bids or sales prices unless new supply can enter.

This suggests a practical rule for India's next phase: evaluate PMAY verticals by additionality within income deciles, not only by sanctioned units. Ask how many beneficiary households would have built, bought or rented without the subsidy; how much public land and infrastructure they received; and whether location, occupancy and household welfare improved.

India also shows how subsidy design can alter intra-household distribution. Female ownership or co-ownership rules can strengthen women's claims to the asset. The gain depends on whether the legal right changes control over sale, mortgage, inheritance and household bargaining. Administrative compliance should be separated from substantive economic power.

Housing subsidies and public finance in Kenya

Kenya's Affordable Housing Act 2024 created a dedicated Affordable Housing Fund and imposed a levy of 1.5 percent of an employee's gross salary, matched by the employer; people with gross income outside payroll are also subject to a 1.5 percent levy under the Act.[4] This is more than a housing finance mechanism. It creates a national political agreement about who pays, who receives, where projects are built and what kind of asset contributors obtain.

Official Affordable Housing Board data report KES 73.2 billion collected in FY2024/25. Collections from July 2025 through January 2026 add about KES 44.8 billion, taking the recorded total for July 2024-January 2026 to roughly KES 118 billion.[5] The Board is charged with managing the fund, developing and taking off affordable housing, Earmarking has clear advantages. It creates a predictable stream for land, infrastructure and construction. It can support multi-year procurement. It signals commitment to developers and financiers. It also raises hard incidence questions. A formal employee who contributes for years may never receive a unit. A household outside formal payroll may benefit from social housing or upgrading. Employers bear a statutory matching cost. Developers and contractors gain from a predictable public pipeline. Counties face infrastructure and planning obligations.

The fiscal agreement becomes credible when project-level accounts answer six questions: What is the full subsidy per occupied unit? How much comes from public land? Which income group occupies the unit? What is the transport burden? How much private capital is genuinely additional? What share of levy resources goes to households below market affordability thresholds?

Kenya's digital Boma Yangu platform can make allocation more transparent. It can also turn a complex distributive choice into an opaque scoring system if citizens cannot see the rules. Contributors need a public audit trail from levy collection to land acquisition, procurement, allocation, occupancy and long-run maintenance.

Subsidised housing and location costs in South Africa

South Africa offers the deepest capital subsidy in the comparative set. The Department of Human Settlements describes government-subsidized housing as a fully built house provided free to qualifying beneficiaries, who then remain responsible for municipal rates and service charges.[7] First Home Finance serves households above the free-house threshold and below easy access to commercial mortgages; current program guidance targets incomes between R3,501 and R22,000 per month.[8]

The distributional achievement is real. Millions of households have acquired formal housing assets since 1994. The subsidy also carries a spatial bill. Cheap peripheral land allowed more units per rand while placing households far from jobs and reinforcing apartheid-era urban form. Public money saved on land can return later as transport subsidies, household travel time, trunk infrastructure and weak municipal finances.

The 2026/27 national program illustrates the continuing fiscal weight of housing. The Department announced targets of 39,058 housing units, 2,878 social housing units, 21,918 title deeds and 25,186 serviced sites, backed by more than R15 billion in departmental allocation.[9] The mix itself is important: complete units, social rental, title, and serviced land are different subsidy technologies.

South Africa's serviced-site option points toward a lower-cost path for some households. Current policy allows qualifying households below R3,500 income to receive serviced sites free, while higher bands pay differentiated amounts.[10] This can shift the state from building every finished house toward supplying land and services, while households add the structure over time. The gain depends on access to construction finance, safe incremental standards and location.

The incidence test should compare the full public cost of a free peripheral house with a well-located serviced plot, social rental unit or upgrading intervention. The cheapest top structure may be the most expensive household outcome.

Housing supply and location in Chile

Chile became a global reference for demand-side housing subsidies because it produced large volumes through private developers. The quantitative result is hard to dismiss. OECD data show the share of households without housing or living in substandard housing fell from 23 percent in 1992 to 10 percent in 2011.[11]

The spatial result is equally important. OECD analysis finds that pressure to produce large numbers drove social housing to the cheapest peripheral land. Between 1990 and 1998, 60 percent of Santiago's social housing was concentrated in three of its poorest municipalities. Some peripheral settlements faced very long travel times and weak services. The subsidy cleared a numerical deficit while concentrating poverty and future public liabilities.[12] An Inter-American Development Bank evaluation of Chile's Progressive Housing Program found poor targeting, high under-coverage and leakage. The program improved access to water, sewerage and electricity, yet produced no discernible gains in poverty, school attendance or occupational outcomes and worsened overcrowding.[13] The point is not that the subsidy failed in every dimension. It bought a specific physical product and produced much weaker gains in household welfare.

Chile's experience changed the global debate. Subsidy design must buy location and neighborhood quality along with the dwelling. A demand-side voucher works best when developers can build in enough places, transport and services are coordinated, and the subsidy reflects the true cost of inclusion in high-opportunity areas.

The subsidy in public land

Public land creates one of the largest unpriced transfers in housing. A ministry can report a project cost that excludes the market value of the site because no cash changed hands. The public balance sheet still gave up an asset.

Every public-land housing transaction should therefore show five numbers: market value before the project; price or rent paid by the developer; infrastructure added by government; affordable-housing obligations; and the value of the land after rezoning or infrastructure. The difference is part of the subsidy.

A direct sale maximizes immediate revenue when competition is strong. A discounted transfer lowers project cost and creates risk of private capture. A long lease can preserve public ownership while trading land value for rent or income restrictions. Competitive tenders can ask developers to bid the lowest subsidy required for a fixed affordability and location outcome.

Timing is central. Government should reserve or acquire land before transit, infrastructure or upzoning creates the uplift. If it sells first and invests later, taxpayers finance a gain captured by the buyer. If it acquires after announcing the investment, it buys back value created by its own decision.

Tax expenditures

Housing tax preferences rarely carry the political label of subsidy. Mortgage interest deductions, capital-gains exemptions, reduced property taxes and tax-favored savings can move more money than direct housing programs. Their beneficiaries often have higher income because the household must own a valuable asset and, in many systems, face a tax liability large enough to use the preference.

U.S. evidence illustrates the distributional risk. Sinai and Gyourko estimated a highly skewed geographic distribution of owner-occupied housing tax benefits; in many large metropolitan areas the top quarter of owners received 70 percent or more of the subsidy flowing to the metro.[14] The institutional lesson travels even where tax systems differ: indirect subsidies should face the same incidence and value-for-money tests as budget expenditure.

Tax subsidies also build coalitions that are hard to unwind. Beneficiaries experience the preference as part of the normal tax system. Removal becomes a visible tax increase. This helps explain why regressive housing tax expenditures can outlive targeted programs for poorer households.

Guarantees and contingent liabilities

Guarantees can be an efficient use of the public balance sheet when a lender overprices a risk that government can absorb or diversify. A partial mortgage guarantee can expand credit to informal workers. A municipal or project guarantee can attract infrastructure finance. The fiscal cost appears only when default occurs, which makes guarantees politically attractive.

The right accounting value is expected loss plus administrative and capital costs, adjusted for the fact that housing defaults become correlated in recessions. A guarantee with a low average default rate can generate a large public call when house prices, employment and bank balance sheets all weaken together.

Additionality matters. A guarantee that covers a loan the bank would have made anyway transfers risk to taxpayers without creating housing. The test is the marginal borrower or project: did the guarantee change approval, tenor, interest rate or capital mobilization?

Global evidence also shows that state-backed mortgage subsidies can be regressive when benefits flow through larger mortgages and valuable homes. A model of U.S. government-sponsored mortgage guarantees finds that eliminating the implicit interest subsidy can raise aggregate welfare by reducing a transfer that favors higher-income, higher-asset households.[15] The exact result depends on institutions; the warning is broader than the model.

Supply constraints and subsidy capture

Subsidy incidence becomes easier to predict when the team identifies the factor that cannot expand.

Scarce factor	Likely capture channel	What to measure	Policy response
Well-located land	Higher land bids and residual land value	Pre/post land prices; developer land cost	Expand legal supply; reserve public land; capture uplift
Planning permission	Scarcity rent in permitted projects	Price gap between permitted and comparable sites	By-right density; reduce discretionary approvals
Developer competition	Higher margins / weak pass-through	Bid concentration; profit margin; price-cost spread	More entrants; open-book cost benchmarks; smaller packages
Mortgage funding	Lender spread or rationing	Rates, fees, approval by risk group	Wholesale liquidity; competition; transparent guarantee pricing
Rental supply	Landlord rent increase	Voucher/upgrade rent changes; vacancy	Add supply; rent reasonableness; tenant protection
Utility capacity	Connection queue / developer payments	Connection time and charge	Fund trunk capacity; publish queue and capacity
Public land	Developer or buyer windfall	Market value versus transfer value	Explicit land subsidy and clawbacks

This logic does not imply that every demand subsidy mainly raises prices. Scale, safeguards and the initial tenure matter. A voucher that helps an existing renter pay the same market rent can have little effect on aggregate demand. A subsidy that creates a new buyer with much greater bidding power in a tightly constrained ownership market can have a larger price effect. Incidence is an empirical question guided by supply conditions.

Evidence from Sweden finds strong capitalization of subsidized interest rates into house prices. U.S. evidence using mortgage-market segmentation also finds that easier credit increases house values at the margin.[16][17] These studies do not provide a universal coefficient for Africa or India. They establish a mechanism worth testing whenever governments inject purchasing power into a constrained market.

Homeowner interests and housing supply

Housing subsidies change politics as well as prices. An ownership grant turns a renter into an asset owner. The new owner gains from neighborhood investment and from scarcity that supports property values. Over time, an owner-heavy electorate can become a constituency for restrictive planning, low property taxation and protection of incumbent asset values.

This can create a subsidy loop. Government subsidizes ownership. Asset values rise. Owners resist new supply. Scarcity raises entry prices. Government expands buyer assistance to restore affordability. Public spending then chases the scarcity supported by the incumbent coalition.

YIMBY coalitions try to reverse this asymmetry by organizing renters, younger households, employers, developers, construction labor and transit interests around more supply. Their structural weakness is that future residents have no local address and often no vote in the jurisdiction that decides whether their home can be built.

The fiscal system can change the coalition. Infrastructure grants and local revenue sharing can compensate jurisdictions that accept density. Property taxation can give municipalities recurring revenue from additional floor space. Citywide or metropolitan targets can reduce the ability of one neighborhood to veto benefits that accrue across the labor market.

Discrimination and access to subsidies

A housing subsidy has value only if the household can convert it into a dwelling. Discrimination can break the conversion. Landlords may refuse tenants by caste, religion, race, ethnicity, migration status, occupation or family composition. Brokers can steer households. Lenders can price neighborhoods or income sources differently. Housing societies can impose social screening after formal eligibility has been met.

The Seattle Creating Moves to Opportunity experiment gives unusually clear evidence that money alone does not solve these frictions. A bundle of information, short-term financial help, customized search support and landlord engagement increased moves to high-opportunity neighborhoods from 15 percent in the control group to 53 percent in the treatment group. Full customized support produced far larger effects than information and financial incentives alone.[18]

The lesson for Indian and African subsidy systems is to measure conversion. Among eligible households, who actually secures a unit, lease or loan? How long does it take? Who is rejected? Which neighborhoods remain inaccessible? Where law and data permit, outcomes should be broken down by social group, gender, migration status and income source. A benefit that cannot be converted into housing is an administrative award, not a housing outcome.

The experiment tested a package, not an information leaflet alone. Its value lay in helping families complete a move that the voucher already financed. Chile's peripheral-housing experience provides a separate warning: better physical conditions do not guarantee access to opportunity. Subsidy design should therefore follow households through search, landlord acceptance, occupation and continued access to jobs and schools. [108] (See sources 11-13.)

Upgrading and displacement risk

In-situ upgrading often offers higher welfare than peripheral relocation because it preserves access to work, schools and social networks. It also raises the value of land and structures. That gain can displace the households the project intends to help.

The incidence depends on tenure. An owner-occupier gains an improved asset. A structure-owning landlord can gain through higher rent. A tenant receives better services and may face a higher rent. A

shopkeeper can gain foot traffic or lose the premises. A land claimant can capture value without living on the site.

Every upgrading project should therefore create a pre-investment tenure map: occupants, tenants, structure owners, land claimants, businesses and vulnerable households. The project should state who has return rights, who receives temporary relocation support, how rents will be monitored, and what new rental supply will be added. Record occupancy before public investment increases the prize.

The state also needs a rule for hazardous land. Upgrading where risk is manageable; relocation where life safety or critical infrastructure requires it. Compensation should include the economic value of location: travel, customers, school continuity and networks. A replacement unit alone can leave the household poorer.

Responsibilities across levels of government

National governments often finance housing capital while municipalities inherit roads, drains, waste, water interfaces and local services. A national ministry can maximize unit delivery by building where land is cheap. The municipality then carries the operating and maintenance cost. The household pays through unreliable services when that liability is unfunded.

This is subsidy incidence across levels of government. The apparent national subsidy understates the local fiscal burden. A sound project should calculate the present value of municipal operating costs and identify the revenue source. Capital transfers can be linked to density, service standards, asset-management systems and local revenue effort.

South Africa's current move toward performance-based metro finance points in this direction. The broader principle is that national housing policy should compensate cities for the marginal cost of accommodating low-income residents in well-located areas while giving cities a recurring revenue stake in added floor space.

Without that alignment, exclusionary local behavior can be fiscally rational. A jurisdiction that bears the service cost and receives little revenue has reason to resist housing. Intergovernmental finance can turn inclusion from a moral appeal into a workable budget agreement.

Operating subsidies and maintenance

A capital subsidy buys an asset. A household consumes a service over time. The bridge is operations and maintenance.

Public and social rental require rent collection, routine maintenance, security, major repairs and a replacement reserve. Condominium ownership requires fees and collective governance. Serviced-site programs require utilities to maintain networks. Upgraded settlements need drains cleared, roads repaired and lights replaced.

A program that cannot fund these functions has chosen a declining subsidy profile: large benefit on day one, falling housing quality thereafter. Chile's experience with low-quality peripheral housing and many global public-housing failures show why capital efficiency should be measured over the asset's life.

Every investment should therefore publish a twenty-year operating model. State the annual cost, payer, collection assumptions, reserve, asset owner and fallback if collections fail. The net present value of any gap is part of the subsidy.

Interests in subsidy reform

Actor	What it can capture	Veto / leverage	Narrative	Feasible bargain
Low-income household	Capital transfer, lower rent or payment	Vote, protest, take-up	Housing is a right	Portable benefit tied to access and occupancy
Excluded poor household	Often little	Weak formal voice	The scheme is not for us	Rental, incremental and simpler eligibility channels
Landowner	Capitalized subsidy and infrastructure uplift	Holdout, land supply, litigation	Land reflects market value	Predictable rights + transparent value capture
Developer	Margin, pipeline, discounted land	Can delay or switch product	Affordable housing needs viability	Competition + open-book cost + milestone subsidy
Lender	Interest, fees, guarantee protection	Underwriting and origination	Risk is too high	Risk sharing with additionality tests
Landlord	Rent uplift after subsidy or upgrading	Tenant selection, supply	Maintenance costs are rising	Supply + rent monitoring + tenant security
Homeowner	Asset appreciation	Planning hearings, elections	Protect my investment	Infrastructure + citywide supply rules
Municipality	Rates/fees or unfunded service liability	Permits, utilities, local plans	Growth must pay for itself	Transfers linked to serviced affordable floor space
Politician/broker	Allocation and contract rents	Beneficiary lists, public land, enforcement	I unblock access	Rules-based queues + public exception logs
Digital platform/operator	Control over allocation data and scoring	System rules and access	Technology removes discretion	Explainable rules, appeals, audit and open standards

Subsidies become durable because beneficiaries and suppliers organize around them. A developer hires staff and buys land around a program. A bank builds origination systems. A homeowner treats the benefit as part of the asset's value. A broker learns how to navigate the allocation list. A public agency builds its identity around delivering a particular product. Reform threatens sunk investments and future rents.

Technically sound reform therefore fails when it changes incidence faster than it creates a new coalition. Redirecting ownership grants toward rental threatens aspiring owners and developers. Pricing public land threatens firms used to concessions. Reducing a mortgage tax preference angers owners who have capitalized it into purchase decisions. Tightening targeting creates visible losers before future beneficiaries appear.

The feasible sequence often begins with transparency. Price public land. Publish subsidy per occupied household, location, income band, vacancy, resale and O&M.; Add new tenure and supply channels. Protect some existing commitments. Shift new budget growth toward better instruments. Use sunset and evaluation clauses so programs must demonstrate additionality rather than survive on political inertia.

Ask what neighbourhood the subsidy purchases and whether the bottom 40% can enter without losing access to work or support networks.

Digital subsidy administration and AI

Housing subsidy systems produce rich administrative data: identity, household composition, income, land, property ownership, loan history, rent, construction progress, location and prior benefits. Digital systems can reduce duplicate claims, speed payments, verify milestones and identify vacant subsidized units.

AI can infer irregular income from cash-flow data, flag suspicious applications, reconcile property records and rank cases for audit. Geospatial analysis can test whether subsidized units are near jobs or exposed to hazards. Computer vision can verify construction progress. These tools can sharply lower administrative cost where manual verification is slow.

The five tests are demanding. Constraint: which information gap changes? Magnitude: how much delay, leakage or cost disappears? Capture: does better targeting increase housing for poor households or merely reduce agency cost? Power: who can deny a subsidy based on the model? Risk: can a data error, proxy variable or opaque score exclude informal workers or reproduce caste, race, gender or neighborhood bias?

The governance rule should be stronger where the benefit is life-changing. Applicants need reason codes, correction rights, a human appeal, audit of group outcomes and an offline route. Automated fraud detection should never become automatic exclusion. Digital allocation can reduce patronage only when the scoring rule, queue and exceptions are visible enough to be challenged.

Technology can also improve incidence analysis. Governments can link subsidy, parcel, price, rent, occupancy and transaction data to test whether support raised supply, reduced household burden, or capitalized into land. The point of the data system is to expose the transfer chain.

Implementing subsidy reform

Adapt to informal contracts, discrimination, deposits, school access and the transport networks used by the target group. Fund administration and recurring benefits, and state which costs continue after external support ends.

The housing agency must complete lease-up and resolve landlord problems; planning agencies must address supply constraints. Track lease-up, sustained residence, total costs, school and job access, landlord refusals and benefits accruing to non-recipients.

Step	Action	Reason
1	Define the household outcome	Use adequate, occupied, well-located housing as the objective
2	Diagnose the gap	Separate resource, liquidity, credit-risk and supply failures
3	Fix avoidable scarcity	Expand legal serviced supply before raising purchasing power
4	Price all public inputs	Land, tax breaks, guarantees, infrastructure and O&M; become visible
5	Choose the narrowest instrument	Use the cheapest tool that matches the diagnosed gap
6	Design for pass-through	Competition, supply response and transparent procurement limit capture
7	Protect inclusion	Measure conversion barriers, displacement and social screening
8	Fund the operating model	Prevent capital subsidy from becoming a deteriorating asset
9	Publish incidence	Show who gains by income, tenure, location and actor
10	Adapt when the bottleneck moves	Stop subsidizing yesterday's constraint

The sequence makes reform politically harder at the start because land, planning and infrastructure reforms create visible losers. Cash subsidies are easier to announce. That political asymmetry explains why governments often pay around a bottleneck rather than remove it. The fiscal consequence is a growing subsidy bill chasing a housing price shaped by scarcity.

Subsidy incidence assessment

Gate	Question	Evidence / decision rule
1 Problem	Which gap are we solving?	Resource, liquidity, credit risk, supply, service or location
2 Counterfactual	What happens without the subsidy?	Additional households, units or housing quality caused by the program
3 Full fiscal cost	What does government truly give?	Cash + land + tax + infrastructure + guarantee + O&M; present value

Gate	Question	Evidence / decision rule
4 Targeting	Who qualifies and who converts?	Take-up and completion by income, tenure and inclusion group
5 Supply response	Can quantity expand?	Permits, serviced land, vacancy, starts, completions
6 Incidence	Who captures the gain?	Household vs landowner, developer, lender, landlord and local government
7 Location	What access does the subsidy buy?	Jobs within 45/60 min; transport cost and time
8 Quality	Is the product adequate and adaptable?	Defects, unit size, resilience, ability to extend or rent
9 O&M;	Will the housing service last?	Operating budget, collections, reserve and asset owner
10 Neighborhood	Does it deepen segregation or displacement?	Income/social mix, school/job access, tenant exit
11 Politics	Who can block or capture reform?	Actor-rent-veto-coalition map
12 Digital rights	Can applicants understand and appeal?	Reason codes, correction, audit, offline route
13 Value for money	What outcome is bought per public dollar?	PV subsidy / additional household-years of adequate housing

Decision rule. Subsidize the household's binding residual gap after fixing avoidable scarcity, and price every public contribution. Reject programs that cannot state the counterfactual, full fiscal cost, incidence and location outcome. If subsidies are raising asset prices faster than supply, shift money upstream to land, planning and infrastructure or toward tenure channels where supply can respond.

Evidence and limitations

The India, Kenya and South Africa figures in this chapter come from current official government sources. Chile's housing outcomes come from OECD and IDB evaluations. The global evidence on capitalization, tax subsidies and mobility comes from peer-reviewed or NBER research. These studies identify mechanisms in specific institutional settings; they do not supply a universal pass-through coefficient for Africa or India.

The four-gap taxonomy, present-value public-cost framework, subsidy sequence and Subsidy Incidence Test are analytical judgments. They should be populated with local land values, household payment capacity, project pro formas, municipal O&M; costs and market supply responses. Their purpose is to make the transfer chain visible before the subsidy becomes politically permanent.

What transfers?

Worked because	a usable subsidy; available homes; landlords willing to participate; tailored assistance with search and lease-up
Failed when	benefits confined to approved applications; poor location; limited willing landlords; supply too constrained to absorb extra demand
Do not copy	a voucher value or standard application portal
Transfer instead	pay for the combination of affordability and access barriers that prevents eligible households from leasing suitable homes
Scale test	At 100 times pilot size, measure landlord recruitment costs, counsellor caseloads, rent responses and competition among recipients.

Sources and evidence notes

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18. Bergman, Chetty, DeLuca, Hendren, Katz and Palmer. Creating Moves to Opportunity, NBER 26164. [source] [additional source] [additional source] [additional source] [additional source] [additional source] [additional source]

Operational use: In a government or MDB review, ask the team to calculate the present value of every public input, identify the scarce factor likely to absorb the subsidy, and state the number of additional household-years of adequate housing expected. If the answer cannot be produced, the subsidy is not ready for scale.

[108] Bergman, P. and coauthors (2024; revised working paper 2023). Creating Moves to Opportunity: Experimental Evidence on Barriers to Neighborhood Choice. NBER Working Paper 26164. [source] [source]

8. Coordinating housing delivery

Coordination across agencies

Housing delivery depends on decisions made by several agencies. Improving each agency separately will not resolve failures between them.

A land agency records a parcel. The planning authority grants floor space. The utility has no funded trunk connection. The developer holds land while interest accrues. The housing agency announces beneficiaries before the transport plan is settled. A lender rejects informal income that another public agency already observes through payments and taxes. A building is handed over while the municipality has no maintenance budget. Every institution can point to its own completed task. The household still does not receive a usable home.

This makes housing a weakest-link production process. Consider an illustrative chain of eight critical decisions. If each succeeds 90 percent of the time, the probability that all eight succeed is about 43 percent. At 95 percent per step the joint probability rises to 66 percent; at 98 percent it reaches 85 percent. These figures are arithmetic, not empirical estimates. They show why modest failure rates at several agencies create a large delivery gap.

The policy consequence is severe. Spending more on a strong link produces little when another link remains binding. Cheaper mortgage money cannot cure disputed land. Faster permits cannot cure missing sewer capacity. Better construction cannot cure a relocation site that separates households from work. The state has to manage the chain rather than celebrate the component.

Four functions of government coordination

An integrating state performs four jobs. First, it defines a single household outcome. The target is an occupied, safe, serviced dwelling with access to work and a funded operating model. Unit starts and budget disbursement become intermediate indicators.

Second, it creates a shared state of the world. Agencies need the same parcel identity, ownership and occupancy record, planning rights, infrastructure capacity, hazard information, approval status, subsidy status and construction progress. When each agency works from a different map or beneficiary list, meetings cannot repair the underlying information conflict.

Third, it sets decision rights and clocks. Every handoff needs an owner, a rule, a deadline and an escalation route. Coordination fails when all agencies may comment and none must decide. A one-stop shop that simply colocates the same vetoes changes the address of the delay. A genuine integration reform converts recurring negotiation into rules and auditable exceptions.

Fourth, it aligns money with the result. Budgets are behavior. A housing agency rewarded for unit counts will seek cheap land. A utility rewarded for financial health may delay low-revenue connections. A municipality that bears service costs and receives little new revenue will resist density. Intergovernmental transfers, capital grants, tariffs and subsidy rules need to reward the same outcome.

These four jobs are separable. Singapore performs them through unusually integrated public institutions and state control over land. Ethiopia uses performance grants to align municipal incentives. Odisha's Jaga Mission creates a mission structure and community partner. Thailand's Baan Mankong pushes implementation capacity into community cooperatives. South Africa is using performance-linked fiscal transfers to repair service institutions. The institutional form differs because the underlying state is different.

Mapping responsibilities in delivery

Link	Required decision	Common failure	Who gains from failure
Land	A legally and socially usable site is identified	Conflicting records, acquisition delay, hidden occupants	Brokers, insiders, speculative owners
Planning	Enough floor space is legal	Discretion, sequential reviews, obsolete standards	Scarce permit holders, incumbent owners
Infrastructure	Trunk and local capacity arrive on time	Separate capital plans and budgets	Owners of already serviced land
Procurement	A competitive supplier is selected and paid	Bid concentration, claims, payment delay	Connected contractors and intermediaries
Finance	Capital matches project and household cash flow	Title, tenor, risk and income records do not align	Bankable households, incumbent lenders
Allocation	The right household gets the right tenure	Opaque lists, patronage, weak demand evidence	Brokers, politically connected applicants
Occupancy	The household can actually use the unit	Remote location, high transport, service gaps	Agency still counts delivery at handover
O&M;	Assets keep working for decades	No owner, reserve, tariff or staffing plan	Capital agency avoids future liability

The table reveals a hidden feature of housing bureaucracy: fragmentation can create rents. Every unclear handoff creates demand for someone who knows how to move the file, secure an exception, identify a public parcel, accelerate a utility letter, or influence a beneficiary list. Institutional friction is costly to society and valuable to the broker.

This is why a technically elegant integration reform can meet resistance. It threatens information rents and discretionary power. The reform has to change the economics of the bureaucracy, not only its software.

Municipal performance incentives in Ethiopia

Ethiopia offers one of the strongest African examples of fiscal incentives changing municipal behavior. The World Bank's 2026 synthesis of urban performance grants reports that participating Ethiopian cities increased local revenue from about US$68 million in FY2020 to US$156 million in FY2023. The same model has reached approximately 150 million people across low- and middle-income countries. In Uganda, participating municipalities recorded an 83 percent cumulative increase in own-source revenue; Ghana's participating secondary cities recorded 148 percent.[1]

The 2018-2024 Ethiopia Urban Institutional and Infrastructure Development Program paired institutional conditions with large, visible capital. It operated in 117 cities, financed more than 2,700 km of roads and 2,700 hectares of serviced land, and the World Bank reports improved living conditions for more than 6.6 million people. Arba Minch reported a 262 percent rise in municipal revenue over five years.[2]

The design solves an incentive problem. Central government wants cities to budget, audit, procure and maintain assets better. City leaders want roads, markets, public space and serviced land. The performance grant makes institutional reform the price of capital. Independent verification makes the agreement credible.

Grant size matters. The World Bank's 2026 synthesis argues that performance-linked allocations generally need to reach at least 20 percent of the discretionary capital or development grant available to a local government before the incentive becomes strong. Small prizes generate reporting. Large prizes can change priorities.[1]

Evidence strength matters too. These figures are administrative program results rather than randomized estimates of causal impact. They show large changes in revenue, systems and infrastructure during program periods. The mechanism - tying meaningful resources to verified institutional performance - has enough repeated cross-country experience to merit serious attention.

Local knowledge and implementation in Odisha

India's Jaga Mission began with a different problem: the formal state could not improve informal settlements using parcel administration alone. Odisha created a state-wide mission around land rights, upgrading and community governance. The official program covers 2,919 slums. World Habitat reports a target population of roughly 1.7 million people; by the 2023 award cycle, 707 slums in 30 cities had been upgraded and eight cities declared slum-free.[3]

The mission joins three actions that usually sit in separate silos. Eligible households receive land rights. Settlements receive infrastructure. Slum Dwellers Associations participate in planning and are framed by the state as a fourth tier of governance. The state supplies law, finance and engineering. Residents supply information about occupation, local networks, drainage failures, vulnerable households and the social cost of relocation.[4]

The gain is more than participation. Community institutions lower the state's information cost. A cadastral map may show structures. Residents know who rents, who sublets, who runs a shop, who arrived recently, which path floods, and which claimant would be excluded by a title issued to the wrong person.

Mission mode still has limits. Railway land, forest land, major hazard areas and private ownership can fall outside the mission's effective authority. A powerful housing mission cannot compel another sovereign agency merely by convening it. Cross-government disputes need a formal escalation path with a decision-maker above the participating agencies.

Community power also needs checks. A Slum Dwellers Association can represent residents and can reproduce local hierarchy. Migrants, tenants, women or minority groups may have weaker voice. Representation rules, public records, grievance systems and external appeals convert local legitimacy into accountable authority.

Community-led delivery in Thailand

Thailand's Baan Mankong program offers a third institutional model. The Community Organizations Development Institute channels infrastructure subsidies and housing loans through organized community cooperatives. Communities survey housing problems, negotiate land, manage budgets, select technical support and oversee construction. The state finances and sets the frame; organized residents perform a large share of implementation.

Current program summaries report more than 130,000 households reached in more than 1,300 communities across about 200 cities by early 2026. The historic subsidy package averages around THB 80,000 per household, with infrastructure support, a house construction grant, technical assistance and community management support combined with repayable finance.[5]

The institutional effect is important. Community savings groups and cooperatives create a local balance sheet, a negotiating counterparty and a source of information. Collective tenure can protect households who would remain too weak as individual claimants. In canal and railway settlements, the same organization can negotiate with public landowners while redesigning the settlement to preserve infrastructure access.

This is a form of state capacity through partnership. The state gives a legal route and finance to an organization that has information and enforcement capacity at the block level. The risk is capture within the cooperative. Transparent budgets, elected committees, grievance channels and external technical review are essential because decentralizing authority also decentralizes the opportunity to exclude.

Ahmedabad’s resettlement experience shows what can go wrong when participation comes later. Associations were asked to manage services after relocation without comparable authority, preparation or clear public-service responsibilities. Baan Mankong places organised residents in land negotiations and spending decisions, supported by public finance and technical help. This institutional comparison is not a

matched impact evaluation. It supports building residents' capacity and authority before delegating duties, while retaining safeguards against local exclusion. [111,112]

Performance-based support in South Africa

Housing inherits the service system of the city. South Africa's eight metropolitan municipalities serve more than 22 million people and account for about 85 percent of national economic activity. Water, sanitation, electricity and solid-waste services have faced weak collection, underinvestment, poor asset management and declining reliability. The Metro Trading Services Program tackles these institutional failures through results-based intergovernmental finance.[6]

The World Bank operation provides US$925 million inside a larger government program, with US$2.31 billion of national contribution. Metro grants are released when verified institutional and service results are achieved. The targets include revenue management, asset management, governance, procurement and service quality. Miss the result and the grant is withheld.[6] For housing policy, this is a crucial shift. A new connection has little value if the utility cannot maintain pressure, bill users, repair pipes or replace assets. The housing sector often treats utilities as external providers. The household experiences them as part of the product.

Results-based finance creates its own risk: gaming the metric. When money follows an indicator, agencies optimize the indicator. Good design requires measures that reflect the service, independent verification, periodic revision, and enough flexibility to stop measuring a proxy after it ceases to describe the problem.

Construction and maintenance institutions in Rio de Janeiro

Rio de Janeiro's Favela-Bairro shows what happens when the implementation coalition ends at construction. The second phase upgraded 88 favelas between 2000 and 2008. A ten-year follow-up by the Inter-American Development Bank found that the treated favelas had, on average, returned to maintenance conditions similar to the control group. Sewerage, garbage collection and electricity scored significantly worse in the treated group. Residents reported sewage overflows, accumulated garbage, electrical failures and broken streetlights.[7]

The cause was broader than neglect. Rio's favela population grew nearly 27 percent between 2000 and 2010 compared with 3.4 percent in the rest of the city. Dense topography raised maintenance needs. Violence and deliberate destruction affected access and infrastructure. The capital design did not create an operating institution equal to the long-run task.[7]

The political economy explains the time inconsistency. A new road, drain or public space creates a public event. Cleaning a drain for twenty years creates no comparable political event. Capital budgets are easier to finance than recurrent staffing. Donors and development banks often lend for assets while municipal maintenance competes with many annual claims.

Integrated institutions in Singapore

Singapore provides the high-capacity benchmark. The Housing & Development Board has built more than 1.25 million flats and houses close to 80 percent of the resident population.[8] The number alone matters less than the institutional integration behind it. Public housing is planned together with transport, amenities, jobs, land use and long-term estate management.

The current Master Plan 2025 continues this logic. URA states that new homes, including public housing, will be developed close to job nodes, transport and amenities; by the early 2030s, eight in ten households are planned to live within a ten-minute walk of a train station. Bidadari, for example, is planned for about 10,000 households with extensive walking and cycling links to two MRT stations.[9]

Current HDB policy also treats asset stewardship as part of housing. In FY2024 HDB spent S$532 million on upgrading programs and S$570 million on ancillary residential functions including facilities

management and planning and building administration. In 2025 it completed about 19,600 flats, while its 2026 program planned another 19,600 BTO flats.[10][11]

The lesson for Africa and India is institutional rather than organizational mimicry. Singapore combines control over land, planning, public housing finance, construction pipelines, estate management and transport coordination in ways few governments can reproduce. Copying HDB as an agency without the fiscal, land and legal powers around it would copy the logo rather than the system.

The transferable idea is to make housing a spatial contract: every large housing program commits land, transport, utilities, schools, public space and long-run management against the same population and timeline.

One-stop approval systems

Governments often answer fragmentation by creating a one-stop shop. The device can work when it changes workflow. Historical World Bank evidence on permit reform shows systems that consolidated reviews, imposed time limits, recorded the officer responsible and escalated delays to supervisors. Those features matter more than the number of counters in the room.[12]

A one-stop shop fails when it adds a new coordinating office while each underlying agency keeps the same veto. The applicant submits one form and waits for the same sequential approvals behind the screen. Concentration can also increase the value of the gatekeeper. If exceptions remain discretionary, the new office becomes a more valuable point of influence.

The reform test is simple. Count decisions, not desks. Record how many agencies can stop the project, which decisions run in parallel, how long each clock can run, which reasons justify a refusal, and who hears an appeal. Publish the exception log. Integration should reduce the number of discretionary junctions.

Recording informal housing and occupancy

Formal housing systems organize information around parcels and registered owners. Informal settlements contain people whose claims do not align neatly with those fields: tenants, subtenants, structure owners, customary claimants, traders, recent migrants and households sharing a structure. A parcel database can be accurate and still miss the people most affected by a project.

The integrating state therefore needs two linked records. The parcel record describes land, legal rights, hazards and planning. The household and use record describes occupancy, tenancy, livelihoods, vulnerability and service needs. Neither should automatically overwrite the other.

This distinction matters for upgrading and tenure formalization. Infrastructure raises asset values. If only owners appear in the record, tenants disappear from compensation and return rights. A title can improve security for one claimant while increasing rent for another. Enumeration before investment preserves evidence before the prize grows.

Service provision can often be separated from final title adjudication. Water, sanitation, drainage and fire access can be justified by public health while land claims continue through due process. Making title a precondition for basic service can turn an administrative dispute into a health hazard.

Authority and interests in coordination

Actor	Institutional interest / rent	Veto	Likely story	Reform bargain
Housing agency	Unit count, budget, political credit	Site and subsidy rules	We need speed	Reward occupancy, access and lifecycle cost
Land agency	Control over valuable parcels and records	Transfer, valuation, title	The land is strategic	Public inventory, valuation, timed escalation
Municipality	Local control and fiscal balance	Permits, roads, waste, local plans	Growth will overload services	Recurring revenue + performance transfers
Utility	Financial health and network control	Capacity and connection	There is no capacity	Joint capital plan + funded O&M;
Developer	Margin and predictable pipeline	Can defer, litigate, switch segment	Risk makes the project unviable	Clear rules + competition + fast clocks
Contractor	Claims, utilization, payment certainty	Bids, variation orders	Costs changed	Benchmarks + prompt payment + open change orders
Treasury	Fiscal control and leverage	Transfers, guarantees, budget	Housing is one spending claim	Tie money to end-to-end verified results

Actor	Institutional interest / rent	Veto	Likely story	Reform bargain
Community group	Security, services, local voice	Legitimacy and local access	We know the settlement	Formal role + representation + appeals
Broker / patron	Information and exception rent	Access to lists, records and officials	I can unblock the system	Rules, public queues, auditable exceptions
Digital operator	Control over data and workflow	Access, scoring, architecture	One platform will solve it	Open standards, audit, correction and appeal

A coordination reform changes who can say yes, who can say no and whose information becomes authoritative. That is why organizational charts generate political conflict. Moving land approval into a housing mission can weaken the land agency. Creating a metropolitan utility can weaken municipal departments. Publishing queues can weaken brokers. A shared parcel database can expose allocations that depended on ambiguity.

The reform coalition must therefore be designed. City leaders need a visible gain, such as capital. Utilities need a credible route to recover costs. Communities need secure standing. Developers need predictable rights. Treasury needs independent verification. Future residents need representation through citywide targets because they cannot appear at today's local hearing.

Narratives matter. 'Coordination' can hide centralization. 'Community participation' can hide local exclusion. 'Fast-track' can hide weak scrutiny. 'Digital government' can hide automated discretion. The test is concrete: who gained a new decision right, what rule constrains it, and who can appeal?

Tenant and migrant representation must be designed before land and allocation decisions are settled.

Institutional bias and housing access

A delivery chain can reproduce exclusion even when every agency follows a formally neutral rule. Income documentation can exclude informal workers. Credit models can penalize neighborhoods that correlate with caste or race. homeowner hearings can block rental housing through parking, density or design objections. Public-land allocation can favor groups with political access. Informal settlement committees can exclude migrants or tenants.

The integrating institution should track conversion at each gate. Who receives land rights? Who obtains planning approval? Who passes lender underwriting? Who is allocated a unit? Who remains after relocation? Who bears a rent increase after upgrading? A final beneficiary list hides where exclusion entered the chain.

This suggests an inclusion ledger alongside the financial ledger. For every gate, record eligible households, approvals, rejections, reason codes and appeals. Where law permits, test outcomes by gender, caste, race,

class, migration status and tenure. The aim is diagnostic: find the gate where apparently neutral rules generate unequal access.

Intergovernmental fiscal arrangements

Many housing failures are fiscal federalism failures. National government captures broad tax gains from urban growth. Municipalities bear much of the marginal cost of local roads, drainage, waste, public space and service interfaces. A mayor who sees added low-income housing as a service liability can resist density for rational budget reasons.

Performance grants can change the agreement. Ethiopia uses capital to reward stronger city systems. South Africa now links metro transfers to service performance. Kenya's earlier urban support program used performance-based grants across participating municipalities and reached about 3.6 million urban residents, according to the World Bank's 2026 cross-country synthesis.[1]

Housing-specific transfers could reward legal serviced floor space in high-opportunity locations, fast rule-based approvals, affordable rental supply, occupancy, property-tax effort and asset maintenance. The indicator should sit within the recipient's control and connect closely to household welfare.

Transfer design should also account for spillovers. A municipality that accepts dense rental housing can bear local costs while the metropolitan labor market receives the gain. A metropolitan or national grant can compensate the host jurisdiction. This turns inclusion into a budget agreement instead of a moral request.

Institutions for operations and maintenance

A budget line cannot maintain an asset by itself. Someone must own the drain, inspect the roof, collect the rent, procure the repair, enter the settlement, answer the complaint and carry the political responsibility when the service fails.

Every affordable-housing project should identify six items before capital approval: the asset owner; the service standard; the staffing model; annual operating cost; major replacement reserve; and revenue source. For social rental add tenant management and arrears. For condominium ownership add association governance and reserve contributions. For upgrading add municipal access and security.

This requirement changes project economics. A design with lower capital cost and high maintenance can be more expensive over twenty years. A peripheral site with cheap land can require a costly new utility district. A low service tariff can be unaffordable to the utility. Lifecycle affordability belongs in the appraisal.

Digital workflows and accountable decisions

Housing has a natural digital spine. One parcel or project identity can link ownership and occupancy, zoning, infrastructure capacity, environmental risk, permit status, procurement, construction progress, beneficiary status, financing, occupancy, complaints and maintenance.

The first digital gain is simple: stop asking the same question repeatedly. Once a title or utility capacity statement has been verified, other authorized agencies should consume the same record. Version control matters because rights and capacity change over time.

The second gain is workflow. A useful system records who owes the next decision, when the clock started, what rule applies, which evidence is missing, what deadline governs, and who authorized any exception. Management can then see queues rather than anecdotes.

AI can reduce information cost further. It can reconcile parcel records, classify applications, forecast approval delays, detect duplicate beneficiaries, compare bids with cost benchmarks, identify construction

progress from imagery, flag payment anomalies, predict maintenance failures and cluster citizen complaints.

Each use should pass five tests. Constraint: which information or coordination failure changes? Magnitude: how many days, errors or dollars disappear? Capture: does the gain reach households or remain inside the bureaucracy? Power: who can now see, rank or block a household or project? Risk: what happens when the system is wrong?

A digital permit that rejects a household instantly can scale injustice faster than a paper office. A geospatial system that identifies informal occupancy can support service planning and can make eviction easier. A fraud model can detect duplicate claims and can penalize atypical households. Purpose limits, reason codes, correction rights, human appeal and audit belong in the housing design.

Identifying constraints during implementation

Housing systems change as reform succeeds. Once title improves, finance may become the bottleneck. Once planning is liberalized, trunk infrastructure may bind. Once infrastructure expands, developer capacity or construction finance can become scarce. A program designed around yesterday's bottleneck can keep spending after the problem moves.

The integrating institution should therefore run a quarterly constraint review. For each major city or program, identify the next binding gate using observed data: time to developable land, approval queues, network capacity, construction cost, unsold inventory, rent burden, mortgage rejection, occupancy, commute, service reliability and maintenance.

Budget and policy should follow the constraint. When supply is blocked by planning, spending more on buyer subsidies risks price capitalization. When permits are abundant and developers cannot obtain construction finance, liquidity facilities can matter. When units are complete and vacant, new construction is the wrong response.

This is where a shared information system becomes economically useful. It enables government to stop treating every housing shortage as a shortage of money.

Implementation risks

Institutional reform creates losers before it creates future gains. Public land inventories threaten opaque allocations. Parallel approvals reduce agency vetoes. Shared data expose inconsistencies. Performance grants punish weak systems. User charges can anger residents. Property-tax reform raises visible bills. Maintenance budgets compete with politically attractive new construction.

Three design moves improve feasibility. First, pair institutional loss with a visible gain: capital grants for municipalities, faster approvals for developers, tenure and services for communities. Second, sequence reform so affected actors can adapt: phase new standards, grandfather defined commitments, and move new budget growth toward the better system. Third, publish performance and exceptions. Transparency creates a constituency around rules.

Leadership matters because some conflicts cannot be negotiated at technical level. Land, utility finance and municipal powers involve real distribution. An integrator without political backing becomes a meeting secretariat. Political backing without rules becomes arbitrary power. Effective mission structures need both authority and constraint.

Implementing institutional reform

Where organisation is weak, finance mobilisation and assisted participation before delegating money; retain public responsibility for network services. Budget facilitation, audits and recurrent support as programme costs, rather than assuming unpaid resident labour.

The lead agency must settle inter-agency disputes; community organisations must disclose accounts; utilities must deliver their commitments. Track time from agreement to occupancy, unresolved handoffs, representative participation, service performance and exclusion from membership.

Step	Action	Why this order matters
1	Define the household outcome	Use occupied, serviced, accessible housing as the end result
2	Map the delivery chain	List every decision, data source, owner, deadline and veto
3	Identify the binding gate	Target the real constraint instead of the loudest agency
4	Name one accountable integrator	Give convening and escalation authority
5	Set clocks and decision rights	Turn recurring negotiation into rules and timed exceptions
6	Align finance	Make transfers and budgets reward the same result
7	Create the shared record	Use one parcel/project identity with versioned evidence
8	Build local and community capacity	Add information and legitimacy where formal systems are weak
9	Fund O&M; before new capital	Prevent deterioration from becoming the next housing crisis
10	Audit distribution	Track who gains from land, subsidy, approvals and digital decisions
11	Review the next constraint	Move policy when the bottleneck moves

This sequence starts with the end result and the bottleneck. Governments often begin with a new authority, a committee or a platform. Those are instruments. The problem should choose the institution.

Housing delivery assessment

Gate	Question	Evidence required
1 Outcome	What household result defines success?	Occupancy, housing+transport cost, service reliability, job access
2 Integrator	Who owns the end-to-end result?	Named office, decision rights, escalation power, public blocker list
3 Land	Is the site legally and socially usable?	Title, occupants, claims, hazard, public-land value
4 Planning	Are development rights clear and rule-based?	Parcel rights, approval clock, reason codes, exception log
5 Infrastructure	Will capacity arrive before occupancy?	Utility capacity, capital plan, connection date, O&M; owner
6 Finance	Is the full capital stack closed?	Public subsidy, private capital, guarantee, municipal liability
7 Procurement	Can the market deliver competitively?	Bidder depth, cost benchmark, payment time, change orders
8 Tenure/allocation	Will the target household use the product?	Demand, eligibility, tenure fit, waitlist, exit risk
9 Inclusion	Who can be screened out or displaced?	Tenant map, social-group incidence, grievance and appeal data

Gate	Question	Evidence required
10 Neighborhood	Are jobs, schools and transport part of the product?	45/60-minute job access, fares, school/service access
11 O&M;	Who keeps assets working for 20+ years?	Asset owner, tariff/rent, staffing, reserve, service standard
12 Political economy	Who gains, loses and can veto?	Actor-rent-veto-coalition map and sequencing plan
13 Digital power	What is automated or newly visible?	Purpose, access, explanation, correction, appeal, audit
14 Verification	Who checks claimed results?	Independent protocol and public reporting
15 Learning	How does policy change when the constraint moves?	Quarterly bottleneck review and adaptation rule

Use red, amber and green ratings and apply a weakest-link rule. Any red gate that can block occupancy, safety or long-run service must be resolved, financed or explicitly accepted by the decision-maker before project approval. Do not average the scores. A strong building cannot compensate for disputed land; a strong subsidy cannot compensate for a two-hour commute.

Investment criteria

Finance the chain, assign the handoffs, and govern the exceptions. An affordable-housing program is ready for scale when land, planning, infrastructure, finance, procurement, tenure, neighborhood access and O&M; form a credible sequence under one accountable integrator. Tie part of public finance to verified institutional performance. Put community institutions inside the system where official information is weak. Treat every discretionary exception and automated decision as a potential rent and make it auditable.

Evidence and limitations

The quantitative evidence in this chapter comes from current World Bank, Government of Odisha, World Habitat, CODI, IDB, HDB and URA sources. The evidence differs in strength. Performance-grant results are mainly administrative and program data. Favela-Bairro provides a long-term comparative maintenance assessment. Jaga Mission and Baan Mankong provide strong institutional case evidence with less causal identification. Singapore provides a high-capacity benchmark rather than an estimate of a portable treatment effect.

The weakest-link model, four jobs of the integrating state, chain map, constraint review and Housing Delivery Chain Test are analytical judgments. They are designed to force a government or MDB team to identify the next failure point before spending more on links that already work.

What transfers?

Worked because	prior organisation; authority over real decisions; secure land arrangements; paid technical support
Failed when	committees formed only at handover; tenants excluded; unfunded responsibilities; no external remedy for leadership failure
Do not copy	a cooperative, mission unit or HDB organisational chart
Transfer instead	place decision authority where usable information exists, while funding support and retaining public accountability
Scale test	Going from one settlement to 200 cities requires intermediary organisations, technical staff and independent oversight; local trust cannot be manufactured by decree.

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Operational use. Put the 15-gate Housing Delivery Chain Test on the wall at concept review. Require one named owner, one dated piece of evidence and one escalation path for every gate. The exercise usually finds a housing problem hiding inside an institutional handoff.

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PART II · SUSTAINING AFFORDABILITY

9. Maintaining affordable housing

Costs after occupation

In one of Mumbai's large relocation colonies, residents occupy formal flats with indoor toilets and piped water. Each building has a cooperative housing society charged with collecting fees, maintaining common areas and keeping the services working. The promised move from an informal settlement to a legal apartment has occurred. A second negotiation now begins: who will pay when the pump fails, the lift stops, or a neighbor cannot afford the maintenance charge?

A 2024 study by Robert Chaskin, Mouleshri Vyas and Manish Jha examined two such colonies, Majas and Lallubhai Compound. Lallubhai comprises 70 buildings and roughly 100,000 residents in a poorly connected part of the city. Majas, a smaller 16-building settlement, sits closer to transport and amenities. Researchers found that formal housing brought new rights and new obligations. Cooperative societies were expected to collect fees, handle disputes and repair buildings. Some residents distrusted their leaders; some leaders used utility disconnection to compel payment. An initial maintenance endowment of INR 20,000 per resident was meant to support upkeep, yet interviewees described funds that were inadequate, delayed or never received.[1]

The contrast between Majas and Lallubhai is instructive. Both received formal structures. Their different location, household resources, social networks and governing bodies changed what formalization meant in practice. A signed allotment letter could not guarantee a functioning pump. A housing society could acquire legal responsibility long before it acquired the money and legitimacy to meet it.

Affordable housing can be lost when existing dwellings become unsafe, vacant, disconnected, too expensive, or unavailable to the intended income group. Housing accounts need to measure these losses alongside new completions.

Additions to and losses from the housing stock

A city adds homes through new construction, extensions, conversions and upgrading. It loses effective affordable housing through physical failure, vacancy, tenure insecurity, rising rents, displacement, hazard, and the withdrawal of subsidies. Some losses are reversible. A vacant unit can be repaired; a seized building can be recovered. Others, such as a household pushed away from its job market, can impose lasting damage.

The useful accounting identity is simple: affordable service at the end of the period = affordable service at the start + new service created ' service lost through deterioration, exclusion, vacancy and change of use. The unit of account should be household-years of adequate, well-located shelter. A new apartment is a flow into that stock. An unmaintained sewer, a rent increase or a flood can reduce the stock without removing the building from the skyline.

This distinction matters for budgets. Capital grants buy assets at a point in time. Operating institutions determine how many years of shelter those assets produce. When a government rewards a housing agency for delivery at handover, the agency has reason to choose a cheaper lift, omit a replacement reserve and move on to the next project. The eventual bill falls on a cooperative, landlord, utility or household with far less bargaining power.

A second clock runs alongside physical depreciation: land appreciation. Better transport, safer streets, improved drainage and growing employment can make a neighborhood more valuable. That is the purpose of much public investment. It also invites higher rents, redevelopment pressure and exclusion.

The neighborhood can become more successful as an asset and less accessible to the households the project was meant to serve.

Financing replacement reserves

South Africa's Social Housing Regulatory Authority offers an unusually clear view of the operating business. Its 2025/26 Annual Performance Plan reports an earlier sector assessment in which rent collection fell from 90 percent in the second quarter to 85 percent in the third; vacancy improved from 8.6 to 7.2 percent. The regulator's benchmark was at least 95 percent rent collection and no more than 2 percent vacancy. These are historical quarterly figures reported in a plan published in 2025, rather than current October 2026 operating results.[2]

A small example shows why this matters. Imagine 100 rental flats with a monthly face rent of US$100. With 7.2 percent vacancy, 92.8 homes are billed on average; collecting 85 percent of billed rent yields US$7,888 per month. At 2 percent vacancy and 95 percent collection, the same buildings yield US$9,310. The gap is US$1,422 a month, or US$17,064 a year. These are hypothetical rents with actual reported sector ratios used as stress-test assumptions; they are not a South African project forecast.

That gap competes with roof replacement, pump repair, staff salaries, insurance and debt service. Reducing maintenance can conceal the shortfall for a few years. It raises future repair costs and weakens tenant willingness to pay, creating a spiral. Aggressive collection can improve accounts and also punish households suffering income shocks. The regulator therefore needs a dual test: financial survival of the provider and security of the tenant.

Figure 9.1. Rental revenue under different vacancy and collection assumptions

Assumption or result	Reported Q3 conditions	Regulatory benchmark
Units / face rent per month	100 / US$100	100 / US$100
Vacancy	7.2%	2.0%
Collection of billed rent	85.0%	95.0%
Monthly cash received	US$7,888	US$9,310
Annual cash received	US$94,656	US$111,720
Gap from benchmark	US$17,064 a year	—

Illustrative calculation. SHRA historical ratios are used only as scenario inputs; no exchange-rate conversion or claim about a representative rent is made.

The right subsidy can buy financial discipline as well as affordability. A project may need a larger capital write-down so that sustainable rents can cover routine operating costs and a lifecycle reserve. Some households may also require income support. A maintenance reserve should be held in a ring-fenced account with approved uses, audited balances and a replacement schedule. An empty statement that "residents will maintain the asset" is a transfer of risk, not a financing plan.

The developer has incentives at design stage that differ from the operator's. Cheaper materials can lower the construction bid and increase future repair bills. A developer that also operates the buildings for twenty years internalizes more of the trade-off. Performance specifications and long-term warranties can partly replicate that incentive when construction and management are separate. At appraisal, finance ministries and lenders should demand an audited whole-life cost model, rather than accept the lowest initial price.

Collective management in owner-occupied buildings

Mumbai's cooperative housing societies illustrate a wider problem of collective action. The exterior wall, roof, staircase, lift, water pump and drain belong to everyone and therefore to no single household. A resident can withhold fees and still benefit when neighbors pay. A committee can divert money. An owner who plans to sell soon may oppose spending that preserves the building ten years later. A tenant may have no vote although she bears daily service failures.

The Mumbai study interviewed 89 residents across Majas and Lallubhai. It found uneven trust and participation, contested elections, reports of favoritism, and heavy demands on unpaid leaders. The contrast with an ordinary middle-class apartment association was striking: many relocated households were asked to assume the legal burdens of common-property management while facing income insecurity and incomplete state support.[1]

The policy fix begins before occupancy. Residents need an accurate asset register, an engineer's schedule of likely replacements, simple accounts in the local language, independent signatories, grievance procedures and a funded handover period. The authority should verify that the original endowment has reached the society and that the elected committee can procure and supervise repairs. Technical support should taper only when those tasks work in practice.

Rules on membership and voting determine whose interests a housing association represents. Voting restricted to titleholders can exclude tenants, women not named on deeds, and migrants. Existing discrimination can also affect cooperative decisions. Residents need a way to appeal beyond the managing committee.

Neighbourhood drainage in Nairobi

In April and May 2024, heavy rain in Nairobi exposed the boundaries of the housing unit. Water ran through settlements built along rivers and low ground, carrying waste from blocked drains and damaged sanitation systems. On 9 May, Nairobi City County estimated that 20,968 households had been affected and opened camps across seven sub-counties. A 2026 World Resources Institute study links the damage to rainfall interacting with settlement location, paved surfaces, encroached wetlands, waste blockages, weak drainage and split responsibility for risk management.[3][4]

A household can repair its roof and still be flooded because an upstream drain is blocked. The landlord can improve a compound toilet and still face contamination because the downstream sewer fails. The city can install a drain that works on opening day and fails after two seasons because no agency keeps the channel clear.

Environmental resilience is therefore an operating relationship among households, solid-waste collectors, water utilities, road departments and basin managers.

Kenya's Informal Settlements Improvement Project offers a foundation for this work. The program reports about 1.36 million beneficiaries, 23,397 titles and 98 km of roads under its earlier phase. KISIP2 combines tenure regularization with infrastructure upgrading and institutional capacity under national and county arrangements.[5] Those output figures are important. They do not, by themselves, establish the lifetime condition of drains or the fate of tenants after an area improves.

For each upgraded settlement, counties should agree an asset boundary with the water company and other providers: who owns the drain, who pays the sweeper, who clears illegal dumping, who repairs after a flood, and which budget releases emergency funds? A geotagged asset ledger can make the answer visible. It cannot clear the drain. Someone needs an enforceable service duty and a source of recurrent money.

Eviction politics complicate climate safety. A home in a river corridor may impose unacceptable risk; leaving it in place can be indefensible. Demolition without safe, accessible alternatives can move households into another floodplain or force them into higher rents. Risk maps should trigger graduated

decisions: protect in place where feasible, retrofit where risk can be reduced, and relocate where life safety demands it. Every route needs tenant enumeration, compensation, a realistic destination and protection against opportunistic land grabbing.

Repairs, rents, and landlord incentives

Neighborhood improvement increases willingness to pay for an address. Who receives the gain depends on tenure and competition. An owner-occupier enjoys the service and the rise in asset value. A landlord can raise rent or enjoy lower vacancy. A tenant may gain a cleaner street and lose the home when the lease ends. A structure owner in an informal settlement may capture public value even without holding the land title.

Marie Huchzermeyer's study of Nairobi slum upgrading showed how commercialization of shelter and services complicates the distribution of upgrading benefits. Andrea Rigon's ethnographic work on a Nairobi upgrading program found that participatory enumeration and community structures could entrench existing inequalities between landlords and tenants. These are qualitative institutional findings, not measured citywide estimates of rent pass-through.[6][7]

Nor does every upgrade immediately raise market values. A study of Rio's Favela-Bairro found no statistically significant average increase in dwelling values, while some initially disadvantaged properties appreciated. Legal tenure, security, access and the wider market all affect capitalization. A government should test the local incidence of improvement rather than assume a fixed coefficient.[8]

The implementation task is concrete. Before paving the street, enumerate tenants separately from structure owners. Record current rents, lease terms, deposits and households' contact details. Offer tenants notice, temporary relocation support where works require it, and a route to dispute arbitrary exclusion from return lists. Where rents rise quickly, expand legal low-cost rental nearby and consider a time-bound protective rule paired with supply expansion. Monitor who remains two, five and ten years later.

The reform coalition must include small landlords as producers as well as tenants as consumers. Offer owners simple permits, staged loans and bulk service connections for added rooms in return for minimum safety, transparent rent terms and inspected work. A policy that threatens the entire informal rental business will struggle to survive; one that ignores tenant rights can spend public money to improve the bargaining position of landlords.

Housing vacancy and location in Mexico

Mexico provides the global cautionary case for the afterlife of subsidized production. The OECD's 2024 economic survey reports that roughly one-seventh of the national housing stock, between five and six million units, was vacant, based on national data. The estimate includes housing of many kinds; it must not be equated with abandoned subsidized developments. Still, weak service access, distance from work and violence were important factors behind abandonment. Some social developments had delivered owners an asset in a place where households could not sustain a life.[9]

Repairing the stock has proved hard. In Tlajomulco, the municipal Renta tu Casa initiative had rented only 90 homes over three years against a reported stock of 17,000 vacant units. Agreements signed from 2020 to July 2023 aimed to recover about 131,000 abandoned dwellings nationally, yet the OECD noted slow progress caused by property disputes, municipal capacity limits and the politics of three-year local mandates. These are targets and partial implementation results, not recovered-house totals.[9]

The economic loss goes beyond the unit. An abandoned block thins the customer base for shops, weakens natural surveillance and reduces the revenue available for neighborhood services. Vacancy can then encourage more vacancy. A recovery plan must rebuild the service environment and address security, mobility and legal claims alongside repairing walls. Public money should enter only after a credible

estimate of how many households will occupy the recovered homes, at what ongoing cost, and with what prospect of staying.

Mexico also reveals a political asymmetry. New construction awards contracts and produces completion ceremonies. Reclaiming and repurposing abandoned homes requires court processes, municipal cooperation, infrastructure repairs and negotiations with owners. Those tasks are slower, less visible and often more valuable to the existing housing stock.

Long-term housing institutions in Vienna

Austria offers an alternative long-run agreement. Limited-profit housing associations hold or manage more than two-thirds of the country's social and affordable housing stock. They set rents on a cost-recovery basis that includes finance, management, maintenance and refurbishment. Profits are capped and earnings retained for housing purposes under a system of audits and regulation. The associations have an institutional reason to preserve the asset rather than extract the highest possible current rent.[10]

The OECD's 2026 review reports that, among dwellings constructed since 2011, rents in Austria's for-profit sector were 74 percent higher than in limited-profit dwellings; in Vienna the gap reached 91 percent. This is an observed comparison across segments, not a causal estimate of what one particular tenant would save if the same apartment changed ownership.[10]

The cash architecture helps explain the durability. Housing Europe's Housing2030 case study describes building-specific renovation funds alongside retained surpluses used to invest in additional housing. Revenue earned from a property can return to the property when major systems wear out. A provider with a stock of buildings, patient capital and regulated earnings has reason to think across generations.[11] The Austrian model carries its own political questions. Long-standing tenants may gain valuable security; outsiders may wait. Broad eligibility sustains a middle-class coalition and helps avoid deep concentrations of poverty, yet lower-income households still need access in high-demand areas. Public support, tax treatment and land allocation need scrutiny. Its transferable principle is the duty to preserve a long-lived affordable stock, backed by audited reserves and a stable provider balance sheet. Copying cost rents without institutions able to collect, reinvest and enforce would produce an accounting fiction.

Vienna and Mexico illustrate different obligations after construction. Vienna's providers collect and reinvest income over the life of their stock; recovering vacant Mexican homes requires resolving location, services and legal claims as well as repairing buildings. Their outcomes cannot be attributed to ownership form alone. A local adaptation needs a viable operating budget, usable location and enforceable responsibility for renewal. The rent comparisons above are descriptive, and Mexico's vacancy total includes housing beyond subsidised developments. [9-11]

Interests in neighbourhood management

The politics of housing changes after occupancy. During development, the powerful actors are landowners, developers, permit authorities, banks and politicians seeking completed units. After occupancy, power shifts toward incumbent homeowners, landlords, resident committees, utility managers, contractors selling repairs and agencies that decide whether to renew or clear an area. Tenants and future residents often have the weakest formal voice.

Four recurring conflicts determine whether affordability survives. Maintenance: the person who must pay today may leave before the repair pays off. Appreciation: owners and landlords can capture a public improvement that tenants helped finance through taxes. Renewal: a city wants to rebuild an aging or risky block, while residents fear permanent displacement. Entry: current owners can use building rules, zoning, security practices and political pressure to exclude lower-income households or new rental supply.

Race, caste and class enter these conflicts through ordinary-looking institutions. A residents' association can demand parking and low density in the name of order; the same rule raises the entry cost for poorer households. A cooperative board can refuse subletting to certain groups. A landlord can discriminate through screening. A city can demolish an informal settlement after a flood while leaving more powerful encroachments untouched. Credible inclusion policy must trace decisions to people, not stop at formally neutral rules.

Table 9.1. Interests and responsibilities after handover

Actor	Rent, risk or objective	Veto point	A feasible bargain
Incumbent owner	Capital gain; low fees; neighborhood control	Votes, association rules, redevelopment consent	Reserve fund + transparent renewal gain + protected return
Tenant / migrant	Affordable rent; stability; job access	Weak formal veto; can exit or protest	Notice, appeal, rent data, alternative units and return rights
Small landlord	Yield from improved location; low compliance cost	Can increase rent or withhold rooms	Finance for safer additions, enforceable leases, fair inspection
Utility / municipality	Cost recovery, service duty and local fiscal balance	Tariff, connections, repairs, local approvals	Ring-fenced O&M; and transfers tied to occupied serviced units
Developer / renewal contractor	Construction margin, land uplift, density rights	Project viability, finance, claims, delay	Competitive tender, open-book value, milestones, resident protections
Resident committee / broker	Fee control, allocation information, local influence	Records, membership, building access	Audited accounts, rotation, independent appeal, tenant voice
Future resident	Affordable entry into an opportunity area	Usually absent from local proceedings	Metropolitan housing targets and by-right supply

A successful coalition aligns those who keep an area functioning: residents, responsible landlords, utility workers, municipal treasuries, employers and transport providers. A failed coalition rewards the opening ceremony and leaves maintenance to agencies with weak budgets. The political story matters: "protect our neighborhood" can mean preserving genuine amenities or preserving a scarcity rent. "Slum clearance" can mean safety work or land assembly for others. Publish who benefits, who moves, and who receives the increase in land value.

Physical integration is lost if low-income buildings become unsafe or residents cannot pay common charges.

Renewal and resident protection

At some point maintenance alone is insufficient. Buildings require seismic strengthening, flood protection, new pipes or replacement. Neighborhoods need more floor space as household size, migration and jobs change. Governments then face a choice among rehabilitation, selective redevelopment, densification and relocation. Each route creates winners and losers.

Rehabilitation works when the structure remains safe and the service system can be renewed. Selective replacement works when some buildings are beyond repair and temporary accommodation can be secured. Densification can finance better infrastructure through added development rights. It can also create a residual claim on land that prompts developers to remove lower-income residents. Peripheral relocation may lower immediate land costs while destroying access to work.

A renewal contract should therefore contain a return agreement before a developer is selected: precisely which occupants qualify, how tenants and owners are treated, how long temporary housing is funded, what happens if the developer stops paying, and who bears the cost of delays. Land value and added floor

space should be independently assessed. Release development rights or subsidy in stages against verified rehousing and service outcomes. Residents need a right to see the contract and a forum outside the developer's control for disputes.

Existing owner coalitions can also block beneficial density. A pensioner fears a levy for a new lift; an owner hopes for a high redevelopment payout; renters want security; neighbors oppose taller buildings; municipal officials may welcome land-value gains. Transparent valuations and a sharing rule for uplift make bargaining possible. The state should distinguish safety rules that cannot be traded from design preferences and distributional claims that can be negotiated.

Climate risk and maintenance

Past weather is a poor guide to a building's future exposure. Heavy rain, heat and changing flood paths shift the service standard. A drain sized for an earlier rainfall pattern may fail more often. A roof that was cheap to install may trap heat and raise the household's electricity burden. A wall that survives dry seasons may crack after repeated wetting. Climate risk changes the expected lifetime of assets and the amount that must be set aside for replacement.

The World Bank's April 2026 review of resilient, green and inclusive buildings reports that Tamil Nadu's 2020-25 housing and habitat operation built approximately 15,000 affordable units while using resilient and green design and reforms to housing institutions.[12] That experience points to a useful appraisal rule: price energy, cooling, flooding, insurance, repair and transport over time. A low first cost can produce an expensive household month.

The hazard decision must remain distributive. Stronger drainage raises land value. Flood zoning can make some plots unbuildable. Household retrofits may be affordable to owners and unreachable to renters. Public investment can inadvertently speed displacement. Risk reduction needs a tenure plan, a safe location option and a source of money for continued operation.

AI, maintenance information, and resident rights

The information problem after handover differs from the one before construction. A planning system asks what can be built. A neighborhood management system asks what is failing, who is affected, what repair is due, how rents are changing and whether intended residents still have access. These questions are repeated every month.

A simple digital asset register can assign each pump, drain, lift and streetlight an owner, condition, inspection date, repair budget and public complaint route. Household surveys can record service quality and affordability. Satellite and street imagery can flag physical change; water and power data can reveal abnormal service loss; maintenance histories can help predict failures. AI can sort complaints, compare repair bids, detect unusual work orders and forecast reserve needs. The savings must be established through a pilot with independent verification.

Every tool requires the same five tests. Constraint: does it reduce the cost of locating failures, diagnosing them, contracting repairs or measuring displacement? Magnitude: how many failures, days or dollars are actually avoided? Capture: do lower costs improve services or accrue to the platform vendor and asset manager? Power: who gains the ability to see occupants, rent payments and informal additions? Risk: can inaccurate records trigger selective eviction, discriminatory fees or the cutting off of essential services?

Mumbai's experience provides a warning. When a housing committee uses electricity or water disconnection to enforce payment, a digital arrears system can make that coercion faster and more exact. Data rights must specify permitted uses, notice, error correction and independent appeal. In informal areas, separate the service register from enforcement action so that seeking a water connection does not automatically create a demolition case.

The decision tool should be audited at both ends: have repairs become faster, and have residents become more secure? A low average repair time says little when the most vulnerable households cannot report a problem or appeal a decision.

Neighbourhood management agreement

Use different arrangements for walk-ups, high-rise blocks and informal rental stock; match service promises to viable operating costs. Combine affordable contributions with transparent targeted operating support and funded replacement obligations.

Operators must inspect and repair; municipalities must provide networks; regulators must enforce service and affordability commitments. Track occupied safe home-years, failures and repairs, reserves against forecast need, total fees, arrears and displacement after renovation.

Governments should append a twenty-year survival contract to every major housing or settlement-upgrading investment. It is a plain institutional agreement among the asset owner, operator, local government, utility, financiers and residents. It links physical performance to social access. The questions below form a test for concept review, completion review and each five-year renewal review.

Table 9.2. Neighbourhood management assessment

Gate	Question to put to the government and operator	Required evidence
1. Unit of success	How many low-income household-years will survive?	Occupied, adequate, serviced units by target group, tracked over time
2. Asset boundary	Who owns every common asset and off-site connection?	GIS-linked register, handover certificate, named operator
3. Cost	What is the 20-year cash requirement?	Repairs, staffing, energy, insurance, climate allowances, renewal schedule
4. Reserve	Where is the replacement money held?	Ring-fenced account, actuarial schedule, independent audit
5. Affordability	Can the target household pay total recurring cost?	Rent/fees + energy + water + transport; shock scenarios
6. Collection and rights	What happens when a household cannot pay?	Arrears protocol, hardship support, limits on service cutoff, appeal
7. Tenant incidence	Who receives the value of public improvements?	Baseline and follow-up rents, leases, owner/tenant map, displacement
8. Inclusion	Who can enter, remain, and return after works?	Rules tested by income and relevant social group; tenant return rights
9. Hazard	Does the site stay safe as risks change?	Climate and structural risk map, trigger levels, financed response
10. Renewal	Who decides when to retrofit or rebuild?	Independent condition survey, votes, valuation, temporary housing plan
11. Local finance	Can city and utility fund recurrent services?	Tariffs, local taxes, performance grants, service contracts
12. Data power	Can digital records be challenged?	Purpose limits, public metrics, correction, offline access, independent appeal

Rating rule: a red gate that can interrupt water, safety, affordability or lawful occupancy blocks approval until a remedy is funded and assigned. A green construction schedule cannot offset an unfunded asset reserve.

The contract should begin with a baseline: household roster by tenure, rent and fee levels, service conditions, maintenance backlog, flood exposure, asset ownership and job access. By completion, identify every operator and fund the first years of upkeep. At year two, compare actual collections, vacancy, rents, repair time and displacement with the baseline. At year five, adjust the tariff, subsidy, design or provider. At year ten, commission an independent physical survey and plan renewal.

Financing should follow performance over time. One option is to retain a modest share of the capital subsidy until a verified handover and operating reserve exist. Another is to tie municipal transfers to sustained occupancy, service reliability and inclusion, with protection for cities serving poorer households. Development banks can finance asset-management systems and rehabilitation alongside new units. The point is to put economic value on keeping homes usable.

Evidence and limitations

The evidence in this chapter varies in strength. Mumbai's housing-society findings and Nairobi's accounts of participation are careful qualitative studies that reveal mechanisms; they do not estimate representative effects for all India or Kenya. South Africa's rent and vacancy numbers are reported sector monitoring data from a specific historical period. Mexico's vacant-stock estimates describe the wider market and cannot be treated as counts of abandoned subsidy units. Austria's rent gap is a descriptive comparison across different market segments. The Nairobi flood record documents a damaging event and the institutions that mediate risk. The worked financial example and the Neighborhood Survival Contract are analytic judgments offered for project use.

The propositions can be tested. Randomly phase technical help to new housing societies and compare repairs, collections and grievances. Compare upgraded settlements with matched non-upgraded areas while tracking tenants as well as owners. Link asset condition to rent, vacancy, health and commute outcomes. Audit digital complaint systems for unequal resolution. And calculate the public subsidy per year of housing that actually remains affordable to the intended group.

Housing becomes more valuable as the city grows. Success therefore creates the next political contest. The central task is to preserve the right of poor households to participate in that growing city while the stock ages and land appreciates. Chapter 10 turns to the metropolitan scale: how cities can make enough room for the next generation without reproducing scarcity, segregation and the subsidy cycle.

What transfers?

Worked because	stable operator revenue; protected renewal funding; useful location; enforceable resident rights
Failed when	fees below necessary costs without subsidy; remote sites; unclear common-property duties; repair deferral
Do not copy	Vienna's ownership form or a national construction target
Transfer instead	finance and govern safe affordable occupancy for the full asset life
Scale test	Aggregate the replacement cycle and shortage of competent managers across the whole portfolio; many estates can need renewal in the same year.

Sources and evidence notes

Sources checked 8 October 2026. Endnote numbers identify the evidence supporting the adjacent passage. Statistics are presented with their source period; old program figures are not treated as current stock estimates.

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10. Metropolitan growth and coordination

Growth across municipal boundaries

Imagine a worker living on the edge of Nairobi. Her employer, landlord and bus operator all serve the same labor market. The planning office that controls the next apartment block may sit in another county. The road agency can widen a highway; the water utility must still connect the site; the county must maintain its drains. One metropolitan economy is governed through many separate contracts. The worker pays for the gaps through rent, fares, time and uncertainty.

Nairobi offers a stark measure of the problem. A World Bank study using job-location data, the Digital Matatus network and household surveys estimated that the average resident could reach fewer than 10 percent of Nairobi's jobs on foot within one hour, and only around one-quarter by minibus. Homes with better job access commanded higher rents. Poorer residents and residents of informal settlements faced the weakest access [4]. The result is a labor-market tax that never appears on a tax bill. A household may find cheaper shelter farther away and lose the saving on travel, foregone work, or both.

The next wave of growth will magnify this problem. An OECD-led assessment projects Africa's urban population rising from roughly 717 million in 2020 to 1.4 billion by 2050, with urban land area more than doubling under its spatial scenarios [1, 9]. For India, a 2025 World Bank assessment projects urban population approaching 951 million in 2050 and estimates that more than 144 million new homes will be needed by 2070 [2]. These projections use different definitions and horizons; adding them produces an indication of scale, not a harmonized dwelling forecast. Both point to the same practical task: millions of sites, streets, pipes and legal floor areas must be fixed well before people arrive.

The metropolitan agreement is a deal among the places that gain from growth and the places that must host it. A central district gains workers and customers. An outer county gains land development and perhaps property taxes. A transit agency gains riders. Incumbent owners can lose quiet streets, parking and exclusivity; landowners close to new infrastructure can gain a windfall. Low-income renters need access to the city yet have the least influence over the decisions that govern their future address.

Three approaches to urban expansion

A metropolitan housing strategy has three physical margins. The first adds floor space inside the built-up city: subdivided houses, backyard rentals, apartments over shops, redevelopment of obsolete sites and new buildings near stations and jobs. The second prepares an edge for growth: a street grid, drainage corridors, secure land rights, trunk capacity and local services before building becomes irreversible. The third builds or strengthens additional employment centers so households can reach jobs without travelling through the old core. Every serious metropolitan plan uses all three; the proportions should follow measured demand, land costs, network capacity and the location of work.

Infill has a powerful economic advantage. It can use existing roads, workplaces, schools and pipes. Its chief obstacles are expensive parcels, multiple owners, restrictive building rules, contested redevelopment and the political veto of nearby households. The built-up core can also be hazardous or lack spare water and sewer capacity. Where added density requires expensive pipe replacement, the public cost must appear explicitly in the comparison.

Serviced expansion is essential when population grows faster than the stock of safe developable plots. Urban residents will find land on the fringe with or without a plan. Government can lower future costs by setting rights-of-way, drainage and public-facility sites early, when land is still cheap and disputes are fewer. The timing is the advantage. A paved road through settled neighborhoods can require demolition,

resettlement and litigation; reserving its corridor before settlement changes the economics of the whole district.

New employment centers are harder to create than maps suggest. A government can designate a satellite city or industrial park. Firms choose locations based on workers, suppliers, markets, reliability and peer firms. Workers choose homes based on jobs they can actually reach. A new center can therefore become a dormitory town when jobs lag, or an enclave when firms hire workers from elsewhere. Public capital should follow credible private investment, existing supply chains and observed commuting flows. A line on a master plan cannot create an agglomeration.

These choices produce distinct forms of building. Four-storey walk-ups, row houses, courtyard rentals, high-rise flats and serviced incremental plots have different land and construction economics. Lifts, fire systems, foundations and common-area maintenance can make a taller building costly; large parking mandates and setbacks can make a low-rise one consume too much land. Materials policy, industrialized construction and developer finance matter after the city establishes where a dwelling can be built and who is likely to occupy it.

Land scarcity and transport costs

The World Bank's Africa's Cities study finds that, after accounting for national income levels, housing costs in African cities were about 55 percent higher than in comparable cities elsewhere; transport prices were about 42 percent higher [3]. These are historical cross-country price comparisons, not present-day market quotes. They describe two sides of the same constraint. Fragmented urban land markets make serviced locations scarce. Weak transport makes a distant location a poor substitute. A housing ministry can lower a unit's construction cost and leave this combined scarcity untouched.

The price of a central apartment reflects several things: floor space, building quality, neighborhood safety, services and access to jobs. Some of that premium pays for genuine scarcity, including fixed land and expensive infrastructure. Part reflects rules. A height limit, minimum plot area, wide setback or parking mandate can prevent the city from adding homes at a location where households would pay to live. A developer then bids against other developers for the few legal projects, and the right to build becomes valuable in its own right.

The price of a peripheral plot can conceal its own subsidy. The central public budget may finance a cheap house on cheap land. A distant municipality must add schools and maintain drains. A national agency builds the trunk road. The household pays higher fares and loses time. The land bill looks small because part of the cost has been assigned to other balance sheets. When cities appraise projects this way, peripheral development can win a procurement contest while losing the economic contest.

The practical measure is generalized housing cost: the present value of shelter payments, utilities, transport cash outlays, time spent travelling, service unreliability, climate exposure and relocation risk. Governments should calculate it for distinct income and tenure groups. A dual-income family has a different job-access map from a single worker; a domestic worker with several clients values a different network from an office commuter.

Comparing development locations

Consider three hypothetical ways to house 10,000 low-income households. Each option supplies an adequate dwelling. All figures below are illustrative US dollars per household. Housing cost includes the land and top structure; public infrastructure cost is counted separately; monthly mobility combines fares and travel time valued using an explicit shadow wage. Assume a 20-year horizon and a 5 percent annual real discount rate, compounded monthly. The present-value factor for a one-dollar monthly cost is 151.5.

Option	Housing cost	Public infrastructure	Mobility / month	Total 20-year social cost
A. Infill near jobs	$26,000	$4,000	$80	$42,122
B. Serviced extension	$20,000	$8,000	$180	$55,275
C. Remote cheap land	$16,000	$12,000	$280	$70,427

Illustrative model only; it describes a method for appraisal, not costs observed in an African or Indian city. Totals add housing, public infrastructure and present-value mobility costs. Time valuation is an explicit assumption and should be sensitivity-tested.

The distant option saves $10,000 in land and construction relative to infill. It requires $8,000 more public infrastructure and imposes roughly $30,305 in present-value mobility costs, compared with $12,122 for infill. The full cost per household is about $28,300 higher. At 10,000 households, the difference approaches $283 million. Change the travel-time valuation and the result changes; the correct response is a sensitivity analysis, not silence about time. A city that counts only the housing agency's capital budget will systematically favor the wrong land when the other costs are large.

The comparison also exposes a fiscal question. The household cannot pay a large up-front premium for good location even when that location would save public money and commuting costs over time. The state may need to assemble land, finance enabling infrastructure, use a land lease, or support rental housing. The economic benefit can justify action; a financing mechanism must turn that benefit into a feasible payment today.

Evidence on actual moves reinforces the need to assess location. The US Moving to Opportunity experiment found later earnings gains for children who moved young; the Ahmedabad housing lottery improved dwellings without measured income or human-capital gains over the long follow-up. The populations and interventions differ. Together they show why the appraisal must test usable opportunity and the cost of losing networks, rather than assume either relocation or proximity benefits every household. Chapters 18 and 25 examine the household evidence in more detail. [106,107]

Metropolitan coordination in Nairobi

Nairobi's functional housing market extends into Kiambu, Machakos, Kajiado and Murang'a. Kenya created the Nairobi Metropolitan Area Transport Authority in 2017 to coordinate integrated public transport across these five counties [5]. Its metropolitan council includes national transport and treasury officials as well as county governors. That arrangement acknowledges the spatial reality: daily commuters and traffic cross boundaries that each county cannot manage alone.

Transport coordination is necessary and partial. Housing sites, zoning, development approvals, land rates and local roads remain tied to other authorities. A county can approve a large estate on its side of the boundary. The national highway may carry commuters toward Nairobi. The water utility faces a new connection bill. No single investor has a contract to deliver the entire housing-and-job-access outcome.

A credible metropolitan agreement would give each corridor a shared population and employment forecast; a single parcel-to-project register; a public map of water, sanitation, electricity, road and transit capacity; common service standards; and binding agreements on who funds trunk expansion. It would link station investments to legal rental and ownership floor space within a defined catchment. County housing targets should follow corridor capacity and job access, with transfers compensating counties that serve a wider labor market.

The political obstacle lies in who gains. A peri-urban landowner can capture the uplift when a new interchange or pipeline is announced. A developer values rapid approval. An incumbent neighborhood can oppose small apartments while still employing the workers who need them. Minibus operators may fear the loss of routes or income under transport reform; they can also become part of a regulated feeder and operating system. A feasible agreement needs visible gains for these actors, transparent land transactions and a direct voice for current tenants and future residents.

A digital land and accessibility atlas would help reveal the choices. Its value would come from decisions attached to the map: identify the sites where added homes buy the greatest access, publish infrastructure commitments, price public land before announcements, and audit the location of beneficiaries. A map without binding capital plans would merely display the failure in finer detail.

Urban growth and municipal finance in India

India faces a striking mismatch between urban investment needs and municipal resources. A 2022 World Bank assessment estimated $840 billion in urban infrastructure needs over the following fifteen years, with more than three-quarters of then-current investment funded by central and state governments and only about 5 percent by private sources. It found that the ten largest urban local bodies spent only about two-thirds of their capital budgets over three fiscal years [6]. A 2025 World Bank report estimated more than $2.4 trillion would be needed by 2050 for resilient, low-carbon urban infrastructure and services [2]. The estimates have different horizons and scopes; both reveal the scale of the financing and implementation gap.

The fiscal institutions constrain the housing response. The Reserve Bank of India's 2024 review of 232 municipal corporations found continued dependence on transfers and grants, with own revenue inadequate to meet recurrent spending for most corporations [7]. A World Bank assessment put urban property tax receipts at about 0.15 percent of GDP during 2011-18 [6]. A metro that cannot recover a reliable share of the value created by additional floor space can view growth mainly as a service obligation.

Urban powers are also divided. Planning, land administration, major transport, utility investment and municipal service functions often reside in separate state or local bodies. A new rail line can raise land values well outside the local government that pays to maintain the surrounding streets. A municipality may seek development charges at permit approval because the state controls the property-tax framework. A developer may then encounter multiple charges, delays and uncertain rights; buyers face the cost at the end.

Ahmedabad's town-planning scheme offers an important institutional tool for planned expansion. The mechanism readjusts parcels, reserves land for streets, parks and public uses, returns smaller but better-serviced plots to owners, and can recover part of the increment through betterment charges. A World Bank review of schemes in Ahmedabad found land contributions of 25-40 percent in the schemes studied, together with a typical period of about ten years from initiation to final approval against a statutory expectation of three to four [8]. Later World Bank guidance notes that Gujarat law can permit deductions up to 50 percent and that reservations for affordable housing form part of the tool [9]. These legal ceilings and specific case figures should be kept distinct.

The scheme creates a coalition by giving landowners reconstituted serviced plots. It gives the city a means to lay down a street grid before prices surge. Its weak point is time, title complexity and the treatment of people who hold no recognized plot. A tenant, informal structure owner or small shopkeeper may lose a livelihood during readjustment while registered owners receive the uplift. The right to return, rental supply and a verified occupancy census must therefore enter the land process at the start. The cadastral map alone shows a partial distribution of claims.

Access to central locations in South Africa

South Africa offers a measurable picture of the long shadow cast by land policy and racial separation. A recent World Bank study using census, administrative and satellite data found that areas within five kilometres of commercial centers in South African cities had about 9,300 fewer residents per square kilometre than predicted against twenty global peers, roughly 60 percent below the peer median [10]. The housing market supplies much of its lower-income population at a distance from the main job centers. That mismatch reflects decades of forced segregation, capital investment patterns, land markets and present-day regulations.

A policy of peripheral construction can leave this structure intact. Central land may be held for low-density uses, industrial parcels, parking or expensive development; older low-income districts may be exposed to eviction, poorly funded services and weak safety. Increasing allowed density near employment centers can widen supply. It also raises the value of sites, and redevelopment can displace long-standing tenants. South Africa's social rental and public-land tools have a clear metropolitan role where they secure below-market homes in areas that already contain jobs and high-capacity transport.

The coalition for change must cross race and class. Employers benefit when workers spend less time commuting. Transit agencies benefit from all-day ridership and agreement catchments. Municipalities can receive more rates from improved land. Incumbent owners may oppose apartments or low-income tenants; developer margins may favor expensive units. Central-government capital grants, explicit inclusion covenants on public land, credible utility upgrades and published tenant protections can convert some opposition into a negotiated agreement. Land-use reform that leaves allocation to the highest bidder may produce more dwellings with limited change in who can live centrally.

Metropolitan zoning reform in Auckland

The clearest recent counterfactual evidence for broad upzoning comes from Auckland. In 2010, seven local territorial councils and the regional council were merged into one Auckland Council with regional powers and local boards [11]. Its 2016 Unitary Plan allowed more medium- and higher-density housing across approximately three-quarters of residential land. The 2026 peer-reviewed study by Greenaway-McGrevy and So used a synthetic comparison of other New Zealand urban areas and estimated that Auckland rents on new tenancies were 23 percent below their 2024 counterfactual without the reform. The authors also estimated that permit rates more than doubled relative to a synthetic comparison at the height of the building boom [12].

The study reports about 127,000 dwelling permits during 2017-24 and an estimated 18 percent increase in Auckland's dwelling stock across the eight years. These are observed totals, while the 23 percent rent result is a model-based causal estimate. Synthetic-control studies depend on the similarity of the comparison cities; this paper examines sensitivity to donor selection and pandemic-era changes. The estimate supports a rent effect under the study’s counterfactual assumptions; its size remains sensitive to how Auckland would otherwise have developed. It is no guarantee of the same coefficient in Lagos, Mumbai or Nairobi.

The coalition was institutional as well as political. A regional council could set common rules across the commuting area. Central government required a single plan. Developers gained many possible sites instead of a small negotiated list. The reform reduced the scarcity of legal development opportunities; households gained from competition among sites. Public submissions and local resistance were substantial, and local boards preserved a role for place-specific needs [11]. Wide coverage helped prevent every neighborhood from treating extra homes as someone else's obligation.

African and Indian cities face different constraints: title disputes, incomplete utility networks, small informal landlords, weak construction finance, uneven enforcement and lower household purchasing power. Their supply response may be smaller if upzoning changes permission without changing serviced land. The transferable mechanism is the breadth of reform, the common metropolitan rule, and the measurement of completed homes and rents against a credible counterfactual.

Development rights and inclusion in São Paulo

São Paulo pursued transit-oriented development under its 2014 Master Plan, allowing denser construction along transport axes. Research published in 2023 found more development and smaller units in the corridors, yet insufficient inclusion of low-income households because property prices increased [13]. The result makes the metropolitan trade-off visible. Transit investment and development rights can produce marketable central housing; scarce access and high land values can still screen out poor households.

The design choice arises before a developer buys the site. Governments can reserve public land near planned stations, require a share of regulated rental or ownership units, charge for additional development rights, and use the proceeds to finance infrastructure or housing support. Each choice changes the residual price a developer can pay for land. A requirement calibrated after land changes hands can stop a project; an obligation announced in advance is more likely to be reflected in land bids.

Inclusion also needs tenure protection. Renters and informal vendors near a new station can face higher rents and relocation long before any affordable unit is delivered. A pre-project occupancy survey, phased construction, temporary rent support and return rights can protect the households who helped create the market for transit in the first place. An inclusion target should measure who occupies the completed homes after five years, as well as the share of units reserved at approval.

Financing metropolitan growth

Property and land values rise when governments invest in transport, protect a site from flooding, expand water capacity or grant additional development rights. The fiscal issue is how much of that increase returns to the public institutions responsible for growth. The OECD identifies betterment levies, developer obligations and charges for additional development rights as distinct land-value-capture tools [14]. These instruments can finance part of metropolitan expansion, provided valuations, rules and spending are credible.

A metropolitan fund should combine predictable national or state transfers, a portion of own-source property revenue, charges linked to new capacity, and a transparent share of public-land proceeds. It needs binding service and affordability outputs. Funds should follow infrastructure catchments and commuting corridors rather than existing administrative boundaries alone. A county that hosts households for the metropolitan labor market should receive support for schools, local streets and drainage; a central jurisdiction should contribute when it benefits from workers who live elsewhere.

A development-rights charge looks attractive when a station or rezoning creates a large uplift. Its rate matters. Too high a charge can deter projects, reduce serviced supply and pass costs to buyers when competition is weak. Too low a charge grants private windfalls. Auctions for additional rights, published standard rates, and residual land-value models can help reveal the market. The baseline rights must be clear and predictable, or officials can create artificial scarcity and then sell permission to escape it.

The same discipline applies to public land. Government should record its market value before committing it, publish the lease or tender, price any below-market transfer as a subsidy, and require long-run housing services in return. A thirty-year lease with enforceable affordable rents can create a different public return from an outright sale. Each must be appraised with a full fiscal and household balance sheet.

Private finance requires identifiable revenues and an explicit allocation of risk. Municipal bonds depend on collectible revenue and credible reporting. Guarantees transfer risk to public budgets. Refinancing can extend loan terms without reducing land prices or increasing tenants' incomes. Rental projects still need realistic vacancy, maintenance, and collection assumptions.

Informality, segregation, and development opposition

Low-income households build metropolitan capacity through informal markets that formal plans often overlook. Small landlords add rooms and floors. Shared taxis connect peripheral neighborhoods. Vendors create local jobs near transport hubs. Informal settlements place workers within reach of the labor market, often under dangerous service and tenure conditions. A plan that erases these functions can raise measured housing quality and reduce household welfare.

The political interests differ by place. Central homeowners and landlords can gain from scarce housing and oppose apartments; young renters and employers gain from more supply. Peripheral landholders favor roads and rezoning that raise their land values; incumbents who fear acquisition may resist the

street grid. Developers favor predictable permissions and infrastructure; some benefit from negotiating exceptional projects. Informal brokers, local strongmen or coercive land networks may control information about claims and allocations. Their veto can be extra-legal. Municipalities seek revenue and fear service costs. Political leaders favor projects with visible unit counts before an election, while the gains from timely infrastructure and maintenance arrive slowly.

Caste, race, ethnicity, class and migration status turn these interests into durable patterns of exclusion. In India, access to rental accommodation can be affected by social screening even when household income is adequate. South Africa's spatial legacy remains racialized. In African cities, customary rights, informal occupation and patronage can give different groups unequal access to legal plots. Any digital or legal reform that recognizes only registered owners will amplify the voice of the already visible.

A credible metropolitan coalition should include renters, small landlords, employers, transit agencies, construction workers, utilities, resident associations and representatives of settlements facing upgrading or eviction. The coalition must be built around concrete gains: legal additional rooms, reliable water, protected tenants, faster permits, local public revenue, cheaper commutes and jobs. Citywide housing targets can give future residents a proxy voice. Local consultation is needed for impacts; it cannot give each established neighborhood a permanent veto over the metropolitan housing supply.

Interests and responsibilities in metropolitan reform

Actor	Potential gain or rent	Veto / failure mode	Credible exchange
Central homeowners / landlords	Higher scarcity rents; protected neighborhood	Hearings, politics, litigation; tenant exclusion	Fund services; by-right rules; tenant protection
Peripheral landowners / customary claimants	Windfall from rezoning, roads and pipes	Holdout, claims, speculative withholding	Fair readjustment; verified rights; public uplift share
Developers / builders	Faster volume, margins, exceptional rights	Delays, lobbying, premium-only supply	Predictable broad rights; competition; phased obligations
Small landlords / tenants	Rental income / shelter near work	Informal construction / displacement	Safe infill, small finance, lease and grievance rights
Municipalities / utilities	Rates, fees, reliable networks	Fear unfunded service burdens	Formula transfers; O&M; funding; shared capital plan
Transit operators / employers	Riders, workers, less congestion	Route resistance / relocation of jobs	Feeder contracts, station catchments, better access
Brokers / local power	Queue, land and exception rents	Coercion, fraud, capture of titles and lists	Auditable records, appeals, independent enforcement

Analytical actor map. The rents and vetoes are mechanisms to investigate, rather than an assertion that every actor behaves alike in each city.

This map also explains why technically sound reforms fail. Benefits of abundant housing are spread across future households, firms and the urban economy. Costs fall on landholders, neighborhoods, institutions and contractors that are already organized. A reform that ignores those losses can stall at the first permit or court case. A workable sequence gives local actors predictable rules, compensates genuine infrastructure and displacement costs, and exposes the transfers that deserve no protection.

Compare accessible infill, expansion and in-situ improvement with the same household and service-cost assumptions.

Digital information and institutional authority

The metropolitan housing problem is partly a problem of missing common facts. Agencies hold different parcel IDs. Jobs data age quickly. Developers know available sites that planners cannot see. Utility capacity is recorded in engineering files, while housing plans use generalized zones. Informal rental prices are often invisible to lenders and governments. Satellite images, digital addressing, parcel services, transport feeds and interoperable permit systems can reduce the cost of observing and coordinating these decisions.

The technology test should remain economic and political. A tool earns its place when it changes a binding decision. A new map with no owner for the action that follows is a reporting cost. A machine-learning score that clears a backlog can create new exclusion if an applicant cannot correct the record. A parcel-level tax system can finance services and can expose informal occupants to enforcement before they gain legal protection.

Use	Constraint and magnitude to test	Who could capture the gain?	New power / risk
Satellite change detection	Months to find new structures; % field-verified	Tax authority, developer, community	Surveillance, wrong classification, eviction targeting
Parcel + permit ledger	Median decision days; exception share; rework	Applicants and faster intermediaries	Central gatekeeper, discriminatory automated refusal
Travel-time/job maps	Jobs reachable in 45/60 min by income group	Renters or owners via land-price uplift	Location labels stigmatize settlements; data bias
Infrastructure capacity map	Connections secured before occupancy; outage rate	Utilities, serviced landowners, builders	Sensitive asset exposure; planned projects unfairly prioritized
Rental/occupancy register	Vacancy, rent change, unit take-up, displacement	Tenants, landlords, housing agency	Tenant profiling, privacy loss, eviction and social screening

Every digital deployment should report a baseline, a measured improvement, distribution of gains, decision rights and an appeal mechanism.

For each application, ask five questions. Constraint: Which delay, uncertainty or hidden claim changes? Magnitude: What evidence shows shorter approvals, cheaper connections or better job access? Capture: Do lower costs reach tenants or become land value, rent or contractor margin? Power: Who can see, rank, tax, deny or evict after data integration? Risk: How can a resident correct an error, contest a decision and limit reuse of personal data?

The highest-value early applications often concern public decisions: a shared growth map, a dated infrastructure capacity commitment, a decision clock for permits, and an audit of public-land allocation. Predictive tools can then help direct inspections or model urban expansion. Governments should validate models in the field, report false-positive and false-negative rates, protect personal information and retain accountable human decision-makers.

Implementing metropolitan coordination

Include informal jobs and care networks in African and Indian accessibility measures; formal employment centres alone are insufficient. Assign capital and operating costs across jurisdictions before site selection is final.

Transport, housing and service authorities need a joint spatial investment schedule and an authority able to resolve cross-boundary disputes. Track household travel expenditure and time, reliable job and school access, retention, earnings where measurable and the location of added affordable homes.

The first year should produce a negotiated five-year growth agreement with binding near-term actions. The agreement should start with a common functional urban area defined from settlement patterns and travel, followed by an agreed housing capacity map. Each corridor should show land available for safe

infill, expansion and renewal; the legal floor space likely to be delivered; trunk and local service costs; rental and ownership demand by income group; and the public rights required to secure infrastructure.

The agreement should then assign each major infrastructure investment to an agency and budget with a delivery date. Give local governments transparent transfers for servicing growth. Tie a portion of funding to verified added legal floor space, households occupied, service reliability and job access. Reserve public land near high-capacity transport for mixed-income housing before announcing the investment. Introduce predictable by-right rules in suitable areas; handle hazardous sites and heritage through specific safeguards.

Tenant rights must enter at the same time as land-value change. Enumerate informal occupation before infrastructure raises the stakes. Protect return rights where upgrading displaces residents temporarily. Budget rental assistance and relocation costs when hazards require permanent moves. Monitor rents and evictions inside affected catchments. Provide appeal routes for land claims, permits, beneficiary allocation and automated decisions.

A five-year agreement also needs an exit condition. If jobs do not arrive in a proposed satellite center, slow residential expansion there and redirect public capital toward locations with proven access. If infill approvals rise while construction stalls, investigate site assembly, developer competition, building costs and credit. If housing completions rise but vacancy grows, examine the price and location match. Reform should follow the constraint that has moved.

Metropolitan housing assessment

The following diagnostic can be applied to a metropolitan strategy, a corridor, or an MDB housing operation. Give each gate an evidence owner. Treat a red gate that threatens safety, displacement or occupancy as a stop condition; a high average score does not erase a fatal flaw.

Gate	Decision question	Evidence and threshold to set locally
1. Functional market	Where do residents work and travel across borders?	Commuting flows, built-up footprint, origin-destination survey
2. Demand	Who needs which tenure at what price?	Household payment capacity and rental/ownership demand
3. Accessible supply	How many legal serviced homes can be delivered?	Parcel rights, FAR, hazards, infrastructure and completion probability
4. Job access	Do added homes reach actual employment?	Jobs reachable in 45/60 min; fare/time by income group
5. Infill	What blocks safe additional floor space?	Rules, utilities, title, small-landlord capacity, homeowner vetoes
6. Expansion	Are rights-of-way secured before settlement?	Grid, drainage, schools, plots and claims in growth areas
7. Fiscal contract	Who pays capex and receives recurring revenue?	Public-land value, transfer formula, tariff and property-tax forecast
8. Building market	Can builders deliver diverse safe products?	Input costs, competition, permits, inspections and staged finance
9. Tenure / subsidies	Will the lowest-income households actually enter?	Rental and incremental channels; subsidy per occupied household
10. O&M;	Who owns and maintains the networks and buildings?	Asset owner, annual costs, collection and replacement reserve
11. Existing residents	Who faces higher rent or displacement?	Tenure census, return rights, relocation and rent monitoring

Gate	Decision question	Evidence and threshold to set locally
12. Inclusion	Which groups fail at each gate?	Gender, caste, race, class, disability, migrant and tenant outcomes
13. Political bargain	Who captures uplift and can block reform?	Actor-rent-veto map; coalition commitments and disclosure
14. Digital rights	Who can use data to tax, deny or remove?	Purpose limits, field validation, correction and independent appeal
15. Results	Does the compact create cheaper access?	Additional occupied housing; generalized cost; job access; service uptime

A useful decision rule follows. Approve the metropolitan plan only when added legal housing capacity, funded service capacity and accessible jobs form a credible three-way match. Require a full household-and-public location balance sheet, a transparent agreement over the land-value uplift, and enforceable safeguards for existing residents. Revisit the match every year as growth moves.

Implications for urban growth

The next billion urban residents will not wait for the master plan. They will rent a room, divide a house, settle beside a road, take a bus, buy a contested plot, or build one floor at a time. Their decisions will produce the next metropolitan region. Public policy can shape those choices while land is still available, infrastructure corridors remain open and homes can be added close to jobs.

The central economic insight is that location belongs inside affordability. The central political insight is that each new home has opponents and beneficiaries beyond its walls. The central institutional insight is that city boundaries rarely contain the costs and gains of growth. A metropolitan agreement can bring those three truths into one public agreement: who will make room, on which land, with which services, paid for by whom, and with what protection for the people already there.

Evidence and limitations

The main estimates are drawn from official projections, an Africa-wide price study, spatial job-access and labor-market research, and quasi-experimental work on Auckland. Their methods differ. Population and infrastructure needs are forecasts. Nairobi and South Africa provide observational spatial evidence. Auckland's rent estimate uses a synthetic counterfactual, with uncertainty around the choice of comparison cities. Ahmedabad and São Paulo are institutional and spatial case studies. The hypothetical location-cost calculation demonstrates a decision method and has no claim to observed project costs.

The metropolitan agreement, actor map and fifteen-gate test are policy judgments built from those mechanisms. Their value depends on local parcel data, developer costings, household surveys, infrastructure capacity, public finance and field verification.

What transfers?

Worked because	accessible opportunities; affordable transport; usable schools and services; households able to sustain the move
Failed when	cheap peripheral sites; lost informal insurance; fragmented service finance; relocation judged only by dwelling quality
Do not copy	a distant estate or a foreign mobility programme
Transfer instead	expand feasible household access to opportunity while accounting for the costs of moving and remaining
Scale test	At metropolitan scale, test congestion, school places, network capacity and the distribution of fiscal costs across municipalities.

Sources and evidence notes

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11. Climate risk and housing affordability

Climate resilience is becoming a price of entry to the city. A settlement close to jobs may sit in a floodplain; a safer site can be two bus rides away. A metal roof may cost less than a cool, durable one; its occupant pays through heat, illness and lost work. Insurance can protect a lender while excluding the household whose home is hardest to insure. Every climate measure changes land values, bargaining power and the boundary between places where poor households may live and places from which they are excluded.

Affordable housing therefore needs a climate-adjusted location agreement. The state must estimate future hazard and service costs, finance safety where improvement is feasible, offer credible nearby alternatives where it is not, and protect renters and informal workers whose claims are easy to erase. Better maps can make these choices clearer. The hard work lies in deciding whose map governs, who bears the bill and who can challenge the decision.

Flood risk and the cost of relocation

In Dar es Salaam, the Msimbazi River basin connects an expanding city to its center. The same corridor holds busy roads, public transport, market activity and neighborhoods where people live close to their livelihoods. Floodwater also needs the valley. Successive years of major flooding have made that physical conflict increasingly hard to ignore. The World Bank describes a basin containing about 1.6 million people, with significant floods in seven of the ten years preceding its 2023 account.[3]

The project response reveals the true policy choice. Tanzania and its partners planned river-channel works, flood retention, a safer Jangwani transport crossing, a city park, institutional reforms and preventive resettlement. A US$200 million IDA credit anchors the 2022-2028 program. The published project objective is to lower flood exposure for more than 300,000 people; this is an expected benefit, subject to delivery and verification.[3]

Many households near the lower basin earn from informal work. The project documentation estimates that 90 percent of people affected by resettlement earn livelihoods in the informal economy, often in activities tied to proximity to the central business district. Housing and livelihoods therefore travel together. A family that gains a safer roof but loses a market stall, customers or a reliable commute may become poorer. The floodplain appears cheap in the land ledger because danger is capitalized into its price. It appears valuable in the livelihood ledger because distance is costly.

A river project can also create a new development rent. Regraded land, improved transport and restored public space raise the value of adjoining parcels. Which parcels can be built upon after the works? Does the public retain land for affordable rental housing? Who receives compensation, and who is recorded as a tenant? How will the city stop settlement from returning to land reserved for floodwater? These questions are central to the hydraulic design.

Urban development and disaster exposure

Climate science describes hazards: more intense rainfall, heat, sea-level rise, and water scarcity. Urban policy determines how many people and assets sit in their path. A drainage channel blocked by fill raises upstream flood depth. A wetland converted to housing removes storage. A bus depot built in a river corridor creates a public asset that becomes a physical barrier when floodwater rises. A zoning decision that excludes low-cost rental rooms from safe neighborhoods sends households toward precarious land.

The scale is large. A peer-reviewed global analysis using flood maps and poverty data across 188 countries estimates that 1.81 billion people, or 23 percent of the world population, live in places exposed to at least

15 centimeters of water during a 1-in-100-year flood. India accounts for around 390 million of them. Eighty-nine percent of exposed people live in low- and middle-income countries; of the 170 million people facing both extreme poverty and significant flood exposure, 44 percent are in sub-Saharan Africa.[1]

These are modeled exposure counts, with uncertainty from elevation data, population maps, flood models and definitions of return periods. They tell us where to look; they do not predict that 1.81 billion people will be flooded in any single year. They also omit much of the damage a flood causes through failed sewers, closed bridges, interrupted wages and disease. Poor households can lose several days of income from water that never enters the dwelling.

A useful causal chain has five links. Climate and upstream land use change the hazard. Zoning and land prices determine exposure. Building quality and services determine physical vulnerability. Savings, insurance and social networks determine recovery. Government decisions redistribute the loss among homeowners, tenants, utilities, taxpayers and future residents. At each link, a different actor may hold the power to reduce risk.

HAZARD	EXPOSURE	VULNERABILITY	RECOVERY
Rainfall, river flow, heat, drought	Land price, zoning, access to jobs	Materials, drainage, indoor heat, water	Income, tenure, credit, insurance, transfers
Hydrology and forecasting	Planning and land policy	Standards and local services	Social protection and finance

Households may accept exposure to hazards to obtain cheaper housing near work. Such sites can lie outside formal land markets and offer small, flexible rental units. Declaring them unsafe without providing accessible alternatives can exclude low-income residents from employment locations. Risk policy should apply consistent standards and account for the different protection available to higher-income developments.

An accurate risk map is therefore a necessary input and an incomplete housing policy. The other map shows jobs, transit, fares, tenure, rent, schools, employers, household debt and informal commerce. Every stay-or-move decision requires both.

Land records and wetlands in Chennai

The 2015 floods exposed how much of Chennai depends on wetlands, tanks, channels and the unobstructed flow of water across a low-lying plain. A remote-sensing study estimated that 18 percent of the metropolitan area was inundated, directly affecting around 21 percent of its population. Those are model-based estimates for a particular event and spatial method.[4]

The Pallikaranai marsh has become a test of state capacity. Hydrologists see flood storage and feeder channels. Developers and landowners see registered parcels. The planning authority relies on zoning and revenue records. The environmental authority must delineate an ecologically connected wetland. These records have not always agreed. Following an order by the National Green Tribunal on 24 September 2025, Chennai planning authorities paused construction approvals in and around the Ramsar wetland pending a scientifically grounded assessment of its influence zone. Developers challenged the restrictions in the Madras High Court in March 2026, arguing that the blanket buffer lacked adequate legal and scientific basis and restricted land already classified for urban development.[5]

There is a genuine coordination problem beneath this dispute. A hydrologically important channel can cross land that was recorded years ago as private, developable property. Existing rights create legitimate expectations and political power. Sudden prohibitions can destroy value and strand projects; permissive approvals can shift flood costs downstream onto households who were never part of the transaction. The technical task is to map flow paths and retention needs at parcel level. The legal task is to give those maps authority through clear procedures, hearings and review. The fiscal task is to price any restriction, acquisition, restoration or development-right transfer.

A better reform agreement is possible: publish a common, surveyed wetland and drainage map; identify high-consequence areas where construction must stop; use performance-based standards where risk can be managed; buy or exchange development rights where government needs storage; and offer safer capacity nearby. This sequence converts a prolonged fight over maps into an explicit allocation of rights and costs.

Heat, drought, and housing conditions

Flood risk is spatially concentrated. Heat and water scarcity cross nearly every neighborhood, although their effects vary sharply by income. A comfortable apartment can conceal heat with electricity, insulation and air conditioning. A small room under a metal roof cannot. The home becomes a workplace during the day, a sleeping space at night and an exposure chamber when nights remain hot.

Heat warnings and housing quality in Ahmedabad

Ahmedabad adopted South Asia's first city heat-action plan after the deadly 2010 heatwave. The plan joined forecasts to public warnings, health-system preparation and outreach. An ecological evaluation comparing 2014-2015 with a 2007-2010 baseline estimated an average of 1,190 deaths avoided annually in the post-plan period, with a wide 95 percent confidence interval of 162 to 2,218. This finding is an association from a before-and-after analysis; changes in population, health systems and other factors prevent clean attribution of all avoided deaths to the plan.[6]

A warning helps a household only when someone can act. A construction worker may lose wages by staying home. A child or older person inside a poorly ventilated room may have no cooler place to go. A landlord receives no automatic return from coating the roof of a short-term rental. A municipality may have a heat plan yet lack a budget for public shade, reflective surfaces, drinking water and cooling shelters near informal settlements.

An exploratory 2024 Ahmedabad study found cool-roof treatments associated with indoor temperature reductions of roughly 1-1.5 degrees Celsius on peak summer days. The study also found that ventilation, ceiling height, adjacent trees and open space mattered. The observed effect should be treated as site-specific; it is distinct from measured causal effects on mortality or earnings.[7]

The policy logic is to combine low-cost passive improvements with labor protection and neighborhood design. A government can subsidize reflective roofs on rented rooms, set performance standards for new low-cost housing, protect shade and public space, and trigger worker protections through clear heat thresholds. The final test is indoor exposure and health, measured over seasons, with special attention to older residents, women working at home and children.

Water conservation and inequality in Cape Town

Cape Town's 2018 "Day Zero" crisis threatened emergency rationing as reservoir levels fell. The city combined warnings, restrictions, tariff changes and conservation; per-person limits reached 50 liters per day during the emergency period. The political conflict arose from stark differences in consumption and access. Some households had lawns, pools and private tanks. Others had shared taps and had used little water long before the drought made national news.[8]

A 2021 study analyzed 14.9 million monthly billing observations covering roughly half a million households from 2014-2018. It found that the top 10 percent of households consumed 31 percent of municipal water before the drought, and that citywide consumption fell about 50 percent during the crisis. The link between income and water use rose strongly in outdoor-watering seasons.[9]

This evidence changes the design of a housing response. A flat per-person restriction appears even-handed while imposing different costs on households with private storage and those carrying water from a communal point. New housing projects add long-lived demand to constrained water systems. Developers

may sell homes that connect to an unreliable network, while the utility and tenants inherit the shortage. Resilience requires water balance sheets at the growth-corridor scale: firm supply, nonrevenue water, demand by income group, drought triggers, reuse, wastewater services and the marginal cost of connecting new homes.

The fiscal agreement matters. Water conservation reduces billed volumes in the short run and can weaken utility revenue unless tariffs and transfers adjust. Resilience investments fail when a water utility has incentives to sell more water to finance its existing debt. Housing approvals and utility capital plans must therefore share a demand forecast and an operating model.

> **EVIDENCE AND LIMITS** The global flood counts are modeled exposure estimates [1]. Ahmedabad's mortality findings are observational [6], and its cool-roof study is exploratory [7]. Cape Town's billing analysis draws on actual household-level records [9]. These three types of evidence answer different questions and should never be presented as though they carried the same causal certainty.

These outcomes answer different questions. Cape Town's conservation result does not establish equal access or equal sacrifice. Ahmedabad's heat-plan evaluation associates implementation with fewer deaths, but its before-and-after design cannot isolate the plan's effect. Chennai's floodplain development shows a failure of preventive planning, not a matched test of either response. Adapt the specific supported mechanism, water-demand reduction, heat protection or risk-sensitive land use, and measure its distributional effects. [9,6,4-5]

Comparing protection, adaptation, and relocation

Physical risk often calls for a simple engineering answer: widen a river, raise a structure, relocate a settlement, or build a wall. Each answer changes land rights, income and public finance. The practical choice sits between four strategies: reduce exposure through drainage or restoration; reduce building vulnerability through retrofits; create safe new housing in connected locations; and move households when residual life-safety risk remains intolerable.

The first step is to sort risk by whether it can be credibly managed through the life of the dwelling. A home above an unstable slope or inside a flood-conveyance channel may be impossible to make safe at acceptable cost. A home exposed to shallow, infrequent surface water may be protected through drainage maintenance, local elevation, safe electrical installation and better emergency routes. Building permits and subsidy eligibility should reflect this distinction, with an independent review route for borderline cases.

Drainage infrastructure in Beira

Beira, Mozambique, illustrates the value of combining engineered and ecological assets. A World Bank account published in March 2025 describes drainage rehabilitation, flood-control stations, a retention basin, mangrove restoration and a 17-hectare green park. The program reports reduced flood risk for over 234,000 people, close to 40 percent of the city's population.[11]

The numbers describe program reach and reported risk reduction; they do not establish avoided losses in a randomized comparison. The institutional insight is still strong. A retention basin needs land protected from new construction. Drains need regular clearance. A park can defend that land through public use, while open space raises surrounding property values. The city must decide who maintains it, who can vend there, which edge parcels may be developed and how flood safety and new land value will be shared.

Nature-based solutions can be cheaper and more flexible in some basins, yet they carry real land and maintenance costs. A wetland or retention park without a legal boundary and a budget can be filled when the next housing shortage arrives. Keeping floodwater space open is a political decision that must survive changes of administration.

Community risk information in Mukuru and Freetown

Nairobi's Mukuru Special Planning Area shows how place-specific knowledge can enter a statutory planning process. Residents, the county and more than forty partner organizations worked on a plan covering roughly 100,000 households. The structure of local consultations moved from cells of ten households to neighborhood clusters and larger forums. Residents could identify flooded passages, absent sewers, dangerous industrial edges and the households most exposed to displacement.[12]

This is a planning achievement with a clear evidence boundary. A participatory plan changes what government can know and agree upon. It does not, by itself, provide land titles, funded drains or completed upgrades. Mukuru's fragmented ownership and service arrangements still demand fiscal and legal decisions. Public claims about plan coverage should be distinguished from measured completed-service outcomes.

The IPCC records a related experience in Freetown, where the urban-poor federation and local research partners mapped flood and coastal hazards. In Cockle Bay, community organizations used this knowledge to agree on limits to further land reclamation, mark a settlement boundary and build drainage channels. Negotiation with the environment ministry reduced eviction threats.[13]

In both cases, residents help explain why water moves where it does, who bears the risk and what land is actually used for. Community mapping also has a darker potential: a detailed occupancy database can help an authority identify whom to evict. Data governance must set limits on disclosure and use, and give residents control over corrections and challenges.

Flood management and public finance in the Netherlands

The Dutch Room for the River program provides a useful counterpoint at the other end of the fiscal-capacity spectrum. Between 2006 and 2019, national and regional authorities undertook interventions at 34 locations for approximately EUR 2.3 billion, improving flood safety for about four million people. Measures included moving dikes, lowering floodplains and creating flood bypasses, with residents involved in local design and compensation processes.[14]

The lesson for African and Indian cities lies in the legal and fiscal machinery. Giving a river space requires government to acquire rights, compensate some owners, protect new boundaries and keep the waterway functioning over decades. A poor city can adopt the principle of flood storage and agreement growth on safer land. It also needs financing, a land-rights process and institutions capable of protecting the result against future encroachment.

Climate risk and housing finance

Landowners pay attention to land values. Developers look at the cost of capital, expected sale price and delivery time. Renters calculate monthly payments and proximity to work. Banks examine collateral, insurance and repayment probability. Municipalities see infrastructure expense and property-tax revenues. Climate risk reaches each through a different channel.

A developer who can buy exposed land at a discount may still earn a high margin if risk disclosure is weak or public flood defenses are expected. A builder using cheap metal roofs may sell quickly while the household bears higher future heat costs. A mortgage lender may insist on insurance, pushing high-risk borrowers outside formal credit. A municipality that extends sewers into a floodplain creates both a service liability and an expectation that the land is safe to build on.

The correct price of a home includes its lifetime hazard exposure and the cost of recovery, in addition to construction, land and finance. It also includes the social cost of moving away from employment. These amounts need scenario ranges. Twenty-year projections based on a single flood-frequency map or a single climate pathway can create false precision.

Insurance cost and availability

Risk-based insurance prices can warn buyers and lenders about danger. They can also become a barrier to ownership when premiums rise above a low-income household's budget. An Australian actuarial study found that, by March 2024, 15 percent of households, or 1.61 million, faced home-insurance premiums exceeding four weeks of gross income. An estimated 5 percent of mortgaged households were under insurance affordability stress, covering about A$57 billion in loans.[15]

Australia has deep insurance and mortgage markets, making the effect visible. Many African and Indian low-income households have little or no formal disaster cover. They self-insure through savings, rotating credit, family networks, emergency sales and forgone consumption. The absence of a premium should never be confused with the absence of risk: the disaster bill arrives later, often when the household has least capacity to pay.

A subsidy to high-risk insurance can help a vulnerable family today and encourage continued development on dangerous land. A purely actuarial price may force the poorest households to move before safe alternatives exist. Research by Carolyn Kousky and Howard Kunreuther argues for means-tested vouchers paired with mitigation finance, rather than broad premium discounts that hide the risk signal.[16] The fiscal design should separate frequent losses, rare catastrophic losses and immediate liquidity. Households can cover small repairs with savings and targeted grants; cities can fund maintenance and contingency reserves; governments can arrange emergency liquidity or risk transfer for large shocks. Insurance payouts should be linked to repair capacity and social protection so that liquidity reaches households, renters and small landlords after a disaster. Parametric insurance adds basis risk: an event can cause household loss without triggering the index, or trigger a payout where little damage occurred.

Credit and capital-market exposure

Risk has a maturity. Mortgages and infrastructure bonds last far longer than an electoral cycle. A new 25-year mortgage on a low-lying home can remain exposed to rising sea levels and insurance cost throughout its term. An appraisal that ignores this risk may overstate collateral value. A lender that adjusts suddenly can cut credit to entire neighborhoods, lowering prices and reducing the equity of existing residents.

Green or resilience finance changes incentives only when verified physical performance underpins the label. A cheaper bond for a "climate-smart" project may produce little benefit if the developer captures the interest saving while household prices stay fixed. A publicly subsidized retrofit loan should document lowered indoor heat, flood entry, expected loss or insurance premium, alongside the distribution of savings among owners and tenants.

The state has a balance-sheet problem too. Public guarantees shift loss to taxpayers. Flood defenses create ongoing commitments to maintain and upgrade them. When land values rise behind a defense, government has an opportunity to recover part of that uplift through betterment charges, land leases or property taxation. It must avoid creating a moral hazard in which private owners gain the appreciation while municipalities retain all future disaster liability.

Access to safer land

Climate adaptation changes the supply of desirable land. A new risk map can reduce the value of a parcel by placing it in a no-build zone. A new dike or reliable water connection can raise adjoining property values. A relocation program can create a construction pipeline and new public-land opportunities. Political conflict follows these changes in asset value.

Four coalitions recur. Exposed owners and developers ask for protection, compensation or permission to build. Incumbent owners in safer, high-opportunity neighborhoods resist density that would let displaced or migrating households move in. Poor renters and informal workers need safety without losing location

and networks. Utilities, transport agencies and municipalities bear costs that national housing budgets often omit. The central question is which coalition can claim the public benefit and which bears the bill.

Actor	Asset or institutional interest	Veto or influence	Bargain that may work
Exposed landowner / developer	Public defenses and rezoning can restore land value	Land litigation, permits, political access	Publish risk and value; allow safe intensification elsewhere; transparent compensation
Safe-area homeowner	Scarcity supports asset price and neighborhood control	Local hearings, elections, zoning objections	Fund services and offer citywide, by-right infill with design protections
Informal renter / worker	Cheap access to jobs; flexible space; weak documentation	Collective action, local knowledge, low formal power	Right to return, portable rental aid, nearby serviced alternatives, earnings protection
Structure-owning landlord	Rental income from low-cost rooms; benefits from upgrading	Can raise rent or withhold occupancy records	Co-fund safer retrofits with rent and habitability conditions
Utility / municipality	Revenue, network performance, tax base, liabilities	Connections, rates, maintenance, permits	Long-run O&M; transfers and revenue from added safe density
Contractor / insurer / lender	Construction margin, premium, loan security	Procurement, underwriting, rate setting	Open bids, shared risk data, additionality checks, independent verification
Politician / land broker	Control over relief lists, safe parcels and exceptions	Allocation, enforcement, legal change	Public transaction log, appeals, independent audit and election-proof funding

The first test of a reform coalition is whether it can produce safe housing capacity in locations with jobs. The second is whether the original poor households can use that capacity. A new planning rule that allows apartments but leaves financing, water and landlord discrimination untouched may preserve exclusion. An anti-flood eviction that removes traders from the river but gives them unaffordable rents elsewhere can move risk from hydrology to poverty.

Race, caste, class and migration status matter because social exclusion changes access to the safer housing stock. South African spatial separation makes long commutes costly. Indian renters can encounter discrimination by caste, religion and family status. In African cities, migrants and tenants may be absent from compensation records because their claims are neither titled nor easily visible. Every climate-resettlement program needs a record of these people before announcing the intervention.

A technically sound prohibition can also be politically fragile. Without fair notice, compensation, an appeal mechanism and nearby affordable alternatives, affected owners organize to reverse it. Without protection against tenant displacement, environmental restoration becomes a route to land clearance. The durable agreement finances safer supply, respects due process and retains the public benefit from restored land.

Digital risk information and public decisions

Climate-adjusted housing policy has a serious information problem. Flood models describe depths at one scale; parcel records describe legal rights at another; utility plans show capacity in separate systems; household surveys observe livelihood ties that satellite images cannot see. A city may hold all four databases and still approve projects with each agency using a different version of reality.

Modern imagery, remote sensing and AI can help join these records. The World Bank's Global Program for Resilient Housing describes a five-step method: map structures; infer features such as materials and openings from imagery; screen vulnerability; connect households to subsidy or finance; and verify safer works. Its own description emphasizes field engineering checks and local implementation partners as part of the process.[17]

This creates a strict five-question test for each digital use. Which constraint changes? A map may reduce survey cost or reveal a flood channel. By how much? Compare processing time, error rates, or avoided loss against an established baseline. Who captures the gain? A lower underwriting cost can increase lender margins without lowering borrower rates. Who gains new power? A map may let officials identify informal structures for service planning or clearance. What new risk arises? Misclassified roofs, stale maps and opaque eligibility scores can deny assistance to the wrong households.

Decision	Potential information gain	Minimum empirical test	Power and safeguard
Flood and site selection	Parcel-level inundation, past events, return-period uncertainty	Blind field audit; independent hydraulic review; scenario comparison	Hazard labels can devalue land; publish uncertainty and allow challenge
Heat retrofits	Roof materials, indoor exposure and local shade	Temperature loggers and treatment-comparison design	Tenant may receive heat benefit; landlord may capture capital gain
Retrofit and construction grants	Damage class, quantities, progress, repair quality	On-site structural samples and defect checks	Automated fraud flags need human review and right of correction
Rental and relocation	Occupancy, rent, commute, earnings, school access	Household panel before and after moving	Tenants must be counted; limit reuse of personal data for eviction
Utility and water planning	Network leakage, service outages, flood-drain blockages	Meter and field verification; time-to-repair tracking	Shared data must carry one accountable maintenance owner
Insurance and finance	Hazard-adjusted collateral and expected loss	Calibrate by realized claims; test bias in approvals	Avoid opaque exclusion by neighborhood, income or tenure

A practical example is parcel classification. A model may identify structures inside a likely floodplain in hours. Its value depends on ground-truth accuracy, whether hydraulic design supports the classification, whether occupants are legally recorded and whether government can offer a lawful, funded remedy. A wrong flood label can make a bank reject a mortgage; a missed channel can place another family in danger. High-consequence classifications deserve independent checks.

The right government product is a shared, versioned risk-and-rights record: parcel and occupancy IDs, flood depth and uncertainty, heat exposure, utility capacity, livelihoods, planning status, tenure claims, public investments and decision history. Public layers should be open where safe. Identifiable household records need purpose limits, access logs, consent or clear legal authority, and a route to correct errors.

Comparing the costs of safety options

A finance minister asks how much adaptation will cost. A housing minister asks how many units can be provided. A city manager asks whether the utility can support them. A low-income household asks whether it can still get to work and pay the rent. All four need the same appraisal.

For a defined group of households, compare three classes of options: (A) in-situ upgrading with drainage, safer electrical systems, cool roofs and maintenance; (B) relocation to an available peripheral site; (C) relocation or infill on safer, well-connected land. For each option, count public capital and O&M;, private building costs, expected disaster losses, recurring transport and income effects, insurance or recovery cost, and the value of any asset surrendered. Test credible future climate scenarios and severe tail events. Exclude options that fail life-safety standards even if their present-value cost looks low.

Here is an illustrative per-household calculation for twenty years using a 5 percent real discount rate. All figures are constructed examples in constant US dollars, not measured costs for a named city. Assume the options deliver equivalent basic housing services and that upfront values are net of any residual asset value. The annuity factor is approximately 12.46.

Incremental cost per household	A: protect on site	B: move far	C: move near jobs
Net capital / relocation now	$5,000	$13,000	$15,000
Annual residual risk + O&M;	$400	$180	$200
Annual livelihood / travel penalty	$0	$820	$0
20-year present value	$9,985	$25,462	$17,492

The far relocation looks safe in the flood model. The added transport and income burden makes it the most expensive option in this constructed example. Protecting the present site costs least if residual life risk can be brought to an acceptable level. A near-jobs move may be necessary when a flood channel or landslide slope cannot be made safe; its larger capital bill purchases both safety and access.

Present value alone cannot settle the decision. The model should include fatalities and serious illness, disruption during transition, uncertainty in future hazards and the distribution of costs. A single expected-loss number can conceal an extreme event that the household cannot survive. The option screen should use a separate life-safety gate, sensitivity to climate change and a household-consent or due-process gate.

The calculation also helps price safe land. At a 5 percent real rate over twenty years, paying an extra US$5,000 for an adequately serviced safer site costs about US$401 a year when annualized. If the cheaper site imposes US$450 in expected disaster losses and US$500 in added transport burden, the safer site may be a good public investment even before health and avoided disruption are considered. This is an arithmetic illustration, with no claim that those figures describe a particular market.

Financing risk reduction

The sources should match the benefit. Developers can pay for site drainage and code compliance through transparent standards; households can finance affordable repairs when tenure and cash flow are secure; municipalities can fund catchment drains and O&M; from transfers, tariffs and property revenue; national government can finance major flood defenses and compensate households asked to surrender rights for public safety. Donor and climate finance can support public goods and the early costs of better risk information, with explicit mechanisms to keep the gain from bypassing low-income residents.

Kenya offers a fiscal example. The Financing Locally-Led Climate Action program runs across all 47 counties with roughly US$294 million in total program funding according to the National Treasury, combining national and partner finance with county climate institutions and ward-level planning.[18] A 2024 World Bank account reports counties meeting key institutional conditions rising from nine to 45 within two years. These are institutional results, not proof that the program has already produced affordable climate-resilient homes.[19]

Such a platform can finance the shared parts of the housing adaptation problem: drainage, local hazard mapping, ward investments and maintenance capability. Housing agencies should then bring tenure, building safety and relocation or retrofit finance. The bridge between climate budgets and housing budgets is a named output: additional low-income household-years of safe occupancy within reach of work.

Climate and housing assessment

The framework becomes useful when it changes the approval meeting. A team seeking a housing investment or flood-mitigation loan should present a household-level record, an engineering model with uncertainty, a livelihood model, the public-land implications, a credible operating institution and a political coalition. It should show how rejected alternatives compare. The next gate is held by the household whose risks are supposedly being reduced.

Gate	Question for the approving authority	Proof required
1. Hazard	What event and future scenarios define risk?	Model limits, return periods, climate ranges, upstream effects
2. People	Who is exposed, including renters and migrants?	Verified occupancy and tenancy census; correction and appeal
3. Safety	Which parcels can be made acceptably safe?	Independent engineering and life-safety thresholds
4. Location	What happens to job and school access?	Household travel time, fares, earnings, social networks
5. Land	What claims, rights and rents change?	Parcel, public-land, compensation and value-uplift ledger
6. Planning	Is replacement safe floor space legally available?	Permitted density, serviced inventory and affordable-rent pipeline
7. Housing	Can incremental and rental homes be improved?	Retrofit designs, landlord terms, tenure rules, workmanship checks
8. Utilities	Will water, drainage, power and sanitation last?	Network capacity, hazard service standard and maintenance owners
9. Construction	Can firms deliver at transparent cost and quality?	Competitive bids, material compliance, supervision and repair markets
10. Finance	Can owners, tenants, and small landlords pay?	Grants, repayment, insurance, guarantees and disaster liquidity
11. Public finance	What is the full 20-year public obligation?	Capex, O&M;, contingent liability, tax and land opportunity cost
12. Distribution	Who gains from safer land and who can be displaced?	Incidence by income, owner/tenant, gender and social group
13. Politics	Who can veto and what coalition will sustain reform?	Actor-rent-veto map, compensation, hearing and escalation rules
14. Digital	Which model or map influences an adverse decision?	Field accuracy, bias test, explanation and human appeal

Gate	Question for the approving authority	Proof required
15. Outcome	What result will be independently verified?	Safe occupied household-years; commute, service and loss tracking
16. Adaptation	What happens when the hazard or the city changes?	Review triggers, future upgrade funding and reversal or retreat plan

Treat gates 2, 3, 4 and 12 as hard social safeguards. A project can score well on flood depth and construction speed while harming displaced renters, removing market access or pricing poor residents out of improved neighborhoods. A red life-safety risk may justify relocation. It cannot justify leaving livelihoods out of the compensation and placement plan.

A 150-day implementation sequence

Use locally relevant heat, flood and livelihood data; compare staying with protection against genuinely accessible relocation. Fund drainage maintenance, health response and utility revenue stability as well as protective construction.

Planning, utilities, health and emergency services must rehearse responsibilities and disclose failures. Track exposure and actual losses separately, service continuity, heat outcomes, recovery time, displacement and total household costs.

Days 1-30: draw the two maps. Name a city-level accountable lead. Combine hazard and service layers with jobs, transit, tenure, rents and occupancy. Identify ten neighborhoods where risk and poverty overlap, and record what information remains uncertain. Make the data-sharing and privacy rules public.

Days 31-60: trace households and decisions. Conduct sampled engineering checks, a tenant-inclusive household census and an end-to-end process trace for at least three representative locations: a site suitable for upgrading, a site requiring significant drainage, and a site where relocation is a serious option. Record every approval and agency veto.

Days 61-100: price alternatives and agreement. Prepare a twenty-year balance sheet for each option. Publish public-land values and relocation costs. Test whether safe, well-connected land can accommodate additional rental and incremental homes. Negotiate utility operating commitments, landlord conditions, financing and independent verification.

Days 101-150: launch measured demonstrations. Procure at least two comparable adaptation or safe-housing pilots with clear performance outputs. Record baseline indoor heat, flood occurrence, commute, rent, earnings, water reliability and grievance outcomes. Reserve an external review and adjustment point before scaling. Design an emergency liquidity and post-disaster livelihood support channel.

The sequence creates a credible political agreement. Households see choices and enforceable rights. City agencies get a funded plan. Developers receive clear buildable land and rules. Owners know how compensation and protection work. Treasury sees a lifetime liability rather than an optimistic capital bill. The same transaction record allows citizens to watch whether the promises hold.

Implications for housing investment

Climate change will make some urban land more dangerous, some improvements more urgent and some long-established settlements impossible to protect indefinitely. Poor households will still need to live near jobs. The practical task is to expand safe, connected housing supply while protecting the social and economic value that existing neighborhoods already create.

A city that measures only flood depth will choose the wrong relocation site. A city that measures only the house price will miss the cost of heat, unreliable water and catastrophe. A city that measures only the amount of public construction will miss which households remain after the land appreciates.

Chapter 12 turns to the supply that formal housing programs often overlook: small landlords, informal rental rooms and households building incrementally. These actors will determine much of the housing that the next billion urban residents actually occupy. Their capacity to deliver safe, affordable rooms depends on whether the rules, finance and public services can work with the city as it already exists.

What transfers?

Worked because	actionable warnings; trusted local communication; affordable household responses; functioning health and utility services
Failed when	risk ignored in permits; essential services absent; burdens shifted to already low-consuming households; maintenance or emergency response unfunded
Do not copy	a hazard-map threshold, uniform water cap or distant relocation template
Transfer instead	connect verified risk to an affordable protective action and a responsible institution
Scale test	Test correlated shocks across the whole city, not just the protected project. Upstream development and simultaneous emergencies can invalidate pilot performance.

Sources and evidence notes

Sources below were checked for this chapter in October 2026. All numerical claims in the text are tied to these publicly accessible publications. Figures labeled “estimated,” “reported,” “projected” or “illustrative” retain those qualifications. Climate exposures are modeled; project targets are prospective; program figures are generally administrative; observational studies are described with their identification limits.

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Analytical note: The climate-adjusted location bargain, four-way stay/protect/move framework, illustrative household present-value examples, 16-gate approval test and 150-day sequence are the author’s decision tools. They require calibration to observed local housing costs, hazard probabilities, household earnings, municipal fiscal accounts and legal rights before real projects are approved.

12. Incremental and small-scale rental housing

The cheapest housing in a city often appears where its official housing programs have no address. A household adds a room behind its home. A plot owner rents six bedsitters above a shop. A worker pays for a single room close to the factory. A mother extends a roof before a child is born. These acts add space, stage payments and keep jobs within reach. They can also expose renters to collapsing buildings, fire, polluted water, unlawful eviction and monopoly prices for basic services.

Small builders supply inexpensive rooms in locations where formal developers may not serve low-income demand. Prohibiting this supply can reduce housing access; leaving it unregulated can expose tenants to unsafe construction. Policy must make safe building and fair rental practices viable for small producers.

That task requires coordination across the housing chain. A plot needs a claim strong enough to justify investment, permission to add floor area, a drain that can take the extra load, a mason who follows a safe design, a lender able to fund a modest building stage, a landlord who maintains the property and a tenant whose rights survive a rent rise. At each junction, someone holds information and someone holds a veto. Making this housing market work means changing both.

A useful distinction will run through the chapter. Incremental housing describes a construction process: households and small builders add quality or space in stages. Informal rental describes a tenure and market arrangement: occupancy is bought from someone whose land claim, building permission or lease may be weak. The two overlap, yet neither guarantees poverty, low quality or illegality. We must learn which part of the system is actually failing before prescribing reform.

Treat the small rental room as an urban production unit: make it safe, finance its growth, defend its tenant, and keep its location valuable.

Small rental units and their occupants

Mukuru lies beside Nairobi's industrial area. Its location keeps workers close to factories, markets and transport. The building in which a family rents may sit on a parcel held by one legal owner, carry a metal structure erected by another person, receive water from an intermediary and hold tenants who have little proof of residence. When the city improves a road, the benefits pass through four separate claims before reaching the household.

Resident enumeration undertaken with Kenyan universities and the Muungano Alliance mapped about 23,000 structures and identified roughly 100,000 households. Around 94 percent were tenants. Many paid structure owners who had built shacks on land owned by other, sometimes absentee, proprietors. The same research uncovered a system of service brokerage and threats of eviction as land values rose. The International Development Research Centre described court action that halted evictions and the subsequent effort to build a shared record of land, structures and occupants.[1][2] Here is the first lesson: a land title cannot by itself identify the household affected by investment. A building record cannot tell who receives rent. A beneficiary list cannot show who will lose customers when a lane closes. If government compensates registered owners alone, public investment can reward the strongest claim and erase the weakest one.

Nairobi County's 2017 declaration of the Mukuru Special Planning Area created a legal route to coordinate infrastructure, land, health, environment and community groups. The planners organized approximately 100,000 families into 13 planning segments, with smaller clusters for consultation. Such organization converts dispersed knowledge into usable planning evidence. The hard part follows: residents, structure

owners and landowners have claims to different pieces of the same place. A plan needs a rule for each claim.[3]

Incremental housing supply

A household starts with a bed, a shared room or lodging with relatives. A worker renting near a market can save on transport despite cramped shelter. A young couple may rent a room while testing job prospects. A family with some security may build a first floor, add a toilet later, then rent a room to pay school fees or finance a second floor. A pensioner may depend on rent from a backyard unit. Housing is simultaneously consumption, collateral, a workplace and a family savings instrument.

The conventional housing pipeline offers a finished unit financed with a long mortgage and delivered to one registered household. The incremental pipeline runs differently: savings, wages, a small loan and a building-material purchase arrive in uncertain order. Construction pauses during a job loss. A tenant moves before a structure is complete. A builder uses rent from the first two rooms to pay for the next two. A standard mortgage rarely fits this risk pattern.

Economists should see an option value in staged building. Each stage preserves the right to postpone the next investment until household income, demand and legal security justify it. That flexibility can be valuable where earnings fluctuate. It can also be expensive. Small purchases lose bulk discounts; repeated mobilization raises labor costs; poorly planned foundations make future floors dangerous. A policy that accelerates building without improving design can turn incremental finance into a subsidy for structural risk.

The supply response is nevertheless visible in Gauteng. Satellite-based analysis by the Gauteng City-Region Observatory found that backyard structures increased from 266,929 in 2001 to 813,224 in 2016. Over those fifteen years, backyard structures accounted for about 546,000 of the 1.3 million net additional residential structures reported in the same dataset: roughly 43 percent. These are detected structures, some with uncertain residential use; they are not an independently counted stock of occupied rental dwellings.[4]

Figure 12.1. Backyard housing structures in Gauteng



Source: Gauteng City-Region Observatory / GeoTerraImage; structures, not confirmed households [4].

This growth took place within the inherited geography of apartheid. Backyard rooms add density in townships where formal public housing and services already exist. They help young households enter the city and give owners a revenue stream. Yet the infrastructure attached to one household often serves several more. The state recorded a formal house; the plot quietly became a small rental building.

Small-landlord finances

A micro-developer can be a homeowner who adds three rooms, a relative who builds on family land, an investor who leases a plot, or an absentee structure owner who owns dozens of precarious rooms. Policies that call them all “informal” conceal differences in wealth, power and incentives. The first may be capital constrained and willing to improve. The last may earn high returns from weak tenants and illegal connections.

The small landlord’s real choices depend on expected net rent, the probability of losing the land, the price of materials, the right to add rooms, the chance of fire or prosecution, and the ability to collect rent. A

reduction in approval delay has value only if permission survives future political changes. A loan has value only if the extra rooms attract tenants at a rent that services debt. A public sewer connection has value only if the charge and network capacity are credible.

Consider the arithmetic. A six-room rental project costs R1.2 million to construct, excluding the value of the already-owned land. The landlord finances 60 percent with a ten-year loan at 12 percent annual interest. At R3,000 rent per room, 90 percent collection and occupancy combined, and operating and reserve costs equal to 20 percent of collected rent, the property generates roughly R12,960 in monthly net operating income. Monthly debt service is about R10,330. The resulting debt-service coverage ratio is 1.25. Reduce rent to R2,600 and the ratio falls to 1.09. Raise the borrowing rate to 14 percent at R3,000 rent and it falls to 1.16. These are illustrative assumptions, not observations from a South African project.

The difference between a bankable and a marginal property is small. Construction delays, unpaid rent, failed drains or a higher loan rate can erase the surplus. This explains why incremental builders underinvest in maintenance or rely on rent advances: they are managing a fragile cash-flow business without long-term capital. It also explains how an expensive small-loan product can undermine an apparently cheap design.

Illustrative six-room rental investment: the bankability frontier

Monthly rent per room	12% loan: DSCR	14% loan: DSCR	Interpretation
R2,600	1.09	1.00	Little margin for repairs or shock
R2,800	1.17	1.08	Thin resilience
R3,000	1.25	1.16	Potentially financeable; verify market rent

Illustration: capital cost R1.2m, debt R720,000, amortization 120 months, combined occupied/paid share 90%, and operating/replacement costs 20% of collected rent. DSCR = net operating income / scheduled debt service. Land opportunity cost, income taxes, origination fees and major shocks excluded.

An intelligent lender should finance the verified building and rent stream, with staged drawdowns and inspection, rather than pretend every small landlord holds bank-grade title and payroll income. A wholesale capital-markets vehicle may fund thousands of such loans if loss data, collateral rights, servicer performance, concentration risk and tenant outcomes can be audited. Securitization transfers risk; it cannot make unviable rents viable or unsafe buildings safe.

Backyard rental development in South Africa

Cape Town's amended Municipal Planning By-law, gazetted in August 2025, created an additional use right for small affordable rental flats in designated areas. The rule permits up to eight additional rental units alongside a house, or twelve units on a site without a dwelling house, subject to conditions. It also added selected incentive overlays and powers to stop unlawful construction. This is a specific exchange: more legal floor space for small builders, paired with greater ability to require safe connections and enforce standards.[5]

The finance side is beginning to adjust. In July 2026 Rand Merchant Bank and INDLU announced a R1 billion blended-finance program for micro-developers. Its announced structure includes a R30 million concessional construction-warehouse commitment from the FirstRand Foundation, long-term funding from FNB, and participation by FSD Africa Investments in catalytic finance. INDLU reported that its earlier model had helped deliver more than 2,200 rental units and had facilitated approximately R311 million in finance. These are company-reported delivery figures and a new funding commitment; independent measures of tenant rents, occupancy, defaults, subsidy cost and building performance are still needed.[6]

The causal proposition is plausible. Zoning clarity raises the value of compliant plots. Engineering standards and formal connections lower catastrophic risk. Staged finance turns an owner's future rental income into current construction funding. Digital rent collection creates a repayment history. A larger lender can then fund a portfolio. Each improvement, however, moves a rent. Permits may raise land prices. Loan terms may raise the minimum feasible rent. Formal utility charges may land on tenants. A portfolio sold to outside capital may give the financier new influence over property management and eviction decisions.

A proper evaluation would compare eligible and otherwise similar plots near the new regulatory boundaries. Did rental rooms increase relative to untreated plots? Did rent per square meter, structural compliance, connection quality and household transport cost improve? What was the net gain for tenant households after utility bills? How many small landlords borrowed safely, and how many became overleveraged? The announced R1 billion is a chance to test a market-making reform, not yet proof of its welfare effect.

Vacant housing and rental demand in India

India offers an opposite contradiction. Census 2011 recorded roughly 11.09 million vacant urban census houses. The figure is old and its category includes dwellings that may be poorly located, unusable, unfinished or otherwise unavailable for rental; it should never be read as 11 million immediately habitable units. OECD analysis drew attention to the concentration of vacancies in peripheral developments with weak transport and services. Both geography and law can keep a building vacant even while workers crowd into central rooms.[7]

A careful empirical study by Sahil Gandhi, Richard Green and Shaonlee Patranabis used district panel data and changes in rent-control provisions in four Indian states. It found that restrictions on rent revision were associated with an additional 2.8-3.1 percentage points of vacancy. The authors modeled a possible 7.5 percent reduction in the housing shortage in reforming states, with faster contract enforcement also linked to lower vacancies. The result concerns legal and judicial incentives; it does not imply that removing tenant protection alone will make housing cheap. The vacancy measure pools several forms of vacancy, and model estimates require care in new places.[8]

The central government responded with two distinct ideas. The Model Tenancy Act, approved in 2021 for states to adapt, seeks clearer rental contracts, rules for deposits and faster dispute resolution. Because tenancy law depends on state legislation, the national model has no uniform automatic effect. The Affordable Rental Housing Complexes program seeks to put publicly funded vacant housing into rental use and to stimulate purpose-built rental stock on other land.[9][10]

The program's official public-housing conversion page currently lists 83,534 government-funded vacant houses as available for its first model and 5,783 as converted, about 6.9 percent of that administrative pipeline. Those figures are a web snapshot accessed in October 2026; they do not establish how many converted units are occupied, in which locations, or by what income group. The page itself shows large nominated stocks in Delhi and Maharashtra with no conversions recorded in the summary. The basic institutional obstacles include who holds the asset, the cost of refurbishment, the ability to bundle it into a viable operating contract, and demand at the actual site.[9]

The lesson for India is precise. An empty apartment is an asset with a location, a claim, a repair bill and a future operating duty. A rental project works when the owner, contractor, municipality, operator and tenant can sign a credible contract for those facts. A national dashboard that counts conversions cannot reveal the household value of a unit if its commute makes a job impossible.

Tenant protection and rental supply

Tenants need protection against arbitrary eviction, unsafe conditions, discrimination and sudden rent shocks. Landlords need predictable possession rules, rent collection and a credible way to resolve disputes. One-sided systems can unravel. When a landlord expects a five-year court struggle over a room, keeping the unit vacant may be rational. When a tenant expects expulsion after a repair request, reporting a dangerous building may be irrational.

The sustainable agreement separates three functions. First, set clear written rights: habitability, notice, deposits, repairs, rent changes and lawful eviction grounds. Second, make small disputes fast and affordable: mediation, an accessible tribunal, inspection and enforcement. Third, expand supply so market tightness cannot erase statutory rights. Rent stabilization for incumbents may prevent displacement; controls that destroy returns to new safe rental units can shift investment away from the sector. Design and context determine the net effect.

The Indian vacancy evidence identifies a real supply response to legal risk. It does not establish that weak protection is welfare-improving. A proper analysis must value the landlord's willingness to rent, the tenant's stability and bargaining power, and the fall in overall rent if new supply enters. Political coalitions select which term gets counted.

Advance rent payments in Accra

In Accra, the advance-rent problem makes visible another kind of housing finance. A low-income worker can afford monthly rent and still fail the entry test. Landlords often demand one or two years of rent before handing over a key. A 2024 mixed-methods study of 362 Ghanaian renters found the norm of advances of two years or more created repeated borrowing pressures and disrupted savings. Under Ghana's Rent Act, long advances above the statutory limit have long been prohibited. Government officials announced renewed enforcement of the six-month ceiling beginning in April 2026; evidence that the new enforcement has changed market behavior remains limited.[11][12]

If monthly rent is GHS 1,000, a two-year advance requires GHS 24,000 before moving. Six months requires GHS 6,000. The difference, GHS 18,000, is a liquidity barrier, equal to eighteen months of rent. This calculation does not imply that the landlord loses GHS 18,000 in economic rent. The landlord loses access to an interest-free pool of working capital and transfers financial risk back onto itself.

A prohibition without replacement credit can push the same demand into illegal fees, higher rent or tenant selection. A better package enforces the lawful cap, offers low-cost landlord working capital against verified leases, supports deposit escrow, and creates a quick path to recover arrears while protecting tenants from summary eviction. The fiscal question then becomes whether government should subsidize the transition, and whether tenants receive the savings.

Improving safety in stages

The public-choice trade-off is often described as regularize versus demolish. A more useful choice is an ordered set of safety duties. Most small rental buildings can improve in stages. The order matters because some risks kill suddenly and others accumulate slowly. A weak foundation cannot safely carry a subsidized extra floor. A single exit cannot safely evacuate a crowded tenement. A water tap connected to a failing sewer can increase exposure to disease.

Begin with a risk screen before inviting investment: floodway, industrial hazard, unstable slope, fire access, electrical load, structural capacity and contested rights. A red life-safety condition triggers urgent enforcement and a credible housing alternative. For other buildings, the city can offer standard designs for one, two or three floors; pre-approved reinforcement details; a licensed engineer's inspection at critical stages; tested materials; and an accessible permit for a modest improvement. The next stage brings separate metering, toilets, drainage, ventilation and durable weather protection.

Small builders need a public schedule of duties and costs. A rule that requires every informal rental room to meet the full specification of a large apartment tower on day one can make compliance impossible and give inspectors an enduring source of bribes. Phased minimum standards should preserve the non-negotiable safety core and set dated improvement milestones for the rest. Technical standards are a social contract: safe access and structure first; quality rises as finance and networks make it feasible.

The experimental evidence favors modesty about claims. Randomized evaluations of basic prefabricated shelter improvements in El Salvador, Mexico and Uruguay found higher housing satisfaction and general well-being, with improvements in child health in two settings. The researchers found no consistent employment or durable-goods gains. Better shelter can improve life sharply; it does not automatically create higher wages or neighborhood services.[13]

A practical safety-and-permission ladder

Stage	Public obligation	Small-builder obligation	Tenant safeguard
0 Map the claim	Record land, occupiers, tenants, risk and service capacity	Disclose rooms and intended use	No registry shared for eviction without due process
1 Prevent catastrophe	Fire access, hazard rule, independent inspection	Load-bearing safety, wiring, exits, drainage	Emergency remedy and temporary shelter if unsafe
2 Connect and improve	Predictable utility connection and standard plans	Ventilation, sanitation, repairs and materials	Written terms, notices, rent disclosure
3 Add safe rooms	Quick permit, staged finance, verification	Engineered extra floor and compliant meter	Rules for displacement during works
4 Sustain the asset	Tax, inspections, services, complaint path	Maintenance reserve and tenancy records	Renewal rights and remedies

These shelter studies do not validate a complete rental-upgrading package. Accra's advance-rent barrier remains even when construction becomes cheaper, and physical improvements need not raise earnings. Set separate objectives for safety, affordable entry and livelihoods, then judge each against the evidence. [13,11-12]

Density and municipal services

A backyard room uses street space, drainage, water pressure, waste collection, fire access and schools. Its incremental owner may pay more rent and property tax. Yet water and sewer networks may have been designed for a single house. Municipalities often treat incremental rental construction as a private land-use matter and omit its future load from service planning. That is a form of off-budget urban growth.

The fiscal solution has three parts. First, forecast people and water use from observed structures and tenancy counts, with a check on whether satellite imagery mistakes storage sheds for dwellings. Second, publish a neighborhood capacity schedule for sewer, electricity, water and access roads. Third, pair extra legal building rights with targeted network upgrades and a transparent tariff or development charge. Charging the first compliant builder the entire cost of a trunk main would punish compliance and reward those who built earlier without permission.

The instrument is an area-level agreement. City and utility fund common capacity. Builders fund fair local connection costs. Tenants pay a regulated, metered service bill where possible. National government can pay performance grants for verified additional safe rental rooms and connections, especially when municipalities bear costs while the metropolitan labor market gains workers.

Operations matter from the outset. A new block of six rooms adds solid waste, wastewater, roof runoff, fire load and potential arrears. A permit should specify who maintains each common part and what reserve

pays for replacement. A digital map of rooms without a funded maintenance plan gives the city a sharper picture of deterioration while leaving the cause untouched.

Discrimination in low-cost rental markets

A unit can be affordable on paper and inaccessible in practice. Some landlords refuse Muslims, migrants, unmarried adults, single women, people in stigmatized occupations or those lacking formal pay slips. In Delhi and its suburbs, a controlled online rental audit found a 35 percent landlord response rate for upper-caste Hindu applicants and 22 percent for Muslim applicants. The study did not find equally clear callback penalties for Scheduled Caste or Other Backward Class names in that design. It measured first contact; it did not observe final lease awards.[14]

Exclusion works through discretion at several gates. A broker withholds a listing. A housing society adds a membership rule. A lender treats cash wages as unreliable. A utility refuses a meter to an occupant without title. A public program counts a sanctioned unit before learning who is allowed to occupy it. These separate choices cumulate into segregation.

The housing-policy remedy needs supply and rights together. Require nondiscriminatory rental listings and written reasons for refusals in public-assisted housing; test landlords and brokers through lawful audits; allow alternative income evidence; provide a confidential complaint path; and ensure migrant households can access services without surrendering personal information to their landlord. Tenure security for the structure owner should never become a license to evict the sitting tenant after public upgrading raises value.

Interests in small-scale rental housing

Every reform in this chapter reallocates a specific rent. Legal floor space creates development value. Sewer connections reduce private service sales. Loan guarantees move default risk onto public balance sheets. A tenancy register shifts bargaining power from a landlord to an enforceable contract and may give the tax authority new information. Stronger building controls threaten builders who profit from shortcuts. Blanket demolition empowers owners of scarce legal homes while harming renters forced farther out.

Actors, rents, veto points and feasible bargains

Actor	Rent or power at stake	Veto or leverage	Bargain that can hold
Tenant and migrant worker	Job access, stable rent, safety; weak papers	Mobility, collective action, electoral voice often weak	Protected occupancy, repairs, legal address, fast appeal
Resident small landlord	Rental cash flow and asset appreciation	Refusal to register or invest	More legal rooms and finance for safety, phased costs
Absentee structure owner	Unrecorded rent and control over access	Broker networks, eviction threats	Publicly verified claims; tenant protection; tax enforcement
Land title holder / public agency	Capital gain from tenure recognition or rezoning	Litigation, disposal authority	Value capture, clear land settlement, disclosed transfers
Municipality / utility	Rates, fees, network costs and future deficits	Permits, metering, enforcement	Capacity grants and recurrent revenue for verified safe density
Lender / investor	Interest, data, collateral and step-in rights	Credit rationing and loan covenants	Risk-sharing tied to rent, safety and consumer protection
Homeowners / local elite	Property value and social control of neighborhood	Zoning, court action, politics	Infrastructure assurance and area-wide rather than selective density
Broker / informal service seller	Payment for access, scarcity and exceptions	Control of information, intimidation	Public queues, competitive connections, enforceable complaints

These conflicts explain why technically sound reform often fails. The welfare gains from an extra thousand safe rooms are diffuse and arrive later. The loss of a landlord's illegal water sales or a permit officer's discretion arrives today. The homeowner who fears densification turns up at hearings. The migrant renter who would occupy the future room has neither an address nor a vote in that municipality.

Completed estates and new titles are more visible than routine drainage, building safety, or dispute resolution. These differences can affect public spending priorities. Rental reform needs support from tenants, small landlords, builders, lenders, and service providers who benefit from additional safe, occupied housing.

A feasible coalition links small landlords seeking credit, renters seeking safety, builders seeking steady work, utilities seeking legal customers, and municipalities seeking sustainable density. It must also neutralize vetoes. Grandfathering existing occupancy for a fixed transition, paying for trunk networks, retaining relocation near jobs where a building is unsafe, and creating fair dispute resolution can reduce the immediate cost of compliance. A purely punitive campaign can drive rooms underground.

Test whether low-income tenants can enter and remain after improvement, including households without formal employment or documentation.

Digital records and tenant rights

A satellite image can identify an extra roof. It cannot tell who pays rent, who holds the key, whether the roof is safe, or who would lose a job if the room vanished. The proper digital system links a physical building record to protected, consent-based tenancy and service records. A single official parcel identity should never be mistaken for a single economic beneficiary.

Four applications deserve priority. First, service planning: map rooms, occupancy and water demand to direct capital upgrades. Second, staged permits: let a small landlord submit a standard design and receive a timed, reviewable decision. Third, finance: use verified construction milestones and consented rent collections to underwrite a small loan. Fourth, protection: provide tenants with receipts, a repair channel, deposit escrow and an appeal record outside landlord control.

AI could match building footprints to service networks, screen plans for common code breaches, flag unsafe deviations in progress photos, estimate rental demand or identify patterns of discrimination in landlord responses. Its value must be measured against a competent non-AI workflow. For each tool ask: which information gap falls, how much time or expense disappears, who keeps the gain, who gains power to approve or exclude, and what happens when the prediction is wrong?

The answer can be uncomfortable. Automated property discovery helps a city plan drains and gives it a map for enforcement. Automated rent scoring helps a lender assess an irregular cash flow and gives a platform influence over the landlord's pricing. A tenant registry improves legal proof and can expose undocumented migrants or politically vulnerable households. A sound program limits purpose, access and retention; requires reasons for adverse decisions; gives correction and human appeal; and keeps safety inspections and emergency relief available offline.

The right first metric is simpler than a machine-learning accuracy score: how many additional safe, occupied rooms did the system cause, at what total cost, without higher rent burden or exclusion? The state should commission technology around that outcome.

Sequencing support and enforcement

Adapt setbacks, fire access and connection methods to existing layouts without relaxing life-safety requirements. Use targeted grants for non-recoverable safety or network costs and loans only where realistic cash flows support repayment.

Municipal building control and utilities must offer a usable compliance path; tenant dispute resolution must remain accessible. Track safe occupied rooms added or retained, rent changes, closures, original tenant retention, service reliability and borrower distress.

A city can move quickly if it separates evidence gathering from punitive enforcement and publishes a predictable path to compliance. The first ninety days should produce a representative room-and-tenant sample, a map of severe hazards, a count of eligible plots within existing infrastructure, and a cash-flow model for small landlords. It should also identify who profits from current informal water, power and permit markets. A sample based solely on advertised online listings will miss the poorest renters.

Over the next 120 days, the city can designate pilot areas, approve a limited set of safe standard room and stair designs, publish utility capacity and fees, recruit qualified local inspectors, and open a voluntary tenancy-recognition channel with strong privacy safeguards. Treasury can offer temporary, conditional support for fire egress, sanitation and structural safety. Lenders can pilot staged loans with independent certification, clear repossession rules and a cap on landlord leverage. Tenants need funded grievance support from the first day.

In the following twelve months, verify changes against comparison areas or a credible phased rollout. The indicators should include rental additions, net rent and utilities, occupied room-months, tenant turnover, structural defects, fire incidents, the share of units with safe sanitation, water uptime, permit time, lender losses and public cost per additional safe household-year. Monitoring displacement is essential: a project can improve average quality by forcing out the poorest residents.

A pilot should stop expansion when rents rise sharply, tenant evictions increase, safety inspections fail or loan losses imply coercive collection. It should expand when additional occupied rooms appear, habitability improves, and the combined cost of rent, utilities and travel remains within the target household’s means. The government must precommit to those stop and scale rules before announcing a success.

Small-rental housing assessment

The practical challenge for a minister, mayor or MDB team is to assess the market where poor workers actually rent. The following fourteen questions can be applied to a neighborhood, a serviced-site scheme, a landlord-finance program or an informal-settlement upgrade. Each gate must have a named owner, evidence and a result date.

Gate	Question that must be answered	Minimum evidence
1. Demand	Who rents and why here?	Tenant enumeration, job access, rents and turnover
2. Land claims	Who holds title, structures and occupancy rights?	Distinct maps of plots, structures, owners and tenants
3. Safety	Which hazards require immediate action?	Engineer/fire inspections; risk classifications
4. Rules	Can a safe extra room be permitted predictably?	Permitted templates, fees, clocks and appeals
5. Materials	Can local builders deliver verified quality?	Input costs, tests, skilled workers and procurement
6. Capacity	Can water, sewer, power and access support density?	Network model and funded expansion schedule
7. Landlord economics	Will net rent cover costs and reserves?	Project cost, DSCR, rent sensitivity, stress test
8. Household cost	Does rent remain affordable after access costs?	Rent + utility + transport time and cash
9. Finance	Does capital reach viable micro-developers?	Terms, defaults, staged inspections, consumer rights
10. Tenancy	Can renters seek repairs and resist illegal eviction?	Lease terms, tribunal, grievance and remedy
11. Inclusion	Who faces screening or displacement?	Audits by income, tenure and social group
12. Public finance	What will the city and state pay over time?	Land value, subsidies, guarantees, trunk O&M;
13. Politics	Who earns rents from the status quo and can veto?	Named actor-rent-veto-coalition map
14. Learning	Does the reform produce net additional safe room-years?	Credible counterfactual, tracking, stop/scale rule

Apply a weakest-link test. A building with no structural safety certification cannot be scaled through cheap credit. A title record that excludes tenants cannot justify eviction or rehabilitation compensation. A financing program that improves units while pushing renters out of reach has missed its target. A municipality that grants extra floors without paying for sewer capacity has exported the cost to future residents.

Permit the room, finance its safe construction, protect the tenant, and fund the street. Count additional safe years of occupancy.

Implications for incremental housing

The quiet builder offers a different answer to the scale problem posed by Africa's and India's urban growth. Millions of households already create housing in small decisions, close to work, with risk and finance distributed across family, tenant, supplier and landlord. Governments can make those choices more productive by supplying rules, networks, credit and enforceable rights. They can also crush supply by trying to replace every existing room with a complete formal apartment and a mortgage.

No romantic account of informality survives Mukuru's service cartels, dangerous tenements or the fear of a midnight eviction. Nor does a purely punitive account survive Gauteng's rapid backyard supply or the failure of publicly built homes to find tenants at distant sites. The useful distinction runs through the room itself: which part of the arrangement delivers value, and which part imposes avoidable risk and extracts rent?

The theory of change is clear. Legal small-scale density raises potential supply. Predictable permits and verified engineering lower construction risk. Staged credit reduces liquidity barriers. Funded utilities make added rooms habitable. Tenant rights prevent gains from accruing entirely to owners. Public data

reveal the actors and help enforce the agreement. Together these reforms can convert a precarious room into a durable, affordable urban service. Each arrow is an empirical proposition to test in the city concerned.

What transfers?

Worked because	affordable staged works; secure enough occupancy; practical technical support; services matched to higher density
Failed when	standards requiring unaffordable reconstruction; upfront rent barriers; rent increases without protection; infrastructure unable to absorb added rooms
Do not copy	a model micro-unit or a universal formalisation deadline
Transfer instead	improve safety and access through steps that owners can finance and tenants can survive
Scale test	At tenfold volume, check inspector workloads, transformer and sewer capacity, loan arrears and displacement from simultaneous upgrading.

Sources and evidence notes

The numbers and causal claims in this chapter come from official statistics, academic studies and identifiable program records. A study estimates a mechanism within its sample; an administrative figure records activity; a planned financial commitment reports an intention. The text keeps those categories apart.

[1] International Development Research Centre (Canada), “Data and activism drive dramatic improvements in struggling Nairobi neighbourhoods,” 2025. Mukuru enumeration, structure and tenant counts. [source] [2] Muungano wa Wanavijiji, “About the Mukuru SPA.” Resident organizations’ account of tenure, service brokerage and 94% tenancy. [source] [3] David Dodman, IIED, “A special approach to slum upgrading: the Special Planning Area in Mukuru, Nairobi,” 18 October 2017. Legal designation, consortiums, planning segments. [source] [4] Gauteng City-Region Observatory, “Backyard and informal dwellings (2001-2016),” 2018. GeoTerraImage structure classification; counts are buildings, not occupied households. [source] [5] City of Cape Town, “Cape Town puts affordable housing into high gear as revised Municipal Planning By-law is Gazetted,” 12 August 2025. Legal additional-use rights for designated small rental developments. [source] [6] Rand Merchant Bank, “RMB and INDLU Launch R1bn Blended Finance Programme,” 15 July 2026. Funding plan and company-reported prior delivery; independently verified tenant outcomes not supplied. [source] [7] OECD Economic Surveys: India 2019, chapter on Housing for All. Census-based 2011 vacancy and geography of empty units. [source] [8] Sahil Gandhi, Richard K. Green and Shaonlee Patranabis (2022), “Insecure property rights and the housing market: Explaining India’s housing vacancy paradox,” Journal of Urban Economics 131. District panel estimates and modeled shortage effect. [source] [9] Ministry of Housing and Urban Affairs, India, ARHC portal, “Details of Govt. Funded Vacant Houses.” Administrative snapshot accessed 11 October 2026; occupancy not verified. [source] [10] Government of India, Cabinet approval of the Model Tenancy Act, 2021; MoHUA Affordable Rental Housing Complexes program FAQ. [source] [11] Richmond Juvenile Ehwi, Lewis Abedi Asante and Emmanuel Kofi Gavu (2024), “Understanding the norms and difficulties with advance rent payments in Ghana,” International Journal of Urban Sustainable Development 16(1):163-181. Survey of 362 renters. [source] [12] Ghanaian Times, 20 March 2026, “Collect 6 Months’ Rent or Face Prosecution,” via AllAfrica. Reports April 2026 enforcement announcement; outcome evidence remains to be established. [source] [13] Sebastian Galiani et al. (2017), “Shelter from the storm: Upgrading housing infrastructure in Latin American slums,” Journal of Urban Economics 98:187-213; randomized interventions in El Salvador, Mexico and Uruguay. [source] [14] Saugato Datta and Vikram Pathania (2016), “For whom does the phone (not) ring? Discrimination in the rental housing market in Delhi, India,” UNU-WIDER Working Paper

55. Online audit experiment. [source]

Illustrative analysis: the six-room pro forma and Ghana advance-rent example use explicitly stated assumptions; they are calculations, not measured market effects. Recommendations on the compliance ladder, fiscal transfers, grievance protection and experiment design are authorial judgments.

13. Housing information and policy evaluation

A housing information system earns its value when it changes six decisions: where growth is legal, which infrastructure is funded, which households receive aid, which buildings receive credit, which assets are maintained, and which policy is stopped after it fails.

The chain is simple: credible observations ' a shared account of constraints ' an accountable decision ' a changed incentive ' a household outcome ' a new observation. Each arrow can break. Maps can omit tenants. Agencies can refuse to share files. Politicians can reward the wrong target. Lenders can keep the gains. A dashboard can show progress while a neighborhood deteriorates.

Evidence	What it establishes	What remains uncertain
In a Ghana field experiment, digital maps raised tax-bill deliveries 27% and collections 103%.	Information changed worker behaviour and fiscal yield.	Indirect household survey responses indicated more bribery in treatment areas. The mechanism and distributional effects remain uncertain. [3, 115]
In Freetown, mapped properties doubled and tax collections tripled in the first year of reform.	Local data can support a more progressive tax base.	Central-local power and ownership of the system remained contested. [4]
India reported 99.8% computerised records of rights by January 2026.	Digitisation has reached substantial scale.	Surveys, corrections, pending cases, and customary rights still require institutions. [5]
Mukuru's planning process counted about 100,000 households; 94% of residents were renters.	Enumeration changes who appears in the policy problem.	Formal title or building maps alone cannot determine who should gain. [1-2]

Evidence hierarchy: the Ghana estimate is experimental; the Freetown and India numbers are reported administrative measures; Mukuru figures come from enumeration and project documentation.

The test for AI is demanding. For each proposed use, specify the bottleneck, the measurable improvement, the beneficiary, the new holder of power, and the remedy for error. If these cannot be written in a one-page contract, another platform is unlikely to help.

Distinguishing owners from occupants

Imagine an official in Nairobi looking at an aerial image of Mukuru. Metal roofs form dense blocks. The lanes are narrow. The image can help estimate where drainage would run and how many structures may need service. It cannot tell the official who occupies each room, who collects the rent, whose claim to the land is contested, or whether the woman earning her living beside the railway would lose that income after relocation. Those are different facts, held by different people. The opening scene is illustrative; the institutional problem is real.

Mukuru covers roughly 689 acres and was designated a Special Planning Area in 2017. A city-community partnership brought together more than forty organizations and the residents themselves. Project documentation puts the target at roughly 100,000 households, with over 5,000 residents joining planning forums in 2018-19. In a separate account of the enumeration, residents and their partners found that

around 94 percent of people were tenants and that underlying land rights sat with a much smaller set of owners. [1, 2]

Those numbers change the plan. A land-record modernization project that recognizes only titled owners can protect the claims of landlords and landowners while displacing the tenants who finance the settlement through rent. An upgrading subsidy paid to the structure owner may become a rent increase. A relocated household may receive a sound apartment and lose the clients or employers who made its old room worth living in.

Mukuru reveals the first law of housing information: the unit of observation determines the person the policy can see. Count plots, and landowners dominate. Count roofs, and builders dominate. Count registered mortgages, and salaried borrowers dominate. Count households, rents, livelihoods, walking times, rights claims, and service failures, and the city sees a different housing market.

Community enumeration has its own risks. Local leaders may favor long-term residents over migrants, owners over renters, or men over women. A settlement register can become the basis for access to a future subsidy; people then have incentives to alter the list. Enumeration must record who supplied the information, when it was checked, which claims remain contested, and how someone can appeal. A record is an instrument of public authority as soon as government acts on it.

The causal sequence extends to the street. A survey identifies renters and structures. A rights process defines who is entitled to service or compensation. Utility planning specifies connections. A funded works program installs them. A new survey checks rent, water cost, flood exposure, and the proportion of the original households still living there. Every missing step can turn an accurate map into a failed housing policy.

Gaps in housing-market information

A typical city knows the government projects it has approved. It may know recorded sale values for titled plots, building plans filed at city hall, bank mortgages, and a sample of formal market advertisements. Much of the housing used by poor households lives beyond those sources: unregistered rooms, family subdivisions, houses built in stages, backyard rentals, informal contracts, shared water points, and households that move repeatedly in search of work.

The consequence is a measurement trap. A city can report that new home construction is rising while rents rise faster in the cheapest locations. It can report falling average rents because low-income renters have been pushed outside the boundary being measured. It can count more titled homes while low-income tenants lose protection. The denominator moves as policy changes.

Measure the household burden that actually binds

For a renter, affordability depends on recurring payments: rent + basic utilities + transport + expected cost of risk and disruption, assessed against a realistic measure of income and income volatility. For an owner it also includes loan installments, service charges, maintenance, property taxes, and the price of reaching work. Conventional price-to-income ratios remain useful but incomplete. A low-priced flat at the urban edge may impose a larger weekly cash burden than an expensive central room.

The city therefore needs repeated observations, including households that left. A panel of sampled renters can track monthly rent, deposits, crowding, utility bills, commuting costs, tenure security, eviction and household composition. Transaction records and online listings provide much larger samples at lower marginal cost but overrepresent better-connected households and formal listings. Surveys serve as an independent reference, not as a last resort.

The second task is to count the options households can realistically choose. Housing supply comprises completed formal units, new rooms added by small owners, sanctioned but unbuilt permissions, usable vacant homes, and land on which services and legal rights allow homes to be built. Counting only the first

creates a policy bias toward large developers and public projects. Counting all five exposes planning and credit failures at the edges of the formal market.

Property-tax information in Ghana

The cleanest causal evidence in this chapter comes from a small experiment far from any housing launch. In Ghana, four researchers worked with a municipality to test whether a digital map would help tax collectors find properties. Collectors were randomly assigned the use of tablets with geospatial records. Each was given roughly 135 property-tax bills to handle over six weeks. Treatment and comparison collectors worked in otherwise similar areas. [3]

The tablets increased bill deliveries by 27% and tax collections by 103% in the experiment. Collector surveys and the authors' model support their explanation: faster navigation allowed more time for follow-up and learning which households were likely to pay. The collection effects are experimental estimates; the precise contribution of each behavioural channel depends on additional evidence and modelling assumptions. [3,115]

Household surveys also indicated more bribery in treatment areas. Because direct questions were sensitive, the researchers used indirect questions about collectors' likely conduct in the household's area. This supports a warning about abuse, but does not directly observe every bribe. The authors discuss learning whom to pressure as a possible explanation and explicitly note that the data cannot establish that mechanism rigorously. [3,115]

A precise location register can help officials deliver utility bills, inspect dangerous structures, identify owners of vacant plots, or target an upgrading subsidy. The same information can also expose informal residents to enforcement or demands for unofficial payments where safeguards and accountability are weak. Outcomes depend on the rules governing how the information is used.

The operational response begins with how money moves: direct digital payment to the treasury; no cash collected at the door; a published schedule of charges; a receipt linked to the legal demand; random integrity checks; a protected complaint channel; and meaningful penalties. A city that maps every structure while leaving collectors broad unlogged discretion has improved its information system while leaving the rent-seeking system intact.

Tax mapping outcomes and safeguards

The tested tool addressed a property-location problem. It increased bill delivery and collections, but did not establish subsequent housing improvements. Indirect survey responses also indicated more bribery. A housing application should therefore measure resident treatment alongside administrative performance. Independent checks of receipts and payment complaints are proposed safeguards, not interventions evaluated in this experiment. [3,115]

The Ghana experiment tests both the benefit and the risk of better information: measured collections increased, and indirect household survey measures indicated more bribery. Freetown's broader reform adds institutional considerations, including valuation, payment channels and political agreement. Before extending a digital system, verify residents' treatment as well as revenue; the experiment did not measure whether additional receipts improved housing services. [115,4]

Property-tax reform in Freetown

The Ghana experiment isolates a mechanism. Freetown shows what it takes to turn information into a citywide political agreement. By 2018 the Sierra Leonean capital had not formally revalued its property-tax base for more than twenty years. The incoming mayor, Yvonne Aki-Sawyerr, faced a tight municipal budget and limited confidence that an opposition-led council would receive predictable support from the national government. She wanted visible city services and needed revenue that the city could control. [4]

The reform linked geospatial property identification, a simple points-based valuation, billing, bank payment, and a software system that recorded the process. In its first year, registered properties roughly doubled, the estimated revenue potential quintupled, and actual collections tripled. The distributional design helped win consent: the average tax liability of the least valuable 60 percent of properties stayed stable or fell, while that of the most valuable fifth increased by 242 percent. A follow-up survey found support from roughly 70 percent of property owners. These are reported reform and survey results, rather than randomized causal estimates. [4]

The reform did three political jobs at once. Mapping reduced ignorance about the base. A formula made valuation easier to explain and contest. A progressive distribution made the city's claim on high-value property seem fairer. Tax payments were meant to finance the local services that make added housing density possible: drainage, roads, waste collection, public space, and routine repair.

It also created a new political asset: whoever controlled the software and property data could shape revenue collection and city administration. The system began under municipal leadership. In 2023-24 it spread to other cities. During 2024-25 the national government adopted an upgraded version as the basis for a national municipal property-tax system. The central state could finance maintenance and scale; it also gained access to local fiscal information. Central-local political rivalry and the question of who would receive credit for the reform remained live issues. [4] Freetown illustrates the practical politics of a public housing data system. A city needs an owner with a strong reason to act. It needs enough technical help to start and an operating budget after the donor leaves. It needs shared definitions so national and municipal agencies can cooperate. It must settle control over data, money and authority before the system becomes too valuable to relinquish.

If a data initiative raises land and property tax receipts, the next test is whether that revenue supports safer and more affordable neighborhoods. A housing-fiscal pact could publish how much of incremental revenue pays for connections, street drainage, maintenance, or infrastructure in fast-growing low-income areas. Without such a pact, housing policy may improve tax collection while leaving the tenant's daily life unchanged. This final claim is a proposed reform design, not an observed result from Freetown.

Digital land records and disputed rights in India

India now offers the great-scale test of digitization. In its report presented on 11 August 2026, a parliamentary standing committee stated that by January 2026 99.8 percent of records of rights had been computerized, 97.4 percent of cadastral maps digitized, 95.7 percent of sub-registrar offices computerized, and 88.6 percent of registration offices linked with revenue offices. [5]

Those figures mark a large achievement in administrative reach. They also show how easy it is to confuse a digital file with legal certainty. The same committee pointed to incomplete modern record rooms, surveys, links between textual rights and spatial maps, and unresolved registration-to-mutation steps. Auto-triggered mutation, which begins an update in the revenue record when a sale or inheritance is registered, had been implemented in seventeen states. Physical records remained important for dispute resolution. [5]

The economics are straightforward. A fast digital sale deed is of limited use to a builder if the parcel geometry is disputed; a lender cannot accept security against rights the courts may revise; an informal

household cannot claim a title it was never legally allowed to hold. A parcel identifier is useful when there is a procedure for correcting the attributes linked to it. Mistakes travel further when a number is treated as final.

Bhoomi: the same reform, different accounts

Karnataka's Bhoomi program offers an unusually candid dispute about the record itself. A Princeton study of the 1998-2003 reform describes how roughly twenty million rural land records were digitized, village accountants lost some ability to delay copies and solicit small bribes, and people obtained records through a new kiosk network. The study also noted access barriers for farmers who had to travel to a kiosk. [6]

An ethnographic study published by the Indian Institute for Human Settlements reaches a sharper and more troubling judgment. Its authors argue that digitization shifted control upward, increased the cost and delay of some land transactions, and made it easier for powerful actors to aggregate land during Bengaluru's expansion. [7]

These studies examine different settings, mechanisms, and experiences. They do not constitute an experimental verdict. Their disagreement is itself instructive: a simpler record-copying service can benefit a farmer even while a centralized correction process favors a well-connected developer. A good evaluation must separate retrieval, mutation, dispute resolution, conversion, and distribution of land gains. Government should measure each rather than treating a system's successful launch as proof that tenure security has improved.

A geographic-discontinuity study of Rwanda's land-regularization pilot found improved recording of women's land rights and greater investment in soil conservation, particularly among female-headed households. The program changed legal recognition and implementation practices as well as information. It studied rural land and cannot be read as evidence that scanning urban titles will lower rents or increase mortgage lending. [12] Urban housing creates further complications. The person with recorded title, the holder of development rights, the tenant, the structure owner, and the occupant eligible for compensation may be five different parties. A data platform designed around one "owner" field conceals those relationships. Its ease of use can make exclusion feel legally settled when the underlying decision remains contested.

Measuring occupied housing and programme outcomes

India's PMAY-Urban portal shows the appeal and the limits of administrative dashboards. On the public portal checked in October 2026, the scheme reported 127.68 lakh homes sanctioned, 121.03 lakh grounded, and 99.07 lakh completed. These are important production milestones, and the portal offers more detail by state and city. [8]

Yet the headline cannot answer whether housing need has fallen by an equivalent amount. Sanctions span different years and project types. "Grounded" refers to a stage in the pipeline; "completed" refers to a physical milestone. The ratio of completed to sanctioned homes across the cumulative stock is around 77.6 percent. It is not a completion rate for projects that have had equal time to mature, a vacancy rate, or a measure of additional housing available to households who otherwise lacked a home.

A learning system would retain the original program measures and connect them to different questions: Was the home occupied twelve months later? By which household? Was this an additional unit or the rebuilding of an existing dwelling? What happened to monthly housing-plus-transport costs? Did the family leave its job, school, or support network? Was the drainage working after three monsoons? How much central subsidy and city infrastructure expense was required for each durable occupied home?

The temptation to count what is easily photographed is real. An Indian investigation reported in July 2025 that, in part of Chhattisgarh, a single house photograph was uploaded under multiple beneficiary records. The report involved a specific local inquiry and cannot establish the prevalence of fraud nationwide. It shows why geotagged images, by themselves, are weak evidence of unique occupied homes. [9]

The cure is better measurement design. Each home needs a persistent project and physical-unit identity; each construction-stage event needs a date, source, and verifier; and occupancy needs independent sampling. Randomly selected on-site visits, repeat imagery, utility connections, tenant or owner contact, and time-series checks can identify discrepancies. A complaint should trigger review, not automatic deletion from a beneficiary list.

This approach respects the financial value chain. Treasury cares about the cost of each verified result. Lenders care whether income and collateral support repayments. Developers care about permits and sales absorption.

Utilities care about connected users and maintenance. Residents care about rent, travel time, heat, flood, safety, and the risk of losing the home. The same administrative system must produce distinct answers for each user without allowing any one actor to define success for everyone.

The capabilities and limits of satellite imagery and AI

A city can now update maps of roofs, built-up land, street patterns, flood exposure, and apparent settlement density far more cheaply than through a wall-to-wall ground survey. Research published in 2024 developed models for deprived areas in Lagos, Accra, and Nairobi using freely available Sentinel-2 imagery. In city-specific tests, some models reported F1 scores above 80 percent. The authors also found differences across settlement types and warned that transferring a model to a new city remains difficult. [10]

A July 2026 International Growth Centre brief describes promising transfer tests using training data from locations in India and Burkina Faso. The researchers still stress local mapping for training and validation. [11] These findings point to a sensible division of labor: satellite models reveal probable changes and decide where a field team should look; surveyors and residents verify the claims that alter legal rights or public spending.

Accuracy reports deserve close reading. A model that classifies pixels can score well while failing to identify tenants, income, building safety or tenure. An algorithm trained on tightly packed metal roofs may miss poor households in formal-looking flats. Even measured classification accuracy can mislead when the feature sought is rare.

Figure 13.1. Classification accuracy and the prevalence of deprivation



In this hypothetical example, 10,000 of 100,000 map cells contain the feature being sought. The model identifies 9,000 correctly and misses 1,000. It incorrectly flags 4,500 of the other 90,000 cells. Thus 4,500 of 13,500 alerts are false. These are illustrative calculations, not field estimates.

In the real world, labeling itself is political. Who decided a neighborhood was “informal,” “blighted,” or “vacant”? Was the training set drawn from places scheduled for clearance? Does the model learn caste, race or class proxies from roof shape and vegetation? The model can influence where government sends sanitation teams; it can also influence where police or eviction teams go. Decision logs, purpose limits, uncertainty maps, and public consultation are part of responsible classification.

AI also helps with mundane tasks whose benefits are easier to verify: reconciling parcel identifiers across agencies, spotting repeated construction images, identifying long permit queues, estimating demand for utility connections, finding likely unregistered buildings for a neutral field audit, and comparing maintenance reports with actual repairs. None requires giving an opaque score legal authority over a resident.

Designing a housing observatory

The cheapest first step is to choose the decisions the city routinely gets wrong. In one city that may be which wards receive sewer capacity. In another it may be the floor-space rules that stop small landlords from adding safe units. In a third it may be why subsidized homes stand empty. A useful observatory begins with those questions and works backward to the minimum data required.

The design requires several linked but separate records. One describes parcels and rights, including disputed claims. One describes buildings and rooms. Another records households and tenancies, with strong privacy rules. Others record planning rights and permit events, network capacity and failures, project and subsidy stages, market rents and sale prices, and public assets with their operating costs. Each record has its own lawful steward. The system links identities and events with controlled access; it need not pool every personal detail in one database.

Record	Minimum fields needed for a decision	Main owner and check
Parcel and rights	Geometry; public/private status; rights holders; encumbrances; unresolved claims; update date.	Land agency; correction process; community challenge.
Building and units	Footprint; floors; unit type; structural-risk flag; unique physical-unit ID.	City building control; field audit of model estimates.
Household and rental	Anonymous panel ID; rent, utilities, crowding; access to work; move or eviction; tenancy type.	Statistics office or independent survey partner; privacy steward.
Planning and permits	Legal floor space; application events; refusal reasons; officer; clock; appeal.	Planning department; public audit of exceptions.
Networks and assets	Capacity, outage, flood risk, capital cost, service standard, maintenance owner.	Utilities and city finance; independent service checks.
Public projects and aid	Site; cost; subsidy; procurement; stage; verified occupancy; aftercare.	Housing agency and treasury; sample verification.
Market and credit	Repeated rents and sale prices; vacancy samples; loan terms and rejections.	Statistics unit, landlord/tenant panel, lenders; sample bias checks.

Table 1. The minimum viable information architecture. The critical fields are the ones attached to decisions and appeals. A universal platform can wait.

A strong record has a few traits missing from many dashboards. It records a valid time (when a fact was true) and a recording time (when an agency learned it). It distinguishes verified facts from claims and model estimates. It preserves old versions. It shows the person or institution responsible for corrections. It allows lawful access without granting every agency the right to copy personal files. These are small design choices with large distributional effects.

A city should also publish the market facts that private actors need: permitted floor space, transparent fees, service-capacity zones, average approval time, anonymized local rents, transport access, and infrastructure plans. More predictable information can reduce a developer's holding cost and help small

builders seek finance. Government must then check whether developers pass savings into rents or prices. Supply constraints and market power still govern how the benefits are shared.

Information and market incentives

Consider a developer deciding whether to buy a plot. The developer needs answers from five offices: whether title is secure, what can be built, what the utility can connect, how long approvals take, and what comparable homes sell or rent for. Uncertainty requires a higher profit margin. Some developers pay brokers to compress that uncertainty; others leave the market. This favors firms with political access and deep balance sheets.

Publishing legally reliable parcel-level rights, infrastructure capacity, and permitting clocks can reduce this advantage. Developers can bid for land with a clearer sense of cost. Banks can underwrite time risk. Competition may strengthen if small and new builders can obtain the same information as incumbents. Yet the price of developable land can rise as uncertainty falls. If the landowner captures the gain, households see little benefit. The city must measure permitted and delivered affordable floor space after reform, and consider land-value capture or public-land conditions where the state creates large windfalls.

Now consider a small landlord adding three rooms behind an existing home. The household needs a simple safe building standard, permission to connect toilets and electricity, a loan matched to rent, and a way to resolve tenant disputes. Data about average rents and structural risks help lenders price a loan. But a registration system that automatically triggers back taxes, demolition notices, and steep infrastructure fees may drive landlords back into invisibility. Offer a time-limited compliance route and finance safety improvements before applying punitive enforcement to noncritical violations.

A citywide rental register also changes the bargaining balance with tenants. Information about comparable rents can aid dispute resolution and improve subsidy design. Named lists of tenants, irregular migrants or households in informal settlements can expose people to landlords or enforcement agents. Share aggregate prices with the market; protect identities and grievances. Housing data carry asymmetric harm when they are wrong.

Capital markets introduce another information chain. Pension funds or bond buyers need credible evidence of the cash flows and risks behind housing assets, including construction milestones, occupancy, rent collection, maintenance reserves, and insurance exposure. A shared record can lower due diligence costs. It cannot cure a project whose residents lack income to pay the contracted rent. Better information can deepen finance after there is a viable asset and an enforceable operating model.

Testing and evaluating housing policy

A city that can learn asks a harsher question than whether a policy sounds plausible: what would have happened without it? That question is difficult in housing because residents move, markets spill across ward boundaries, land prices adjust, and projects last years. It is still possible to design tests before a national program locks in its method.

Start with a specific causal claim. “Faster permits will lower the price of low-income rentals” contains several links: shorter approval time → lower holding cost → more projects reaching financial close → more finished rooms in accessible areas → slower rent growth → households retaining more cash after housing and travel. Any link can fail. A permit reform can lower developer costs while site scarcity allows the landowner to raise the land price.

Randomize where rules permit. A municipality might phase a permit-assistance service across equally eligible wards or assign added inspection support at random to a queue. For legal changes that must apply citywide, use matched comparison cities, staggered rollout, event-study designs, or carefully chosen boundary comparisons. Publish the pre-policy trend, all outcome definitions, and the planned analysis

before results appear. Watch spillovers: cheaper rents in one ward can attract households from another; a tax enforcement intervention can alter decisions in comparison wards.

Use implementation data to explain mechanisms. Track the time spent at each approving office, the number of projects that reach construction, and the median housing-plus-transport cost for eligible households. A null effect on rent can still teach: perhaps construction finance, not permits, became the next barrier. A policy that raises occupancy but increases commute time reveals a shift in costs rather than an unambiguous gain.

THE THREE NUMBERS TO REPORT TO A MINISTER

1. Household: change in monthly housing + utilities + travel cost and access to work for the target population. **2. Supply:** net additional safe occupied units or rental rooms in accessible locations. **3. Public value:** full public cost per additional safe occupied household-year, including future maintenance. Publish the comparison, sample size, uncertainty, and which households exited the sample.

A durable learning loop needs a budget and a decision-maker. Quarterly meetings should begin with the latest constraint and the independent outcome estimate, not a demonstration of the software. Decisions should name a rule that changes, a person who owns it, a deadline, and a future test. Reforms that fail should be stopped or revised visibly. A dashboard without an adaptation rule is a report card without a school.

Five tests for AI procurement

Use case	Binding constraint and test	Capture / power / safeguards
Satellite settlement mapping	Time and cost to identify new deprived areas; field-verified missed-settlement rate.	City saves survey effort. Residents face new visibility; map errors and purpose limits require community review.
Parcel matching and title records	Days to identify conflicts; correction time; share of records with contested claims.	Banks and landowners may gain; informal holders risk exclusion. Keep legal adjudication and appeals separate.
Digital permitting	Median and 90th-percentile approval time; additional safe units completed.	Developers save finance cost; landowner may capture gain. Open queues, exceptions and prices.
Use case	**Binding constraint and test**	**Capture / power / safeguards**
Construction verification	False payment and false rejection rates; cost of independent inspections.	Treasury gains; beneficiary may lose aid after a model error. Human review and redress.
Rental data and credit scoring	Reduction in loan-processing cost; new safe rooms financed; terms by income group.	Small landlords and lenders may gain; tenants may face rent pass-through; audit discrimination.
Tax, billing and service targeting	Net revenue, leakage, service improvements, bribe incidence by income.	City gains revenue; staff gain targeting power. Cashless payments and complaint audits.
Predictive maintenance	Emergency failures avoided; life-cycle cost per occupied unit.	Residents gain reliability; contractor incentives change; audit forecast misses and work orders.

Table 2. Technology contract. Every row is a hypothesis requiring measurement. None is an established effect size outside the cited experiments.

There is a procurement lesson here. Do not buy “a city AI platform” as a single deliverable. Buy testable service outcomes and data rights: an interoperable parcel match, an auditable queue, field-validated settlement change, fewer inspection errors, or verified reductions in maintenance failures. Separate model development from independent evaluation. Require portability of core records, reproducible logs, staff training, correction routes, and a tested exit plan if the vendor disappears.

Cheap software with no operating budget creates another stranded asset. Every system requires data stewards, a help desk, cybersecurity, periodic re-surveys, human review, and the ability to amend wrong records. A digital twin whose maps go stale after the pilot can be more dangerous than an old paper map because users may trust it more.

Access to information and decision-making power

The information a city lacks is often information someone else would prefer to control. Brokers profit from knowing where approval will be granted. Landowners gain from ambiguity over public parcels. Incumbent developers gain when small competitors cannot predict fees or connection times. Politicians may prefer a subsidy waiting list they can influence. Some municipal officers fear that published clocks will reveal delay. Landlords can resist registers that reveal unlicensed rooms or unsafe conditions. Tenants may resist disclosure because the recorded address can expose them to eviction.

Homeowners and neighborhood associations hold another kind of informational power. They can attend hearings, commission traffic studies, and present precise objections to rental apartments. The households who would move into those apartments are absent from the meeting. A citywide information system can correct that imbalance by publishing forgone homes, expected service costs, and who has been excluded. The same statistics can be used to stigmatize a poor neighborhood. Rules and the public narrative both matter.

Caste, race and class shape which claims a registry treats as credible. Formal job histories privilege salaried workers. A title-focused register can disadvantage customary and collective rights. Credit data can transmit the history of neighborhood segregation into present lending decisions. A rent database that covers formal advertisements may exclude migrant workers and poorer neighborhoods. A city should publish coverage and error rates by settlement type and, where legal and ethically sound, test differential error and outcomes across social groups.

Actor	Information rent and veto	Feasible coalition or bargain
Public land agency and politically linked owners	Control of inventory, valuation and disposal; can delay transfers or release selected parcels.	Independent public-land register; auction or allocation rules; appeals; parliamentary audit.
Planners and established homeowners	Discretion over permitted density and local objections; future residents lack a vote.	Publish infrastructure capacity and opportunity cost; share some land-value gains with local services.
Large developers and construction firms	Privileged information on approvals, infrastructure timing and public procurement.	Common APIs, published queues and bid data; time-bound approvals and competitive entry.
Small landlords and renters	Landlords control occupancy records; tenants fear exposure, rent rises and eviction.	Safe compliance path, affordable upgrade finance, anonymous rent sampling, rights enforcement.
Municipal officials and utility managers	Control records, service permissions and asset budgets; performance can be hidden.	Performance grants, public service standards, correction procedures, protected audit roles.
Central government and local government	Compete for revenue, access to data, procurement control and political credit.	Shared standards with clear lawful access, fiscal returns, system operating responsibilities.
Data firms, enumerators and civic groups	Control over methods, software, classifications and who joins registers.	Portable systems, audit access, independent verification and funded community appeals.

Table 3. The actor–rent–veto map. These are common mechanisms, not claims that every named institution acts in this way.

Technical reform fails when it attacks a rent without securing a coalition. A new public-land register can trigger litigation by beneficiaries of opaque disposal. A property tax map can provoke wealthy owners and national-local rivalry. A rental survey can prompt tenants to refuse interviews if no protections exist. A digital permit can leave old agency vetoes untouched. Every successful information reform needs to answer who loses discretion, what lawful compensation or alternative incentives are offered, and who has enough authority to enforce the new rule.

A feasible sequence begins with low-risk, high-value public facts: building permissions, public infrastructure plans, official fees, service standards, and aggregate rental indicators. Add parcel and project identifiers with correction rights. Introduce tax and subsidy uses only after the appeals and privacy systems work. Place informal tenants and community enumerators inside validation teams, while insulating them from political list-making. Then tie fiscal transfers or performance grants to improvements verified outside the implementing agency.

Measure inclusion and exclusion errors by income, tenure and locally relevant identity groups; do not treat absence from a registry as absence of a claim.

Data accuracy and resident protection

An accurate map can still cause harm. Suppose an AI model correctly identifies rooms built on a disputed public parcel. The information might support safer drainage, an inclusive redevelopment plan, fair land-value recovery, or a mass clearance. The technical result is identical. The lawful purpose, procedural rights, and allocation of gains decide whether the use is legitimate.

Privacy should therefore be designed around the decision. Publish aggregate rents, neighborhood vacancy estimates and infrastructure constraints. Restrict named tenancy and household files. Separate eligibility checks from immigration enforcement and unrelated policing unless law explicitly authorizes a use with

proportional safeguards. Set retention dates, log every access to sensitive records, and notify residents when an adverse decision relies on data or an algorithm. Give people a route to correct errors before an irreversible action occurs.

Use “disputed,” “estimated,” and “verified” as distinct data states. Government should be able to deliver emergency water and sanitation while land adjudication proceeds. A household must be able to contest a boundary without losing its place on a service list. Community representation cannot substitute for individual appeals, since local committees can reproduce exclusions by gender, religion, tribe, caste or migrant status.

These safeguards cost money. They should appear in project budgets beside aerial imagery and servers. The public pays for a register because it changes real decisions. The state owes the public a means to challenge it.

Identifying 20,000 safe rental rooms

Consider a hypothetical African metropolis that wants 20,000 additional affordable rental rooms in three years. The minister proposes a large subsidized apartment program. A learning city begins by locating the binding constraint. Perhaps thousands of households already build or rent rooms in fast-growing districts, while permit rules prohibit additions, utilities deny connections to untitled properties, and lenders cannot verify rental cash flow.

The city commissions a stratified survey of rents, structures and utilities, cross-checks roof change against high-resolution imagery, and maps legal building capacity within a commute of major job centers. It distinguishes approved rooms, rooms built without approval, rooms vacant or unsafe, and households who moved after a rent increase. It consults builders, renters, utilities and local savings groups before choosing the intervention.

The city then pilots a package in matched neighborhoods: a clear small-building code; a published permit clock; safe utility connections; structural inspections; loan products based on staged works and verified rental income; and a tenant grievance process. The control neighborhoods retain existing services during the pilot and are promised later access if the intervention works. This design is illustrative; it is not a description of an existing experiment.

Its quarterly report has three independent outcomes: number of net new safe occupied rooms, change in the rent-and-transport burden of target households, and added municipal operating cost per room. It also reports unsafe units removed from service, rent increases, evictions, loan defaults, and permit and tax harassment. If landlords build more rooms while tenant burdens worsen, the reform is incomplete. If the rooms appear mainly in remote wards, the location constraint remains. If public service bills rise faster than city revenue, fiscal rules need repair.

An illustrative operating budget of US$1.5 million per year for a city of 500,000 households is US$3 per household annually. It might finance a continuous rental panel, independent field checks, systems integration, appeals, and a small evaluation team. This is a design assumption, not a documented market price. The right budget depends on field costs, security, data access and the cost of correcting errors. The economic case should compare that expense with avoided wasted subsidy, faster lawful delivery, improved local revenue and safer occupied homes, without double counting those benefits.

A 180-day implementation sequence

Account for informal addresses, multilingual assistance, shared devices and undocumented tenure; validate separately in new places. Cost data updates, field checks, licences, model monitoring and appeals after the pilot grant ends.

The service owner must act on findings, the data custodian must correct records, and independent oversight must test abuse. Track correct decisions and resolved cases, cost per verified improvement, false exclusions, appeals, distribution of benefits and harms.

Period	Required output	Responsible institutions
Days 1–30	Select two binding housing decisions; publish definitions and a baseline; map actors, rents and vetoes.	City manager, treasury, housing and statistics units; resident and landlord representatives.
Days 31–60	Build a linked sample of parcels, units, permits, rents and services in two pilot areas; verify missing groups.	Land, planning, utility, survey partner, civic enumerators.
Days 61–90	Define legal access, data corrections, appeals, audit sampling and privacy; publish a simple event log.	Legal counsel, data protection officer, grievance body, implementation team.
Days 91–120	Run one reversible policy change and a credible comparison; freeze indicators before analysis.	Planning or housing agency, treasury, evaluator.
Days 121–150	Measure household and market outcomes, error rates, capture of gains and unintended harms.	Independent evaluation partner, community monitors.
Days 151–180	Publish an evidence note and decide to expand, revise or stop. Reassign budget to the next constraint.	Mayor or cabinet committee; metropolitan and national finance representatives.

Table 4. A practical start. The purpose of six months is to create a credible feedback loop, not to digitize the entire city.

The following decision test can be used in a cabinet committee, a city review, or an MDB concept meeting. Score each gate red, amber or green. A red flag at a rights or verification gate blocks automated action until corrected. Other amber gates can proceed as limited pilots if their risks are made public.

Gate	Question to ask before spending
Decision	Which government action will the new information change within six months?
Household	Which rent, housing quality, safety or access outcome will improve, and for whom?
Coverage	Which renters, migrants, informal occupants and unregistered units are missing?

Gate	Question to ask before spending
Ground truth	What independent sample will test errors in maps, permits and beneficiary records?
Legal status	Are fact, claim, dispute, and model estimate kept visibly separate?
Incentives	Who gains money, discretion or bargaining power when the data become available?
Finance	Who pays to run, update, secure and audit the system after the pilot?
Interoperability	Can the records be exported with meanings, histories and open interfaces intact?
Rights	Who can see personal records, and how can people correct or appeal them?
Competition	Can small landlords and developers access the same public rules as incumbents?
Fiscal use	How will added revenue or avoided waste support services and maintenance?
Causal learning	What credible comparison reveals whether the intervention worked?
Adaptation	Who can stop a failing policy and reallocate money to the next constraint?

Table 5. The 13-gate Housing Learning Test. Use a named owner, evidence link and deadline for every gate; avoid an average score that conceals a serious risk.

The strongest governments will never have perfect data. They will know which facts remain uncertain, who can challenge the files, and what decision the next piece of evidence should change. Learning is a public skill: measure, decide, act, check, and correct. It becomes powerful when the poor are visible as rights holders and market participants, rather than simply as coordinates.

What transfers?

Worked because	a specific search constraint; staff able to use information; a decision linked to records; measurable follow-through
Failed when	unlogged discretion; no correction route; cash extraction outside the treasury; accuracy substituted for welfare
Do not copy	a dashboard, satellite model or data warehouse
Transfer instead	improve a verifiable decision while limiting the additional power created by better information
Scale test	At national scale, test model drift, vendor dependence, appeal queues, cybersecurity and the ability to inspect a sample independently.

Sources and evidence notes

All links are public and were checked against sources available by 12 October 2026. The chapter distinguishes randomized findings, administrative monitoring, case studies, and illustrative policy models. A reported program statistic is evidence about a program record; it is rarely a causal estimate of household welfare.

[1] Muungano wa Wanavijiji (2020 archive), “Mukuru Special Planning Area.” Household scale, area, community forum participation and participating organizations. [source]

[2] Muungano wa Wanavijiji, “Mukuru SPA second level”; account of landowners, community enumeration and the estimate that 94% of residents rent. [source]

[3] Dzansi, Jensen, Lagakos & Telli (2025 revision), “Technology and Tax Capacity: Evidence from Local Governments in Ghana,” NBER Working Paper 29923; with authors’ discussion of bribes in CEPR VoxEU (20 June 2022). Random assignment of collectors. [source]

[3a] Dzansi, Jensen and Lagakos (20 June 2022). Technology and local state capacity: Evidence from Ghana. CEPR VoxEU. Authors’ account of an earlier version; use the February 2025 paper for the revised analysis. [source]

[4] Prichard & Trowbridge, “Local leadership for digitalising public administration: lessons from property tax reform in Freetown,” ODI Global (15 May 2026). [source]

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[10] Owusu et al. (2024), “Towards a scalable and transferable approach to map deprived areas using Sentinel-2 images and machine learning,” Computers, Environment and Urban Systems 109. Peer-reviewed model validation. [source]

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[115] Dzansi, J., Jensen, A., Lagakos, D. and Telli, H. (February 2025 revision). Technology and Tax Capacity: Evidence from Local Governments in Ghana. NBER Working Paper 29923. For bribery measurement see section 4.2, Table 2 and footnote 32; indirect household survey questions. [source] [source]

14. Public finance and long-term affordability

Competing claims on public land

In June 2026, Cape Town handed over the Salt River Market site, close to the city centre, for a planned 970- unit rental development. The scheme promised 300 regulated social rental homes and 670 other apartments described as affordable-market rentals. The municipality said it had discounted the land by 90 per cent, a concession it valued at roughly R95 million. The social-housing developer, Communicare, expected about R127 million in capital support from South Africa's Social Housing Regulatory Authority; it also planned to put in R40 million of its own funds. These were reported commitments and plans. They did not establish that the flats were finished or occupied. [1-3]

The land concession alone amounted to about R98,000 for each of the 970 planned apartments, averaged across the whole project. The separate R127 million social-housing grant amounted to about R423,000 per planned social apartment. The two calculations answer different questions: the first spreads a site-wide land concession across every apartment; the second assigns a stated grant to its 300 intended units. Neither tells us who will ultimately capture the benefit. A developer may absorb a subsidy through lower financing costs. A tenant may receive it through lower rent. A well-connected household may gain first access to a scarce flat. A landowner nearby may gain when redevelopment raises local prices.

The site's existing users had another claim. Cape Town reported that 70 informal households had been moved to upgraded accommodation in Maitland in May 2026, following a long effort to resolve occupation of the property. The redevelopment also had to deal with long-standing market traders; the planned scheme reserved space for four produce traders. The relocation creates a question that a construction target cannot answer: what happened to the households' journeys to work, their costs, their claims, and their choice of where to live? The municipality's description of the process and independent reporting establish the relocation and dispute. They do not provide a verified account of household welfare after the move. [1, 4]

Salt River is attractive precisely because it is scarce. A central site close to transport can serve low-wage workers in ways a distant tract of cheaper land cannot. That gives the public owner a valuable asset. It also invites competing political demands: sell it at the highest bid to fund current services; keep it for future public use; lease it for income; provide rental housing now; compensate existing occupants; reserve it for facilities; or use it to meet a promise made in an election.

The official project description offers an unusual window into those choices. An earlier city announcement in 2022 described a different proposed unit mix, 723 affordable units and 216 social units, before the revised 970-unit, 300-social-unit proposal was announced in 2026. Development decisions changed while the land remained public. Political opponents later pointed to the project's long history and repeated announcements. This is a warning against counting a land release as a delivered home. Development rights, social agreements, finance, design, approvals, building, and occupancy occupy distinct columns in a serious public account. [1, 5, 6]

Cape Town's problem is the world's problem in miniature. For a government, the cheapest house is often one for which someone else pays. National ministries can promise a subsidy while municipal utilities carry the service bill. Cities can grant density while national agencies take the development revenues. Developers can receive public land while households pay for water connections and long commutes. A program's published capital cost may omit what the public has surrendered and what it must spend for the next thirty years.

A housing programme needs a funded agreement across public agencies and private actors. It must value public assets, assign service costs, specify how publicly created gains are shared, and protect affordability after occupation.

Six accounts for a housing investment

A housing project normally comes to a cabinet or council as a capital budget: land, construction cost, expected sale proceeds, subsidy requested. For a poor household, the important outcome is much larger: can it live in the home, keep a job, pay the bills, and stay? For the taxpayer, the relevant cost extends beyond construction and beyond the electoral term.

Consider six ledgers that must be reconciled before calling a housing investment affordable.

The cash ledger records grants, taxes, loans, debt service, rents collected by public owners, utility charges, and explicit operating subsidies. It is the ledger politicians see most clearly. Its short horizon favors visible construction over less visible repairs.

The land ledger records the market value of the parcel under lawful alternative uses, the value of a leasehold or freehold transferred, any change in its development rights, and the value retained by the public. A free transfer belongs in this ledger even when cash spending is zero. Valuation should use the rights actually available or credibly proposed under the counterfactual, with sensitivity tests for zoning; assigning the highest imaginable speculative price creates a different distortion.

The infrastructure ledger covers access roads, bulk water, sewers, electricity capacity, drainage, waste collection, schools, clinics, and transport. Some expenditures are upfront; others recur each year. The wrong comparison places only the project's internal pipes on the developer's side and leaves the trunk network outside the calculation.

The risk ledger records guarantees, minimum revenue promises, exchange-rate exposure, unsold units, interest-rate refinancing, contaminated land, litigation, delay, climate risk, and government commitments to buy unsold flats. A contingent liability can be inexpensive today and ruinous in a downturn.

The household ledger follows rents or mortgage payments, deposits, energy bills, water tariffs, repairs, transport fares, travel time, lost work, school access, and eviction risk. A flat with a low price and a two-hour commute may be expensive in the only budget that matters to its residents.

The distribution ledger asks whose welfare changes. Owners of appreciated nearby land, tenants, informal occupants, registered bidders, women living alone, people without formal identification, contractors, local politicians, and future taxpayers belong on separate lines. A land concession can be a good investment in inclusion while still producing large windfalls for actors the program never meant to subsidize.

The fiscal calculation should therefore begin with a consolidated view, alongside agency-specific cash flows:

Net present public cost = cash subsidies + value of public land committed + public infrastructure and operating costs + expected guarantee losses + tax concessions − public receipts − retained land or housing value − credible incremental public revenues.

Every term requires a date, a discount rate, a counterfactual, and a responsible institution. Do not count the land concession twice: if an appraisal already includes a below-market land price as a subsidy, its market value must be adjusted before adding a separate opportunity-cost line. Do not treat an anticipated rise in property-tax collections as a certainty; specify how much is truly incremental and which government is legally entitled to collect it. Nor should uncertain future house-price appreciation substitute for cash needed to maintain drains next winter.

A full economic appraisal then adds welfare effects that fall outside the fiscal account: safer buildings, fewer flood losses, time saved reaching work, cleaner air, and the costs of displacement. Fiscal affordability and social value answer separate questions. Good projects must pass both.

Evidence and judgment. The six-ledger framework is an analytical proposal. The cited cases establish that capital grants, public-land concessions, municipal revenues, and long-lived affordability obligations are material and observable; they do not prove that this particular accounting template has been evaluated in a randomized trial. Its virtue is that every assumption can be checked by an auditor or a resident.

Public land and developer bids

Suppose a city owns a site worth 100 million in local currency if sold under its existing legal rights. A developer offers to build 500 apartments if the site is transferred for 10 million. The implied land concession is 90 million. That figure may be justified. It becomes a subsidy to low-income households only if contracts and market conditions cause households to receive the gain through better locations, lower housing costs, or rights that endure.

The same logic explains why cash subsidies sometimes raise land prices. When scarce, legally buildable sites limit supply, a subsidy that increases what buyers can pay can also increase what developers bid for those sites. Part of the subsidy then moves backward through the chain, from buyer to developer to landowner. Where serviced sites and legal density can expand quickly, the market may instead produce additional homes. The size of each transfer is an empirical question. A city should compare land transactions and buyer prices before and after a subsidy, test supply responses, and distinguish the value of extra homes from increases in the price of existing sites.

The city's first question should be what it is buying with the concession. A vague promise of “affordable housing” lets the recipient set rents near the market price, choose relatively wealthy tenants, or sell units after a short control period. The public then loses the asset and has few tools to keep the agreement. A clear contract instead states the number of homes reserved by income group, the rent formula, the period of restriction, the selection rules, the tenant's protections, service standards, the sanctions for breach, and the treatment of the asset at expiry.

Four contract forms distribute power differently. A freehold sale with covenants brings cash immediately and leaves the city with limited future control unless covenants survive each resale and can be enforced against successors. A long ground lease keeps title public and can provide periodic income and reversion rights, but investors must believe that renewal and compensation rules will survive political changes. A development agreement with cross-subsidy uses profitable market units to help fund restricted homes; the private partner will agreement over the market-rate share and may seek higher density later. A public or limited-profit housing owner can retain affordability for decades if it has patient capital, sound operating revenue, and independent oversight. [7-9]

The instrument is secondary to the rights. A ninety-nine-year lease with unrestricted subletting may yield weaker public control than a properly recorded sale agreement. Public ownership with no maintenance budget may preserve title while destroying the asset. The state needs to specify the enforceable housing outcome before choosing the legal form.

A fair procurement asks qualified teams to compete over measurable public outcomes at a disclosed subsidy level: number of deeply affordable homes, rent ceilings, access for excluded groups, quality, carbon and flood performance, operating reserves, and date of occupancy. A bid that offers the highest land premium may win a public auction while delivering the fewest affordable homes. A bid that promises the most units may win politically while hiding untenable operating costs. The residual-land-value method is useful here: estimate revenue from allowable rents and sales, subtract verified building, finance, operating, and risk costs plus a reasonable developer return, and identify the land value that remains. Publish the assumptions and challenge them with independent comparables.

Public-land disposal has its own political economy. Ministries can hold title while cities must service the site. Officials may prefer a one-off sale because receipts help the current budget. Developers and politically connected intermediaries may press for a private allocation before new planning rights are granted. Nearby homeowners may support the public housing label and then oppose the density required to make

it feasible. A transparent auction alone cannot fix these problems: it must be preceded by disclosure of rights, claims, valuations, and the public obligations attached to each bid.

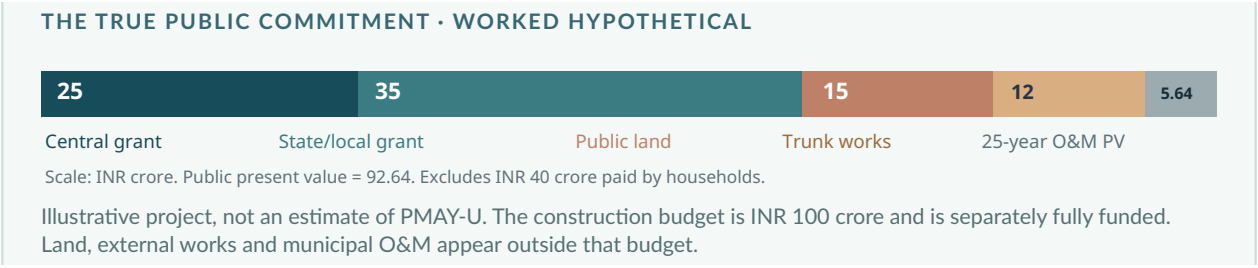
Changes after a land transfer can give a developer benefits beyond those priced into the original agreement. A city might discount land in exchange for low rents, then grant additional floor space while allowing those rents to rise. Contracts should specify how gains from rezoning, infrastructure, or changes in the affordable-housing mix will be shared. An independent valuer should update the financial model before amendments are approved.

Housing commitments and fiscal capacity in India

India's PMAY-Urban 2.0 sets out an enormous national undertaking. Approved in August 2024, it envisaged assistance to ten million urban families over five years, total investment of about INR 10 lakh crore, and public assistance of about INR 2.30 lakh crore. Its routes include beneficiary-led construction, housing in partnership, rental housing, and interest subsidies. The official framework offers up to INR 2.5 lakh in assistance for an eligible household under specified ownership and construction routes. These figures describe design and authorization; they are no measure of homes occupied or of poor households' welfare. [10, 11] The scheme's fine print reveals a key fiscal division. The national government can transfer funds for a dwelling. States and urban local bodies must enable trunk infrastructure and social facilities. The programme explicitly requires state or local resources to bring services to project sites. A flat can satisfy a central construction milestone before a municipality has the means to deliver reliable water, sewage, drainage, a safe road, or bus access. [10] Municipal finances explain the temptation to shift costs. In its November 2024 Report on Municipal Finances, the Reserve Bank of India reported municipal-corporation revenue receipts of only 0.6 per cent of GDP in 2023-24; own taxes were around 30 per cent of total revenue. Municipal bonds outstanding in March 2024 were about INR 4,204 crore, only 0.09 per cent of outstanding corporate bonds. These totals cover the reporting municipal corporations, rather than every form of urban local government, and the receipts figure refers to budget estimates. Their significance is the order of magnitude: the institutions asked to service new urban neighborhoods command a thin and uneven revenue base. [12] Follow a hypothetical project of 1,000 homes. Suppose each home requires INR 10 lakh of construction expenditure. The INR 100 crore construction bill is paid through INR 25 crore of central assistance, INR 35 crore of state or local support, and INR 40 crore from households. Suppose public land worth INR 15 crore is contributed outside the development budget. Suppose bringing mains, roads, and drainage to the site costs the city another INR 12 crore. Recurring municipal service and asset-maintenance costs amount to INR 4,000 per unit each year over twenty-five years. Discounted at 5 per cent, the recurring bill has a present value of approximately INR 5.64 crore. The consolidated public commitment is therefore about INR 92.64 crore, or INR 9.26 lakh per planned home, before any offsetting tax receipts, charges, residual public asset values, or wider welfare gains.

These figures are a worked hypothetical, selected to expose budget boundaries. They do not describe PMAY's actual average cost. The construction bill is fully funded by the INR 25 + INR 35 + INR 40 crore sources; land, external infrastructure, and maintenance sit outside it. The public total adds INR 25 + INR 35 + INR 15 + INR 12 + INR 5.64 crore once each. At an assumed co-payment of INR 4 lakh per home, a household with annual income below INR 3 lakh still needs savings or credit that may be difficult to obtain. The national grant can therefore coexist with exclusion at the point of purchase or construction completion.

What failed in the hypothetical? Nothing needs to be corrupt. The national ministry pays its share and books the house. The state approves the project and may delay its contribution. The city is expected to fund infrastructure from uncertain revenues. The developer faces rising interest during the delay. The household cannot move in until services arrive. Even after occupancy, no budget holder may have reserved money for repairs. Five actors have met their own narrow obligations while the public housing promise remains incomplete.



The solution requires budget synchronization. National capital commitments should be paired with signed state and municipal service plans, land valuation, named financing for last-mile connections, and a twentyyear maintenance agreement. Funding tranches should depend on independently verified readiness and occupancy. Equalization matters: a poorer city with the deepest need and weakest tax base should receive a larger predictable infrastructure grant, while every city should face incentives to disclose land, approve suitable density, and maintain assets.

PMAY's beneficiary-led route also makes an important distributive choice. Assistance to build on already available land is useful to households that possess a buildable claim. Renters, recent migrants, informal occupants, women excluded from family title, and households whose land cannot pass the permit test need a different instrument. Housing rental and upgrading programs should receive attention in proportion to need, rather than appear as residual categories after ownership targets are set. [10, 11]

Housing levy finance in Kenya

Kenya made housing finance an explicit national political choice. Under the Affordable Housing Act, 2024, the Kenya Revenue Authority collects a levy of 1.5 per cent of an employee's gross salary from the employee and another 1.5 per cent from the employer. The statutory design also reaches specified nonsalaried income. On a gross monthly salary of KES 50,000, the worker's deduction is KES 750 and the employer's assessed contribution another KES 750. That is a predictable funding stream. It is also a tax claim on earnings, whose beneficiaries may be different from the people financing it. [13]

The burden borne in the economy need not match the party named in the law. Some employers may absorb the employer contribution; others may eventually reduce wage growth, hiring, or other compensation. The extent depends on labor-market conditions and cannot be derived from the statutory split. A low-paid salaried worker may pay the levy for years while failing to qualify for a mortgage, raise a required deposit, or secure a unit near work. A richer buyer may be better placed to make the initial payment for a nominally affordable home. A public program that relies on formal payroll withholding also raises practical questions about reaching self-employed households and protecting precarious workers from arbitrary enforcement.

The levy generated sustained constitutional litigation. On 25 September 2026, Kenya's Court of Appeal upheld the Affordable Housing Act and the levy, rejecting challenges to its legal basis. Reporting on the judgment also recorded the court's view that the Commission on Revenue Allocation should have been consulted before parliamentary passage and that public-land allocations remain subject to the National Land Commission's lawful role. This dispute did more than test a tax rate. It exposed a struggle over who may collect money, who can authorize land, and who must be consulted when housing crosses national and county powers. [14, 15]

The fiscal virtue of a dedicated fund is that governments can commit revenue to a long-lived task. The danger is that earmarking becomes a substitute for choices. A levy can finance construction while leaving schools, transport, water, and maintenance to county budgets. It can reassure investors that cash will arrive, yet weaken the political pressure to demonstrate who ultimately lives in the homes. Earmarking also carries an opportunity cost: revenue reserved for one goal cannot fund another urgent service. Those choices require public scrutiny rather than the claim that a housing fund is self-evidently progressive.

A credible levy-backed housing agreement would publish annual accounts that connect each class of taxpayer to each class of benefit. It would show contributions by income and employment status; the number of homes for renters versus owners; the income distribution of applicants, successful tenants or buyers, and rejected applicants; the full public subsidy per occupied home; loan arrears; resale restrictions; and where the units sit relative to jobs and existing infrastructure. Administrators should not expose named household income records to the public. Independent auditors can publish distributions and conduct confidential checks while retaining rights of appeal for individual cases.

The politically defensible narrative is reciprocity with redistribution: a national tax can help people who never obtain a unit themselves if it reduces the costs of urban poverty, improves labor mobility, and expands access to safe, accessible homes. That claim needs measurement. The governing test is whether the levy buys a housing service that low-income families could not otherwise secure, at a lower fiscal and social cost than realistic alternatives.

Land-value capture from infrastructure

Consider a field on the edge of Ahmedabad. A farmer holds a parcel that cannot readily support dense urban housing. A plan connects it to roads and drainage, reconstitutes the boundaries, and grants development rights. The price of the remaining land rises partly because the public has made it useful. Who should receive that increase?

Gujarat's town-planning schemes offer a practical answer. In Ahmedabad's land-readjustment model, owners may surrender up to 40 per cent of their original land for roads, public facilities, and land that can be sold to help finance infrastructure; they retain reconstituted serviced plots, often around 60 per cent of the original area. Owners accept a smaller area in exchange for more valuable, buildable land. The city acquires corridors and sites that would be difficult to assemble through plot-by-plot purchase. [16]

The same model also shows why a technically clever fiscal instrument can distribute gains unfairly. Researchers Bishwapriya Sanyal and Chandan Deuskar found that registered landowners were the participants recognized by the process. Renters, landless households, and informal settlers had weaker channels of voice and claims. State procedures could delay schemes, while local authorities lacked control over key approvals and land auctions. Land readjustment worked as a mechanism for coordination among legally recognized owners; it could also harden the exclusion of people whose lives and livelihoods occupied the land without recognized title. [16]

The proper lesson is to improve the agreement, rather than reject the instrument. Before drawing the final plots, authorities should enumerate occupants as well as owners; map informal livelihoods and tenancies; assess lost income and access; establish an independently funded grievance process; and reserve well-located plots or homes for households without title. The reconstituted plot register should be matched with a social-claims register. Compensation can combine cash, serviced land, rental assistance, replacement market space, and legally protected return rights according to the harm suffered. No one method fits every household.

Colombia offers a related lesson. Bogotá has long used betterment contributions to help finance infrastructure, and the OECD reports that improved public transport can be capitalized into nearby land values; estimates cited in its 2025 assessment suggest uplifts of about 15-20 per cent for transit access in Bogotá. These are estimates in a specific urban setting, not a reliable percentage a city can levy on every parcel. The same assessment notes disputes over assessed gains and the difficulty of implementing charges perceived as unfair. [17]

Capture instruments face three practical tests. First, additionality: did a public decision create or help create the gain, and can it be separated from background market appreciation? Second, liquidity: can the owner pay the levy without selling a modest home or driving out a tenant? Third, assignment: does the revenue reach the public agency financing the improvement? A city that creates value through a new road

but cannot retain the proceeds will underinvest in such roads. A national agency that collects development charges while a municipality pays for drainage creates the same mismatch.

The strongest sequence is often to establish planning rules and a sharing formula before a new corridor is announced, keep the levy simple enough to administer, defer payment or offer installment terms for cash-poor owner-occupiers, and publish how the receipts are spent. A one-off charge is poorly suited to recurring operations. Recurrent land or property taxes, with protections for vulnerable owners, can support services over time. Betterment levies and plot auctions are better suited to identifiable capital works. Housing subsidy, infrastructure finance, and property taxation should complement one another, each matched to a different fiscal burden.

Property taxation and neighbourhood finance

A housing project can succeed on paper and fail because the city cannot pay for the street. The question of municipal revenue therefore belongs inside the housing strategy.

Freetown's property-tax reform is instructive. The city combined property mapping, computer-assisted valuation, better billing, and new payment methods. According to a May 2026 ODI review, registered properties doubled, potential revenue increased fivefold, and actual collections tripled within a year of reform. The least valuable 60 per cent of properties saw average liabilities remain stable or fall; average liabilities for the most valuable 20 per cent rose by 242 per cent. A follow-up survey found about 70 per cent support among property owners. These are reported reform and survey outcomes, rather than a clean causal estimate of long-run housing improvements. [18]

A city can exploit the difference between land values and household incomes in a more progressive way than many conventional charges. High-value commercial and residential property can shoulder larger bills while low-value housing receives thresholds, circuit breakers tied to income, or deferrals for asset-rich but cashpoor owners. The aim is to fund drains, roads, waste services, and maintenance that make denser neighborhoods viable. Yet enforcement can be abused. Chapter 13 described experimental evidence from Ghana in which digital tax mapping raised collections and increased indirect household survey measures of bribery. A more complete tax roll needs independent appeals, clear receipts, predictable valuation cycles, and public oversight.

Freetown's experience also illustrates a hard political fact: the city that gains a larger tax base may face contest over that autonomy. Central governments can change fiscal assignments; wealthy taxpayers can litigate; local politicians may favor tax amnesties before elections; collectors may avoid influential owners.

The viable coalition depends on a credible account of who pays and the services the money buys. Public finance improves when a resident can point to a better street, fewer flood losses, and a fair appeal rather than a new software screen.

A housing-oriented fiscal agreement could link national infrastructure grants to transparent local tax effort, while avoiding a crude requirement that poor municipalities match grants at the same rate as rich ones. A practical grant formula would include expected serviced households, poverty, exposure to climate hazards, local fiscal capacity, and verified asset-maintenance plans. Performance payments should reward functioning services and safe occupancy after two and five years. Rewards based purely on the number of construction approvals can induce local governments to approve unserviceable sites.

Maintaining affordability over time

A housing capital grant often buys affordability at the moment of construction. What happens fifteen or thirty years later depends on ownership rules, rent regulation, debt, repairs, and land values.

South Africa's Social Housing Regulatory Authority offers an instructive blend of subsidy and operating conditions. Its published standard consolidated capital grant was R426,308 per unit, with the amount adjusted according to the share reserved for lower-income households. Its stated primary beneficiary

income band is R1,850-R6,700 per month, and its subsidy design requires a minimum primary-market share. This encourages mixed-income schemes to support deep affordability while preserving revenue from somewhat better-off tenants. It also creates a risk: if financing costs rise, providers may press for a tenant mix that shifts away from the poorest eligible groups. The grant is a contractual starting point; actual outcomes require rent rolls, turnover records, arrears, and asset-condition data. [8]

A project needs at least four continuing streams after completion: rents or other household payments, reserve contributions for the structure and equipment, utility and municipal service financing, and funds to handle vacancies, nonpayment, and major repairs. A grant that closes the development financing gap cannot automatically close an operating deficit forever. Reserves should be sized against component lifetimes, roofs, lifts, pumps, fire systems, and water networks, then held in ring-fenced accounts with independently reviewed withdrawals. Tenants need accessible information on charges and a working dispute mechanism.

Vienna and Austria's limited-profit housing sector demonstrate how institutions can stretch public support through time. Vienna's publicly posted rental-housing financing terms provide provincial loans of approximately €910-€1,250 per square metre, generally at 1 per cent interest, with repayment structured to finish within 40 years. Resident contributions and other private finance supplement those loans. The OECD's 2026 Austria review finds that for Vienna homes newly built since 2011, private for-profit rents were 91 per cent higher than rents in the limited-profit sector. This comparison is descriptive and reflects differences in selection, regulation, and finance; it is no randomized estimate of the loan program's effect. [9, 19]

Austria's lesson is institutional patience. Limited-profit providers face controls on profit distribution and use surpluses to maintain and add homes. The model requires enforceable rules, competent management, reliable rent collection, cheap long-term funding, and a housing market large enough to maintain specialized providers. A city with weak land records, unstable tariffs, and no credible rental regulator cannot import the visible output while skipping the system that sustains it.

The United States offers the opposite time-bound warning. Low-Income Housing Tax Credit developments usually carry affordability requirements for at least thirty years, subject in some cases to routes for earlier exit. Using a database of active units, the Federal Reserve Bank of Chicago estimated in 2025 that roughly onethird of then-active tax-credit units were scheduled to reach the end of their restrictions by 2035; allowing for certain early exits raised the share at risk to about 40 per cent. These are projections of restrictions ending, not counts of tenants actually displaced or units already converted to market rent. [20]

A city preparing a new subsidized project can prevent the same problem. It can keep land in a public or mission-locked trust, require recorded affordability covenants that bind successor owners, provide first-refusal or buyback rights, restrict conversion gains, create refinancing plans before covenants expire, and report household outcomes over decades. Each safeguard has a cost and may change bids. The appraisal must show the price of preserving affordability, as well as the price of losing it.

The contrast concerns the duration and enforcement of obligations. Vienna’s observed rent differences do not isolate the effect of one rule; the US estimates identify future expiry risks rather than observed displacement. Test whether affordability, financing and renewal duties survive the original subsidy period. [118,119]

Revenue sources for private investment

Developers need working capital and debt during construction; rental providers need long-tenor funds once homes are occupied; households may need mortgages or small loans; municipalities need capital for pipes and roads. These are separate markets with separate credit risks. Calling all of them “housing finance” hides who owes whom.

A housing bond is a claim on future cash flows. If a municipality issues a bond to fund trunk infrastructure, bondholders need credible tax, tariff, lease, or transfer revenue for repayment. Selling municipal bonds against projected housing demand does nothing to create that revenue. India illustrates the scale of the constraint: the RBI's INR 4,204 crore municipal-bond figure was tiny relative to the corporate bond market in March 2024. Sound municipal finance requires audited accounts, predictable transfers, service costs, realistic revenue forecasts, and a way to handle default long before a bond prospectus is written. [12]

A developer can borrow against expected sale proceeds, but delayed site approvals and utility connections raise interest costs; developers then demand larger subsidies or increase sale prices. A social landlord can pledge rental income, but a lender may prefer tenants with secure wages and high rents, undercutting the target group. A housing fund can offer guarantees, yet a guarantee transfers risk to taxpayers if the underlying loan fails. A public-private partnership can shift construction risk toward the contractor when the contract contains an enforceable output specification; governments still retain land, regulatory, political, and much demand risk.

International finance adds a further hazard. Borrowing in dollars or euros for projects whose rents arrive in shillings, rand, or rupees creates a currency mismatch. A devaluation can wipe out the apparent saving from cheaper foreign loans. Guarantees and blended finance are useful when they address an identified risk that private lenders cannot efficiently bear, with the subsidy priced and disclosed. They become costly when they shield developers from risks they are paid to manage.

The finance ministry should ask for a funding waterfall for every proposal: what money reaches the project first, which losses absorb private equity, when grants are released, whether government guarantees are called before or after lenders take losses, and where cash goes after sale or refinancing. The answer shows who holds bargaining power when costs rise. A developer that can renegotiate after the state has cleared land and relocated households may have stronger leverage than the government that nominally owns the parcel.

Interests and constraints in fiscal reform

The costs and benefits of housing reform fall on different people at different times. Existing owners and developers can participate early in planning decisions. Future tenants and occupants with undocumented claims often have less influence. Municipalities and utilities may inherit long-term costs after the original project budget closes.

The actors below illustrate the rents, veto points, and bargains a project team should identify. “Rent” here means a gain created by scarcity or control over a right, including legal gains; it does not imply criminal conduct.

Actor and source of power	What the actor may gain	Likely veto or distortion	Credible bargain or control
Public land custodian; title and disposal authority	Sale receipts, patronage opportunities, control of future use	Withholds land or transfers it without disclosed rights	Independent appraisal, published alternatives, lawful approval, retained public interest
City, county, and utility; permits and services	Tax base, density, service charges, political credit	Delays connections or shifts costs to another treasury	Funded service covenant, shared revenues, measurable occupancy payments
Developer and lender; capital and delivery expertise	Land discount, density uplift, fees, stable returns	Underbids then renegotiates; targets solvent households	Competitive residual bid, open-book change rules, equity at risk, clawback
Landlords, nearby owners, and incumbent voters	Scarcity rents and land appreciation; protected amenities	Oppose density, affordable tenancies, or local taxation	Infrastructure benefits, lawful consultation, citywide zoning, progressive taxes
Renters, informal occupants, women, migrants, and excluded groups	Secure location, lower total housing cost, safer services	Often lack a formal veto; face removal or screening	Enumeration, return rights, rental supply, legal assistance, monitored allocation
Politicians, brokers, and informal power holders	Credit, contracts, allocations, influence over land claims	Capture waiting lists or concessions; stall transparent rules	Public lotteries with audits, conflict disclosures, appeals, local watchdogs

Three rival narratives usually frame the contest. The asset narrative says public land should fetch the highest sale price; its supporters point to immediate budget needs. The homeownership narrative promises a visible asset to a deserving household, often crowding out the quieter needs of renters and migrants. The neighborhood narrative says public land and subsidies should buy long-term access to jobs and services for many generations. Each expresses a legitimate concern, and each can conceal a rent. An auction may hide exclusion. Ownership can transfer public support into private resale gains. Permanent restrictions may protect affordability while limiting a family's ability to build wealth. Choices need explicit distributional accounting.

Cape Town, Ahmedabad, Kenya, and Vienna illustrate different coalitions. Cape Town's negotiated land concession brought a nonprofit provider, a municipal landowner, and social-housing finance together; the prolonged site history and relocation show the difficulty of final implementation. Ahmedabad enabled recognized owners to gain from serviced plots and the municipality to assemble land, while landless people remained outside the core agreement. Kenya secured a dedicated revenue law through a national political coalition, yet legal challenges exposed the contested powers of taxpayers, Parliament, counties, and land institutions. Vienna built long-lived providers and financing rules that recycle public value; its approach depends on institutions and politics developed over many decades. None of the four cases is a controlled comparison. Their value lies in making the bargaining problems visible. [1, 14, 16, 19] Why do technically sound reforms fail? Because a reform can raise total welfare while imposing a large certain loss on a small organized group. Landowners may lose a speculative entitlement. Developers may lose the option to renegotiate an ambiguous contract. A ministry may lose discretion over allocations. A city may inherit operating costs without new revenue. Excluded renters may gain later, but they have little political standing today. The feasible reform sequence therefore matters as much as the design: establish who has rights, compensate verified losses, share gains visibly, assign service costs, then alter the planning and fiscal rules. Trying to settle all disputes after construction begins invites litigation, delay, and repeated renegotiation.

Include the cost of securing access to valuable locations and preventing exclusion through service charges or expiring restrictions.

Digital information and fiscal accountability

Chapter 13 argued that a map changes policy only if someone can act on it. The fiscal question is sharper: does new information make a public asset easier to value, a liability harder to conceal, or a subsidy easier to trace, and who gains from that change? The answer varies across the housing chain.

Decision	Constraint technology could change	What to measure, and who captures the gain	New power and safeguard
Assemble public land for housing	Fragmented inventories and disputed boundaries	Share of parcels with audited title, claims, valuation, and lawful disposal decision; gains can accrue to the landowner or bidder	Data custodian can erase occupants; pair geospatial maps with community claims and public appeal
Value land or property tax fairly	Missing buildings, stale values, costly field inspection	Verified additions to taxable rolls, appeal outcomes, collection net of administration; city gains revenue	Assessor gains enforcement reach; protect low-income owners and prevent abusive collection
Set affordable rents and subsidies	No reliable rents by location, unit quality, or occupancy	Audit a sample of actual leases and total household costs; tenants gain only if rents fall or quality rises	Platforms can discriminate or expose incomes; privacy and independent tenant rights
Procure and manage developers	Cost estimates opaque; scope changes untraceable	Change-order rate, delivery delay, total subsidy per safe occupied unit	Large contractors gain information advantage; publish tender inputs and permit audits
Finance building and maintenance	Lenders cannot observe milestones, arrears, or reserve balances	Completion time, loan losses, reserve adequacy and repair times	Credit scorers can exclude informal incomes; contestable decisions and manual review
Decision	**Constraint technology could change**	**What to measure, and who captures the gain**	**New power and safeguard**
Check long-term public value	Resale restrictions, occupancy and service gaps hidden	Affordable occupied dwelling-years, travel cost, and maintained asset condition at years 2, 5, 10 and 20	Central registry can facilitate eviction or surveillance; purpose limits, access logs, tenant representation

AI can accelerate building detection, valuation estimates, tender review, and anomaly screening. The size of any improvement must be established against the current process. A claimed 90 per cent reduction in mapping time is irrelevant if the registrar cannot resolve competing claims or the appeals office remains closed. A model may raise nominal tax potential while reducing trust, or identify overcrowded areas that become targets for eviction. Those risks follow from institutional power, rather than the model's advertised accuracy.

Procurement should therefore specify the decision that will change, the baseline cost or error rate, an outcome target, the authorized data users, the financial beneficiary, an exclusion audit, and the remedy when the system is wrong. Consider an AI-supported valuation pilot: pre-register whether net collections improve after appeals, whether effective tax rates rise more on expensive land than on poor housing, and how much cost falls on newly identified renters. Keep a representative manual audit sample, publish error bands, and allow correction before collection. The technology's public return belongs in the same six ledgers as a road or land concession.

A 180-day municipal finance programme

Use legally enforceable tenure and budgeting arrangements available locally, and disclose inflation and currency risk. Name the budget, tariff or operator revenue paying each obligation; stress-test collections and fiscal transfers.

Treasury, housing agency and operator must reconcile commitments and verify compliance throughout the affordability period. Track public cost per safe affordable home-year, affordability retained at covenant expiry, renewal funding and contingent liabilities.

A city that wants to improve its next affordable housing project can begin with one corridor, ten candidate public sites, and a joint team drawn from planning, finance, lands, utilities, housing, social protection, and the operator or lender. The mandate should be signed by the mayor or chief executive and the finance authority. It should carry authority to obtain records, engage current occupants, and stop a bad proposal.

Days 1-30: establish the rights and the alternatives. Map the ten sites and their legal owners, leases, occupants, traders, easements, flood risks, and utility access. Commission two independent valuations for plausible legal uses. List the realistic alternative use of each site. Publish a parcel-by-parcel decision sheet except for personal or commercially protected details; create a claims desk staffed with local civil-society observers. A disputed site can stay under review without halting work on the others.

Days 31-60: reconcile the six ledgers. Finance and utility teams prepare the full twenty-five-year cost and revenue model for each candidate. Use at least three rent or sale-price scenarios, two interest-rate cases, and a cost-overrun case. Estimate low-income eligibility and ability to pay from actual household data, not a generic percentage of median income. Show what happens to the people occupying each site now. Publish the present value of public land committed and the agency responsible for each service.

Days 61-90: set the agreement before the bid. Agree the affordable unit mix, allocation rules, lease or agreement length, permitted density, rights to return, maintenance reserve, tariffs, and beneficiary-protection rules. Decide who receives public revenues from land-value gains, and who carries any operating deficit. Resolve which approvals and service connections must be ready before a developer signs a binding contract. Agree escalation and dispute rules in advance.

Days 91-120: test bids against household outcomes. Invite competing development and operating proposals on a common subsidy and service baseline. Disclose a reference financial model and evaluate bidders on independently costed life-cycle performance. Reject offers that depend on an unspecified later zoning waiver or subsidy increase. Have tenant and disability representatives examine layouts, tenure documents, access and grievance procedures; keep commercially sensitive bids confidential until the proper publication stage.

Days 121-180: authorize only what can be financed and enforced. Sign a multi-agency service agreement; commit ring-fenced maintenance provisions; complete resettlement planning with affected households; document third-party review of costs and concessions. Establish a public record of the promises attached to each parcel. Release construction funding in stages tied to services and verified work. Baseline rents and household travel costs before anyone moves; repeat the survey after occupation.

A practical cabinet or MDB decision sheet can then show the following three numbers side by side: the net present public cost per additional safe occupied household, the share of benefits received by the intended income groups, and the number of affordable occupied dwelling-years expected over twentyfive years. The first is a fiscal estimate, the second an incidence estimate, and the third a long-term outcome. Show uncertainty intervals. A project can look strong on one number and weak on the others.

Twelve appraisal questions

1. Is every public parcel valued against a defensible alternative and every occupant or claim recorded?

2. Which homes are actually additional to supply that would occur without public support?

3. Are the required rents, deposits, or loan payments affordable to the identified households, including informal earners?

4. What are the full public costs of roads, water, drainage, schools, transport, and climate protection?

5. Which agency funds operations and major repairs in years 5, 15, and 25?

6. Who takes losses when sales fail, financing costs rise, or the developer is late?

7. Can resale, conversion, or refinancing remove affordability; who can enforce restrictions?

8. Are renters, informal occupants, and traders protected, and are their outcomes independently monitored?

9. Does the municipality retain or receive adequate revenue from increased land value and activity?

10. Has the procurement fixed the affordable housing output before allocating the land concession?

11. Can every applicant contest an erroneous data record or discriminatory allocation decision?

12. What evidence would trigger cancellation, redesign, or a change in subsidy instrument?

A negative or unknown answer is a prompt for redesign, rather than a reason to average twelve scores into a reassuring grade. A finance minister should demand the full balance sheet. A mayor should demand operating responsibility and service funding. A housing minister should demand occupied homes. Residents should demand access, affordability, and a credible remedy when promises break.

Measuring sustained housing benefits

Public land has an opportunity cost even when no cash payment is required. Capital subsidies also create future service and maintenance obligations. Housing appraisal should therefore assess continued affordability, municipal operating revenue, and access for future households alongside the initial transaction.

The remedy begins with clear property rights and honest accounts. Each parcel requires a lawful use and a disclosed value. Each subsidy requires a named beneficiary and an enforceable duration. Each service needs a revenue source and a maintainer. Each project needs a household test that counts those displaced as carefully as those newly housed. Each public gain from new infrastructure or development rights creates an opportunity to finance the next neighborhood, provided law and politics permit that gain to be shared.

Housing finance is often described as a search for cheaper capital. This chapter has followed the more difficult question of who can pledge the city's future. Land decisions pledge opportunities that might be needed by generations not yet born. A tax levy pledges household earnings. A loan pledges rent or public revenue. A badly written contract pledges money that future governments may have to pay without receiving the homes they expected.

The fiscal test of affordable housing is therefore a test of public stewardship: how many safe, well-located years of housing does each unit of public value buy, for whom, and at whose expense? A city that can answer that question has acquired more than a project appraisal. It has the beginnings of a housing state capable of keeping its promises.

Next: Chapter 15, “The State That Can Deliver,” examines procurement, program management, administrative capability, and the contract failures that separate housing policy from homes occupied.

What transfers?

Worked because	long affordability covenants; viable operators; reinvestment rules; finance covering both current and future obligations
Failed when	expiring restrictions without a preservation plan; land treated as free; unpriced guarantees; renewal costs deferred
Do not copy	a foreign loan rate, tax credit or institutional label
Transfer instead	bind public support to a costed stream of affordable housing services over time
Scale test	Aggregate expiring restrictions, refinancing needs and major repairs across cohorts; a national portfolio can face simultaneous liabilities.

Sources and evidence notes

Source review date: 13 October 2026. Administrative announcements and program guidelines describe commitments or rules. Observational comparisons establish associations; projections and worked models are identified as such. No project outcome should be inferred from a land handover, unit target, or subsidy authorization.

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15. Project readiness, procurement, and delivery

By 30 September 2026, India's official PMAY-Urban website showed 12.768 million homes sanctioned, 12.103 million grounded, and 9.907 million completed across the programme. This is a major construction achievement. The displayed headline figures supply no matching count of homes verified as occupied, safe, serviced, and accessible to livelihoods. The two series measure different points along the path to a useful home. [2]

South Africa offers a second view of the same problem. In March 2026, its Auditor-General reported findings on 23 of 24 housing projects examined, with a combined value of R5.67 billion. Twenty of the 24 projects had suffered delays; 15 had poor construction quality; six had shortcomings at commissioning. Some housing was signed off without electricity, water, or sanitation. These are results from an audit sample, selected for scrutiny; they do not establish that 96 per cent of all South African housing projects have failed. They establish something more precise: grave problems survived several layers of administrative approval in projects where the state had already committed large sums. [3]

The familiar diagnosis is weak capacity. It explains too little. We need to know which public decision could have prevented a delay, why the decision was left to another office, what each official stood to gain from proceeding anyway, and how the people meant to live in the homes lost the power to stop a defective project. The central failure often lies in the handoffs between organisations. A successful housing ministry can disburse money and report progress while a municipal utility, a land registrar, a building inspector, or a finance provider quietly determines the real outcome.

The question for this chapter is therefore hard and practical: How can a government turn a budget, a plot of land, and an approved housing scheme into safe, occupied, well-located homes, reliably, at scale, and without rewarding the political and commercial interests that profit from delay?

Coordinating seven delivery processes

Seven clocks start ticking when a government announces a housing project. The land clock concerns title, competing claims, resettlement, and the legal right to build. The planning clock concerns density, building permission, environmental approval, and the route by which neighbours or officials may block a permit. The infrastructure clock covers trunk water, sewerage, drainage, power, streets, and public transport. The construction clock covers design, tendering, materials, labour, inspection, and defects. The finance clock runs through budget release, contractor payments, buyer deposits, mortgage approval, and the cost of working capital. The allocation clock determines eligibility, selection, appeals, contract signing, and handover. The final clock is the life of the neighbourhood: waste collection, maintenance, water bills, repairs, safety, and the rules for the next household.

These clocks seldom run together. The housing department may control one or two. A state treasury, county executive, municipality, water utility, contractor, bank, residents' group, and land office control the rest. A project is ready only when the slowest essential clock permits lawful and useful occupation.

Figure 15.1. Responsibilities in the housing delivery chain



Each link needs an accountable owner, an enforceable decision, independent evidence, and a funded remedy. A ribbon-cutting can occur at any stage; the household gains a usable home only at the end.

A simple thought experiment shows how severe the losses can be. Suppose each of six essential handoffs succeeds 90 per cent of the time, independently of the others. Of 1,000 homes announced, only 1,000 × 0.96 = 531 would clear all six. This is an illustrative model, not an estimate of any national programme. Actual failures correlate: insecure title often also delays utility agreements and finance. Correlation can make the bottleneck sharper. It can also allow a single reform, such as establishing title before tender, to remove several risks at once.

The most expensive error is to mistake a legal sequence for an administrative checklist. If construction begins before title, service capacity, and relocation terms are settled, sunk concrete becomes political leverage. A developer can demand an extension because the water utility has delayed a connection; an official can argue that stopping now would waste public money; residents can face eviction because the project has already mobilised contractors. The first excavation changes bargaining power. Risk should therefore be settled before physical work creates facts on the ground.

The correct starting point is a common delivery agreement. It should name the landholder, the municipality, the infrastructure operator, the implementing agency, the funder, and the resident representatives; state each party's contribution; and make each party's signature conditional on the relevant budget and legal authority. A memorandum that promises to 'coordinate' conveys little. A signed obligation to install a functioning water main by a specified date, backed by an appropriation and a dispute procedure, changes the developer's risk and the household's prospects.

Completions and occupation in India

PMAY-Urban illustrates both the strength and the limit of a national housing mission. Its centrally supported structure can set goals, release funds, make beneficiary-led construction visible, and encourage states to build at scale. Different programme components, however, demand different kinds of state capability. A family improving a house on land it occupies needs staged cash, structural advice, and service connections. A new apartment development on public land needs a lawful site, a qualified developer, roads, utilities, a completed allotment list, and long-term management. A slum-redevelopment project must also negotiate the claims of tenants, owners, traders, street vendors, and people excluded from old enumeration lists.

Central assistance for the AHP and slum-redevelopment components could support construction even where state governments lacked the money or authority to provide trunk services on time. The parliamentary committee found exactly this: states had yet to provide required infrastructure in many schemes, and allotment remained incomplete in others. The result was substantial recorded construction with a lag in actual use. [1]

Here the division of labour creates three moral hazards. A national ministry earns credit for sanctions, investment, and completion. A state agency can award construction contracts while pushing the cost of off-site connections onto another budget. A municipal body may inherit water, roads, and solid-waste obligations without a matching revenue stream. Each office can defend its formal compliance. The household pays for their combined failure in rent paid elsewhere, longer travel, waiting, and lost income.

The operating rule should be simple: approval of a housing block must carry an infrastructure financing plan signed by the entities that will build, own, and operate the services. Design review should test whether a water utility can supply the expected population at peak demand and where wastewater will go in the dry season and the wet. The project budget should show last-mile connections, utility deposits, access roads, pumping power, open-space upkeep, and the cost of service until full occupancy. A building-completion certificate and an occupancy permit should trigger separate entries in the management system; neither should be issued by the same contractor who invoices the works.

Consider a hypothetical 1,000-home scheme costing INR 100 crore to build. Suppose the homes are physically complete while connection to trunk sewerage takes six more months. At an illustrative annual financing cost of 10 per cent, carrying the full INR 100 crore during that period costs INR 5 crore in simple

interest. This assumes that the full amount remains financed throughout the six months; actual carrying costs depend on the drawdown and capital structure. Families bear their own costs during the wait, and the development begins to decay before its first lawful occupation. The saving from putting sewerage first can be larger than the saving from selecting a cheaper wall system. The amounts here are worked assumptions, offered to show the mechanism rather than to describe a particular Indian project.

An occupancy recovery programme would treat the December 2024 backlog as a portfolio of distinct problems. Buildings with functioning services and missing allotments need a different response from buildings where the water main is five kilometres away. Buildings that residents reject because jobs are too distant require a transport and economic-access test before another household is pressed to accept the unit. Some projects may merit adaptation to rental use, institutional housing, or mixed tenure. Others will need legal remedies and, in exceptional cases, an admission that an unsuitable site represents a sunk loss. A ministry should publish the cost per additional safe occupant-year recovered, rather than treating every empty flat as a failure that can be solved by a more forceful allotment letter.

The official PMAY portal's geo-tagging and beneficiary tracking can verify steps along the way. Such records are useful, and their limits matter. Coordinates can show where a building stands. A time-stamped photograph can document visible works. Neither proves that a named woman can use the water point at night, that a disabled resident can enter safely, that the landlord has not taken possession, or that the person allotted the flat actually lives there. An honest system combines administrative records with independent inspection and a right for residents to contest the state's account. [13]

Housing project audit findings in South Africa

The South African findings put the full life cycle on display. The Auditor-General's detailed 2024-25 account records 20 of 24 projects delayed, 13 with cost issues, 15 with poor build quality, and six with commissioning shortcomings. Different projects appear in more than one category. The prevalence of defects in the audited portfolio reflects failures in planning, contracting, monitoring, and intergovernmental coordination. It also reveals why a national grant tied chiefly to expenditure can produce a false sense of progress. [3]

A provincial human-settlements department may procure a settlement under a conditional grant. Municipal engineers must accept the roads, pipes, streetlights, and drains, even where staffing is thin and maintenance funding is scarce. An electricity distributor must confirm capacity and connect households. A property office must establish legal rights. An inspection team may cover dozens of scattered construction sites. The building contractor can finish the bill of quantities while the settlement remains unusable. Even when the builder bears responsibility for part of the works, a missing water connection can delay certification of everything else.

Delivery contracts should therefore distinguish construction completion, commissioning, practical handover, and verified occupation. A road laid with asphalt has reached construction completion. It becomes a functioning service after drainage works, safety checks, access, and formal acceptance. A water network reaches commissioning after pressure tests, water-quality checks, legal connection and an operator's sign-off. Homes reach handover when households receive lawful keys and know who pays for which service. Occupation can then be checked after three, six, and twelve months. Many programmes blur these stages and thereby make each later problem invisible.

The remedy involves real money and authority. A municipality that refuses to accept a defective network must have the capacity to inspect it and a legal path to require correction. A province must be able to withhold final payment without triggering an unmanageable dispute over work performed. The national government must face the possibility that annual disbursement targets will suffer when unsafe or unusable projects are stopped. This is the hard point: a government learns to deliver when senior officials are willing to report lower short-run completion in return for higher verified occupation and durability.

A further trap lies in the incentives of contractors and inspectors. Contractors are often paid by quantities installed; municipal residents care about services that work. A contractor can earn more from a variation order when the design was incomplete. A hurried supervising engineer may face pressure to certify a project on which political careers depend. Restricting variations by decree can lead builders to walk away or conceal problems. Better design, third-party checks, published change orders, and predictable dispute resolution reduce the room for opportunism on either side.

Independent verification has experimental support outside housing. Across more than 600 Indonesian road projects, raising audit probability from 4% to 100% reduced measured missing expenditure by about eight percentage points. Greater grassroots participation had smaller overall effects and did not reduce missing material expenditure. This supports technical verification alongside resident voice, but does not establish the same effect size in housing. The South African findings show where to apply that discipline: quantities, quality, utilities and commissioning, as well as approvals. [116,3]

Project readiness in Kenya

Kenya's Affordable Housing Programme shows what happens when a politically urgent pipeline outruns site readiness. In a special audit issued in March 2026, covering project status at 31 March 2025, the Auditor-General examined legal documents, procurement, site progress, and programme preparation. Subsequent reporting on that audit described unverified land records, pending approvals, delayed payments, contractor and consultant overextension, and gaps in supervision. The audit also questioned the absence of a consolidated programme appraisal, a formal affordability-threshold analysis, and documented cost-benefit assumptions before rollout. [4] [5]

One widely reported audit figure deserves careful handling. 269 of 394 projects examined lacked the specified land-ownership documents at the audit stage. These 394 included markets, lighting, and other works alongside housing and social-housing projects. The number cannot be used as a claim that 68 per cent of housing projects alone lacked title. Land-document deficiencies may also have changed after the audit: officials subsequently reported progress in assembling records. The finding nevertheless identifies a serious source of preventable implementation and buyer risk. [6]

A politically attractive project list is a poor substitute for a bankable project pipeline. Once a site is announced, the incentives turn against candour. A county official may hope that a future budget will bring the access road. A developer may proceed in expectation of future approvals. A land claimant may demand compensation when works begin. Contractors with many simultaneous awards may stretch supervisors across sites. These are distinct conflicts, yet each can arise because someone with little power to stop the announcement had the decisive information about readiness.

The solution is a pre-tender readiness certificate with evidence attached. It should establish the legally recognised land interest; disclose unresolved customary, community, tenant, and public-land claims; record design approval; identify affected households and traders; confirm environmental and safety permissions; attach signed service-capacity letters; and identify who will finance connections. The certificate should carry an expiry date and an accountable signatory. A public portal can publish a redacted version without exposing residents' personal data. Projects that fail should remain in design preparation, even when budgets and politicians favour a quick groundbreaking.

Procurement concentration is a further question. A single skilled contractor working on several sites can cut costs through shared suppliers and labour. Excessive concentration may overwhelm supervisors and make replacing a failing supplier politically costly. An award committee should therefore assess aggregate committed capacity, recent delay rates, cash flow, site staff, and common beneficial owners across bidders. A tender that records competitive prices while ignoring the contractor's existing pipeline gives the appearance of competition and weakens it in practice.

The most useful measure for Kenya's programme is a cohort record: every planned development should remain traceable from announcement to land clearance, procurement, serviced construction, independent

certification, sale or rental contract, verified occupation, and defects repaired. A programme can then tell Parliament how many households moved into safe homes from each annual cohort, and what public value, including land and infrastructure, was spent per household. Such evidence also protects competent officials from blame when they refuse to approve a defective project.

Contract responsibilities and remedies

A contract decides who has authority, who carries risk, and what happens when a promise fails. These decisions determine whether housing becomes affordable long before the first wall is raised. Poorly specified risk either raises bid prices or reappears as a claim later. Governments cannot transfer a risk that only the state can manage, such as an unresolved public title or a disputed zoning decision, to a builder merely by inserting harsh words in the contract. Rational bidders will price it, refuse to bid, or seek to renegotiate after mobilisation.

A design-bid-build contract can work where the government owns detailed designs, has a ready site, and can supervise quantities. It struggles when utilities, soil conditions, and rightsof-way remain unknown. Design-build can place greater responsibility for technical integration with the contractor, provided performance requirements are clear and the government has the skill to test them. A developer-led partnership can mobilise finance, land, and marketing, yet creates opportunities to renegotiate unit sizes, affordability rules, tenure restrictions, and public-land value. A community-managed upgrading contract gives residents more control over design and sequencing; it also needs accounting systems, technical support, and safeguards against local elite capture.

The decision is therefore which party can most cheaply prevent or absorb each specific risk. The land authority should bear responsibility for the lawful site it provides. The developer should bear the cost of defective design it controls and of workmanship that fails an objective test. The utility should commit to dates and capacity over which it has authority. The government should retain transparent responsibility for changes in law and for relocation that only it can authorise. Residents should hold enforceable rights concerning selection, accessibility, temporary accommodation, and remedy. Lenders and insurers should price credible residual risk, with public guarantees used only where the expected public gain can be shown.

Table 15.1. Allocating delivery risks and responsibilities

Failure point	Best placed to control it	Required evidence before money moves
Unclear title or community claim	Land authority and independent adjudicator	Search, claims register, legal instrument, grievance window
Insufficient trunk water or sewer	Utility, city, and project sponsor	Capacity letter, funded works, commissioning date
Unsafe foundations or fire design	Designer, contractor, independent checker	Ground tests, approved drawings, inspection hold points
Escalation in material prices	Shared under a transparent formula	Named indices, thresholds, capped contingencies
False beneficiary list or exclusion	Implementing agency with independent appeals	Public rules, protected audit trail, resolved challenges
Unfunded building maintenance	Future operator and public sponsor	Reserve policy, fees/grants, service contract, handover inventory

Proposed contract-design principles. Allocation is context specific; this table is a decision aid, not a universal standard form.

The tender process itself also matters. An influential study of electronic procurement in India and Indonesia found no clear reduction in government prices following adoption. It did find improvements in the quality of Indian roads and fewer delays in Indonesia, consistent with wider entry by higher-quality firms from outside local contracting networks. The evidence concerns public works; housing programmes should test the same mechanism rather than assume that a portal will reduce home prices. [7] The political stakes are measurable. In an Indian rural-roads study using close elections, the share of awarded contractors with surnames matching the elected politician rose from about 4 to 7 per cent after the politician took office. The researchers linked political influence to greater costs and a higher chance of missing roads. Shared surname is an imperfect proxy for social or kinship ties, and the result relates to road procurement. It gives housing policymakers a serious reason to monitor beneficial ownership, repeat bidding patterns, sudden contract amendments, and conflicts of interest. [8] A useful anti-corruption system has at least three parts: open competition, competent engineering checks, and credible sanctions. Indonesia's randomised experiment on more than 600 village roads found that raising the probability of a government audit from 4 to 100 per cent cut measured missing expenditures by roughly eight percentage points. Greater community monitoring alone had smaller average effects. The lesson for housing is to fund independent quantity and quality audits while giving residents accessible ways to report defects; community voice and technical verification address different problems. [9]

Allocation rules and appeals

Construction procurement is only one market in which power can distort a housing programme. Allotment determines who receives a subsidised asset, and the value of that asset may be substantial. Officials can favour relatives, party workers, landlords, or households able to pay informal charges. Landowners can classify tenants as temporary occupants and seek compensation for themselves. A developer can persuade a city to raise prices, waive affordableunit obligations, or release units to a higher-income market. Incumbent homeowners can delay denser or mixed-income housing through planning objections. Caste, class, ethnic origin, race, disability, gender, and migrant status shape who can enter the room where these decisions are made.

A fair allocation system requires three separate decisions. First, which households qualify under a publicly defended objective, very low income, displacement by public works, rental need near jobs, housing disability, or disaster risk? Second, which of the qualified households receive scarce units, and in what order? Third, who verifies that the intended household can take and keep possession without coercion? A digital registry can help match applications and detect duplicates. It also gives the operator new power to freeze eligibility, infer identity, and make errors hard to challenge. A family without a formal address or compatible document can become invisible precisely when technology makes every other applicant legible.

For in-situ upgrading, a census must distinguish landowners, structure owners, tenants, subtenants, traders, home-based workers, and people who use shared spaces. Eligibility dates create sharp incentives for brokers to buy claims or add names. The remedy combines advance publication of rules, independent grievance hearings, community-supported verification, and protection against retaliatory eviction. An appeals body should have access to underlying records and the authority to correct the list. Women should be able to register independent claims; documentation rules must recognise lawful but non-standard forms of tenure.

Location is part of fair allocation. A household offered a remote apartment with poor transit may refuse it rationally. Penalising refusal can push the poorest into accepting high commuting costs and lost work. Programme managers should record offers declined, with stated reasons, as useful evidence about product design. A home that requires a two-hour commute can be physically cheap and economically ruinous. The governing outcome is the household's total cost of housing and access to work, with safety and social ties included, rather than the administrative act of issuing a key.

Two approaches to delivery coordination

The temptation is to answer these failures with a powerful national construction agency. Singapore shows what exceptional integration can achieve. Its public housing agency and the wider state have long connected land assembly, planning, infrastructure, finance, household allocation, and estate management. In 2023 about 80 per cent of resident households lived in Housing & Development Board flats, with homeownership among those households above 90 per cent. Supply-chain shocks still disrupted construction during the pandemic. By September 2024, the government reported that roughly 94 per cent of delayed flats had been completed after coordinated action on contractors and materials. [10]

Singapore's transferable lesson is the existence of an accountable chain from land through maintenance. Its conditions are distinctive: unusually strong administrative and fiscal capacity, extensive state control over land and infrastructure, a high share of formal employment, and a political settlement built over decades. A city in Uganda or India cannot reproduce those features by copying the name or organisational chart of a housing authority. Nor does integration remove the political risks of compulsory acquisition, control over neighbourhood composition, or subsidising those already well placed to purchase.

Thailand offers a different model. Under Baan Mankong, the Community Organizations Development Institute (CODI) channels subsidies and loans to organised residents, who negotiate land tenure, choose designs, and manage much of the work through cooperatives. CODI describes a traditional subsidy package of roughly 80,000 baht per household, split among infrastructure, construction, community management, and technical support; cooperative loans complement savings. A 2026 programme summary reported more than 130,000 households assisted in over 1,300 communities across about 200 cities. These are programme-reported cumulative reach figures, not evidence from random assignment that each intervention caused a given increase in income or housing quality. [11] [12] The institutional move is important. Residents can negotiate as a group rather than queue as isolated clients before an official. The community becomes a buyer of technical assistance, a manager of subsidies, and a counterparty in land talks. This gives poor households bargaining power, though cooperatives can exclude tenants, migrants, or dissenters unless their rules and leadership are contested. Progress can also slow when many negotiations require local consent, landowners hold out, or recurrent public finance is thin. The model's worth lies in changing who controls decisions and information, an institutional gain that a cheap prefabricated wall cannot supply.

A city can combine parts of these two approaches. It may centralise land and infrastructure finance while devolving neighbourhood design and upgrading choices to residents. It may create a single government programme office that signs enforceable service agreements, while municipal inspectors and independent engineers retain the authority to stop unsafe work. The choice depends on which institution holds useful information, who can be trusted with discretion, and what accountability can survive a change of government.

Digital tools for delivery problems

Digital technology can lower the cost of checking facts, coordinating schedules, and tracing public money. Its value varies by the bottleneck it changes. A parcel map helps when land boundaries are missing from project preparation; it cannot adjudicate competing customary or tenancy claims. Remote sensing can flag a building that has not progressed between two dates; it cannot certify electrical safety or a household's consent to relocation. An AI model may flag abnormal variation orders; it may also be trained on flawed records and direct scrutiny toward small firms while overlooking politically protected contractors.

Every proposed tool should therefore answer five questions: Which decision changes? How much time, cost, or risk should the tool remove? Who receives the saving? Who gains power over the records or decision? What new harm could result? Until these have concrete answers, technology remains a procurement item seeking a use case.

A city should first establish a durable project identifier linking site, approvals, contracts, inspection records, service assets, complaints, and occupancy. It should keep an append-only record of changes and explain who has authority to amend each field. Interoperability matters because the land department's map, the procurement system's contract, and the utility's connection usually describe the same place in different ways. An open standard for location and a consistent project number may deliver more practical benefit than a large generative-AI platform.

AI can then be tested on defined work: extracting approval conditions from scattered documents; identifying a payment certificate that exceeds independently verified quantities; comparing approved site boundaries with images; routing resident complaints to the responsible unit; or simulating service capacity under alternative densities. Use a shadow period in which the model makes recommendations and humans record when it is right, wrong, or unhelpful. Publish false-positive and false-negative rates across large and small firms and across formally and informally occupied areas. Require an appeal path whenever an automated flag affects eligibility, payment, land rights, or enforcement. Procurement contracts must secure data portability, audit access, security obligations, and the city's right to change suppliers.

The political economy of information is inseparable from the engineering. Publishing the locations of potential additional structures may improve municipal revenue and expand the tax base; it can also arm officials or landlords with new means to charge, harass, or evict residents. The right default is to make public decisions transparent while protecting household identity and sensitive tenure claims. A system that captures more data and reduces accountability has made the state more powerful without making it better.

Table 15.2. Digital tools for specific delivery constraints

Decision to improve	Tool and testable gain	Capture risk and safeguard
Can land be tendered?	Linked parcel, claims, and planning records; measure days from identification to independently cleared site.	Wrongful exclusion of unregistered occupants; include ground verification and appeal.
Can a contractor deliver?	Open contract data linked to beneficial owners, site workload, performance; measure failed awards and delay-days.	Established firms gain an algorithmic advantage; offer transparent scoring and bidder challenge.
Does work match invoices?	Time-stamped site photos, satellite change detection, quantity checks; measure discrepancy rates confirmed by engineers.	Contractors optimise visible progress; inspect hidden materials, safety, and quality independently.
Can residents move in?	Shared service-commissioning and allotment ledger; measure days from physical completion to verified occupancy.	Pressure to mark households occupied; use consent-based follow-up and spot audits.
Are homes still safe?	Repair tickets linked to asset registers and paid maintenance; measure defect closure and repeat failures.	Tenants fear retaliation for reporting; protect identity and publish aggregate outcomes.

Illustrative performance tests. No percentage improvement is assumed; each intervention needs a pre-specified baseline and comparison design.

Interests and constraints in stalled projects

Delay persists because someone often gains from it, or because each actor gains from avoiding the cost of fixing it. Announcements provide immediate political credit. Land speculation yields gains as soon as a new road or scheme appears. Scarce approvals create room for facilitation payments. Incomplete designs give contractors grounds for paid variations. Uncertain tenant claims let landlords and intermediaries capture compensation. A municipality can delay taking ownership of costly assets, while a national ministry can continue reporting committed funds. The harms fall on dispersed future residents, whose voice is weakest before allocation.

These incentives explain why competent technical advice often dies between a meeting and a contract. Engineers may recommend postponing work until the water connection is designed. Politicians want a foundation stone laid before an election. The treasury prefers the appearance of funds committed. Officials who warn against proceeding may be transferred. A reform that only trains the engineer leaves the political agreement untouched.

Coalitions matter. A small landlord who wants safe additional rental rooms, a water utility that will gain paying customers, employers seeking workers near jobs, a city that can collect reliable property taxes, and tenants demanding predictable rents can all support denser serviced neighbourhoods. Their interests can align around ready sites, service connections, clear permits, transparent allocation, and durable maintenance. Incumbent homeowners and speculative landowners may resist the extra supply. A credible agreement offers stronger local services and lawful compensation where rights are taken, while refusing permanent vetoes over exclusionary land-use rules.

Three reform sequences differ. Where corruption in contracts dominates, begin with independent engineering audits, beneficial-ownership disclosure, and credible sanctions. Where lack of utilities dominates, start by putting infrastructure financing and commissioning ahead of construction awards. Where residents reject completed homes, audit location, transport, tenure, and allocation before spending more on similar buildings. Uniform national checklists conceal the very information a reform needs. They also invite compliance theatre: every box receives a tick while the underlying decision stays unchanged.

Caste and class in India, race and the legacy of spatial exclusion in South Africa, and varied forms of ethnic, customary, and patronage power across African cities alter who can form a coalition. They shape the location of public land, the legitimacy of surveys, the cost of objections, and whether women or migrants can challenge a list. The institutional response must give those groups enforceable channels into design and dispute resolution. Participation meetings attended mainly by structure owners and local notables can deepen exclusion when most occupants are tenants.

Table 15.3. Interests and constraints in delivery

Actor	Payoff or rent	Veto / credible bargain
National leaders and ministries	Quick project numbers and visible openings.	Control grant timing; reward independently verified occupation and maintenance.
States, counties, municipalities	Local patronage; possible future property revenues; avoidance of service costs.	Control land, permits, connections; fund recurring obligations and share revenue.
Landowners, brokers, informal power holders	Compensation, rezoning gains, access fees, speculative uplift.	Control claims and site access; negotiate early with audited claims and safeguards.
Developers, consultants, contractors	Fees, margins, change orders, control of contractor lists.	Can withhold bids or delivery; offer bankable sites, fair risk pricing, open competition.
Existing homeowners and landlords	Scarcity rents, control of neighbourhood access.	Planning objections and political influence; link density with services and tenant safeguards.
Prospective residents and tenants	Secure homes, access to work, safety, and community ties.	Usually weak formal veto; give appeals, consent rights, compensation and occupancy checks.

Analytical actor map. Rents and incentives differ by country and project; investigation must establish them locally.

Allocation, utility readiness and neighbourhood access belong in acceptance criteria, alongside the building itself.

Delivery plan for a 1,000-home programme

Adapt contract packaging to local firms and agency capability; preserve independent verification even when a turnkey contractor manages several stages. Fund supervision, defects and dispute resolution upfront; compare these costs with credible expected losses.

The employer must clear sites and utilities, certify work honestly and enforce remedies; residents need an independent complaints route. Track occupied serviced homes, defect closure, delays by responsible agency, verified quantities and exclusion at allocation.

Imagine a secondary city offered a national grant for 1,000 apartments. A politically connected developer proposes public land on the urban edge. The ministry has construction finance, the city promises access roads, the utility expects a treatment plant upgrade, and a state bank says mortgages can follow allotment. The scheme is sufficiently plausible to win an announcement. It is also too fragile to tender.

A project team should start with four maps and two lists. The maps show lawful land interests and disputes; employment access by affordable transport; existing and planned trunk-service capacity; and flood, heat, slope, and environmental risks. The lists name every institution with power to delay handover and each household group likely to gain or lose. Those six objects define the actual investment proposal. A layout of 1,000 apartments comes later, when the land and household market have been tested.

Next, write a single project balance sheet covering public-land value, direct grant, infrastructure, temporary relocation, private finance, buyer equity or rent, operating subsidies, maintenance reserves, and contingent liabilities. It should contain three cases: timely delivery, a twelve-month service delay, and a 15 per cent construction-cost increase. It should model which actor runs out of cash, what happens to

affordability, and the government's maximum exposure. A viability gap hidden inside an optimistic sales forecast will reappear as a bailout or empty block.

Then make the plan legible to residents. A sample of eligible renters and prospective buyers should see the actual travel time and total monthly cost of moving. Ask whether they would live there, what they would lose, and which alternatives they prefer. Verify the answers against observed prices and behaviour where possible. Enrolment numbers collected before people see the transport and payment terms are weak evidence of effective demand.

The procurement should be released only when the land, environmental, and service conditions are contract-ready. Bid evaluation should test experience delivering occupied serviced homes, financial capacity across the bidder's entire contract portfolio, track record on safety and defects, and credible prices for standardised quality. The winning bid should be published with the reasons for award and the contract's future adjustment formula. During construction, an independent certifier should check foundations, structural stages, utilities, accessibility, and safety before payment. The authority must retain documented rights to suspend, correct, and replace works when tests fail.

Finally, sign a handover and operations agreement. It names the title or lease instrument for the household, the utility account, operator for shared spaces, defects procedure, monthly service charges, water and sewer obligations, expected tax or service subsidy, and a resident representation mechanism. Inspection should occur before occupation, again after twelve months, and thereafter on a risk-based schedule. The programme must budget for the first years of operation and reserve funds for long-lived assets.

Delivery readiness assessment

> **STOP:** Site rights are disputed; safety or resettlement duties lack lawful remedy; trunk services have neither confirmed capacity nor funded delivery; procurement papers cannot assign material risks; or intended households have no fair route to claim a home.
>
> **PREPARE:** The constraint is solvable with specified engineering, finance, consent, or legal work. Name the owner, due date, evidence, budget, and the official who can lift the hold.
>
> **TENDER:** All critical preconditions have been independently documented, households have tested the product, and the full public value and lifecycle obligations are disclosed.
>
> **PAY:** An independent inspector verifies the relevant milestone, safeguards are met, prior defects are corrected, and the contractor's security remains valid.
>
> **COUNT:** A household has accepted lawful possession; the home is safe and connected; basic services work; and its actual cost and access to employment meet the programme's stated rules.
>
> This is a proposed management tool. Its gates can be built into a city–state–national compact or an MDB project implementation manual.

The agreement needs a chief delivery officer with enough seniority to convene ministries and stop a non-ready project. The role should carry a published performance agreement, a small multidisciplinary team, and access to the finance ministry. It must remain accountable to an independent inspection and grievance process. Concentrating all decisions in one office without outside checks would simply make capture easier. The governing discipline is a narrow common mission, delegated authority to solve problems, and separate authority to verify the solution.

Measuring delivery performance

The public dashboard should show each annual cohort as a funnel: planned, site-cleared, tendered, started, physically complete, independently commissioned, legally allotted, occupied after 90 days, and safely occupied after twelve months. Display the number and share at each stage, median time between stages, reasons for delay, and the agency responsible. Show results separately for rental and ownership units and for households of different income groups, gender, disability, and recognised forms of tenancy where lawful data collection permits. Report relocation, grievance outcomes, and homes lost from existing low-cost stock alongside homes added.

The main efficiency indicator can be public cost per verified safe, accessible household-year of housing. The numerator includes grants, discounted land, financed infrastructure, expected guarantees, administration, and maintenance subsidies; the denominator counts occupied, safe, serviced years attributable to intended low-income households over a stated period. A credible calculation uses a discount rate and tests changes in occupancy, asset life, and public upkeep. No single number can capture loss of community ties or exclusion, so publish access-to-jobs, travel time, household housing-cost burden, safety defects, and tenure security separately. A low cost per unit may conceal an enormous cost per useful year.

For lenders and MDB teams, disbursement still matters. It becomes useful when tied to verifiable intermediate achievements: the number of legally cleared and serviced plots, time from procurement to safe completion, reduction in material defects, share of eligible households obtaining possession, and verified twelve-month occupancy. A programme with slow initial disbursement and a credible serviced pipeline may outperform one with high spending and unusable buildings. Performance contracts should give staff the authority to admit this publicly.

An evaluator should ask which changes came from the reform rather than from the economy, weather, or a new mayor. Some interventions permit phased or random rollouts: digitised inspections across comparable districts, independent engineering checks across lots, or alternative resident-notification methods across sites. Others, such as a single metropolitan water-main agreement, need careful before-and-after process tracing and comparison with similar projects. Publish negative results and implementation costs. Learning requires knowing when an attractive reform has failed.

The central judgement of this chapter is institutional. Housing policy routinely treats coordination as a meeting problem. It is a problem of enforceable commitments, political incentives, and public authority. The strong state is the one that can prevent a bad project from starting, deliver a good one through the last service connection, let the intended household challenge the record, and keep the neighbourhood working long after the minister leaves the stage.

A completed unit is an accounting fact. A safe home in a functioning neighbourhood is a public achievement. The distinction determines what governments build next.

What transfers?

Worked because	independent measurements; credible audit probability; consequences for non-compliance; capable contract management
Failed when	community voice asked to replace engineering; payment tied only to paperwork; unresolved utility handoffs; no enforceable remedy
Do not copy	a 100% audit rate or a single powerful construction agency
Transfer instead	combine resident knowledge with independent technical verification and contractual accountability
Scale test	When project volume increases, test the supply of independent engineers, auditor conflicts and the authority to stop payment without freezing all delivery.

Sources and evidence notes

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16. Neighbourhood management after occupation

Consider the private home and the surrounding street as a linked pair of assets. A newly built house loses much of its useful value if the street floods, the waste is left uncollected, or the route to work becomes dangerous. Upkeep therefore has an economic feature that frustrates the usual housing subsidy: an individual household cannot buy reliable drains or neighborhood safety on its own. Collective action, fiscal capacity and enforceable responsibilities determine what the home will be worth ten years later.

Costs after handover

Housing costs appear in at least three ledgers. The first is the purchase price or rent: land, construction, financing, subsidy, and the terms on which a family obtains possession. The second is the household bill after occupation: water, power, fuel, property charges, shared services, minor repairs, transport, lost working time, and insurance where available. The third is the public and collective balance sheet: roads, trunk water, sewer networks, drainage, common roofs, pumps, lights, trees, lift replacement, and the institutions that procure and supervise upkeep.

These ledgers overlap, though governments commonly finance them from different budgets. A state housing grant may make the first affordable by lowering the price of the flat. The resident then discovers that monthly association dues, water tankers, two bus journeys, and an eventual roof assessment have made the second unaffordable. The municipality faces a third ledger filled with recurring liabilities it never voted to fund. A unit that is cheap to hand over can become expensive to inhabit and fiscally expensive to keep safe.

A useful measure is the all-in shelter burden: monthly housing payment or rent, plus utilities, ordinary maintenance, expected large repairs, compulsory service charges, and the cost of reaching essential jobs and services, divided by disposable household income. Travel matters because location changes cash costs and earnings. Expected repairs matter because a household can spend nothing for three years and then face a bill it cannot pay. Distinguish costs borne directly by residents from costs paid through general taxes; count both when comparing public policy options.

All-in private cost = rent or mortgage + energy + water and sanitation + compulsory dues + expected repairs + incremental travel. Full social cost adds public operating grants, road and utility renewal, administration, and foregone earnings from poor location. Count each transfer once. A lower purchase price can coexist with a larger lifetime burden.

For a low-income household, the terms of payment can be as important as the present value. Electricity may be prepaid, a pump may fail unexpectedly, and income may arrive daily. A monthly fee that is modest against annual earnings can cause default if collection falls on the wrong date. A credible operating system therefore needs predictable charges, flexibility for irregular earnings, an emergency process and a source of subsidy for the residents whom a government explicitly sought to house.

Asset choice also matters. A four-storey walk-up with simple gravity-fed water can impose a different maintenance bill from a high-rise that depends on lifts, pressure pumps, fire equipment and constant electricity. Concrete quality, waterproofing, corrosion resistance, roof slope, tree roots, access for sludge removal, and the availability of replacement parts set future costs at the design stage. A procurement process that rewards the lowest initial bid without pricing renewal can lock poor households into a building that needs more money than they possess.

Resident associations after relocation in Ahmedabad

Ahmedabad offers one of the clearest studies of the handover problem. Under the Basic Services to the Urban Poor programme, families displaced by infrastructure and urban development were allocated flats at resettlement sites. The rules called for resident welfare associations to take part through the life of the project and assume operating costs. In practice, the city sought to organize many of these associations after construction and allocation. The Mahila Housing SEWA Trust was asked to form associations in eight sites, ranging in size from 192 flats at Kesar-e-Hind Mill to 2,464 at Sadbhavna Nagar, Vatwa. Researchers Darshini Mahadevia, Neha Bhatia and Bijal Bhatt documented the result in unusually concrete institutional detail.

The residents had not chosen their neighbors. Some had been moved far from familiar networks; an allocation process had left empty flats scattered among occupied ones. Residents had grievances about water, theft and repairs. The municipality expected the new associations to collect fees, run water pumps, maintain lights, sweep common areas and pay for minor repairs. A resident first had to believe that the city would fulfil its own duties before agreeing to pay into a collective account. That trust was scarce.

The association had a legally demanding form: an eleven-member committee; a chairman, secretary and treasurer with financial powers; a bank account; records of meetings; receipts, audit, and registration under cooperative law. One seemingly technical choice shows how physical networks and local politics meet. An association was formed around the underground water tank it served. Sadbhavna Nagar had six tanks, and therefore six associations. The water network gave the organization a sensible service boundary. Yet the residents had been assembled by an administrative allotment rather than by ties of mutual obligation. The engineering boundary did not create a community.

The city had already paid operating costs and wanted to withdraw. Residents were being asked for fees while repairs remained undone; many held an allotment letter without secure evidence of final ownership. The researchers found that creating associations after relocation shifted obligations to households least able to discharge them. Tenants were excluded from committee membership under the applicable cooperative form. The city could comply formally with a participation requirement while depriving residents of a credible voice at the stage when choices about design, location and allocation were still open. 1

This is a case study based on qualitative observation and interviews across eight sites. It does not estimate an experimental effect. Its force lies in a detailed sequence of decisions. The failure was predictable once one asks who could veto the handover. The municipal agency could stop supporting operations; the NGO lacked authority to repair defects or change allocations; the residents could withhold money but could not compel the city to finish its work; the banks and cooperatives demanded formal compliance. The organization was handed the duties of ownership before it had the rights or means to exercise them.

An improved sequence would have begun before displacement. Households could have helped choose the location of shared facilities, the size of the service area, the rules for tenants and the first committee. The municipality would have identified which pipes and drains it retained, kept a defects reserve under its control, and offered transitional operating support declining only as the association proved capable of collection and oversight. Registration would be one milestone; working water, reconciled cash, repaired defects and retained vulnerable households would determine success.

The question remains current. In April 2024, the Delhi Development Authority adopted a policy for certain new sale-scheme estates that envisaged transferring common-area maintenance and the remaining reserve to resident associations within a year of possession or earlier association formation. Previous arrangements had the agency maintain some common facilities for longer against an up-front contribution. This report concerns DDA sale-scheme flats, rather than the Ahmedabad resettlement programme, and offers no outcome evaluation. It shows that the timing and funding of the handover are still policy choices that deserve independent scrutiny.

Baan Mankong offers a useful institutional contrast to these eight Ahmedabad sites. Organised groups help negotiate land and spending before occupation, with public finance and technical support. Ahmedabad's associations were often formed late and inherited unclear service boundaries. This is not a matched impact evaluation and does not prove that cooperatives always govern fairly. It supports preparing and funding an organisation before assigning it maintenance duties. [112,111]

Infrastructure, land claims, and rents in Nairobi

Mukuru, Nairobi, reverses the ownership problem. Across its three principal settlements, roughly 94 per cent of residents are tenants. Many rent one small room from a structure owner who lacks title to the land. The landlord controls the room, the tenant pays for the water, an informal supplier may control the pipe, and a public company controls part of the main network. The African Cities Research Consortium describes residents paying 400-800 per cent more per cubic metre for unsafe water than official county rates. These figures are a reported local price comparison, not a citywide household expenditure survey.

The pipes have acquired their own informal institutions. Thin hoses cross drains; a supplier manages the connection; a tenant buys small quantities at a kiosk; a structure owner can charge for water, shared sanitation or access. Some of these arrangements deliver a service where the public network fails. Others sustain market power, contamination, and coercion. Changing the pipe means changing the income of the people who control it. The work will face resistance even when its engineering case is overwhelming.

The area has made tangible progress. In a June 2025 account, researchers reported about three kilometres of lateral sewers connecting 1,248 plots and benefiting about 12,500 families; they estimated that around 80 per cent of residents still lacked plot-level sewer-connected toilets. The estimates have different denominators and should not be treated as a single calculated coverage series. Planned extensions required additional pipes, toilet interfaces, finance, and coordination among Nairobi City County, the water company, community organizations and other agencies.

A pipe laid through a landlord-controlled plot creates a bargaining problem. Suppose public investment cuts the monthly cost of safe water by KES 500 for a tenant. If the landlord raises rent by KES 400, most of the benefit has moved to the structure owner. If a connection fee or mandatory improvement contribution excludes the poorest renters, the service may improve for those who stay while excluding those displaced. Both outcomes are hypotheses to test on the ground; the price effect cannot be assumed from the existence of a new connection.

The solution starts with a household and plot ledger that distinguishes who owns the land, who owns the structure, who occupies each room, who pays which bill, and who has the legal power to refuse a connection. A contract should specify who pays installation, who maintains the lateral pipe, who empties or replaces a sanitation facility, how the water tariff reaches tenants, and what happens when a landlord blocks access. Municipalities can license and regulate kiosks where direct connections remain impractical.

They can set standards and fair resale margins while offering a lawful path for informal suppliers to become service agents rather than treating every intermediary as a criminal.

Mukuru has a second lesson about political coalitions. Community mapping gave tenants an organized voice and an evidence base. The Special Planning Area created a formal vehicle to bring agencies together, while community groups and NGOs supplied local knowledge and pressure to deliver.

10,11 This coalition can still fail: landowners may contest rights, commercial landlords may capture improvements, utility budgets may falter, and residents may have no enforceable claim when prices rise. A sewer connection needs a service agreement and tenant protection if its welfare gains are to persist.

Backyard rental housing and municipal costs

South Africa shows why tenure and service finance cannot be separated. Subsidized houses have given many low-income families a valuable asset, even where jobs are distant and building quality varies. A homeowner may let an informal backyard room to help pay for food, school fees or municipal bills. Researchers Andreas Scheba and Ivan Turok describe a rental economy that has become increasingly commercial, alongside older forms of household support. In one cited Cape Town study, backyard tenants paid rents of R200-R250 a month and about R50 toward service charges at the time of fieldwork. Those are historical observations, not 2026 market rents.

The income can improve a poor owner's ability to retain the main home. The added population also increases demand for water, toilets, refuse removal and electricity. A city that sizes its networks around the original subsidized dwelling may face more households than its records show. Charging the main titleholder for every service cost can be politically difficult and may lead to disconnections that harm tenants first. Exempting the entire property from charges can leave the utility without revenue for expansion. Trying to ban backyard accommodation may destroy affordable rooms and remove the owner's small source of income.

There is a feasible agreement: recognize safe additional rooms, permit them in suitable serviced areas, require basic fire and sanitation standards, and make the cost of extra demand visible. Municipalities can offer upgrades and simpler approvals conditional on a service agreement and minimum tenant rights. A utility can place a lawful meter or submeter and provide an affordable lifeline tariff with clear resale rules. Lower-income landlords may need staged credit and technical advice; tenants need recourse when deposits, water charges or threatened eviction become tools of extraction. Developers, plumbers and local builders gain work from incremental upgrading; incumbent homeowners may resist if added density brings congestion or is associated with unwanted residents.

This also explains why supply policy is political. An established homeowner's vote is legible, and the renter in a backyard room often has little standing at the local planning hearing. Zoning can protect property values for one group while rationing access for another. A reform coalition that includes small landlords, tenant groups, builders, utilities and employers has a better chance of surviving than a decree issued from the planning office alone. Local politics determines whether the new water connection becomes one more legal household, one more rent premium, or one more opportunity for an inspector to solicit money.

Monitoring service quality

People value convenience, reliability and privacy in ways that engineering appraisals often miss. In Tangiers, Morocco, researchers randomly offered households an easier way to acquire a private water connection on interest-free credit. Take-up was 69 per cent. Families already had access to public taps, often nearby. The new connections raised water use and wellbeing, yet the experiment found no improvement in waterborne illness, consistent with the lack of a change in drinking-water quality. The measured value came substantially through time, convenience and household satisfaction.

The Tangiers experiment is about the adoption of private connections, rather than housing-estate maintenance. It establishes a useful causal lesson: a service can matter even when a standard health indicator does not move. A lift that works lets an older resident leave home; a streetlight can change whether a woman safely reaches work before dawn; an emptied drain can prevent missed days of paid work. Benefits should be measured against what households actually experience and value, with the cost and durability of the improvement tested alongside them.

For a neighborhood, this changes the operating standard. Counting the number of streetlights installed is weak evidence. Count the hours they function where pedestrians walk, the time before a reported fault is fixed, and the share of women and residents with disabilities who feel able to use the route. Counting toilets built says little about whether they remain clean, open, safe and affordable. A governing body may prefer a visible new facility; residents may prefer that an existing one work reliably every day.

Some goods require choices that divide residents. A small play area, a community clinic, a place for street vending, a prayer room, parking and waste containers compete for scarce space. Established owners may want walls, gates and restrictions; poorer renters may need access for customers, domestic workers and deliveries. The rules for a shared courtyard decide whether the neighborhood remains a place of work and social exchange or becomes an enclave of private titleholders. Maintenance includes managing access, conflict and exclusion as surely as it includes repairing concrete.

Social networks and economic opportunity

A dwelling is part of a labor market and a social network. Relocation may save a family from flooding or give it a sound roof, while imposing longer journeys, lost customers, weaker childcare arrangements and unfamiliar schools. The Ahmedabad study records the loss of neighborhood ties after relocation and its direct effect on the ability to create functioning associations. Neighborhood inclusion starts well before handover, with the decision about where and with whom people live.

Global experimental evidence helps establish the size of the issue. In the United States' Moving to Opportunity experiment, families were randomly offered vouchers to move from high-poverty public housing to lower-poverty neighborhoods. Chetty, Hendren and Katz found that children who moved before age thirteen and used the experimental voucher later earned an average of US$3,477 more each year in their mid-twenties, 31 per cent above the relevant control mean. Effects for older children were much weaker and could be negative, consistent with the disruption of moving. The precise estimate belongs to that US programme and population; it cannot be transferred mechanically to Nairobi, Ahmedabad or Addis Ababa. The causal result demonstrates that neighborhood exposure can shape lifetime opportunity. [5] The policy choice therefore carries two potential costs of exclusion. One occurs when high-opportunity neighborhoods use zoning, restrictive covenants, land prices, homeowner opposition or discretionary approvals to keep low-income residents out. The other occurs when relocation breaks the ties that helped poor households cope with risk. Both should be tested. A city needs reliable travel-time maps, school and clinic capacity, local labor-market data, and evidence about existing tenant and informal-business networks. It needs a political agreement to permit inclusive density near opportunity, while protecting residents when neighborhood improvement raises land values and rents.

Caste, race, religion, migration status, gender and class are part of this mechanism. Resident committees can ration access to common spaces, veto tenants, exclude domestic workers from entrances and treat migrants as temporary guests. In India, cooperative rules and local social hierarchies can make participation unequal. In South Africa, apartheid's spatial legacy keeps many low-income households distant from economic centers. A formal apartment title alone cannot undo these restrictions. Inclusion must be reflected in by-laws, enforcement, an accessible grievance system, and the data collected about service outcomes, not in a one-time declaration of equal rights.

Funding asset renewal

Every new apartment block carries a promise to replace components that will wear out. Pumps fail, paint fades, roofs leak, wiring deteriorates and lifts reach the end of their economic life. A renewal reserve spreads those future obligations across the years during which residents enjoy the assets. The alternative is a sudden special assessment, a plea to the municipality or a decision to leave the equipment broken. Such crises tend to harm the lowest-income residents first, because wealthier households can pay, move, or arrange private substitutes.

Singapore is a useful institutional comparison. Its town councils manage common property in public housing estates and keep separate operating, ordinary sinking and lift replacement funds, subject to legal rules and government oversight. Under the Town Councils (Minimum Contributions to Sinking Funds) Financial Rules 2017, minimum quarterly allocations include 26 per cent of relevant service and conservancy charges and grants into the ordinary sinking fund, and 14 per cent into the lift replacement fund, subject to the rule's specified calculations. These figures describe a financing discipline backed by

law and grants. They provide no evidence that 40 per cent is the right percentage for an Indian or African estate.

The lesson is institutional: future obligations have a claim on today's revenue, audited accounts distinguish routine cleaning from major renewal, and an external regulator can verify whether the promise has been kept. Singapore also has resources, a high degree of public control and municipal institutions unlike those of most low-income urban districts. Copying a reserve percentage without copying the revenue, accountability and enforcement arrangements would achieve little.

Thailand's Baan Mankong programme offers a different path. Community cooperatives pool savings, negotiate secure land arrangements and manage infrastructure and housing investments with technical support. Its published design includes an infrastructure grant per household, a community-management allowance of five per cent of the infrastructure subsidy up to a ceiling, and concessional loans to cooperatives. Borrowing groups are required to maintain savings equal to at least ten per cent of the loan. These are programme design rules and reported financing terms, rather than causal impact estimates.

Collective ownership can strengthen bargaining power when a community has clear rights, a credible savings culture and access to engineering advice. It can also burden poorer members, exclude renters from decisions, or empower a few cooperative leaders to allocate scarce plots. Each cooperative needs open accounts, transparent entry rules, conflict resolution, and independent oversight. Thailand's success lies partly in treating social organization and land negotiation as real project costs, rather than assuming a committee will emerge for free after the road is built.

Maintenance finance for a 1,000-home estate

Consider a hypothetical estate of 1,000 low-income apartments with pumps, common lighting, drains, security, waste collection and shared roofs. The figures below are illustrative assumptions in Kenyan shillings, chosen to expose the financing mechanics. They describe no actual Kenyan project. The municipal authority is responsible for streets and trunk networks; the residents' association is responsible for the building's shared property. The cost boundary is fixed to prevent either side from billing the other for the same service.

Annual item	KES million	Who is accountable?
Staff, lighting, water pumps, cleaning, routine repairs and administration	23.4	Estate operator, audited by resident board
Accrual for future roofs, pumps, electrical renewal and major repairs	7.8	Protected renewal reserve; qualified trustee
Total recurring requirement	31.2	Residents + transparent, funded public support
Revenue at full payment: 1,000 × KES 2,600 × 12	31.2	Uniform-fee scenario; affordability untested
Revenue at 85% fee collection, same billed rate	26.52	Annual shortfall: KES 4.68 million
Targeted fees: 600 × KES 1,200 + 400 × KES 3,000 per month, at 95% collection	21.888	Annual shortfall: KES 9.312 million

If every household paid, the annual cost would require KES 2,600 a month per home. At 85 per cent collection, that fee produces a KES 4.68 million annual hole; a uniform charge of about KES 3,059 would

be required to cover the same cost if the payment rate remained 85 per cent. Higher charges may cause more arrears, so that arithmetic does not prove the revised tariff would work.

A means-tested arrangement might instead charge 600 poorer households KES 1,200 monthly and the other 400 households KES 3,000. At a strong 95 per cent collection rate, receipts equal KES 21.888 million, leaving KES 9.312 million a year to fund. If the gap is expected to remain constant in real terms for 25 years, its present value at a five per cent real discount rate is approximately KES 131.2 million. This is an illustrative fiscal commitment with no escalation in real cost, no terminal value, and no allowance for unexpected failures. Inflation, construction defects or lower occupancy could increase it materially.

The gap can be covered through a budgeted municipal grant, part of a ground-lease income stream, a cross-subsidy from commercial space, an up-front endowed reserve, or a carefully designed combination. Each has distributional effects. A municipal grant relies on future political consent; an endowment is exposed to investment and governance risk; commercial rent can be volatile; a property charge may fall partly on tenants; a central transfer may give municipalities weak incentives to manage costs. The financing instrument must be chosen with these risks visible.

One should also test whether the original design caused the gap. Could a walk-up replace a high-rise without sacrificing access to jobs or safe density? Would better waterproofing reduce future roof repairs? Does the public operator have a cheaper, reliable bulk electricity contract? Can a local sanitation service be run safely at smaller scale? Lifetime engineering choices, financing terms and the location of the estate must be evaluated together. Value engineering that strips out access ramps, safe stairs, drainage or adequate structural design simply postpones costs and shifts them to vulnerable residents.

A KES 9.312 million annual subsidy buys reliable common services for this hypothetical estate under stated assumptions. Legislators may prefer financing a new block whose construction will appear in the next budget speech. The renewal grant has few photographs and prevents visible failure. Its beneficiaries are the households already housed; the costs compete with promises to those still waiting. A city needs rules that survive that electoral trade-off.

Interests and responsibilities after occupation

Before construction, political attention concentrates on land acquisition, zoning and contract awards. After occupation, the center of power moves toward associations, utility agents, landlords, maintenance contractors and the municipal treasury. Some actors profit from reliable services. Others earn income from their failure. The water vendor can charge a scarcity premium; the private tanker gains business from an unreliable pump; a favored contractor may hold exclusive access to spare parts; an estate chairperson may decide which arrears are forgiven and whose complaints are heard.

The resident who owns a subsidized flat gains an asset but may resist higher dues. A landlord who rents that flat can pass charges to a tenant or neglect common property; the tenant has the greatest interest in reliable daily service yet may have no vote. A city official can claim savings by shifting upkeep to an association while continuing to control land and utility approvals. Local politicians may oppose user charges and later promise emergency repairs, converting chronic underfunding into repeated opportunities for discretionary favors. These are incentive risks. Their prevalence requires local evidence, procurement reviews and interviews rather than a presumption that every institution is captured.

Actor and gain	Veto or leverage	A feasible bargain
Owners and small landlords: asset values, rent, future resale	Block dues, association elections, planning appeals	Visible service standard, graduated fees, audited reserve
Tenants and informal workers: water, safety, access to work	Limited formal voice; rent and eviction exposure	Tenant representation, fee disclosure, protection against pass-through abuse
Utility and municipality: collections, public health, fiscal space	Connection permits, budgets, tariff decisions	Asset boundary, performance payments, shared reporting
Informal vendors and local brokers: scarcity rents, customer access	Control of taps, pipes, local enforcement, information	Regulated resale, transition contracts, competitive entry
Developers and maintenance firms: contracts, warranty and service income	Defect disputes, captive parts, delayed commissioning	Open parts, warranty escrow, independent condition audit
Women, migrants, excluded caste/race groups, disabled residents: safe access	Often excluded from committees and grievance hearings	Accessible services, representation, appeal with enforceable remedies

The common failure of technically sound reform is to change a tariff or management contract while ignoring who can block implementation. A municipality may announce universal household metering without identifying the politically connected landlord who resells water to twenty rooms. An engineer may recommend a fee sufficient to replace every pump without explaining how households with irregular income will pay. A digital bill can make arrears more legible while allowing disconnection at greater scale. Each may be good engineering and bad institutional design.

Reform coalitions have to be built around tangible gains. Small landlords may support legal permits if safer rooms attract paying tenants. A water company may accept a lower tariff for a larger volume of metered sales. Tenants will support upgrades if they can see the charge, keep access, and challenge eviction or abuse. A resident committee will collect dues more readily after the city has completed overdue repairs. Each agreement must specify what happens if the other party fails to perform. Promises of future coordination have little value unless an actor with authority can withhold a payment, correct a defect or hear an appeal.

Management must protect tenants and residents with disabilities from being priced out or trapped by service failure.

Digital management systems and accountability

Digital and AI tools are attractive in maintenance because the data seem easy to collect: meters, geotagged assets, resident complaints, work orders, invoices, satellite imagery, flood exposure and bank receipts. But the right test begins with the decision. Which constraint does the tool change, by how much, who captures the gain, who gains new power, and what risks does the same tool create? A model that predicts a pump failure is useful only if a budget, a spare part and a named repair team turn its warning into fewer hours without water.

Kenya offers a quantitative warning about confusing measurement with performance. The Water Services Regulatory Board's Impact 18 report, released in June 2026 for FY2024/25, records non-revenue water of 48 per cent and a metering ratio of 97 per cent. These are national regulated-sector indicators, rather than figures for Mukuru or Nairobi alone. Their coexistence shows that metered customer connections do not

guarantee a well-managed distribution network. Bulk water balances, pressure zones, leakage repair, billing integrity and accountable operators remain essential.

For housing estates, the high-value digital applications are often modest. A geocoded asset register specifies who owns and maintains each valve, pump, stair, light and drain. A public work-order log records when a defect was reported, whether it was fixed, the cost, and who signed off. Transparent billing and a ring-fenced renewal account reduce opportunities to invent arrears or spend tomorrow's reserve today. Leak sensors can prioritize crews. Satellites and street-level imagery can identify new buildings and flood exposures, subject to validation. Resident feedback should remain available through low-tech routes for people without smartphones or formal identification.

The distributional hazards are real. A landlord could use occupancy data to evict an unregistered renter. A private supplier could gain monopoly control of the metering platform. A city could raise property assessments as soon as it maps informal improvements, before clarifying tenants' rights. A risk score could direct service disconnections toward poor neighborhoods whose arrears are easy to observe while ignoring losses in politically connected areas. Training data may contain biased repair responses, causing an algorithm to recommend more attention where complaints have historically been heard. The cure involves law, access controls, independent testing, community checks and a route to challenge a wrong record.

Mechanism to change	Measure the gain	Capture, power and risk
Asset inventory and spatial register	Share of assets with verified owner, condition and repair schedule	City controls visibility; tenants and informal residents need safeguards
Leak detection and pump alerts	Hours of service restored per KES spent; water volume billed	Utility or landlord may retain savings; protect household prices
Billing and arrears prediction	Net collection gain at equal service and fair appeals	Operator gains disconnection power; audit bias and hardship cases
Open work orders, procurement and complaints	Median repair days and repeat faults; costs against benchmarks	Contractors lose information rents; avoid manipulated close-out data
Rental and occupancy mapping	Tenure stability, rent changes, household access	Can expose tenants to eviction, taxation or targeted exclusion

This is a field for careful experiments. Comparable estates could phase in public work-order systems, independent inspections or alternative payment schedules. Track service uptime, household spending, arrears, participation, eviction and complaints for at least two rainy seasons. Where random rollout is inappropriate, compare credible matched locations and trace the exact decisions taken after an alert. Report implementation costs. A dashboard with a fast response time is a success only if a real repair took place.

Neighbourhood management agreement

Use different arrangements for owner-occupied estates and predominantly rented settlements; landlord membership is not tenant representation. Cost routine management, emergency repairs and replacement separately, with targeted help for households unable to contribute.

The operator must maintain accounts and repairs; the municipality must honour public-service boundaries; residents must have appeal rights. Track service uptime, repair completion, reserve adequacy, household fees, tenant representation and retention after upgrading.

A government can require an agreement at the point of first occupation and revisit it at year one, year three and every major renewal cycle. Its purpose is to make the unresolved claim on the future visible while there is still political and financial room to change the project. It is a proposed governance tool, not a finding from an evaluation. Five conditions should be binding.

1. Name the owner of every shared asset

List all roads, drains, pumps, sewer branches, rooftops, lifts, common lights, waste facilities, public spaces and accessible routes. Map the boundary between the building association, utility, developer and municipality. Record design life, warranty, spare parts, condition, and a responsible named official or legal entity. A gap in ownership is a reason to withhold the handover of that asset.

2. Fund the years, then test affordability

Prepare a real twenty- to thirty-year operating and renewal forecast, stress-tested for price shocks, low occupancy, nonpayment, high inflation and failure of a principal asset. Set protected reserves and published audited accounts. Show the full private monthly cost separately for the bottom two income quintiles, informal workers, persons with disabilities, female-headed households and renters. If the scheme requires fees beyond the target household's means, redesign the product or provide a funded, transparent subsidy. Hidden arrears are neither a financing plan nor a fair poverty policy.

3. Give tenants and weaker residents a voice with remedies

Every occupied unit should have a path to representation and complaint, including renters and residents whose tenure is contested. Protect residents from retaliatory eviction after reporting a defect. Make meetings accessible, decisions public, and management accounts reviewable. Establish a separate appeal route for charges, discriminatory use rules, service cutoff and forced relocation. Ensure that women and residents with disabilities can inspect facilities in safe conditions before they are declared fit for use.

4. Contract for service, performance and renewal

Tender maintenance using measurable service standards: hours of water, functioning lighting, waste collection frequency, maximum response times, elevator safety, flooding and sanitation outcomes. Identify responsibilities for emergency repair. Pay against inspected results; keep warranty security and competitive access to parts. Require the municipality and utility to certify off-site capacity and take legal custody of transferred works. Publish remedial action when a standard is missed.

5. Measure whether beneficiaries remain

Track cohorts after handover: initial occupants, occupancy at years one, three and five, transfer or eviction, rent and fee burden, school and work travel, service quality, safety, complaints and resolution. Distinguish voluntary moves from displacement. A rising property value is valuable information, yet its meaning depends on who holds the title, who pays more rent and whether original low-income beneficiaries still enjoy the neighborhood. An upgrading scheme that pushes out tenants can report better pipes while delivering weaker inclusion.

GO when shared assets have legal owners, an affordable and funded life-cycle plan, inclusive management rules, reliable service tests and a credible right of appeal. REPAIR when the deficit or unclear boundary can be corrected through a time-bound, financed agreement. STOP a proposed transfer when critical safety, utility ownership, relocation obligations or structural renewal lacks a lawful and funded remedy.

In the first thirty days, the city and residents should complete an independent asset and household census, including tenants, informal enterprises and service prices. By day sixty they should settle legal boundaries, complete a costed thirty-year asset plan, and publish a disaggregated affordability test. By day ninety they should agree the operator, bank accounts, renewal reserve, governing board, service standard, grievance system and municipal support. By day 180 they should test the arrangements during actual operation and publish an audit of repairs, complaints, receipts and resident experience. At handover, construction

retention and warranty remedies must remain accessible. For existing estates, the same sequence begins with a repair and financial triage, rather than a fresh completion.

This tool needs one lead institution with a defined authority to call meetings and enforce commitments. It also needs an independent inspector and an avenue for residents to challenge that lead institution. In a metropolitan system, a national housing ministry can condition new grants on municipal service acceptance and renewal funding; a municipality can offer matching support for low-income associations that meet disclosure and inclusion standards; a regulator can supervise service tariffs; and an MDB can finance capital works alongside time-bound improvements in operating discipline. The reform sequence should begin with verified service and trust, proceed to affordable dues and reserve accounts, and only then expand sanctions for persistent nonpayment.

Assessing long-term outcomes

Deferred maintenance can undermine an initially affordable development. When service charges, reserves, and municipal responsibilities are unclear, repairs accumulate and residents face larger emergency bills. Later public grants may then pay for failures that could have been addressed through routine management.

Effective management requires understandable bills, a process for correcting errors, accountable resident representation, clear ownership of shared assets, and funded replacement schedules. These arrangements determine whether homes remain safe and affordable.

Assess neighbourhood management by the years of safe, connected, affordable occupancy it supports for intended residents, relative to its full public cost.

What transfers?

Worked because	resident organisation before handover; clear service boundaries; credible dues and support; external technical assistance
Failed when	fragmented relocated communities; unclear municipal obligations; fees below costs; tenant exclusion from decisions
Do not copy	a resident association bylaw or mandatory savings percentage
Transfer instead	match delegated responsibilities to enforceable authority, affordable revenue and supported capability
Scale test	For 50,000 households, provide professional support and independent oversight without making every repair depend on a central office.

Sources and evidence notes

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[111] Community Organizations Development Institute. Baan Mankong: City-Wide Upgrading. Programme design, community finance and implementation responsibilities; not a randomised impact evaluation. [source]

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PART III · POLICY AND DELIVERY AGREEMENTS

17. Implementing planning reform

On 2 January 2026 a multi-storey building under construction in Nairobi's South C district collapsed before dawn. The National Construction Authority reported that it had registered the project in November 2023, after receiving county approvals, an environmental licence, and a geotechnical report. Four quality-assurance inspections had been recorded as accepted; the last had observed work at the third floor. After the collapse, investigators found that construction had added four floors beyond the approved structural design. Two bodies had been recovered by 7 January. The agency had yet to determine the precise technical cause. The county separately reported that it had intervened at the site in May, July, and December 2025 over breaches of building rules.[1][2]

The South C case illustrates the need for continuing oversight after a permit is issued. Approval records, the structure actually built, inspections, and enforcement must remain connected. This single case does not establish the causes of other building failures.

Permission also has an opposite failure. On thousands of plots a sound, simple rental room may be blocked by a density rule, a prescribed setback, an uncertain title, or an approval process designed for a much larger developer. The household that needs the room lives somewhere anyway. Cities ration legal homes while struggling to regulate the homes that appear outside the rules. The two failures, scarcity and unsafe construction, belong in the same account of state capacity.

Before construction, public agencies determine lawful uses, development locations, safety evidence, objection procedures, and enforcement authority. These decisions affect land prices, small-developer entry costs, tenant safety, and infrastructure finance. Planning reform must coordinate them to expand safe housing near employment.

Development permission and land value

A land parcel is an address, a bundle of claims, and a set of options. Its market price reflects what a buyer believes can be done there. If a city permits two homes where it previously allowed one, the owner receives a new option. If the city allows an extra floor, removes parking requirements, or permits rentals on a residential plot, it changes the plot's earning power. The option can raise the selling price of land immediately, even if no builder pours concrete for years. Cities create private wealth through the map and the code.

The mechanism is plain. The revenue that new rooms can earn, discounted for vacancy and operating costs, gives them a possible capital value. The builder subtracts construction, finance, fees, risk, and a normal return. What remains is the maximum that can be paid for land and development rights. A rule that makes more floor space possible can enlarge that residual value. If enough plots become buildable, competing landlords may eventually lower rents. If only a few sites obtain discretionary exceptions, existing owners often pocket the scarcity rent.

The 2005 analysis by Alain Bertaud and Jan Brueckner shows why this matters beyond real estate. Restrictions on building height shift households outward from employment centres, lengthening travel. Their stylised simulations for Bangalore implied welfare losses of roughly 1.5-4.5% of household income. These are model results, sensitive to assumptions about the city and transport; they remain useful because they connect a line in the development code to time and money lost every working day.[4]

Yet extra legal floor area is only the beginning of a chain. A plot may be upzoned while its title remains disputed; a developer may receive permission while the sewer is full; a building may be completed while the power connection or occupancy certificate is withheld. The economic unit that matters is an occupied, safe, reachable home. Regulatory capacity should therefore be judged as a conversion process.

1	**Claim**	Who holds defensible rights?
2	**Use**	Which dwelling types are lawful?
3	**Hazard**	Can people live there safely?
4	**Service**	Will networks accept the load?
5	**Capital**	Will anyone finance construction?
6	**Build**	Is the approved design followed?
7	**Live**	Is the home occupied and affordable?

EXHIBIT 17.1 Seven gates between a legal possibility and a liveable room. Each gate has a different owner; failure at one can erase the value produced at all earlier gates.

The chain points to a common mistake: counting permissions while omitting the denominator. An administration may process most files promptly because poorer owners never apply, because applications are labelled incomplete for months, or because only simple, low-risk cases reach its system. A credible statistic must track the entire stock of parcels and the full sequence from first inquiry to occupancy. Every missing household is a missing observation with political meaning.

Comparing zoning reforms

Urban economics has long predicted that restricting supply can raise prices. Two reforms show how much the answer depends on scale, expected demand, and the surrounding institutions. Chicago raised permitted density and cut parking requirements near transit through changes in 2013 and 2015. Yonah Freemark used differences in the timing and location of those changes to estimate their effect. Transaction prices rose on parcels that gained rights, including higher values for existing condominiums. Across five years he could detect no additional permitted dwellings attributable to the changes. The owner's option became dearer; the new home remained elusive.[5]

Auckland made a broader change. Its 2016 Unitary Plan increased capacity across roughly three-quarters of residential land. Townhouses and attached housing followed in volume. Ryan Greenaway-McGrevy and Yun So, writing in Economic Inquiry in July 2026, use a synthetic comparison with other New Zealand urban areas and estimate that Auckland rents were 23% below their no-reform counterfactual in 2024, eight years after the change. Their analysis also finds a marked rise in housing permits. The estimate is a modelled policy effect, with uncertainty about the chosen comparison cities and other policy shifts; 23% should never be read as an observed fall in nominal rents.[6] These studies differ in markets, size of treatment, methods, and time. They still offer a useful test of the mechanism. Broad legal capacity makes more plots competitors in the housing market and can support a supply response. A narrow entitlement may first appear as a higher bid for scarce land. The result depends on finance, service availability, construction costs, and demand. Policy language should distinguish "more capacity", "more permits", "more homes" and "lower rent". Each claim requires a separate measure.

> **EVIDENCE AND INFERENCE**
>
> **Observed study findings:** Chicago's targeted reform raised property values without a detectable increase in permits over the study window; Auckland's broad reform is associated with a large supply response and a 23% lower modelled rent level by 2024. **Judgment:** a city that wants lower rents should liberalise enough well-serviced land to create competition, then protect the building and occupancy steps. A credible causal estimate for Chicago cannot simply be subtracted from Auckland's estimate.

Even Auckland's reform was politically contested. Homeowners objected to the effect on familiar streets, while planners needed enough capacity to make growth possible. A broad rule offered more households

and builders a stake in the outcome. The politics of scale resemble the economics of scale: a scattered set of exceptions yields visible local losers and diffuse prospective winners; a citywide reform changes the coalition itself.

The Auckland-Chicago comparison in Chapter 2 should guide the implementation test: additional rights must become starts, completions and occupied homes. Access needs separate verification. In Delhi's rental audit, otherwise comparable inquiries received responses of about 35% with upper-caste Hindu names and 22% with Muslim names. That is evidence about responses, not completed leases. More physical supply cannot by itself establish fair access, and these studies do not measure the local size of both constraints. [102,103,120]

Authority over development decisions

Housing planning is a bargaining system. The owner wants the increase in land value. A builder wants a predictable, saleable project. A bank wants enforceable title and a usable completion certificate. A utility wants payment for connections and capacity. Existing neighbours seek quiet, access, and protection against flood or fire risk. Tenants want more choices near work; they may also fear eviction when their block is rebuilt. Councillors want credit for new housing while avoiding blame for congestion, service failures and angry voters. No single actor represents the city.

These actors receive benefits at different times. Permission lifts a landowner's option value immediately. A contractor is paid during construction. The utility pays for capacity before future customers arrive. The city receives property taxes only after assessment and collection. A tenant benefits from competition only when enough comparable dwellings are ready to rent, and may lose a current room while waiting. Every delay creates a constituency that prefers someone else to move first.

The asymmetry in political voice compounds the problem. A low-income tenant seeking a room near a job has no clear plot on which to object or advocate. A homeowner whose street faces a proposed building can attend a hearing next Tuesday. In a study of planning meetings in the Boston metropolitan area, Einstein, Palmer and Glick found that attendees were more likely to be homeowners, older, male, politically active and opponents of new housing than the people living in the wider area. This is US evidence, with different institutions from Cape Town or Bengaluru. Its general lesson is about selection: a public hearing can give weight to a very small, highly motivated group.[16] Sometimes objections are sound. A narrow road cannot accommodate fire engines; an extra basement can worsen flooding; an unreinforced structure can kill its occupants. Elsewhere, traffic, heritage and "neighbourhood character" are elastic claims that allow decision-makers to exclude poorer tenants or defend the scarcity value of existing homes. The remedy is to make safety and service standards explicit, publish their evidence, and avoid granting an open-ended veto over every conforming home.

The political agreement must assign both the right to build and the cost of growth. In many African and Indian cities a municipal planning department can permit density, while a separate water utility, electricity distributor, state road agency, district land office, or environmental regulator controls essential inputs. The mayor may win support by announcing new homes and later bear the blame when the drainage fails. The agencies that must provide extra capacity may receive no share of the new property-value gains. An intergovernmental fiscal mismatch can therefore kill a sound zoning reform without any formal vote against it.

Institutional constraints

Actor	Rent or stake	Veto	Possible bargain
Incumbent landowners	Scarcity premium and future uplift	Withhold plots; litigate boundaries	Predictable rights; staged charges on realised value
Existing homeowners / resident groups	Amenity, exclusivity and property prices	Hearing, court, electoral pressure	Clear safety tests; network investments; broad rules
Large developers	Land banks, privileged approvals, scale	Lobby for exceptions; sequence projects	Uniform entitlements; publish approvals and completions
Small builders / landlords	Rental income from extra rooms	Exit into informality; avoid permits	Simple legal designs, verified tenure and staged finance
City, utilities and professionals	Fees, taxes; professional work; discretion	Refuse connection; request new studies	Service compact; timely payment; independent audit
Tenants and excluded groups	Affordable access to jobs; security	Limited formal veto; organise collectively	Tenant standing, anti-displacement rules, allocation evidence
Customary authorities / brokers	Land sales, informal levies, control of claims	Competing title, coercion, obstruction	Joint claim validation and public escrow; legal redress

EXHIBIT 17.2 A political-economy reading of permission. These are recurring incentives, not claims that every actor behaves this way. A reform coalition must be designed for the local ownership, electoral and service systems.

Small-rental planning reform in Cape Town

Cape Town illustrates a different scale of reform. Its lower-income neighbourhoods have long supplied housing through backyard structures, converted houses and small rental buildings. Much of this densification has taken place where households are far from the city's highest-value jobs. Research using neighbourhood and satellite data finds that much of Cape Town's overall densification between 1998 and 2019 came from poorer households crowding into already dense peripheral areas, while formal, investment-led densification favoured more affluent neighbourhoods. Apartheid's spatial legacy survives in these uneven property and labour markets.[9][18]

On 26 June 2025 the city approved amendments to its planning by-law. A new additional use right permits up to eight small affordable rental units alongside an existing dwelling, or up to twelve if no dwelling remains, on plots covered by the designated map. Related incentive overlays support more development in selected corridors. The rental provisions began operating on 1 September 2025; much of the wider package followed on 1 October. The city subsequently published location maps, development guides and prototype layouts for micro-developers. This is a concrete change in the legal production function for housing, and an attempt to bring existing demand into a channel that can be inspected and serviced.[7][8]

The reform may matter because entry into small-scale rental supply takes place in steps. A homeowner may already own the land, borrow against another asset, use a local contractor and add a few rooms. That owner may lack the legal and design capacity to build a conventional apartment complex. A map that states the allowable use, an intelligible standard plan, and an affordable inspection route could change the decision from "build outside the code" to "build under it". A lender can then verify the right to let the rooms. Utilities can identify connections before an overload occurs. A tenant may gain a sound structure, sanitation, and a lease that can be enforced.

The outcome is still open. The city's 2025 change is evidence of a new entitlement. It does not by itself establish completed rooms, lower rents, improved fire safety or reduced displacement. Legal

“affordability” also needs to be tested against the earnings of households at the bottom of the rental market. A planning category can generate units called affordable while the final asking rent remains beyond their means. If formalisation brings larger bills for water, power, tax, insurance and debt, the owner will try to pass them on to renters. The same rule that makes eight rooms legal can raise the value of the parcel, rewarding the owner before any tenant benefits.

A credible Cape Town coalition therefore reaches beyond the property owner. The municipality offers a pre-agreed safe envelope and quick review. The water and electricity departments publish the connection and reinforcement costs. Engineers provide an affordable route to certify stairs, loads and fire access. Credit providers offer loans whose repayment fits rent collections. Tenants receive written occupancy rights and a clear repair process. If these parties share the same timetable, the legal change can result in usable supply. If each waits for the others, builders will either do nothing or return to the informal route.

Rental project viability

Consider an illustrative proposal to add four self-contained rental rooms to an existing plot. The numbers below are a teaching model in South African rand; they are not bids from Cape Town and make no claim about market rents or construction rates. Suppose the new rooms total 110 square metres of gross floor space, at R11,000 per square metre to build, with R180,000 for water, power and site work, and R110,000 for drawings, compliance and finance. Total new capital is R1.50 million. The land is already held; any increase in its opportunity value appears as a separate cost if the plot is sold to a new builder.

Assume 90% paid occupancy, operating costs of 20% of collected rent, and an 8.5% capitalisation rate. At R3,000 a month per room, the annual net income is R103,680, capitalised at about R1.22 million. The project is short of its R1.50 million cost. It needs an illustrative rent of R3,689 per room to support that cost at the assumed yield. At R4,200, its imputed value rises to roughly R1.71 million. That larger rent can make the project viable while still failing an affordability test for many households. The beneficiary and the displaced household need not be the same person.

ILLUSTRATIVE 4-ROOM INFILL	Lower rent	Break-even	Higher rent
Monthly rent / room	R3,000	R3,689	R4,200
Annual net income	R103,680	R127,491	R145,152
Capital value at 8.5%	R1.22m	R1.50m	R1.71m
Value minus R1.50m cost	−R0.28m	≈R0	+R0.21m

EXHIBIT 17.3 Explicit assumptions: 4 rooms; collection 90%; operations 20% of collected rent; capitalisation 8.5%; capital cost R1.50m. Rounded to the nearest R1,000 where appropriate. These are hypothetical calculations, not reported prices or a forecast.

Now change one input. A nine-month delay while R1 million of site and design capital is committed at 12% simple annual finance cost adds R90,000. Spread at the same assumed yield across the four rooms, that would require about R221 more in rent per room each month. A city may save the applicant a modest official fee and still impose a much larger bill through slow decisions. Conversely, a faster permit has little value if the site cannot connect to the water main or the builder cannot prove lawful possession.

A transparent, conditional capital grant of R300,000 would reduce the required supportable rent from roughly R3,689 to R2,951 under these assumptions, provided the owner did not pay more for the land or face new charges. If the entitlement raises the asking land price by a similar sum, much of the public grant moves into the seller’s pocket. A fair programme should therefore test the rent, the extra occupied rooms, the quality and the land transaction together. The subsidy chapter and the public-land chapter established how to account for the transfer; permission shows the point at which the transfer first becomes possible.

Statutory approval deadlines in Hyderabad

India provides a sharp administrative experiment in the design of permission. Telangana's building approval and self-certification law of 2020 requires ordinary applications accompanied by valid, complete documents to be decided within 21 days. The statute provides for deemed permission if an order does not arrive in time, with powers to revoke a deemed approval obtained by false statements or contrary to rules. The online TG-bPASS process combines submission, scrutiny, downloadable approvals and complaint handling. The legal clock changes the default: an office must explain delay, instead of holding a builder in indefinite suspense.[10]

The key words are "valid, complete documents". If an official can keep a file outside the clock by seeking another plan, land certificate or clarification, the statutory period may say little about actual delay. Self-certification also shifts risk. A small owner with a lawful plot may gain. An applicant on a floodplain, or a builder whose structural design is wrong, may gain an unwarranted paper approval unless independent checks operate at the right construction stages. The Act and portal prove what the system is designed to do. They supply no causal estimate of how many extra affordable homes were occupied as a result. A city should publish the interval from first filing attempt to lawful occupancy, including withdrawn cases, amendments and inspections.

Delhi illustrates a separate gate. Under PM-UDAY, the Delhi Development Authority offers rights of ownership, transfer or mortgage to eligible residents in 1,731 unauthorised colonies. Its own account links property recognition to potential bank loans and approved building plans. That may unlock investment on some plots. Yet recognition depends on competing documents and on the person who holds the claim. It says little, on its own, about how a tenant gains protection when a newly valuable site is rebuilt, whether streets can accommodate fire engines, or which agency will pay for upgraded sewers. A title process can be politically attractive because it creates a visible private benefit; the public-service obligations arrive later.[11]

The renter's place in this system is particularly important. A field experiment by Saugato Datta and Vikram Pathania sent otherwise comparable inquiries to online rental listings in Delhi and surrounding areas. Landlords responded to 35% of upper-caste Hindu applicants and 22% of Muslim applicants. The 13-percentage-point gap was measured at the contact stage; the study did not observe final leases or the whole housing market. It still establishes a strong exclusionary mechanism. A new apartment in the right neighbourhood expands the physical supply. Landlords can prevent that unit from becoming a housing opportunity for particular households.[12]

A successful permission reform in India therefore needs three records that often sit in different offices: the landholder's claim, the building's usable permission and the occupant's rights. A fourth record, the service connection, determines whether a family can remain there. Digitising the first two can improve lending and inspection while deepening exclusion if tenancy, caste, religion, disability and migrant status disappear from the questions government asks. Any inclusion rule must be enforced through lawful, privacy-preserving channels; a public tenant registry could expose vulnerable households to retaliation.

Land rights and development permission in Accra

In peri-urban Accra, official planning permission may be only one of several permissions that a builder needs. Customary owners, family heads, competing chiefs, the Lands Commission, district planners and informal land guards can each assert claims over a plot. Legal forms alone will not reveal who can stop the work. A study by Divine Mawuli Asafo, published in Housing Studies, followed the experiences of 22 housebuilders and interviewed customary authorities and land sellers in several peri-urban communities. Buyers described repeated payments when new people claimed ownership, violence or threats from land guards, interruption of construction, and repeated attempts to secure the same site. One household had begun seeking land in 2010 and had yet to begin building in 2018. The qualitative sample cannot estimate citywide prevalence, though the accounts identify a clear causal mechanism.[13]

Land conflict does more than slow a formal permit. When savings are tied up in disputed land, the household may abandon a qualified contractor, build in fragments, reduce the quality of materials, or start without complete plans. A partially built house then becomes evidence of possession. A family's most visible form of security can be concrete, even when the concrete is a poor financial choice. Informal authority becomes a parallel approval market with its own fees and coercive power.

Research on land governance in Kumasi describes the overlap of ownership and administration by traditional leaders, whose decisions can govern use, resolve disputes, and affect infrastructure location alongside statutory planners. Where the state treats customary institutions as obstacles to be bypassed, the promised permit may lack local acceptance. Where it delegates every decision without oversight, land sales and arbitration can become sources of private rent. The workable agreement starts by documenting rival claims, setting rules for consent and revenue sharing, protecting customary members and women with weaker bargaining power, and offering impartial appeal before credit is secured against the parcel.[14]

This is where digital maps can do harm as efficiently as good. A satellite footprint proves that a roof existed on a date. It cannot decide which family sold the land, whether a chief had authority to sign, or who was threatened into leaving. Recording the first claimant as a digital "owner" can freeze a contested political settlement into a database. Georeferenced evidence should identify discrepancies and support a public adjudication process; it should not silently adjudicate them. The right to challenge the record is part of the information system.

Tenant participation in Mukuru

Nairobi's Mukuru Special Planning Area offers a different response to fragmented rights. Around 94% of residents in the study area were tenants, many renting structures on private land with contested or irregular histories. Organised residents, Muungano wa Wanavijiji, lawyers, planners and county officials used the 2017 Special Planning Area designation to create space for a settlement-wide plan. The process drew together separate work on land, infrastructure, health, housing and public participation. It recognised that a drainage line, a road, or a new rental block could not be planned one plot at a time while informal owners and tenants remained outside the decision.[15]

The political innovation was the identity of the claimant. Conventional consultations often begin with registered owners. Mukuru's resident-based organisation gave tenants a stronger route into decisions that could otherwise raise their rent or displace them. Its organisers described the settlement's economy and residents' payments for costly informal services as evidence that residents could support better public networks. This helped form a coalition around service delivery rather than a simple contest between "legal landowners" and "encroachers". The process also encountered resistance from officials, structure owners and informal providers with income at risk.[15] Participation did not turn every agreement into a pipe or secure lease. A special planning area can suspend ordinary development while the integrated plan and finance remain unresolved. Uncertain eligibility lists can reward early participation while excluding later arrivals. Landowners may demand compensation for rights that cannot be reconciled with the settlement plan. These are implementation risks that a well-intentioned coalition still has to manage. The lesson is institutional: when the people most affected have weak property claims, state capacity may require an organised counterweight to the registered owners and connected brokers.

Safety requirements and supply restrictions

A city should resist the temptation to classify every restriction as obstruction. A failed retaining wall, inaccessible fire stair, narrow evacuation route, blocked drain or building over a river has costs that the original owner may never pay. Kenya's Architectural Association, reporting on 2024, recorded thousands of unsafe or dangerous structures identified in inspections; its findings are from buildings selected for inspection and cannot be read as a national prevalence rate. The South C chronology shows why the inspection system must continue after the first permit. These rules protect renters who cannot inspect reinforcement steel or underwrite structural failure themselves.[17][1]

Safety rules deserve three tests. First, can an engineer state the harm and the measurable standard? Second, is there a lower-cost design that delivers the same performance? Third, can an inspector verify it with reasonable effort and authority to stop work? A mandated parking bay may consume space with little safety benefit in a walkable rental district; a second exit from a crowded building may save lives. Some provisions should be non-negotiable. Others can be performance-based, graduated for small extensions, or replaced with safe standard plans. Protecting safety through a rule that nobody can afford to obey often produces the very uninspected buildings the city fears.

The same distinction applies to environmental and cultural protection. A floodplain or natural wetland can be a reason to refuse density. A heritage district can preserve genuine common value. But a city should make the evidence public and assess the distribution of the burden. If the valuable centre is closed to new homes under loose definitions of "character", the poor may be forced into more hazardous peripheries. Land-use protection has a geography of winners and losers, whether officials intend it or not.

Digital permits and accountability

Digital approval systems can publish fees, record decisions, and reduce lost files. Their value depends on the constraint being addressed. Faster review leaves restrictive density rules unchanged. A public development map may omit customary claims. AI may detect an additional floor without detecting defective concrete. Each application needs a defined decision, an accuracy test, and a remedy for affected residents.

The Kenya Housing Survey found that 20.5% of counties reported digitised building-plan applications and 23.3% reported georeferenced land records. These are institution-reported adoption indicators in the 2023/24 survey, not evidence that digitisation reduced rents or corruption. They nonetheless suggest a concrete starting point: building and land information are incomplete and uneven across the agencies asked to govern construction.[3]

For a proposed digital reform, government should ask five questions in a fixed order: Which binding constraint changes? How much change can we verify? Who captures the value? Who acquires new decision power? What new risk appears? Those questions require measurement before and after procurement. They also demand access for people who own no smartphone, cannot pay for a survey, or have strong claims that are absent from the registry.

Use	Binding constraint	Verify	Gain	Power / risk
Public buildability map	Conflicting rights, hazards and zoning	Resubmission rate; share of plots with a clear safe envelope	Owners and builders first; buyers through competition	Officials who control the authoritative map; false precision on disputed title
End-to-end permit log	Unseen delay and informal discretion	P50/P90 days from first attempt to usable approval	Applicants save carry cost; owners may raise prices	Portal operator and reviewer; hidden "incomplete" queues
Construction-stage change detection	Building drifts from approved design	Verified deviations corrected before occupancy	Tenants and neighbours through lower risk	Inspectors gain surveillance power; image error and selective enforcement
Occupancy and rent follow-up	No view of who receives homes	Completed, safe, occupied rooms and rent by income group	Tenants if services and protections hold	Landlords or officials may identify and displace vulnerable tenants

EXHIBIT 17.4 Technology appraisal under the book's five-question test. Measures are proposed evaluation variables; the table reports no causal effect from these technologies.

An effective procurement specification would demand interoperable parcel and building identifiers, logged changes to the official plan, timestamps for each agency's action, and human review of disputed rights. It would prohibit automatic approval of hazards and automatic enforcement based only on image classification. The city should retain its data in a documented schema and make redress available offline. It should procure independent tests of accuracy, racial or spatial bias, and cyber security. A proprietary black box that merely labels files "approved" offers poor public value.

The same system can finance its own accountability. Publish anonymised counts of all first attempts, the reasons for rejection, median and 90th-percentile decision times, subsequent construction starts, illegal additions found, completed rooms, occupancy and rent bands. Track neighbourhoods and plot sizes, while suppressing personally identifying information. An application with an incomplete title should be visible as an unresolved claim, not erased from the denominator. The data should make failure politically costly for the office that controls the bottleneck, and make correction possible for the citizen.

Implementing planning reform

In fragmented tenure systems, resolve authority to permit; in dense Indian districts, test infrastructure and safe access together with floor-space reform. Pay for inspection and network expansion through transparent budgets and feasible charges, not informal negotiation.

Planning must decide consistently, utilities must connect, inspectors must verify safety and an accessible body must address exclusion. Track conversion of rights into starts and completions, decision time, safety compliance, net rents and access by excluded groups.

Suppose a mayor, a planning director, a water utility and a coalition of small rental builders agree to test reform in two urban corridors. The temptation will be to announce a new density limit and launch a portal. A better first step is to assemble a sample of plots, inspect the land records, walk the water and drainage network, identify hazards, and interview tenants as well as owners. The sample should include rejected applications and plots where nobody has applied. That reveals whether the principal barrier is permitted density, title uncertainty, network capacity, cost, financing or fear of enforcement.

Choose two types of area. In a serviced location with jobs and an existing rental market, grant an automatic entitlement to a limited class of safe small additions. On adjacent blocks where networks are near capacity, publish a funded reinforcement schedule and a transparent connection charge. Require an

engineer to certify structural loads, fire access and drainage before the permit can become occupancy permission. Standard plans may reduce design cost for simple plots; complex or hazardous sites retain individual review. Every denial must identify a specific rule and an appeal route.

The coalition needs visible gains on each side. Small builders receive predictable rights, standard design support and a path to loans. Utilities receive a capital plan and payment for incremental service costs. Existing homeowners receive documented traffic, drainage and safety safeguards. Tenants receive lease terms, repair channels and a chance to participate before redevelopment displaces them. Councillors receive a measurable promise tied to occupied homes. Landowners face predictable charges on realised increases in value and lose the ability to trade private waivers for favours. Professionals receive fee-paying work tied to verified safety, with sanctions for false certification.

A 12-month evaluation framework

The first 90 days establish a parcel-and-resident baseline: current use, title disputes, building safety, sewer and power capacity, rents, occupancy, travel to work, and the time spent on earlier applications. The next 90 days publish the permitted building envelope, assign the agency responsible for each service, simplify low-risk applications, provide standard designs and make the entire workflow visible. Months seven to twelve support actual projects with finance and staged inspections. Build a comparison group from similar corridors that have not yet received the rule; track changes while recording spillovers and differences in demand. Use a pre-agreed independent review before expanding.

At each step ask a narrow question. Did more low-income owners and small builders submit complete applications? Did the worst delays fall? Did finance become cheaper? Did starts turn into completed, connected rooms? Did rents decline relative to comparable units, or did rising land prices absorb the gain? Did unsafe additions and evictions increase? Did women, migrants, lower castes and minority tenants gain access to the new stock? An aggregate rise in approvals can conceal worsening exclusion, and the early figures may show developers exercising existing options rather than truly additional homes.

> **THE PERMISSION-TO-HOMES DECISION RULE**
>
> **Go forward** when legal capacity rises *and* the conversion rate into safe occupied units improves without serious displacement, service failure or price capture. **Revise** when applications accelerate but construction stalls: test credit, land disputes, infrastructure and inspection. **Stop or redesign** where increased density exposes residents to unmitigated fire, flood or structural hazards, or where identifiable groups bear eviction and discrimination. These are proposed governance thresholds; each city must set measurable local values before the pilot starts.

The 12-month evaluation should publish five denominators: all eligible parcels; all first application attempts; all approved plans; all completed and inspected units; and all units occupied by the intended income groups. It should separately publish the share of tenants who retained their neighbourhood after redevelopment. The fiscal ledger records the cost of added water, drains, roads, schools and inspections alongside revenue from property taxes and connections. The scheme will fail politically if a neighbourhood bears the construction burden while a distant government keeps the tax and an absentee owner banks the land gain.

Implications for development control

Permission creates a peculiar form of wealth. A signature or a map can raise the price of a field before its first home is built. That wealth may be deserved compensation for risk and investment, or a windfall from a public choice. A city that distributes it through exceptions invites lobbying. A city that grants it broadly without checking networks and safety invites a different failure. A city that confuses a digital parcel number with a settled claim can turn old conflicts into permanent facts.

The best reforms make lawful construction ordinary. They give households and builders a clear answer in advance, shift judgement toward verifiable safety and service tests, and let residents contest official

mistakes. They make it profitable to build modest homes without making illegal construction the only way to serve poor renters. They limit the value of political connections while retaining the power to stop a dangerous structure. Most of all, they create a coalition large enough to defend the right of the next household to enter the city.

The South C collapse warns that a permit is only as good as the institutions that continue to enforce it. The rental experiment in Cape Town asks whether a wider entitlement can bring small builders inside those institutions. Accra shows the limits of a state permit when competing authorities control the land. Delhi reveals the gap between a new unit and an equal chance to rent it. Auckland and Chicago show that legal capacity becomes lower rent only through a supply response. These stories converge on the book's larger argument: coordination and information shape housing outcomes, while power determines which information counts and whose decisions bind.

What transfers?

Worked because	feasible development rights; reliable approvals; funded services; access rules that reach intended residents
Failed when	paper entitlements without finance; continued discretionary vetoes; weak enforcement of safety; discrimination after construction
Do not copy	a permit deadline or citywide map in isolation
Transfer instead	make each link from lawful capacity to inclusive occupancy observable and accountable
Scale test	Test approvals and inspections at tenfold application volume; a faster front door can create a longer utility or completion queue.

Sources and evidence notes

Research checked 16 October 2026. Numbered references in the text link to public reports, laws or research papers. Dates describe publication or policy commencement as indicated. An academic estimate, an administrative count, a statutory standard and an illustrative calculation represent different kinds of evidence; the chapter distinguishes them in its claims. Citations to the chapter's quantitative illustrations identify the publicly reported inputs, not a claim that the illustrative capital model has been field-validated.

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Method note. The South C account relies on the NCA's report of 7 January 2026 and the county's reported enforcement chronology; neither settles legal liability or the structural cause. The rent and capital example is a transparent hypothetical with no empirical rent benchmark. The Auckland result is a synthetic-control estimate for 2024 relative to a no-reform counterfactual; the Chicago result comes from a different quasi-experimental design. The Accra and Mukuru studies explain mechanisms and coalitions through qualitative evidence; they cannot support national prevalence claims.

Architecture. Chapter 14 examined public land and fiscal commitments; Chapter 15 followed delivery institutions; Chapter 16 examined stewardship after handover. This chapter locates the choice before construction. Chapter 18 is provisionally titled Who Gets to Stay? and will follow rents, displacement, tenure, inclusion and the political bargains of redevelopment.

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18. Redevelopment and resident protection

In June 2009, South Africa's Constitutional Court authorised a supervised removal of residents from Joe Slovo, an informal settlement beside Cape Town's N2 highway. The eviction order came with a timetable, minimum standards for temporary accommodation and duties to consult. Roughly 20,000 people were affected. The government said the land had to be cleared so permanent housing could be built. In March 2011, the same court discharged the order. The state had changed its plan. It now intended to improve the site while residents remained there. The threat of eviction had lost its purpose [7-8].

The two judgments capture the difficulty of making cities better for the people already living in them. A new building can improve living conditions. It can also make an existing tenant homeless. Removing a settlement from a hazardous strip of land can save lives. Sending its residents to a distant estate can sever the income that paid for the old room. A government may announce a right to housing while the rules used to allocate new homes erase the claims of the people most dependent on the site.

Redevelopment requires a separate assessment of existing residents' claims, including those of tenants and occupants without registered ownership. The relevant question is how those claims will be protected when public action raises land values.

The answer runs through tenure, rent, work, kinship, race, caste, finance, construction and the state's ability to keep promises. Every proposed clearance or upgrading has two markets. The visible one is for land and new floor space. The other is for the right of an incumbent household to remain close to a job, school, customer or support network. Many housing programmes price the first market with great care and leave the second off the balance sheet.

Occupancy and overlapping land claims

In Nairobi's Mukuru, residents and researchers documented about 300,000 people living on some 650 acres. Muungano's account reports that around 230 landowners held virtually all the land and that 94 per cent of residents were tenants [1]. A cadastral system showing 230 owners would still fail to describe the housing market. Between the title holder and a mother paying monthly room rent may stand a structure owner, a caretaker, a rent collector and a service broker. Each controls something; only some of them appear on a deed.

The room is also a workplace in many households. A shop may open on the pavement; tools and stock may be stored beside the bed; a worker may depend on an employer reachable by foot. A child's school and an aunt who provides childcare make the location productive. When a planner draws the red line of a clearance area, the plan can wipe out several assets without transferring a single titled parcel.

The same layers appear in Mumbai. The official Dharavi redevelopment website says its survey assigns each structure a 15-digit identifier, uses lidar mapping of lanes and collects documentary proof from households. The data help the authority decide who qualifies for rehabilitation. The map is therefore also an eligibility machine [4]. A newly visible building can strengthen the state's ability to plan services. The same survey can give officials and developers far greater power to decide whose life counts in the project.

Exhibit 18.1. Claims and interests on an occupied parcel

Person or body	Asset or dependency	What conventional property data can miss
Registered owner	Title, land rent, option to redevelop	May live elsewhere; a title says little about occupants.
Structure owner or landlord	Rent from shacks or rooms; control of access	May occupy land informally and still collect substantial rent.
Tenant or subtenant	Affordable location and continuity of occupancy	Often no recorded lease or entitlement to new ownership.
Home-based worker	Foot traffic, inputs, customer ties, storage	Loss of livelihood can exceed the value of the walls.
Neighbourhood / public body	Road, drainage, school, networks and access	Public investment may raise private rents before costs are recovered.

The categories are analytical. They may overlap in one household. A defensible inventory records people, uses and claims separately; ownership is one dimension of exposure.

The formal register, in short, is a poor census of people at risk. Its omissions have distributional consequences. Compensation tends to follow legible assets: land, permanent walls, a registered shop. Households with weaker documents may receive a moving allowance while losing a daily wage, an informal workshop or the right to return. The problem deepens when a scheme ties compensation to a date: rights become a contest over old utility bills, voting records, ration cards and testimony from intermediaries who may charge for helping produce the evidence.

The mechanism is general. An increase in public spending or permitted density raises the expected revenue of land. Owners seek a higher sale price; structure owners seek a higher rent; developers bid for redevelopment rights; politicians may claim credit for clearance and the visible new buildings. Tenants hold a shorter contract, face higher costs of organising and can be replaced one household at a time. The gains arrive before the families receive the benefits promised to them.

Four channels of displacement

The obvious channel is a bulldozer. Physical clearance displaces residents directly, sometimes after a negotiation and sometimes in defiance of due process. A second channel is the market. A paved road, safe drainage and legal electricity make a neighbourhood more desirable. Without tenant protections or greater housing supply, landlords can increase rents and replace poorer tenants. The third channel is administrative: a household keeps living there until an eligibility cutoff, a missing document or an impossible contribution excludes it from the new scheme. The fourth is the slow exit. School fees, commuting costs, service charges and building maintenance can make a new unit unusable even when its transfer was formally free.

These channels need different instruments. A court can stop an unlawful demolition and still leave rising rents untouched. A tenure certificate can protect an owner against eviction and leave the owner’s tenants exposed. A relocation grant can pay for a truck while a household loses its customers for years. A price cap may help an existing tenant and deter a landlord from maintaining or adding rental rooms. Each instrument changes bargaining power; the policy must track where that power moves.

Household costs of relocation

Takeuchi, Cropper and Bento used data from around 5,000 Mumbai households surveyed in 2003-04 to estimate how families value housing quality, travel to work and the composition of nearby households. In their simulated policies, providing good roofs and piped water in place was worth about INR 500 per household per month, roughly 10 per cent of income for the affected group. For one group considered for relocation, the model put the gross housing improvement at INR 813 a month, offset by INR 290 from greater distance to work and INR 490 from changes in neighbourhood composition [3]. These are estimates from a stated model of location choice, in historical rupees; they are neither measured changes in earnings after relocation nor universal welfare prices.

The results expose a common error. A building project may report a gain of one room with a toilet. The household's account contains that benefit alongside the cost of lost time, lost work, lost customers, new fees and disrupted social ties. An assessment that counts floor area while setting all other terms to zero has assumed the answer. It will often favour distant land because distant land looks cheap in the government's ledger.

The composition result must be interpreted with care. In India, religion, language and caste affect social networks and can also reflect discrimination. A statistical preference for living near people of the same group cannot justify exclusion or segregation. It warns policymakers that household networks and barriers to equal access belong in the welfare model. The same reasoning applies to racialised urban space in South Africa, where the location of a formal home can reproduce the old separation between work and residence.

Brazil supplies stronger causal evidence on the value of location. Belchior, Gonzaga and Ulyssea studied a large public-housing lottery linked to administrative employment records. Winning improved housing quality and lowered housing spending, while average formal employment probability fell. Effects differed across neighbourhoods; measured access to labour markets explained 82-93 per cent of the between-neighbourhood differences in their design [13]. The experiment speaks to the cost of assigning housing far from work. It does not prove every relocation lowers employment: effects differed by initial poverty and by neighbourhood.

These findings do not support a universal rule for or against relocation. The Ahmedabad lottery improved housing without income gains; the US experiment found benefits for children exposed to better neighbourhoods young, with different results at older ages. Neither justifies forced displacement or guarantees gains for an individual household. Before clearance, test whether the destination preserves livelihoods and networks or provides usable alternatives, and whether residents can sustain the move. [107,106]

Redevelopment eligibility in Mumbai

Mumbai's Slum Rehabilitation Scheme has offered a powerful commercial agreement since the mid-1990s. A private developer finances rehabilitation units and receives development rights for saleable space. The World Bank's description of the early scheme records free on-site units for eligible occupants, consent requirements and restrictions on resale [5]. In economic terms, the developer uses the market value of a scarce building right to pay for some of the existing residents' new homes. The city can add formal units without writing a construction cheque for each one.

The arrangement has a built-in distribution problem. Revenue comes from the floor space that can be sold at high prices. The costs of providing rehabilitation rise with the number of people who receive rights. The scheme therefore has strong financial reasons to draw an eligibility boundary and to retain valuable land for the sale component. It also gives a developer an interest in accelerating clearance and a resident association leverage through consent. A society leader, political intermediary or structure owner may be able to sell influence over the list of beneficiaries. These are incentives implied by the structure; they do not establish misconduct in every scheme.

The current Dharavi programme makes the boundary unusually visible. The official site states that ground-floor residential tenements existing on or before 1 January 2000 qualify for 350 square feet within Dharavi. It sets different terms for ground-floor tenements dating from 2000-11 and for later or upper-floor structures. The entitlement page offers 300 square feet under specified payment, metropolitan-area or hire-purchase arrangements to other categories, while the general FAQ describes eligible tenements in Dharavi and others outside it [4]. The official pages should be reconciled with binding resolutions for individual cases; an online FAQ cannot substitute for a household's written determination.

As a programme design, the cutoff dates and distinctions between floor levels do three things. They help establish a finite fiscal obligation; they favour households able to document older occupation; and they create sharp differences in value between people who may live next door, or above and below each other. A home-based garment workshop can be financially and socially different from a legal residential room. The public authority must therefore publish the treatment of tenants, subtenants, upper floors, mixed residential-commercial premises and those who lack standard paperwork before construction makes old claims hard to recover.

Rishi Jha's 2025 fieldwork on Mumbai resettlement documents how households sent to hazardous peripheral locations used community organising and legal action to press for alternatives [6]. The finding is based on qualitative research, with more than 100 interviews; it identifies mechanisms and contested political choices rather than an average treatment effect. Its relevance lies in timing. Once an agency has paid to clear a site and a developer has sold the future right to build, the bargaining power of displaced residents falls. Credible rights must be agreed and financed before removal.

Land values and eligibility incentives

The developer's residual land value can be written as expected sales revenue less construction, infrastructure, finance, risk and an ordinary return. An additional rehabilitation household increases the project's cost and reduces that residual. Tighter development rights, weak off-site infrastructure or high interest rates raise the temptation to narrow eligibility. More saleable floor area can cover more rehousing, although the new floor area also demands water, sewage, schools and open space. Public land or an infrastructure contribution that the state calls "free" still has an opportunity cost, as Chapter 14 showed.

Developers face real construction and financing risks. Landowners hold a veto through title. Courts can slow or stop acquisitions. Politicians seek visible, countable output before elections. Eligible residents may protect the premium associated with their certificates. Newer migrants and renters often have little collective voice. A technically polished redevelopment plan can therefore pass every engineering check and still lose the coalition required for delivery.

A fair agreement must specify the treatment of every claimant before land is cleared. It can offer in-place reconstruction in phases, nearby temporary accommodation with a binding return right, rental tenure that does not demand a mortgage, protected ground-floor trading space, and a funded mechanism to correct exclusion errors. The developer should face verified occupancy and return targets in addition to construction milestones. Paying solely for completed towers rewards speed over successful rehousing.

Distribution of upgrading benefits in Nairobi

The problem is sharper where almost everyone rents. In Mukuru, the tenants who would benefit from safe water and sanitation may be renting structures on private land. Public infrastructure can make these rooms more valuable. As long as there are too few legal, serviced alternatives, the landlord may have the power to convert a large part of the gain into rent. The tenant receives the new tap and loses some of the income saved by no longer buying expensive water. The title holder may benefit through land value even when the household using the infrastructure pays for the connection.

Mwau and Sverdlik's research in Mathare shows why Nairobi's rental market cannot be treated as an accidental feature of informal settlement. The authors describe growing multi-storey tenements, alongside single-storey shacks, and the role of caretakers, investors and informal intermediaries. Their 2020 paper estimated that nearly 70 per cent of Nairobi residents were renting single rooms, using the sources available to the authors; the figure should not be conflated with the 94 per cent community-specific estimate for Mukuru [2]. The market responds rapidly to demand for centrally located rooms, yet weak regulation can leave tenants in dangerous buildings.

Kenya's Informal Settlement Improvement Programme demonstrates the institutional challenge. Wainaina and co-authors found that weak routines for learning from implementation reduced the programme's ability to adapt; another study of upgraded facilities traces why residents accepted some new infrastructure and struggled to sustain other parts [19-20]. These qualitative studies do not estimate how much a new sewer raises rent. They show that an effective upgrading coalition has to survive the handover from consultant to county, from county to utility, and from the neighbourhood committee to the landlord and tenant who use the facility.

The practical solution starts with a roster of occupants, updated independently of land ownership, and a rent baseline before the investment is announced. Community organisations need both tenants and structure owners represented; otherwise a committee can turn into a platform for landlords. Residents need rights to challenge the roster, report retaliatory evictions and receive utility bills that show who pays which charge. Landlords need a credible path to lawful investment and cost recovery. The city needs a means to recover a share of uplift through its fiscal system without allowing informal brokers to become monopoly gatekeepers.

Model of a 1,000-household neighbourhood

Consider 1,000 occupied rooms in a hypothetical Nairobi upgrading area, with 940 renter households, mirroring Mukuru's reported tenant share. Assume every renter pays KES 3,000 a month before the works. After drainage, lighting and a water connection, suppose rents rise by KES 800 a month. The extra rent received from 940 tenants would be KES 752,000 a month, or KES 9.024 million a year. At a 5 per cent real discount rate over ten years, that stream has a present value of about KES 69.7 million. These are illustrative assumptions, not measured rents or a forecast for Mukuru. Inflation, vacancies, quality improvements and changes in the supply of rooms would alter the result.

The figure is a transfer to landlords if rents rise with all else held equal; a rent rise could also pay for genuine maintenance and new capital. The public task is to identify the split. Suppose a tenant previously spent KES 1,000 a month on water and lost time, and the new service cuts that burden by KES 700. An KES 800 rent increase would leave the tenant with KES 100 less cash each month before counting health, safety and reliability gains. Landlords could be gaining, tenants could be gaining in non-cash ways, and the city could be receiving little of the value it created. A design that looks successful by counting connections can fail an affordability test.

Exhibit 18.2. Distributional outcomes of a public improvement

Illustrative outcome	Tenants' monthly cash position	Implication for the public bargain
Rent rises KES 800; service saves KES 700	−KES 100	Tenant bears net cash cost, even if health and time benefits remain.
Rent rise limited to KES 400; service saves KES 700	+KES 300	Tenant gains, but maintenance and landlord incentives need a funding plan.
New competing rental supply limits rent rise to KES 200	+KES 500	Supply response allows more savings to remain with tenants.

All values are hypothetical sensitivity tests, not observed outcomes. The same service benefit may have distinct distributional effects because of rent regulation, competition and landlord bargaining power.

This argues for experiments rather than a universal cap. A time-bound rent-transition agreement may help existing tenants while the city adds serviced rental supply. A targeted cash payment can offset short-term shocks if rents are monitored and households can actually find rooms. A formal lease and a grievance system can lower arbitrary eviction risk. Each option has costs and enforcement problems. A promise of permanent cheap rent to every incumbent may protect today's tenants and close the door to tomorrow's migrants; a hands-off market may leave today's tenants to bear the cost of public renewal. Government must specify the sequence, costs, and enforcement arrangements for its chosen approach.

The trade-off is visible in a well-identified natural experiment from San Francisco. After a 1994 change in rent-control coverage, protected tenants were almost 20 per cent more likely to stay in their homes, while affected landlords reduced their rental stock by about 15 per cent through conversion or redevelopment. A structural model in the same study estimated a 5.1 per cent increase in citywide market rents from the reduced stock [23]. These are estimates for one unusually expensive US city; they establish a mechanism, not a predicted effect for Nairobi or Mumbai. Protecting a sitting renter and preserving a path for the next renter both demand policy design.

Mumbai presents a different political inheritance. Tandel and co-authors describe how the city's long-standing rent-control regime favoured some sitting tenants while weakening incentives for maintenance and formal rental investment [22]. Attempts to rewrite these terms meet organised resistance: incumbents fear losing their homes, landlords seek higher returns, and small tenants fear informal eviction even when a legal safeguard exists. A feasible reform sequence protects low-income incumbents during a defined transition, opens lawful space for modest new rental housing, and makes landlords responsible for basic safety and upkeep. A city should measure the effect on vacant-room supply and new migrants alongside the effect on current leases.

Tenure formalisation and housing security

Property rights can change lives. Erica Field's study of Peru's urban titling programme found that housing renovation increased by more than two-thirds relative to its baseline level after titles strengthened tenure security. Much of the additional investment came without bank credit. In separate work, she found that titling was associated with about 17 per cent more household work hours, alongside reductions in home-based work and child labour [10-11]. These estimates draw on programme rollout patterns and comparison groups; implementation and local labour markets matter.

A natural experiment in the suburbs of Buenos Aires points in the same direction. Galiani and Schargrodsky compared families whose land became titled with otherwise similar families whose former owners contested expropriation compensation. Titled households invested more in structures and their children's education. Credit access did not explain the main effect. The authors' analysis reported around 12 per cent more built space and a 37 per cent rise in a housing-quality index in the treatment group [12].

The causal lesson is narrower than a simple call to hand out freehold deeds. Households invest when their expected right to enjoy the return becomes credible. That assurance can come from different legal forms: individual ownership, collective lease, occupancy agreement or an enforceable right to return. A title can also make a plot mortgageable, saleable and attractive to outside investors. An owner may then sell voluntarily to meet a crisis or be pressured to sell. If the tenant has no parallel right, formalising the owner's claim may raise the likelihood of the tenant's displacement.

The choice of instrument should follow the problem. Where eviction risk prevents repairs, durable occupancy is valuable. Where the land has a dangerous flood exposure, indefinite tenure in place may entrench loss of life. Where a city owns well-located land, a long lease with affordability conditions can keep part of the uplift public. Where land belongs to a customary authority or several disputing families, a registry cannot adjudicate every conflict by assigning the first name it finds.

Legal remedies and alternative redevelopment plans

Joe Slovo shows a reform coalition changing its strategy. The 2009 court permitted removal only with detailed safeguards, including safe temporary accommodation and a process of engagement. By 2011 the state had adopted an in-place approach and the court discharged the removal order [7-8]. The shift was possible because residents organised, law supplied an enforceable forum, and the public developer could alter the construction sequence. The case does not prove that every community can be rebuilt while fully occupied. It demonstrates that the supposed engineering necessity of removal can depend on a contestable project design.

Lagos offers a darker comparison. Amnesty International documented the forced eviction of more than 30,000 residents from Ilubirin and Otodo-Gbame during 2016-17, including destruction of homes, loss of livelihoods and actions taken in defiance of court orders [9]. A Lagos High Court ruled against further evictions without alternative arrangements and called for consultation [21]. Where courts cannot bind implementing agencies and land is highly valuable, compensation rules on paper offer thin protection. Eviction can destroy the collective organisation needed to agreement over a future project.

Thailand's Baan Mankong offers a different institutional centre. CODI reports that its community-led programme had covered 142,763 households by 2026 [15]. Communities organise savings groups, negotiate collective tenure, choose among upgrading and nearby relocation, and borrow through cooperatives. A separate railway-side programme reported 3,229 supported households across 76 communities as of August 2025 [16]. These are administrative programme counts, not estimates of net household welfare. They show what changes when the community becomes a contracting and planning party, rather than a list of future allottees.

A coalition can still exclude people. A cooperative may prefer long-established members to late arrivals; male household heads may control membership; an owner-occupied solution may exclude renters who cannot service debt. Baan Mankong itself recognises the risk of borrowers falling behind after illness, lost wages or disaster, and has experimented with community housing insurance [17]. The transferable feature is the way residents gain a recognised seat in land and finance negotiations, coupled with duties to include the least powerful households.

Interests and constraints in redevelopment

Land redevelopment produces concentrated gains and widely dispersed losses. An owner can calculate a higher residual land price after upzoning. A contractor can calculate future payments. A politician can point to a cleared road or a new tower. A tenant often cannot attach an invoice to the school support, trusted clients or family care lost through relocation. Formal public consultation tends to hear from people who have titles, documents, lawyers and time. The most exposed workers are often the least present at the meeting.

Actor / rent at stake	Veto or leverage	Feasible bargain and verification
Landowner / higher ground rent, sale value	Title dispute, litigation, political influence	Transparent land valuation, phased lease or purchase, clawback of public uplift.
Structure owner / existing room rents	Blocks access; resists tenant registration	Legal room upgrades, fair return on proven capital, tenant-protection conditions.
Tenant, migrant, home worker / location	Collective action; weak individual legal claim	Verified occupancy register, return option, rent bridge, livelihood restoration.
Developer, lender / sale rights and cash flow	Financing pause, bid withdrawal, renegotiation	Bankable phasing, escrowed rehabilitation costs, pay for verified occupancy.
City, utility / service costs and land tax	Withholds connections; can delay approval	Incremental network plan, fiscal sharing, enforceable service covenant.
Local politician / visible delivery and patronage	Controls lists, notices or mobilisation	Public dashboards, independent grievance process, cross-party oversight.
Women, caste/race minorities / equal access	Frequently excluded from leaders' lists	Joint records where appropriate, separate hearings, bias checks and appeal rights.

Rents and veto points are hypothesised institutional incentives. Actual control, ownership and legal authority must be established for each site.

The political narratives are familiar. Clearance is sold as modernisation, removal of danger, flood prevention or the recovery of public land. Residents describe a right to the city and decades of labour invested in the place. Homeowners nearby invoke crime, congestion or property values. Developers stress that extra floor area is the only way to finance free rehabilitation. City treasuries point to tax potential; utilities point to overloaded sewers. All can contain legitimate facts. Each can also be used to shift costs onto a weaker group.

A reform coalition succeeds when it makes the distributional agreement credible at each stage. First, recognise the affected people and the genuine safety risks. Second, set a publicly funded minimum for those who have the weakest claims. Third, price the developer's rights and the city's infrastructure together. Fourth, pay for verified household outcomes through escrow or retained payments. Fifth, protect an independent dispute channel through construction and after occupancy. Skip the third step and the project may be financially impossible. Skip the first or fourth and many former residents may never enter the finished buildings.

The timing of benefits and costs matters. Project announcements and compensation payments are visible early, while effects on health, livelihoods, and commuting costs emerge over years. Appraisals should therefore assess compensation alongside recurring costs borne by relocated households. Intergovernmental finance can separate benefits from responsibilities: a national ministry may fund construction while the city pays for sewer operations and landowners receive capital gains. Delivery agreements need to specify who pays each bill and who can enforce each commitment.

Track original households wherever they move; rising average neighbourhood income can reflect replacement rather than gains for residents.

Discrimination and rights of return

Housing markets sort people through prices, identity and power. South Africa's long history of racial dispossession placed many workers far from jobs; a relocation that is affordable to build can reproduce that pattern. In a Delhi online rental audit, landlords replied to 35 per cent of upper-caste Hindu inquiries and 22 per cent of Muslim inquiries. The same study found no similarly clear callback penalty for Scheduled Castes or Other Backward Classes [26]. A migrant without older documents may also fail a redevelopment cutoff [4]. In a redevelopment ballot, a formally equal vote can conceal unequal consequences: a property owner may gain an appreciating flat while a renter loses an affordable room. Welfare analysis must separate these positions. It should also test whether women can hold a tenancy, title or cooperative membership independently.

This does not make an existing settlement beyond reform. Overcrowding, unsafe structures, contaminated soil and blocked drains impose severe costs, especially on children. In-situ renewal can sometimes be impossible at present densities or hazards. A government must then demonstrate the physical constraint, the alternatives considered, and how affected households will retain access to livelihoods and services. A claimed safety emergency should face independent technical review. Otherwise risk language can become a convenient route to valuable land.

Digital records and displacement risk

Satellite imagery, lidar and AI can improve a city's knowledge of structures, flood exposure, available public land and labour-market access. An image can help locate an unrecorded building. It cannot identify every family renting a room, decide who has a moral claim, or measure what a home-based business earns. The temptation is to make the easiest variable, the footprint of a roof, stand for the hardest one, the right of a person to remain.

Dharavi's official programme describes lidar-supported structure numbering and document collection [4]. The immediate constraint improved is locating and tracking structures at scale. The decisive welfare gain appears only if the system reduces omitted households, speeds appeals or prevents double allocation. A private survey contractor and the authority gain new power over eligibility data. Errors, biased documents, opaque scoring and exposure of residents' private information are new risks. Digital speed without due process can make exclusion harder to reverse.

Exhibit 18.4. Assessing digital interventions

Application / constraint changed	What to measure; who may gain	Power gained and risk created
Community enumeration: invisible tenants	Share of baseline renters found, independently verified; residents gain standing	Enumerators and local leaders can manipulate lists; protect challenges.
AI image matching: hidden structures	False positives/negatives by settlement type; owners and tax authorities gain coverage	Agency gains enforcement power; image cannot prove occupancy or title.
Job-access map: weak relocation appraisal	Travel time to actual jobs, total fare, lost customers; workers gain better offers	Analyst controls assumed job set; informal/night work may vanish.

Application / constraint changed	What to measure; who may gain	Power gained and risk created
Digital rent register: silent price shocks	Change in rents, renewals, evictions and room supply; tenants gain warning	Landlords and agencies gain household data; surveillance and rent collusion risk.
Eligibility portal: slow, opaque claims	Decision time, appeal overturn rate, exclusion by sex and identity	Authority sets rules; automated denial may lock in old bias.

Each technology should be piloted with a counterfactual and published errors. Distributional effects require household follow-up rather than platform activity counts.

The five questions should be asked in full every time. Which constraint changes? By how much, measured against what baseline? Who captures the gain? Who gets a new right or a new discretionary power? What fresh risk, privacy, exclusion, coercion, rent capture, comes with that power? A “100 per cent geocoded” dashboard says almost nothing about the fate of a household that lost its rented room before the count. The proper denominators begin with all baseline residents, tenants, workers and enterprises, including those who leave.

India’s Supreme Court addressed one part of this asymmetry in its 2024 directions on demolitions: for covered cases it required prior notice, an opportunity to be heard and a digital trail, while identifying exceptions for certain public-place encroachments and court-ordered removals [18]. This is procedural protection, with limits that matter. A digital portal can preserve evidence of a notice; it cannot guarantee that a person with no smartphone, legal help or formal address can defend the case. Accessible offline filing and a stay during genuine disputes remain essential in practice.

Resident protection agreement

Recognise overlapping customary, rental, business and occupancy claims through locally valid procedures and independent review. Fund interim rent, compensation, moving costs and ongoing services as part of the project, with provision for delay.

The redevelopment authority must track claims and delivery; an independent mechanism must enforce remedies before irreversible clearance. Track original-household retention or voluntary relocation, time to return, rent and travel burdens, livelihood recovery and unresolved claims.

A city should begin by replacing the vague phrase “beneficiary household” with a list of people and enforceable claims. The agreement is a pre-investment contract among government, the project company, utility providers, recognised resident bodies and an independent grievance authority. It governs existing occupants during construction, the allocation of finished units and the cost of staying afterwards. It is a proposed operational design, subject to local law and fiscal capacity.

The World Bank’s Environmental and Social Standard 5 distinguishes physical displacement from economic displacement and calls for attention to livelihood losses, including among people without formal legal rights to the land [14]. Its guidance explicitly warns that an informal resident may gain secure tenure after relocation while losing the locational advantage that sustained income [14]. This establishes a floor for bank-financed projects; governments can apply a similar test to other public interventions.

A 180-day implementation sequence

Days 1-30: establish the denominator and the authority. Declare a temporary anti-eviction and anti-retaliation protocol while a full list of households, tenants, subtenants, businesses and vulnerable people is prepared. Create the parcel-structure-occupant link, with community enumerators, third-party checks and offline appeals. Record sex, migration status and disability through consent-based safeguards. Commission independent fire, flood, structural and contamination assessments; publish hazards without revealing personal identities.

Days 31-60: compare real options. Model on-site phasing, nearby rehousing, serviced rental additions and distant resettlement against each other. For a representative sample of households, record door-to-door job travel, fares, earnings, childcare, school and health access, commercial turnover, current rent and service costs. For every site, calculate housing welfare under at least two plausible employment scenarios. Draw up a rent and vacancy baseline in nearby markets.

Days 61-90: finance the full agreement. Have an independent adviser calculate the developer's residual land value and the public value of land, density rights and new infrastructure. Price temporary accommodation, rental bridges, livelihood assistance, affordable commercial space, replacement assets, maintenance and operating funds. Set aside protected financing for these obligations before financial close. Test whether lenders will accept release of some payments only after verified return and occupancy.

Days 91-120: make rights enforceable. Publish eligibility categories and their evidence requirements; grant a dated appeal decision and a stay mechanism for contested removal. Sign a return or relocation offer with each affected household, identifying the floor space, tenure, maximum initial housing cost, services, time frame, remedy for delay and whether a business can reopen. Provide separate representation for tenants, women, migrants and disabled residents, since their interests may diverge from those of title holders.

Days 121-150: contract construction and stewardship. Tender or amend works in phases that minimise forced movement. Require verified service capacity and safety inspections before occupancy. Set a condominium, cooperative or rental management structure and a funded reserve. Put the city, utility, estate manager, residents and developer under one auditable delivery plan, with specific remedies if a promised service fails.

Days 151-180: create the public test. Launch the first phase only after an external verification confirms baseline coverage, compensation funding, agreed design, grievance independence and viable alternatives for those whose original homes are unsafe. Publish quarterly results for all baseline households for at least five years, including renters who left. A completed building without this record is an output whose social result is unknown.

Monitoring resident outcomes

Exhibit 18.5. Indicators for evaluating redevelopment

Outcome measure	Operational definition	Failure signal
1. Baseline coverage	Share of independently estimated residents, renters and enterprises rostered	Structures counted; tenants absent.

Outcome measure	Operational definition	Failure signal
2. Tenure/security	Written enforceable claim and appeal available by claimant type	Approval status depends on a broker.
3. Neighbourhood retention	Share of original households within agreed travel-time catchment at 1, 3, 5 years	Success reported only for eligible owners.
4. Affordability	Housing + service + commute cost as share of disposable income, by decile	Free unit with unaffordable monthly dues.
5. Livelihoods	Real earnings, hours, travel time, lost trading days and business survival	Stable physical shelter, falling incomes.
6. Renter market	Rent distribution, vacancy, lease renewal and new room supply	Sharp rent rise after infrastructure works.
7. Distribution of uplift	Land sale value, rents, tax, developer return and net tenant benefit	Land gains opaque; service costs public.
8. Claims and fairness	Appeal time, reversal rate and outcomes by sex, caste/race where lawful	High rejection and no effective remedy.
9. Stewardship	Water/sanitation uptime, verified structural safety, funded reserves	Occupancy before networks or O&M.;

Suggested management indicators; local baselines, legal safeguards and thresholds must be set before approval. All rates use the full baseline population as a tracked cohort.

The strongest test follows the people the project originally affected, including households that chose a different address, lost eligibility or moved out after rent increases. It compares outcomes with similar, independently sampled communities where possible. A randomised phasing experiment may be feasible for some infrastructure or rent-support instruments; it would be unethical to withhold emergency safety work from a known high-risk site. A credible evaluation can use staggered delivery, matched comparison locations, independent rent surveys and transparent attrition reports. The aim is a plausible counterfactual, not a neat causal claim from weak data.

Improving neighbourhoods while protecting residents

Joe Slovo's order was discharged because the state found a different way to build. In Mukuru, hundreds of title holders and a far larger number of tenants must be represented in any serious land settlement. Dharavi's digital census will shape rights worth vastly different sums depending on an old document, a floor level or the date a room first existed. Lagos shows how rapidly the state can destroy livelihoods when law fails to constrain force. Thailand shows that organised residents can help make the land-and-finance agreement themselves. These are distinct institutions, histories and claims; their shared lesson is about the bargaining position of the incumbent household.

The most damaging housing failures often begin as accounting decisions. A title is counted; a tenant is missing. A developer's sale price is counted; a food seller's customers are missing. A relocation grant is counted; years of commuting are missing. A new water connection is counted; the rent increase it permits is missing. Better data can close these gaps, provided a resident can challenge what the official record says.

A city must create space for newcomers as well as protect people already there. Incumbent rights can be drawn so tightly that no new worker can enter, and redevelopment can be carried out so ruthlessly that the poor who built the neighbourhood are driven away. A durable settlement gives existing residents a fair claim, adds competing housing supply, assigns the costs of services, and lets households choose between

credible ways to improve their lives. It also accepts that some dangerous sites must change, with evidence, compensation and workable alternatives.

What transfers?

Worked because	claims recorded before works; genuine household choice; accessible destinations; enforceable interim and return arrangements
Failed when	ownership treated as the only claim; uncosted livelihood loss; weak return enforcement; averages that exclude displaced households
Do not copy	a tower-redevelopment ratio, eligibility cutoff or foreign relocation model
Transfer instead	preserve or improve residents' feasible access to housing, livelihood and services as land value changes
Scale test	At 100 times pilot size, test the stock of interim homes, claims-resolution capacity, school continuity and the time households wait to return.

Sources and evidence notes

Research checked 17 October 2026. Figures drawn from administrative reports are identified as such; causal estimates come from the cited studies and retain their original populations and settings. Simulations and worked financial examples are labelled illustrative. Sources below are public websites, court judgments, working papers or journal records. Click "Source" to open the underlying material.

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19. Rental markets and municipal policy

Rental demand and ownership-focused policy

Nairobi is overwhelmingly a city of renters. The Kenya National Bureau of Statistics' 2015/16 household survey put the share of rented dwellings in Nairobi at 86.4 per cent. India's 2018 National Sample Survey found that 63.8 per cent of urban households occupied a dwelling they owned, leaving a large minority with some other tenure arrangement. South Africa's 2022 census recorded 23.2 per cent of households renting nationwide and 36.6 per cent in Gauteng, its main urban jobs region [1-3]. Different dates, definitions and geographies limit comparison. The figures establish something simpler: the rental market is a central institution of urban life, and its importance grows around employment centres.

A new worker needs a room before a mortgage. A street vendor may need to move after the market changes. A couple with uncertain wages may choose a short lease rather than commit its savings to a distant flat. A widow may depend on rental income from two rooms at the back of her plot. A housing programme that offers each of these households the same subsidised ownership product will fail some of them even if its contractor delivers on time.

The previous chapter asked whether people can remain when a neighbourhood becomes more valuable. The next question follows directly: How can a city increase the supply of safe, well-located rental homes for people with low and irregular incomes without destroying the incentives that bring those homes to market? The answer requires an agreement among tenants, small landlords, large investors, utilities, lenders, planners and the state. Each actor controls one link. The market functions when they can make credible agreements across these links.

Consider a landlord with a legally occupied plot near a bus route. She could add six rooms in the yard. Prospective tenants would pay monthly. A bank, however, wants titled collateral and a clear repayment stream. The city wants a plan, a drainage connection and a development charge. The landlord wants the option to recover a room when rent goes unpaid. Tenants want protection against a sudden rent increase or eviction after they have paid for improvements. The electricity distributor wants a safe meter. No single actor can settle the whole agreement. If the transaction cannot be completed, households still rent: in overcrowded houses, unsafe backyard structures, or distant districts where the commute consumes their wages.

This chapter treats rental housing as a system of contracts backed by land and services. It links the household's weekly cash flow to the developer's financing terms and the city's legal and fiscal choices. The central political fact is that renters, owners and the public do not receive the same returns when supply expands or a neighbourhood improves.

Rent, services, and household costs

Rent bundles at least four goods. The first is shelter: floor space, roof, ventilation, water and safety. The second is location: access to work, school, care, customers and transport. The third is flexibility: the right to leave without selling a large asset. The fourth is protection against risk, including eviction, service failure, violence and unpredictable charges. A low rent can conceal a large cost in travel time, illness, danger or insecurity. Equally, a modest room near work may yield better household welfare than a spacious subsidised flat far away.

A useful starting measure is the residual income after housing and access, not an isolated rent-to-income ratio. Suppose a worker earns KES 24,000 a month. A room at KES 6,000 beside a reliable route leaves KES 18,000 before utilities and other essentials. A room at KES 4,000 that adds KES 3,000 in fares and

two hours of unpaid travel a day can be economically dearer. These figures are an illustration; household surveys must measure the actual trip pattern, including the value of time, uncertain earnings and the cost of childcare. A fixed 30 per cent affordability rule is a screening device. It is a weak substitute for estimating whether a household can pay for food, transport, education and emergencies after its rent.

Landlords face an equally concrete calculation. Contract rent becomes cash only if a unit is occupied and payments arrive. Gross receipts must cover cleaning, security, repairs, water shared in common areas, waste, insurance, property charges, arrears and periodic roof or pipe replacement. Debt is paid from the remainder. A lender evaluates the worst months, whereas a tenant remembers the most expensive month. Policies that ignore either side of this timing problem frequently achieve one of two outcomes: units remain unbuilt, or they are built at rents poor households cannot pay.

There are at least four rental submarkets in an African or Indian city. A room in an informal settlement may rest on disputed land and be let by a structure owner who has no title. A backyard room may sit behind a formal homeowner's house. A small walk-up block may have permits and utility connections but depend on an individual investor's savings. A social rental estate may use public land, capital grants, regulated rents and professional management. Each has different costs, tenants, collateral, political power and enforcement risks. One law and one credit product cannot serve all four equally well.

Exhibit 19.1. Rental market segments

Segment	Real constraint	Who may take the gain	Main tenant risk
Informal settlement rooms	Disputed land; unmetered utilities; weak proof of tenancy	Structure owners; intermediaries; informal water sellers	Eviction; high utility mark-ups; fire and flood
Backyard rooms	Serviced plot; plans; staged building credit	Existing homeowner; land seller; contractors	Crowding; unequal bargaining; overburdened services
Small formal walk-ups	Land, approvals, long-term debt and lease-up	Micro-developer; bank; landowner	Higher asking rents; screening and deposit costs
Regulated social rentals	Public land/subsidy; professional management; collections	Tenant where subsidy is enforced; otherwise suppliers	Allocation bias; poor upkeep; insolvency

The city's first information failure is therefore misclassification. A property map can reveal a roof and sometimes its floor area. It does not reveal the number of paying households, the chain of subletting, the rent, the arrears history, the condition of a toilet, or whether a tenant can leave safely. These are facts that households and landlords may have reasons to conceal. A programme that equates registered ownership with housing need will direct benefits to the wrong counterparty.

Small landlords as housing producers

South Africa's backyard rental sector makes the production chain unusually visible. A homeowner trades some yard space, privacy and construction savings for monthly income. Jan Brueckner, Claus Rabe and Harris Selod used a model and satellite-derived counts of backyard structures to test this choice; they found results consistent with more backyarding where jobs were easier to reach [4]. Their finding is evidence about the association predicted by a model, rather than proof that any given planning relaxation will create a specified number of safe rooms. It does identify the scarce good many tenants pay for: proximity to work.

Field research by Scheba and Turok finds a sector that can improve physical buildings as informal landlords reinvest rental proceeds. It also documents persistent safety, infrastructure and legal risks [5]. Research in eight Cape Town neighbourhoods finds that family ties, safety and relations between homeowners and tenants affect the market alongside rental yields [6]. A landlord may accept a relative

who pays late; another may select tenants perceived as less likely to challenge authority. The financial model must therefore include trust and informal enforcement without assuming that these arrangements are fair.

Public policy can make entry easier. Cape Town approved a R20 million Development Charges Fund in March 2024 for qualifying micro-developers in 194 targeted lower-income areas. Its stated design covered 50-90 per cent of applicable development charges for developments of three to 30 units, subject to readiness conditions [7]. In August 2025 the city gazetted planning amendments, with the new affordable-rental-flat provisions taking effect in September. In designated areas, the 2025 framework enabled up to eight small rental units alongside a house, or twelve where there was no main house, subject to conditions [8]. These are verified policy inputs. The net addition of occupied, affordable, code-compliant units must be measured separately.

The mechanism is straightforward. A predictable right to add rooms reduces the chance that an investor will lose money while awaiting a discretionary permit. Relief from a development charge cuts the cash needed before rent begins. Technical support can lower the cost of meeting fire, structural and service rules. Together, they may shift investment from one informal room at a time to a safer, planned building. Yet several claims compete for the saving. The homeowner may keep a higher return; the seller of a well-located plot may raise its asking price; contractors may charge more; or tenants may see lower rents if other landlords can also build. The distribution depends on supply response and market power, not on the programme's intention.

A 2025 study of Cape Town's emerging micro-developer alliance describes a coalition of small property entrepreneurs, civic groups, officials and other specialists that opened channels into municipal decision-making [9]. This is politically important. Large developers already know how to present projects and lobby for exemptions. Small builders often appear to the state only when inspectors find a violation. Organised micro-developers can make a credible case for clear rules, affordable finance and safe infrastructure. Tenant organisations must have an equal place at the table or the reform will mainly improve the property owner's bargaining position.

The credit constraint remains severe. Interviews with South African small-scale developers reported by Viruly and co-authors, and further work published in 2026, identify lending products poorly matched to how these builders acquire land, construct in phases and collect rents [10]. A conventional mortgage finances a finished asset against a salary or title. A small landlord needs staged construction money before the completed rooms generate cash. The lender must understand permits, cost overruns, lease-up, payment histories and a possible title dispute. Short unsecured loans force high monthly debt payments; expensive equity pushes up the rent needed for a project to proceed. A guarantee cannot cure a fundamentally weak project or missing utility capacity. It can help a sound project cross a collateral or tenor barrier if the lender shares losses and has reason to monitor it.

Financial model of a twenty-room building

Take a hypothetical twenty-room building on a small urban plot. The owner already holds the land. The proposal costs KES 16 million in construction, service connections, design, compliance, contingencies and initial letting expenses. The land could be used for another purpose and has an assumed economic value of KES 4 million. Thus, the full economic investment is KES 20 million even though the new cash outlay is KES 16 million. None of these amounts is a market estimate for Nairobi. They are deliberately transparent assumptions for testing a deal.

The owner secures a hypothetical KES 6.4 million construction-to-term loan, equal to 40 per cent of the new cash cost. Suppose that unusually patient lender agrees to a fixed 12 per cent nominal annual rate and fifteen years of level monthly payments. Monthly debt service is about KES 76,811. Assume 92 per cent physical occupancy and an operating-and-renewal provision of 25 per cent of rent actually collected. At KES 6,000 per occupied room, annual rent collections are KES 1.3248 million; monthly net operating

income after costs is KES 82,800. Debt-service coverage is only 1.08. A bank asking for 1.25 coverage would reject the project at this rent even before testing the landowner's return.

Exhibit 19.2. Illustrative cash flow for a twenty-room building. Assumptions, not a Nairobi market survey.

Monthly rent	Occupancy / costs	Monthly NOI	Loan payment	DSCR
KES 6,000	92% / 25%	KES 82,800	KES 76,811	1.08
KES 7,500	92% / 25%	KES 103,500	KES 76,811	1.35
KES 8,500	92% / 25%	KES 117,300	KES 76,811	1.53
KES 7,500	80% / 30%	KES 84,000	KES 76,811	1.09
KES 6,000 + KES 3m capital grant	92% / 25%	KES 82,800	KES 40,806	2.03

NOI = collected rent after operating and renewal provision; DSCR = NOI / debt service. Base loan: KES 6.4m at 12% nominal with 180 equal monthly payments. Grant case replaces KES 3m of debt. All values rounded.

The owner has KES 9.6 million of cash equity in the build plus KES 4 million of land at risk. At a rent of KES 7,500, net cash after debt service is about KES 320,000 per year, before income taxes and any major surprise. That is roughly 2.4 per cent of the KES 13.6 million owner contribution on a simple annual cash basis. Debt principal repayment adds equity over time, and land values can change; these benefits remain outside the cash-yield measure. The calculation explains why credit availability alone may yield little low-rent supply.

The threshold matters. With the assumptions above, rent must reach roughly KES 6,958 for debt-service coverage of 1.25. That is 29 per cent of the illustrative KES 24,000 income, before utilities. If occupancy drops to 80 per cent and operating costs rise to 30 per cent of collections, a rent of KES 7,500 produces coverage of about 1.09. A six-month construction delay on the original KES 6.4 million loan adds roughly KES 384,000 in simple interest at 12 per cent, before capitalised fees and inflation. Delays that officials treat as administrative create real pressure for higher rents or poorer materials.

Now suppose the public sector contributes KES 3 million as a one-time, verified capital grant and requires it to replace debt rather than private equity. Loan principal falls to KES 3.4 million and monthly debt service to about KES 40,806. At KES 6,000 rent, coverage rises to 2.03. Yet the grant may simply lift the owner's return if rents are left unregulated. The public investment works only if the project is genuinely additional, rents are capped for a stated period, maintenance is funded, selection is fair and repayment or clawback follows breach. Over ten years, KES 3 million spread mechanically across twenty rooms amounts to KES 1,250 per potential room-month before discounting, vacancy or displacement. That accounting figure is a way to compare instruments, not proof of impact.

Compare a tenant-side payment of KES 1,500 a month for twenty eligible households over ten years. Its undiscounted cost is KES 3.6 million; discounted at an illustrative 5 per cent annually with payments at year-end, the present value is about KES 2.78 million. A capital grant and a rental voucher have different uses. A supply grant might create stock where a building otherwise fails to clear the financing threshold. A voucher can help families choose from existing safe units where vacancies and landlord participation permit. The public buyer should fund the constraint it can identify, and test whether the benefit reaches tenants rather than being absorbed in land prices or higher rents.

This example also reveals the materials question. Cheaper blocks or prefabricated walls change one component of KES 16 million. Savings help most when land, permits and infrastructure remain available and competing builders can enter. A digital design tool that cuts errors by a measurable percentage may improve the cash flow; it cannot repair an absent sewer, confer title or guarantee that the landlord offers

an affordable lease. Chapter 20 will address these financing and risk-sharing choices across ownership and rental housing.

Rental housing for migrants in India

The pandemic exposed the weak protection available to migrant workers living in Indian cities. The government responded in 2020 with Affordable Rental Housing Complexes (ARHCs). One model sought to convert existing government-funded vacant homes through public agencies or partnerships. A second supported construction and operation on public or private land. The official scheme envisaged one-bedroom units and dormitory beds, with rental use preserved for at least twenty-five years [11]. The stated beneficiaries included industrial workers, street vendors and other low-income urban migrants.

The conversion model offered a logical agreement: government-owned units already stood vacant, and workers needed somewhere to live. But a vacant flat has little value to a worker who cannot afford the journey to a job, cannot assemble the deposit or would be separated from co-workers. The costs of retrofitting, operating shared areas, screening residents and managing turnover still have to be paid. An agency may prefer to leave a unit idle rather than accept operating losses or political complaints about its allocation.

A written parliamentary reply reported in December 2024 indicated that 5,648 units from the stock of 83,534 identified vacant government-funded houses had been allotted to migrant workers - about 6.8 per cent of the identified stock. This is a dated administrative snapshot, not an occupancy estimate for all ARHC models or for 2026. The same reporting distinguished new-build sanctions and completions from converted and allotted stock [12]. The large gap between identification and allocation points to a series of gates: legal control, conversion cost, tenders, usable services, local demand and the authority to allocate and manage tenancies. Counting identified stock as housing supply would obscure all of them.

PMAY-Urban 2.0, approved in 2024, retained an Affordable Rental Housing vertical alongside beneficiary-led construction, partnership housing and interest subsidies. The current official design recognises urban migrants, women workers and the need for civic and social infrastructure [13]. That is a valuable change in policy language. Its results will depend on whether states and cities can identify employment-linked sites, package viable management contracts, keep rents affordable and measure actual occupied room-months. A lease for a dormitory bed entails different privacy, safety and gender needs from a family home. A design that optimises the number of beds can still fail for women working late shifts if transport and security are missing.

The legal market presents another problem. India's 2021 Model Tenancy Act proposes written agreements, security-deposit limits, specified obligations and dedicated rent authorities and courts [14]. It is a model circulated for state adoption, without automatic force across India. Government statements in December 2023 reported that four states had revised tenancy laws along its lines; adoption and operational performance must be checked state by state [15]. Even where registration is mandatory, a contract that requires a landlord and tenant to navigate an expensive process may push low-value tenancies further off the record. A useful implementation test is how much time and money a woman renting one room spends to obtain, enforce or terminate a lawful agreement.

Mumbai shows the danger of a different legal agreement. Tandel and co-authors describe how stringent historical rent controls protected incumbent tenants while reducing incentives to maintain buildings and invest in new formal rental supply. Informal key-money transactions and other workarounds emerged [16]. The study is a detailed institutional and historical analysis, not a causal estimate of the size of the supply loss. It nonetheless identifies a credible mechanism: when rents cannot cover renewal costs and contracts are hard to adjust, owners try to avoid the regulated activity. Removing protection overnight would shift the cost onto incumbents who have built their lives around an old contract. A feasible reform needs a transition that protects vulnerable existing renters, finances building repairs, and gives new rental investments clear rules.

Two rental housing systems in South Africa

South Africa combines a large informal backyard market with a regulated social rental sector. Each fills a gap left by conventional ownership programmes. Their finance differs sharply. The backyard owner may use savings and small loans to erect rooms on land already held by the family. A social housing institution assembles land, a capital subsidy, equity and debt, then manages tenants and common areas for years. The second route can provide professional maintenance and access to central locations; it requires an organisation able to collect rent, address grievances, service debt and renew assets.

The Social Housing Regulatory Authority describes a capital-grant instrument intended to make regulated rents viable in well-located areas. Its published investment information gives an indicative development cost of R426,000 per unit and a grant quantum of R328,867, with the balance financed through debt and equity; these are programme benchmarks, not verified costs for every project [17]. This large public share makes the conditions of allocation, rent setting and long-term upkeep decisive. Cheap public land adds a further subsidy that financial reports should value separately.

The delivery pipeline makes the institutional challenge plain. South Africa's Department of Human Settlements reported 1,364 social rental units delivered in FY2024/25 against a target of 2,699, or 51 per cent. It cited approval and contracting delays, difficulty securing debt, bulk-service availability and construction-cost pressures. Institutions also tenanted 2,661 units against a distinct annual tenanting target; those tenancies can include units completed in earlier periods [18]. Targets, completions and letting therefore describe different processes. They cannot be combined into a single conversion rate.

This is an important contrast with the backyard market. A well-managed regulated estate can give tenants predictable repairs and an independent institution to hear complaints. It can also fail if collection systems, security costs or the maintenance reserve weaken. An informal landlord may build quickly and know every tenant; that same personal control can turn into harassment, discriminatory selection or unsafe repairs. A city needs multiple tenure options and different oversight instruments. It should evaluate each by a common set of outcomes: occupied safe homes, rent-to-residual-income, location, tenure security, service uptime and the public cost per year of occupancy.

The 2025 national policy statements acknowledged rent boycotts, criminal interference with construction and the need to stabilise distressed rental institutions [19]. These are political and enforcement costs, not engineering errors. A capital grant cannot protect a lender if a building cannot collect revenue. A court order cannot restore legitimacy if tenants have suffered years of water failures. A landlord who receives public support should therefore accept transparent billing, independent complaints, audited reserves and a tenant voice in service decisions. The public agency must in return provide predictable utility service and dispute enforcement.

Tenant rights and municipal responsibilities

The ordinary tenancy agreement leaves out the municipal service provider. This missing party creates a familiar conflict. A city requires the landowner to pay for bulk water and sewer connections. A landlord passes part of the charge through rent or a separate utility bill. Tenants may pay an informal reseller above the utility tariff and still receive poor service. When a toilet backs up, the resident blames the landlord; the landlord blames the utility; the utility says the drain is private. Each actor may have a technically defensible account of why it has failed to act.

For small rental blocks the answer is a service agreement joined to the lease. The owner should demonstrate lawful control of the land, structural and fire safety, capacity for water and sanitation, metering arrangements, maintenance responsibility and a route for complaints. The municipality should disclose the network's spare capacity, connection time and charge before a builder commits money. Tenant notices should state the rent, deposits, separate utility charges, annual adjustment rule, service standards and a dispute route in a language the resident understands. Digital payment records may

strengthen proof of tenancy and income. A paper receipt and an offline appeal must remain legally effective for tenants without a bank account or smartphone.

The fixed costs of compliance are a real issue. A building permit that costs the same administrative effort for six rooms as for six hundred will deter the small investor. Proportionate, risk-based standards can protect residents while allowing standardised plans, staged inspections and shared technical assistance. Structural calculations, fire egress and sanitation capacity still require professional judgment; a planning amnesty alone cannot make an unsafe building sound. Municipalities can pay part of the cost of network upgrades where the public benefits from density. They must then decide how to share those costs among old and new households so established owners do not subsidise newcomers indefinitely and newcomers are not priced out before moving in.

Supply policy creates a further distribution problem. A city can allow more rooms near transit, improve drainage and reduce development charges. Existing landowners are well placed to capture the first rise in land value. A tenant's wage does not rise when a plot's value does. To preserve a public return, cities can attach time-bound rent conditions to targeted grants, require independent verification of new units, fund portable assistance for tenants in severe need and invest in neighbourhood services with clear operating budgets. Blanket rent ceilings imposed on an expanding private market are a different instrument, with consequences for the incentive to supply and maintain space.

Rent regulation and rental supply

Rental politics has a time problem. The person living in a room today knows exactly what a rent increase will cost. The worker who might have moved into an unbuilt room five years from now has no address, neighbourhood organisation or vote attached to that unit. Homeowner groups and protected tenants are often well organised; new migrants are rarely present when planning hearings begin. Elected leaders therefore have a strong incentive to protect existing rents and a weak incentive to count the potential homes lost when new supply becomes unprofitable.

San Francisco supplies a clean warning about second-round effects. Diamond, McQuade and Qian studied the extension of rent control using quasi-experimental variation. They found that it increased covered tenants' likelihood of staying at their address by nearly 20 per cent, while affected landlords reduced rental housing supply by about 15 per cent through conversion and redevelopment. Their model estimates a 5.1 per cent citywide increase in rents as supply contracted [20]. The treatment, legal setting and housing stock were specific to San Francisco in the 1990s and later years; these percentages cannot be transported to Nairobi or Mumbai. The lesson concerns the structure of incentives: an enforceable right to stay helps an incumbent household, while the owner's options determine what happens to the next household.

The policy choices are more varied than an unrestricted market and a permanent nominal rent freeze. They include predictable rent adjustments linked to verifiable inflation and maintenance, limits on arbitrary eviction, time to cure arrears, temporary shock assistance, deposit guarantees, protections against discrimination, and an explicit transition for tenants under historic controls. Every rule needs an answer to two questions: Who enforces it for a low-value room? And what will a landlord build after the rule takes effect? An anti-eviction statute that depends on expensive litigation protects the tenant who can afford a lawyer. It offers less to a domestic worker facing a lock change tonight.

Selection power can be more exclusionary than price. Datta and Pathania ran an online audit experiment of the Delhi rental market. Identical inquiries with upper-caste Hindu names received landlord responses about 35 per cent of the time; those with Muslim names received responses about 22 per cent of the time [21]. The 13-percentage-point gap was produced by differential signals of identity rather than differences in the advertised ability to pay. The result measures this audit setting, and the authors note limits in matching all replies to listings. Still, it demonstrates that a subsidy can fail before a price is negotiated if landlords deny access to the intended group. Caste, religion, race, gender, marital status and migration status can all shape the informal rules of access, although their relative effects require local evidence.

Making discrimination complaints enforceable needs a low-cost testing and remedy system, independent of landlords and property agents. A rental-matching platform that simply reproduces owners' preferences can deepen segregation. An eligibility algorithm trained on past lettings will label groups excluded in the past as risky, even when they have identical payment histories. Any public marketplace needs a documented policy on protected attributes, a way to audit rejection rates, a human review channel and real penalties for repeated exclusion. Privacy matters too: a complete electronic record of where informal migrants live is a valuable administrative asset and a possible instrument of harassment.

Interests in rental reform

A rental policy succeeds when it builds a coalition that can survive the first rent dispute, budget cut and building failure. In Cape Town, small builders sought legal routes to add rooms, civic groups supplied technical and social knowledge, and officials saw a way to expand housing through private capital [7-10]. Homeowners gained a possible income stream. Contractors gained work. The city could gain rates and metered utility revenue over time. Renters could gain supply and quality if competition and oversight worked. This is a plausible reform coalition, documented as a policy process; the final effects on rents, safety and displacement remain an evaluation question.

Other coalitions are less benign. An owner of a serviced plot may lobby for higher allowable density while opposing minimum tenant protections. A large developer may support simplified permits for schemes above a threshold that excludes small builders. A landlord association may fight transparent deposit rules. Protected tenants may resist any revision of a rent freeze even if a building is deteriorating. A municipal utility may oppose new connections because its operating budget will bear the load while the national housing department receives credit for added units. Intermediaries who control informal plots, access to water or the allocation of rooms can sabotage formalisation that threatens their income. Construction extortion and political patronage raise the cost of even a good design.

These interests should be made explicit before reform is announced. A city may discover that enforcement staff earn informal payments from a discretionary permitting process, that councillors place households in a rental programme, or that local owners earn high returns from overcrowding. In such settings, a clean digital portal can remove one toll booth while creating another at inspection, utility connection or occupancy certification. Reform requires a political sponsor willing to confront specific veto holders and a credible answer for affected households.

Exhibit 19.3. Interests and constraints in rental reform

Actor	Benefit / rent at stake	Power to obstruct	Credible reform exchange
Existing landowners	Plot uplift; extra rental income	Refuse sites; litigate	Predictable rights, conditional on safety and leases
Small builders & lenders	Rent yield; fees; collateral	Withhold projects and loans	Staged loans with audited approvals and cash flow
Incumbent tenants	Stable rent; proximity to work	Protest; legal action	Cure periods, repair rights, lawful adjustment rules
Migrant & excluded renters	Access; flexible tenure	Weak electoral voice	Portable aid, no-discrimination testing, grievance desk
Utilities & municipal finance	Connection income; rates	Deny capacity, delay connections	Pre-funded upgrades, transparent tariffs and revenue sharing
Brokers & local patrons	Informal gatekeeping payments	Block permits, allocations, inspections	Publish awards and complaints; independent oversight

The feasible sequence starts where gains can be demonstrated and risks can be contained. Legalise a narrow class of safe small rental units on adequately serviced plots; publish the standards and fees; make one-stop technical assistance available; offer finance only to applicants with verified plans and utility capacity; require simple leases and tenant notice; and monitor both rents and displacement in nearby streets. Organised tenants and women workers should see the data before new powers are given to landlords or enforcement officers. An area with disputed ownership, frequent forced eviction or no drainage calls for tenure mediation and infrastructure first. A pilot that cannot keep its pipes working will weaken the political case for the next phase.

Measure access to jobs and schools for new tenants, including those excluded from owner-focused programmes.

Choosing the recipient of rental subsidies

The subsidy debate becomes clearer when the government specifies the constraint. A family may need help with a deposit and the first three months' rent while changing jobs. Another faces a permanent gap between disability benefits and the cost of a safe room. A small developer may have enough tenants at an affordable rent yet lack a fifteen-year loan or water connection. An estate in a central location may need a land concession and operating support because commercial returns will never cover the target rent. These are different problems with different instruments.

A deposit guarantee can reduce the cash required to enter a home, with recoveries and dispute adjudication handled by an independent fund. Its value depends on the landlord accepting it and on the tenant's ability to meet ongoing rent. Short-term emergency assistance can interrupt a spell of arrears after illness or job loss. A longer-lived rent supplement can stabilise very poor households while preserving choice among safe landlords. A targeted capital grant can make additional units viable, provided the state buys measurable affordability and keeps that condition on the property. A public-land lease can provide even more value, but requires published valuation, transparent award and a credible plan for renewal at the end of the lease.

The strongest causal evidence for long-term rental assistance comes from outside Africa and India. The US Family Options Study randomly assigned 2,282 families in shelters to priority access to different interventions. Long-term rent subsidies improved housing stability and other dimensions of wellbeing relative to usual care over thirty-seven months, at approximately 9 per cent higher cost within the study's measured package of services [22]. Chilean quasi-experimental research finds that rental vouchers improved housing conditions and mobility before the pandemic; receipt during the shock helped families limit debt and maintain stability, while evidence of moves to substantially better neighbourhoods was weaker [23]. These findings establish plausible benefits for households facing large affordability shocks. Local rent levels, supply, informal tenancy law and fiscal capacity will determine whether a version works in an African or Indian city.

The public sector also needs to know how much of each subsidy reaches the tenant. Where new units cannot be added, landlords may capture some voucher value through higher asking rents or tighter selection. Where safe vacant housing exists, assistance can raise occupancy with little new construction. Where construction is responsive, predictable subsidies may draw in new supply. An evaluation should therefore compare recipient and non-recipient rents, vacancy, construction permits, occupied units, tenant mobility and rent burden in matched places. Programme agencies often report the number of vouchers issued; an unused voucher buys no housing.

Information systems for rental policy

Digital systems can reduce real costs in rental markets. A geospatial inventory can locate roofs, plot boundaries, flood exposure, transport and nearby utility networks. Building-permit records can identify where small additions are allowed. A tenant-friendly lease register can supply evidence of rent and deposits. Payment histories can help responsible landlords demonstrate cash flow to lenders, potentially lowering credit risk. An inspector's mobile record can link defects to accountable owners and completion certificates. These changes are useful when they lower a measurable delay, improve verification or shift bargaining power toward the household that previously lacked proof.

The strongest recent evidence on information comes from Chile. In a randomised evaluation of 11,149 unused rental-voucher recipients, basic information about the subsidy and lease-up steps, plus reminders, increased take-up by 6.4 percentage points in the short run, roughly 35 per cent relative to the comparison level. Early reporting found effects still present after twenty-four months; richer neighbourhood information had more complex effects because finding a willing landlord remained difficult [24]. A March 2026 Inter-American Development Bank analysis examines the heterogeneity and fiscal welfare implications of this experiment and reports improved use without higher observed rents in that setting [25]. The main lesson for a digital team is precise: reduce a known friction, observe the next bottleneck, and avoid assuming that more information creates more available homes.

Every proposed AI system should face five questions. Which constraint changes: measurement of vacancy, tenant search, permitting, landlord credit or repairs? What is the verified magnitude: days saved, percentage-point increase in lease-up, lower default, extra safe units? Who captures the gain: tenant, owner, agent, lender or city? Who gains new power: an automated eligibility officer, a landlord using screening scores, or a utility able to disconnect remotely? What new risks arise: erroneous eviction lists, exclusion of unregistered migrants, data breaches, opaque credit rejection, surveillance, or sudden property-tax claims that are passed to tenants? A predictive model can find a building; it cannot establish who should have the right to live there.

A city should publish rental-market data in aggregate, with safeguards for small areas and vulnerable groups, and permit independent replication of core estimates. An identifiable tenancy registry deserves strict limits on access and retention. Informal households must be able to contest a record without exposing themselves to enforcement retaliation. The best early digital investment may be a simple case-tracking and payment-receipt system, accompanied by a staffed desk and a clear remedy. Where ground truth is weak, sophisticated estimates create confidence faster than accuracy.

Chile’s information intervention and Delhi’s rental audit identify different points where an eligible household can fail to secure a lease. The populations and methods differ, but both require the agency to follow the whole leasing process. A successful message or subsidy award must be followed by landlord acceptance, an affordable contract and continued residence. [24,25,120]

Municipal rental reform and evaluation

Adapt assistance to informal leases, shared housing, migrant status and the records landlords actually use. Fund targeted support and inspection over time; do not use a short pilot grant to imply permanent affordability.

The municipality must coordinate rental standards, landlord assistance and tenant remedies with housing-benefit administration. Track lease-up and renewal, new safe rooms, total rent and fees, discriminatory refusals, repairs and access to opportunity.

A city could test these ideas through a defined eighteen-month experiment covering, for example, three well-serviced employment-linked neighbourhoods and three comparable areas. In the first ninety days, a team of planners, utilities, tenant groups, local builders and independent researchers would map existing rooms and rents, verify service capacity and identify land-tenure conflicts. The team would record the

distribution of migrant status, household type and disabilities using consent-based interviews rather than inferring personal attributes from satellite images. The baseline must distinguish a new room from a replacement, and an occupied room from a permitted one.

For eligible plots, the city would then offer a published package: pre-approved plans for several safe typologies, a fixed permit deadline, proportionate infrastructure charges, staged inspections, legally clear leases and a rapid complaints channel. A financing partner would offer construction-to-term loans linked to verified milestones, with any public first-loss exposure capped and audited. Separate assistance would be offered to very poor tenants for deposits or rent, with landlords paid against verified tenancy and service standards. A local tenant body would monitor arbitrary eviction and the effect of improvements on rents. The municipality would report each quarter how many old tenants stayed, how many newcomers found rooms and which defects were repaired.

The independent evaluator would ask three groups of questions. First, did the package produce additional safe occupied room-months relative to the comparison areas, net of replacement and displacement? Second, did the monthly cost of rent, utilities and access fall for households in the bottom part of the income distribution? Third, what was the fiscal cost per safe and well-located occupied room-year, including land, grants, administration, utility capacity and expected maintenance? It should also record landlord returns, loan default, female tenants' safety, discrimination complaints and the time required to resolve disputes. The city could expand the intervention whose benefits persist after these costs are counted.

Exhibit 19.4. Rental investment assessment

Gate	Minimum evidence	Red flag that stops the deal
1 Land and services	Control and tenure checked; capacity letter from water, sanitation and power; flood and fire review	Unresolved eviction claims; no service or flood plan
2 Build and finance	Costed safe typology; stress-tested monthly cash flow; repayment and major repairs accounted for	Project survives only through unrealistic occupancy or unpaid maintenance
3 Tenants and rights	Baseline of actual tenants; published rent/deposit/notice terms; accessible complaint remedy	No protection for incumbent renters or excluded groups
4 Public return	Counterfactual occupied room-years; subsidy value and clawback; independent evaluation	Public spending buys only permits, loans or registries

The hardest diagnostic question is addressed to the city treasurer as much as the housing director: What precisely is the public buying - a permission, a loan guarantee, a cheaper connection, a month of rent, or a durable right to a safe home near work - and how will the city prove it has been delivered? An answer expressed only in sanctioned projects, committed loans or digital registrations is incomplete.

Institutions for rental housing

A good rental market gives the urban poor choices they can actually exercise. It helps a newcomer enter the city quickly, allows a worker to follow a job, lets older owners earn income from a plot, and lets a city add residents without acquiring every parcel. A good contract also restrains power. It protects a tenant's belongings and deposit, makes fire exits and drainage real obligations, and gives the owner confidence that rent and lawful possession can be enforced.

In Nairobi and Cape Town, the scale of renting reflects the city's labour market and the price of access to jobs. In Mumbai and Delhi, rent law and social exclusion shape the stock available and who may enter it. In South Africa's social sector, capital grants create a possibility of well-located homes, while debt, maintenance and collection determine how many can be delivered and kept open. In Chile, better

information made an existing subsidy usable for more households; willing landlords and available rooms remained binding constraints. These cases point to a single programme of work: make small rental supply lawful and safe, finance its long life, protect tenants, connect the buildings to services, and measure the households who gain access.

Ownership will remain a sound choice for many families and an important source of security and wealth. Rental housing will remain the first and sometimes best tenure for large numbers of low-income urban residents. A city that treats renting as a temporary defect will keep funding ownership projects while workers continue to crowd into rooms the state barely sees. A city that treats the rental agreement as a durable part of its economic infrastructure can build a broader coalition: tenant associations, small landlords, local builders, utilities, lenders, employers and municipal finance officials who each gain from a safer, more productive city.

Evaluate rental policy through safe, occupied, well-located housing available to low-income households. Include public land and service costs, measure benefits retained by tenants, and test whether landlords and lenders can finance continued supply and maintenance.

What transfers?

Worked because	an existing usable benefit; clear leasing steps; available rental stock; landlords willing to contract
Failed when	upfront payment barriers; discriminatory refusals; uncertain tenancy enforcement; supply unable to respond
Do not copy	a message campaign, foreign rent rule or standard loan product for every landlord
Transfer instead	remove the binding rental-entry friction while preserving tenant rights and viable maintenance
Scale test	At citywide scale, monitor rent responses, landlord withdrawal, counselling capacity and displaced unsubsidised tenants.

Sources and evidence notes

Reference numbers in the text point to documents below. Research, official administrative figures, institutional analysis and illustrative calculations are distinguished in the chapter. Titles are clickable to reach public source material; datasets may be revised.

01 [source] 02 [source] 03 [source] 04 [source] 05 [source] 06 [source] 07 [source] 08 [source] 09 [source] 10 [source] 11 [source] 12 [source] 13 [source] 14 [source] 15 [source] 16 [source] 17 [source] 18 [source] 19 [source] 20 [source] 21 [source] 22 [source] 23 [source] 24 [source] 25 [source]

Scope and evidence note. Statements about the effects of a specific law or project are qualified by the available evaluation design. National statistical shares are not directly comparable across countries. All Kenya-shilling financial examples are hypothetical, with no assumed conversion to 2026 purchasing power or actual lender terms. The proposed municipal diagnostic is a policy design, not a completed evaluation.

[120] Datta, S. and Pathania, V. (2016). For whom does the phone (not) ring? Discrimination in the rental housing market in Delhi, India. UNU-WIDER Working Paper 55/2016. Correspondence audit; response rates, not completed leases. [source]

20. Credit assessment and household risk

Mortgage lending and household risk

A mortgage is a promise made over twenty years by a household whose income may change next Tuesday. The bank must decide whether that promise can survive illness, a failed business, a job move, a flood and a rise in interest rates. The borrower must decide whether the home will remain worth its monthly payment when transport fares rise or the pipes fail. The city must deliver a street, a drainage outlet, a school place and a legally usable plot. The investor who lends to the bank must be willing to wait. Affordable housing finance consists of making these promises credible to one another.

Kenya's Central Bank counted 30,762 outstanding residential mortgage loans at the end of 2025. Their average size was about KES 10 million. The average interest rate was 13.5 per cent, and 75.6 per cent of loans carried variable rates. The ratio of non-performing mortgage balances to gross mortgage loans was 16.3 per cent. The stock of loans had risen by just 746 during the year. These figures describe a relatively small, costly and stressed formal market, with substantial exposure to interest-rate changes. A typical low-income household seeking a room or a small starter home occupies a very different market. [1]

India presents the opposite scale. Its National Housing Bank reported INR 35.61 lakh crore in outstanding individual housing loans in March 2025. Within its detailed slab-wise portfolio excluding pooled purchases, loans of INR 10 lakh or less accounted for 29.28 per cent of accounts and only 5.73 per cent of outstanding value. The distribution reflects loan size, rather than a direct measure of borrower income. Yet it exposes the structure of a large mortgage system: the smallest borrowers represent many contracts and little of the money. [2]

These facts pose this chapter's question: How can a country finance safe, well-located housing for people with uncertain income without placing risks on households, lenders or the public budget that they cannot bear? Lower interest rates help some borrowers. They cannot repair a disputed title, make an overpriced site affordable, create jobs at a distant housing estate or give a mason a ten-year record of salaried income.

This chapter examines the allocation of credit risk among households, lenders, developers, public agencies, and long-term investors. A useful reform changes the cost or allocation of a specific risk and establishes who receives the saving and who bears losses.

Five contracts in housing finance

The mortgage is often described as a contract between a bank and a buyer. In practice it depends on five linked bargains.

The household agreement converts daily or seasonal earnings into an obligation payable on a fixed date. A salaried worker with payslips is easy to score. A tailor, taxi driver, domestic worker, market trader or construction mason may have comparable average earnings but greater volatility, higher verification costs and longer spells without cash. The lender responds by demanding a deposit, a guarantor, a higher rate or proof that excludes an otherwise creditworthy borrower. Women whose work and assets sit in another family member's name face an extra barrier.

The land agreement gives the lender a claim it can enforce. That requires a parcel whose boundaries are agreed, a valid interest that can be transferred or mortgaged, a recorded chain of transactions and courts or registries that work. A title can settle part of this problem. Enforcement may still take years, especially where purchasers and occupants have competing claims. Some households deliberately keep valuable homes outside the banking system because foreclosure carries a cost they cannot accept.

The production agreement links the loan to a usable dwelling. A developer needs construction credit before buyers take possession, then needs purchasers who can obtain mortgages at completion. A bank financing a purchaser worries about unfinished works, fake completion certificates, defects, unconnected utilities and land encumbrances. A bank financing the developer worries about sales, cost overruns and the allocation of delay risk. Advance sales can shift these hazards to families least able to absorb them.

The long-money agreement links a bank's short-term deposits to a fifteen- or twenty-year home loan. Even a solvent borrower becomes a costly client if a bank cannot fund the mortgage through its life. Refinance institutions, covered bonds, long-dated deposits, insurance companies and pension funds can help bridge the mismatch. Each instrument raises a second question: whose balance sheet absorbs interest-rate, prepayment and default risk?

The neighbourhood agreement determines whether the home remains economic. Transport, water, safety, drainage, schools and upkeep influence both the household's ability to pay and the property's resale value. A lender's valuation may record the wall and plot while barely measuring the commute, local flood risk or whether a resident association has a funded maintenance plan. The omission appears later as arrears, forced sales or a deteriorating loan pool.

Exhibit 20.1 shows why the same phrase, “lack of finance,” can describe several different failures. Financing cheaper money into an unchanged system often increases the number of approved applications while leaving the hardest risks untouched.

Risk or failure	Who first bears it?	What a lender can observe	A credible response
Earnings fall or arrive late	Household, then lender	Accounts, turnover, shocks	Cash-flow underwriting; buffers; workout rules
Tenure or boundary is disputed	Buyer, lender, occupants	Registry and ground checks	Adjudication; enforceable use rights; appeal
Developer fails before delivery	Buyer, lender, workers	Stage inspections, escrow	Milestone finance; independent certification
Interest rates rise	Floating-rate borrower	Contract, repricing schedule	Long-term local-currency funds; capped resets
Services or location fail	Resident, city, lender	Service tests, travel access	Readiness gates; funded maintenance obligations
State guarantee is called	Taxpayer, future borrowers	Guarantee contract and portfolio	Priced cap; audited losses; fiscal reporting

Assessing affordability and debt service

Consider an illustrative Kenyan buyer seeking a KES 3 million home. At a 10 per cent deposit, the mortgage is KES 2.7 million. At 13.5 per cent for 11.5 years, the monthly repayment is about KES 38,623. The rate and maturity correspond to the average rate and average maturity reported in the Central Bank's 2025 survey; the property price, loan-to-value ratio and household are hypothetical. At a screening threshold of 30 per cent of gross income, debt service alone requires earnings of roughly KES 128,745 each month. Service charges, insurance, transport and other debts would raise that requirement. [1]

Hold the house price constant and finance the same loan at 10 per cent for 20 years. The payment falls to KES 26,056. The 32.5 per cent reduction is substantial. It can bring in some households previously excluded by the repayment test. Yet the household must still assemble KES 300,000 upfront, pay fees, meet the bank's documentation test and find a house at that price in a place where it can live and work. The longer loan also extends exposure to income loss and other risks. A cheaper monthly payment never removes the need to test lifetime affordability.

At the Kenyan system's reported average loan size of KES 10 million, a calculation using the survey's average rate and maturity yields about KES 143,050 per month. It would be a mistake to call this a

national average monthly payment: banks lend at many rates, and the 10-million figure is the average stock of loan principal, not the amount drawn at origination. The calculation instead shows why headline mortgage-market expansion can coexist with severe exclusion at the lower end. [1]

The same logic applies in India. Imagine a household with income of INR 25,000 per month and a cautious repayment limit of INR 7,500. At a hypothetical fixed rate of 9 per cent over 20 years, the largest fully amortising loan is approximately INR 8.34 lakh. A bank may lend less after examining earnings shocks and other obligations. A home that costs INR 18 lakh remains far out of reach without substantial household equity, a cheaper plot, a grant or a smaller dwelling. An interest subsidy can bridge only a defined portion of that gap.

Exhibit 20.2 uses the two loan calculations as a stress test, not as lender offers or predictions. Its lesson is easily missed in project appraisal: the binding constraint may be the deposit, the dwelling price or the month of lowest income, even after the advertised interest rate falls.

Illustrative buyer	Loan	Rate / term	Monthly pay-ment	Gross monthly income at 30% ceiling
Kenya: conventional illustration	KES 2.7m	13.5% / 11.5 years	KES 38,623	KES 128,745
Kenya: longer, cheaper local-currency finance	KES 2.7m	10% / 20 years	KES 26,056	KES 86,852
India: maximum loan under ₹7,500 payment cap	₹8.34 lakh	9% / 20 years	₹7,500	₹25,000

The economic mechanism has three moving parts. First, a lower funding cost reduces the monthly price of borrowed money. Second, households submit more bids for scarce homes. Third, developers and landowners decide how much new supply to build and at what price. Where serviced land, permits and construction respond slowly, some of the credit benefit turns into a higher selling price. The household receives the lower rate and pays for it through a more expensive plot. A public subsidy can help the intended buyer and enrich a different owner at the same time.

Verifying irregular earnings

A lender often needs proof of income because it lacks a cheap way to distinguish an able borrower from one whose earnings will not cover repayment. A payslip solves part of that information problem. It also draws a sharp border through the labour market. Two shopkeepers may earn equal profits; one uses a bank account and files tax returns, while the other receives cash from customers, mixes household and business spending and keeps no formal books. A salary-based rule approves one and rejects the other. The difference in paperwork can be larger than the difference in repayment capacity.

Some Indian housing-finance companies have built a business around this gap. IFC described Aavas Financiers as serving low- and middle-income, mainly self-employed customers in semi-urban and rural India through individualised appraisal. The firm describes examining business turnover, bank records and field evidence where standard tax returns are incomplete. These are operating practices and claims about reach, rather than a randomized estimate of added credit access or default performance. [3] [4]

Better underwriting is labour-intensive. A loan officer visits the shop, checks the market's working days, estimates sales and purchases, looks at seasonal variation, examines other debt and asks what happened during the worst recent month. Household expenses are separated from business cash flow. Repayment is tested after transport and childcare costs. The verification team checks property papers independently of the sales officer. These steps can make the true risk legible while reducing the temptation to use an inflated income estimate to close a sale.

Digital trails reduce some of those costs. Deposits, mobile-money receipts, merchant transactions, utility payments and rent records can show a pattern that tax filings miss. Their causal value is specific: they

lower the cost of obtaining reliable earnings histories and detecting inconsistent claims. The gain is conditional on coverage, consent and a genuine out-of-sample test. A trader who takes cash, a woman who uses her husband's phone, and a migrant with a newly opened wallet may look risky to an algorithm for reasons unrelated to future repayment. A model trained on loans already granted cannot reveal the default rate among people the bank has always refused.

This last problem matters as much as the technology. If all historical successful borrowers own registered property, a scoring model will treat registered property as a strong predictor of repayment. It can then reproduce the original exclusion with mathematical precision. A responsible pilot records rejected applicants, compares models against observed cash flows rather than proxies for class or caste, tests false rejection rates and gives each applicant an understandable avenue of appeal. It measures the additional safe loans at a stable default rate, alongside changes in interest, fees and foreclosure, rather than reporting a percentage gain in automated decisions.

Property rights and housing investment

A familiar promise in housing finance holds that a registered title turns a poor family's dwelling into collateral and thereby unlocks credit. The mechanism sounds plausible: lenders recover more in default; they lend more; the family invests. Evidence from natural experiments asks us to separate the links.

In suburban Buenos Aires, some land occupiers received titles because the original owners accepted compensation; others waited because owners contested it. Sebastián Galiani and Ernesto Schargrodsky used this uneven process to study the effect of property rights. Titled households increased housing investment, reduced household size and improved children's education. The study found no corresponding improvement in access to credit. In Peru, Erica Field found that the rate of housing renovation rose by more than two-thirds of its baseline level following an urban titling programme; much of that investment occurred without loans. Her separate study found increased labour supply after titling, consistent with less time spent defending possession. [5] [6] [7]

Titles can therefore matter greatly even when lenders remain cautious. A secure family may replace a roof because it expects to enjoy the investment. It may take a job away from home because it fears eviction less. Neither decision needs a mortgage. Credit also depends on repayment income, accurate valuation, foreclosure law, lender funding and the household's willingness to risk its principal asset. Ownership is an asset; the monthly mortgage payment is a cash-flow obligation.

African and Indian governments should draw two operational lessons. First, tenure programmes require an objective beyond mortgage counts: better security, safe construction, investment and reduced conflict are valuable outcomes in their own right. Second, registries must record real claims. A digital map can show a roof and an approximate boundary while leaving unanswered who inherits, sublets, occupies, holds customary rights or contests an old allocation. Recording one party as owner can transfer power away from spouses, tenants and communities. Faster digitisation may harden an error into an instrument of foreclosure or displacement.

A credible collateral reform combines field adjudication, transparent notices, grievance resolution, recognition of permissible leasehold or collective rights, transfer procedures and rules for equitable enforcement. It must specify what happens to tenants and other users when a lender enforces a charge. Reformers who offer titling as a shortcut to mass mortgages invite disappointment; reformers who secure the right to improve a home can succeed even before banks arrive.

The evidence thus separates two objectives: securing investment in a home and obtaining a loan against it. Field-based appraisal by Indian lenders offers an operating alternative for borrowers without standard income records, but the institutional accounts cited here do not establish its causal effect or its performance at national scale. Test repayment capacity and borrower treatment directly rather than infer them from title issuance or loan growth. [3-7]

Access to mortgage refinancing in Kenya

A mortgage-refinance company buys time for banks. It supplies long-term funds against an eligible loan portfolio, allowing lenders to offer longer and sometimes cheaper mortgages without funding twenty years of repayments from volatile deposits. Kenya's Mortgage Refinance Company (KMRC) reported KES 13.9 billion in cumulative disbursements to primary mortgage lenders and 3,855 refinanced mortgages by December 2024. Its 2024 report says 77 per cent of loan disbursements went to Nairobi and the adjoining counties of Machakos, Kajiado and Kiambu. These are the institution's own administrative results. The reported 15,420 “households impacted” uses a wider definition and should not be presented as the number of directly refinanced mortgages. [8] The Central Bank's 2025 survey offers a sobering check on market-wide progress. The share of mortgages with fixed rates increased from 14.1 per cent in 2024 to 24.3 per cent in 2025, while the market still counted only 30,762 outstanding loans. Surveyed banks named low income, high property prices, costly land, property registration and access to long-term finance among the principal obstacles. These are responses from lenders, not estimates of each obstacle's causal effect. [1] KMRC therefore solves a real and bounded problem. Its refinancing can lengthen terms and reduce the funding-cost premium for borrowers who already meet mortgage criteria. It cannot readily refinance a land dispute, an undocumented income stream, a half-built room or a purchase price beyond what wages can sustain. Eligible bank loans form a narrow funnel. A well-run refinance company may expand that funnel over time through common loan standards, lending through cooperatives, technical support and prudent guarantees; it cannot make it disappear.

The distribution raises a political question. A national institution uses public and concessional resources, while participating banks choose which loans to originate. Established bank clients in metropolitan counties are easier to serve: properties are easier to value, courts and land registries are closer, income is more readily documented, and costs per loan are lower. A subsidy may therefore reach borrowers who would have obtained credit anyway. That creates a genuine public benefit if maturity improves and interest risk falls. Its additionality is smaller when the money merely refinances contracts without changing access, terms or the number and location of homes delivered.

A useful appraisal must report the difference between the refinanced borrower and the next eligible borrower denied finance. It must also compare the public cost of a refinance against the cost of improving a serviced site, guaranteeing a small initial loss, or funding an incremental building loan. These are competing uses of scarce fiscal capacity.

Nigeria offers a second capital-market design. The Nigeria Mortgage Refinance Company states that its business rests on uniform underwriting standards and bonds sold to investors. Its official account reports NGN 33 billion in cumulative mortgage refinancing through December 2024. A rating note identifies an unconditional federal guarantee behind a fifteen-year bond. Investors receive stronger protection because the sovereign stands behind the instrument; the government takes a contingent liability that may become a budget cost if the portfolio or issuer fails. The total guarantee ceiling is therefore a public-finance decision, even where the budget records little spending at issuance. [9] [10]

A pension fund needs a lawful, well-priced, local-currency asset. A family needs payments that survive shocks. A mortgage-refinance institution can connect them, subject to a demanding set of conditions: transparent loan pools, reliable servicing, audited arrears, realistic prepayment assumptions, sufficient loss absorption and a fiscal authority willing to disclose the guarantee. Cheap funding financed by an unpriced guarantee creates a short-term success and a possible future claim on taxpayers.

Housing credit and public support in India

India has built a much larger housing-finance system, including commercial banks, specialised housingfinance companies and refinancing through the National Housing Bank. The NHB's March 2025 reporting placed individual housing loans at INR 35.61 lakh crore, with a national outstanding-loans-to-GDP ratio of 10.81 per cent. The same report found wide differences across states and loan sizes. Maharashtra accounted for 21.88 per cent of the reported state-wise outstanding stock, while the regional spread remained uneven. These are administrative aggregates, not a census of households still unable to borrow. [2] The small-loan distribution deserves attention. In the detailed loan-size table, balances up to INR 10 lakh accounted for 5.73 per cent of the covered value and 29.28 per cent of covered contracts. Loans above INR 25 lakh accounted for 69.87 per cent of value. Large loans take a great deal of capital even though the number of large-loan accounts is lower. The figures do not prove that a small loan belongs to a poor household or a large loan to a wealthy one; loan balances change with repayment and property prices vary across districts. They do show why a housing-finance reform that increases total lending can leave the bottom of the market largely unchanged. [2] The Union government's Pradhan Mantri Awas Yojana-Urban 2.0 interest-subsidy rules illustrate the distinction between a financing instrument and a house. For eligible applicants, the announced 4 per cent interest subsidy applies to the first INR 8 lakh of a housing loan, for up to 12 years, subject to a INR 25 lakh loan ceiling, INR 35 lakh house-value ceiling and INR 1.80 lakh maximum subsidy. The programme specifies payment in five annual instalments. These are policy rules, and their reach depends on approvals, lender processes and actual disbursement. [11] The timing is important. A benefit released over five years has a different effect from a grant delivered at purchase. It may reduce the effective burden after credit has been approved. A family that needs cash for the initial deposit still needs a bridge. A lender assessing the repayment obligation must decide how to treat benefits that arrive later and might be delayed. An agent can advertise the headline maximum subsidy while a buyer confronts the full sale price and immediate loan payment. Implementation rules should specify when money reaches the loan account, how arrears or early prepayment affect the benefit, and what recourse a borrower has if a subsidy claim stalls.

India's specialised lenders also show the need for a middle rung. A small self-employed borrower may need a INR 3 lakh roof loan, then a INR 5 lakh extension, before ever purchasing a completed apartment. The lender can examine earnings through field appraisal. A city may have to certify that the structure is safe. A land authority may need to recognise a lease or occupancy right without forcing a speculative sale. A national interest subsidy designed around a completed home can miss this common sequence of building and repair.

The most consequential test for India is whether the finance system can reach a larger set of safe housing paths: incremental building, shared ownership where lawful, small rental construction, modest formal home purchase and repairs that reduce disaster risk. A single mortgage rate is too crude a measure of that progress.

Financing incremental construction

Many low-income families in Africa and India construct in stages. They buy the plot or secure an occupancy claim, build a room, improve the roof, connect water and sanitation, and extend later as savings permit. A conventional mortgage for a finished unit arrives at the wrong point in this sequence. A shorter housingimprovement loan can match the next step, provided the instalment fits uncertain earnings and the builder gets sound technical advice.

A study of Habitat for Humanity's housing microfinance programme in Kenya and Uganda examined 2,341 existing clients, with 1,213 offered the programme. The programme combined small labelled loans with housing-support services, including advice on construction. The researchers reported that 95 per cent of clients used the loan for the intended housing improvement and found improvements in housing conditions and satisfaction. Rollout varied across branches, with earlier treatment in more profitable or larger branches; the researchers used a difference-in-differences approach to address observable

differences. The study is useful evidence of product use and plausible benefits, with limits on causal interpretation because branch rollout was non-random. [12]

The practical mechanism is distinctive. A small loan finances cement, roof sheets, a toilet or an extra room. An inspection or adviser helps the borrower avoid a dangerous construction choice. Repayment begins before the whole home is finished, so the payment schedule must reflect the household's income cycle. Loan officers need to verify that the financed improvement sits on land where the family can remain. A sound product makes each stage habitable and safe. A poor product locks borrowers into high-cost revolving debt or funds an unsafe additional floor.

The lending institution has an incentive to finance improvements with quick repayment and visible assets. A household may need drainage or a safer access path that serves several plots, with no single borrower able to capture the gain. That remains a municipal or collective-finance problem. Developers face a similar indivisibility: roads, sewers and land assembly have to be financed before a small project can sell. Public money may yield greater gains by funding these shared inputs than by buying down each purchaser's mortgage rate.

A financing ladder therefore has several rungs, each with its own institution: savings and safe tenancy for new workers; small improvement loans with inspections; serviced plots and incremental building credit; properly supervised small-landlord loans; and long-term mortgages for households whose income and tenure can support them. Households should be able to move between rungs without losing all prior assistance. Lenders should be able to recognise a record of successful smaller repayments, while rules stop them from using that record to push borrowers into loans whose worst-month payments exceed capacity.

Credit subsidies and their beneficiaries

An interest discount appears on the buyer's loan account. Its economic benefit can pass elsewhere before the family enters the home. The chain is simple. Cheaper borrowing raises what some buyers can bid. A developer with a pipeline of approved units may increase the asking price. A landowner negotiating with the developer may demand a greater share of expected sales revenue. A contractor with few competitors may absorb more of the margin. In a market where serviced sites and approvals are scarce, prices can adjust faster than additional homes are delivered.

Global evidence gives a reason to test this mechanism rather than assume full pass-through. Berger, Turner and Zwick studied the United States' 2009-10 first-time homebuyer tax credit with quasi-experimental methods. Their estimates link the programme to about 490,000 additional home sales and an increase in median prices of $2,400 for each standard deviation of programme exposure. The context was an exceptional post-crisis market, and the estimate cannot be copied onto Kenya or India. It establishes that buyer subsidies can influence both transactions and prices. [13] South Africa's First Home Finance scheme makes the distribution problem visible. The Western Cape government's published guidance describes a once-off subsidy ranging from about R38,911 to R169,265, depending on income, for qualifying first-time buyers in the R3,501-R22,000 monthly household-income band. The benefit can reduce the deposit or principal barrier for households with bank or approved finance. It also creates a boundary: applicants with incomes below the qualifying band, without adequate loan access or with an ineligible family arrangement must use other routes. Rules and application channels can change by jurisdiction; the figures describe the published provincial guidance. [14] An effective subsidy asks four questions. Which household receives it, including renters and workers with unstable jobs? Which location and housing product does it make accessible? How much is passed into a lower all-in cost, including fees and transport? How much of the fiscal transfer remains with the household rather than the land seller, developer, bank or broker? A ceiling on unit price has limited value when projects reduce floor area, move to cheaper peripheral sites or add informal charges. A public-land subsidy can leak in the same way if the state disposes of serviced plots cheaply without an enforceable affordability agreement.

Politics shapes this allocation. Existing homeowners may support mortgage tax concessions while resisting new rental rooms nearby. Banks may prefer a fixed subsidy paid through loan accounts because it

reaches their own approved clients. Developers may favour grants tied to units they already plan to sell. Landowners can wait for infrastructure announcements to raise the reservation price of land. Elected officials favour benefits that are visible before an election; maintenance reserves, loss guarantees and the slow work of title adjudication yield fewer public recognition. Tenants and informal builders, who rarely appear on mortgage registries, often have weaker access to the decision process.

A credible reform coalition must pay attention to these incentives. Finance ministries should publish the estimated cost and beneficiaries of tax privileges, grants and guarantees on a comparable basis. Cities should condition publicly created land value on serviced-site delivery and lasting affordability. Consumer regulators should disclose loan fees and preserve legal recourse. Lenders should be rewarded for sustainable new access rather than merely refinancing safer borrowers. Tenants and self-builders need a seat where programme rules are decided.

Insurance, arrears, and financial shocks

Credit is underwritten on a central forecast. Social protection and prudential rules matter when that forecast fails. An illness can cut earnings for three months. A major flood can destroy a family business and damage the same house pledged to the lender. A borrower with a variable interest rate can face a higher payment even if wages remain flat. In each case the borrower, bank, insurer or state must absorb a loss. If the loan contract leaves the answer vague, the parties litigate or pass the cost to the weakest member.

A prudent lender tests a severe but plausible month. For the KES 2.7 million mortgage, raising the hypothetical interest rate from 13.5 to 16.5 per cent over the same 11.5 years raises the payment from about KES 38,623 to KES 43,774, an increase of about 13.3 per cent. This is a sensitivity calculation, not a rate forecast or a claim about Kenya's contractual repricing rules. If a family starts at the maximum permitted debt-to-income ratio, the rise alone can force cuts to essentials. The test should also include food and transport inflation, unpaid care time and maintenance charges.

Insurance can pool events that strike some households and leave others unharmed. It performs poorly when a flood affects an entire low-lying district or when the worst exposed properties cannot be insured at an affordable premium. A public guarantee can encourage credit where loan officers overestimate risk, but it can also weaken screening if banks retain little first loss. The government should retain an explicit maximum exposure, charge a fee where appropriate, require the originator to keep meaningful risk, and publish claims by borrower group and location. Any concessional foreign-currency loan to a local-currency mortgage institution adds exchange-rate exposure unless fully hedged; apparent cheapness vanishes when depreciation transfers losses to borrowers or taxpayers.

Workout rules are part of affordable housing policy. Before foreclosure, a lender should have a time-bound process for income verification after a shock, temporary rescheduling, partial payments, independent advice and orderly sale where needed. A public guarantee should never require instant eviction as its first enforcement step. Equally, an open-ended political promise to cancel debts destroys the repayment incentives and fiscal limits on which new low-cost credit depends. Fairness requires predictable treatment before default occurs.

A climate-resilient home also needs affordable renewal. A flood-resistant plinth or sound drainage costs money today and reduces expected losses later. Financiers can price that benefit only with credible site-level hazard data, building inspections and evidence on actual losses. Satellite imagery helps locate exposure; it cannot prove that a hidden foundation, buried sewer or insurance contract will perform. Good finance joins engineering, land records and household data with accountability on the ground.

AI in credit assessment

Digital tools alter who can make and enforce the five bargains. Their value should be judged by a causal test: which constraint changed, by how much, who captured the gain, who obtained new power and what risk appeared?

Tool and decision	Constraint it can change	What must be measured	Who may capture the benefit / new risk
Cash-flow underwriting	Cost of verifying irregular earnings	Approval among previously excluded applicants, net defaults	Borrower or lender; hidden bias and surveillance
Linked land and occupancy records	Time to verify collateral and claims	Disputes found, completion time, reversals	Owners, banks; tenants or spouses erased
Digital construction certificates	False completion and diversion of advances	Defects, delays, escrow release errors	Buyer, insurer; false assurance from bad data
Refinance loan-level reporting	Funding opacity and pool risk	Rates, maturities, arrears, additional borrowers	Existing banks; public backstop for cherry-picked loans
Hazard and service mapping	Unseen physical risk	Insured losses, service uptime, risk pricing	Buyers, city; redlining of exposed neighbourhoods

The technology can also change the bargaining power of the actor who holds the data. A lender that sees years of merchant receipts can quote a better loan; it can also monitor a borrower's trade or discriminate through opaque proxies. A parcel platform can lower the cost of checking a charge; it can also make the sale of contested public land easier. An automated inspection system can reduce discretion; it can also issue thousands of certificates without verifying the structure behind the uploaded photograph.

Five safeguards follow. Borrowers must know what data are used and be able to correct errors. Decisions need reasons that a loan officer and applicant can understand. Human inspections must validate critical land and building claims. Regulators need disaggregated denial, pricing and loss data. A public institution that claims savings should show actual processing cost, loan price and borrower outcomes before and after introduction, using a credible comparison group. A demonstration with faster clicks and unchanged affordability is a procurement success at best; it provides little evidence of housing impact.

Institutions for risk sharing

Housing-finance reform creates winners and losses before it creates new homes. A mortgage bank wants predictable recovery and low-cost funding. A small lender wants affordable wholesale credit and leeway to assess irregular incomes. A developer wants pre-sales, serviced land and timely release of construction funds. A pension fund needs a safe local-currency asset. A finance ministry must contain explicit subsidies and contingent liabilities. A city needs property revenue and affordable infrastructure; its officials may also control permits that create valuable scarcity. A low-income borrower wants a house without surrendering the right to eat, move jobs or withstand a bad month. Each actor can block a different step.

The easiest coalition joins large developers, banks, established landowners and an agency that announces mortgage subsidies. It can launch quickly because its members already hold approved plots, financeable properties and documented clients. Its weakness is distribution: it risks allocating public help to transactions that would have happened anyway, raising land values while renters and self-builders remain excluded. An alternative coalition brings small landlords, housing microfinance lenders, utilities, tenant groups and municipal planners into the same agreement. It asks more of state capacity. It also reaches forms of housing that dominate low-income cities.

A reform sequence should therefore begin with evidence about who has been rejected and why. First, map household cash flows and feasible housing products in two employment corridors, including renters, women, recent migrants and informal workers. Second, audit the legal and physical readiness of plots, service capacity and the cost of commuting. Third, design distinct credit products for home repair, staged

construction, rental additions and completed purchases. Fourth, commit public money to the demonstrable market failure: an infrastructure connection, lender verification costs, a capped first-loss guarantee, or interest support for a narrowly defined group. Fifth, publish the complete allocation of subsidies, rejections, default experience and changes in land and housing prices.

Public-land allocation requires especially strong checks. If an authority transfers a valuable site to a developer at a concessionary price, publish the independent appraisal, competing bids, all costed infrastructure commitments, the eligibility agreement, the deadline for occupied homes and clawback terms.

Where the state retains the land, long leases can preserve some public leverage. Where an owner sells, resale and rental protections need enforceable duration and realistic monitoring. Otherwise a capital subsidy can become an immediate land windfall.

There will be opposition. Some lenders reject portfolio-level disclosure. Large developers resist rules that let small competitors build. Municipal departments defend discretionary permits. Existing homeowners oppose density that makes lower-rent homes possible. Politicians prefer a visible interest-rate cut to a slow propertyrecord appeal process. Reform succeeds when its designers identify these veto points before they select the subsidy instrument. A workable agreement gives lenders a predictable legal process, residents a credible claim to remain, builders a route to comply, and the treasury a capped financial exposure.

Housing credit assessment

Use local evidence on informal earnings, household sharing and tenure; keep non-debt routes open for households unable to repay safely. Publish expected guarantee losses, subsidy timing and the cost of arrears support; avoid implicit uncapped rescue commitments.

Lenders must verify and explain decisions, regulators must monitor consumer outcomes, and title authorities must resolve claims without coercive shortcuts. Track additional sustainable access, rejection reasons, payment stress, arrears, foreclosure, location and public losses by borrower group.

Suppose a city and an MDB have financing for 2,000 low-income households. They can offer a buyer subsidy, fund a refinance line, back housing-improvement loans or pay for serviced land. The first decision should concern the households and the binding constraint rather than the instrument already favoured by the sponsoring agency.

The city can run a 24-month, two-corridor pilot. It begins with a household sample and a full market inventory, including off-registry tenants and informal rooms. Independent enumerators document income variability, rent, debt, travel, tenure and the condition of potential homes. Separate public and private teams verify land claims, utilities and hazards. Participating lenders record approvals and rejections against a common application protocol, while retaining legally required credit discretion.

In one corridor, lenders introduce cash-flow appraisal and an improvement-loan product with technical inspections. In the other, they offer an otherwise similar product with access to a capped and priced risksharing facility, phased in across branches or applicants where operationally feasible. The design must protect borrowers and avoid withholding established entitlements. A separately identified sample of eligible completed-home buyers may receive a narrowly tested deposit subsidy; all arms face the same disclosure and consumer-protection rules. Researchers should pre-register the design and acknowledge that different neighbourhoods and lenders may limit causal comparison.

Success has to be measured in outcomes that a policymaker can defend. Count net additional safe, occupied home-years among the intended income groups. Report the all-in monthly burden after transport and services; the size and timing of public transfers; loan approval and rejection by sex, income type, caste or locally relevant exclusion markers where lawful and appropriate; arrears at 30, 90 and 180 days; restructuring and forced sales; verified construction quality; displacement and evictions; and the

public cost per additional household served. Track changes in nearby land and rent prices, because a subsidy can leak into the market surrounding the funded project.

Exhibit 20.3 is a decision screen for the first appraisal meeting. A “no” in an early row should redirect the intervention before funds are committed. It is deliberately short; its purpose is to stop a finance project from treating every broken link as a shortage of mortgage money.

Gate	Evidence the team must produce	What changes if the answer is no
1. Real affordability	Worst-month residual income after payment, fares and essentials	Smaller product, rental option, income-linked support
2. Location and services	Jobs access, utility capacity, hazard and maintenance plan	Reject or redesign site; fund shared works first
3. Transferable right	Ground-verified claims, occupants, enforceable lender charge	Resolve claims; use permitted alternative security
4. True credit gap	Reasons for denial among qualified applicants	Improve underwriting or origination, not cheaper funds
5. Additionality	Counterfactual loan price, supply response and likely land gains	Re-target subsidy; use competitive allocation
6. Public exposure	Budgeted grant, guarantee cap, stress losses and exit rules	Price or cap risk; stop hidden liabilities
7. Accountable delivery	Occupancy, defect remedy, rights of appeal, open results	Hold milestone payments; publish failure and repair

The gates lead to different decisions. Where households have money to repay but lenders cannot verify earnings, invest in better underwriting and a supervised credit product. Where land claims are contested, resolve them before lending. Where price exceeds income even at a fair interest rate, reduce the cost of the home or provide a transparent grant; do not stretch the loan into an unsafe repayment burden. Where construction costs are high because materials markets lack competition, act upstream. Where safe rental rooms are missing, finance small landlords and their infrastructure under tenant-protection conditions. Where lenders lack duration, a refinance facility may be the right instrument, with verified pass-through to new borrowers.

Evaluate mortgage programmes against the housing access they add. Measure the households who gain adequate housing, the full public cost, affordability under adverse conditions, and the distribution of losses. Lending volumes and account counts alone do not establish those benefits.

Implications for borrower protection

Low-income borrowers may lack some of the conditions lenders require: documented earnings, secure collateral, insurable buildings, stable rates, or enforceable contracts. Public agencies can address specific gaps through tenure security, reliable records, inspections, services, consumer protection, and clear fiscal rules. Loan terms must also allow households to withstand plausible income and cost shocks.

What transfers?

Worked because	credible rights; affordable loan size; verified cash flow; a lender able to service irregular borrowers
Failed when	titles assumed to create repayment capacity; subsidies paid too late; fees omitted; automated rejection without remedy
Do not copy	a collateral requirement, credit-score threshold or concessional rate
Transfer instead	identify the actual financing gap and match risk-sharing to the party able to manage it
Scale test	Test income shocks affecting many borrowers at once, model drift, fraud and servicing costs as lending expands beyond the pilot population.

Sources and evidence notes

Source numbers link to the evidence used in the text. Official aggregates, institutional claims, quasi-experimental research and illustrative calculations carry different levels of confidence. Report years refer to the period measured, not necessarily the year of publication.

[1] OFFICIAL STATISTICAL REPORT Central Bank of Kenya. Bank Supervision Annual Report 2025, pp. 27-29 (mortgage survey and Table 11).

[source] December 2025 stock, rates, arrears, loan maturity, obstacles; survey figures.

[2] OFFICIAL STATISTICAL REPORT National Housing Bank, India. Annual Report 2024-25, Box 3.4, Graph 3.8 and Annex II (published 2026).

[source] INR 35,61,277 crore system-wide individual outstanding; separate slab table excludes pooled loan purchases.

[3] INSTITUTIONAL STATEMENT International Finance Corporation. IFC and Aavas Financiers to Catalyze Affordable Green Housing Finance (2020).

[source] Describes lender client segment and approach; corporate programme evidence.

[4] LENDER OPERATING STATEMENT Aavas Financiers. What Is Assessed Income for a Self-Employed Home Loan? (2026).

[source] Describes appraisal methods; no independent causal outcome estimate.

[5] CAUSAL RESEARCH: NATURAL EXPERIMENT Galiani, S. and Schargrodsky, E.. Property Rights for the Poor: Effects of Land Titling. Journal of Public Economics 94 (2010): 700-729.

https://www.cedlas.econo.unlp.edu.ar/wp/en/doc-cedlas103-pdf/ Buenos Aires land allocation; investment and schooling gains without a credit channel. [additional source]

[6] CAUSAL RESEARCH: DIFFERENCE-IN-DIFFERENCES Field, E.. Property Rights and Investment in Urban Slums. Journal of the European Economic Association 3 (2005): 279-290.

[source] Peru urban titles; investment response largely financed without loans.

[7] CAUSAL RESEARCH: POLICY TIMING Field, E.. Entitled to Work: Urban Property Rights and Labor Supply in Peru. Quarterly Journal of Economics 122 (2007): 1561-1602.

[source] Tenure security and labour supply; does not estimate mortgage supply impact.

[8] INSTITUTIONAL ADMINISTRATIVE REPORT Kenya Mortgage Refinance Company. Annual Integrated Report 2024, pp. 11 and 21.

https://kmrc.co.ke/assets/file/e4f9034c--kmrc-annual-report-2024v2.pdf Cumulative refinanced mortgages, wholesale funds, geographic concentration; institution-reported. [additional source]

[9] INSTITUTIONAL ADMINISTRATIVE REPORT Nigeria Mortgage Refinance Company. Mortgage Refinancing: How it Works and Bond Issuances (accessed October 2026).

https://nmrc.com.ng/our-business/mortgage-refinancing/ Business model and total refinancing as of December 2024; institution-reported. [additional source]

[10] INDEPENDENT RATING OPINION Agusto & Co.. Affirmation of NMRC Series II 15-year bond rating (2025).

[source] Federal guarantee and sovereign contingent-risk structure.

[11] OFFICIAL PROGRAMME DECISION Prime Minister of India / Union Cabinet. Cabinet Approves Pradhan Mantri Awas Yojana-Urban 2.0 Scheme (2024).

[source] Announced interest subsidy amounts, caps, tenure and five annual instalments.

[12] QUASI-EXPERIMENTAL PROGRAMME EVALUATION Housing microfinance study. Improving Housing Conditions: Labelled Loans in Kenya and Uganda. Journal of Development Effectiveness (2022).

[source] 2,341 clients, 1,213 offered loans; non-random phased branch rollout limits causal precision.

[13] CAUSAL RESEARCH: QUASI-EXPERIMENTAL Berger, D., Turner, N. and Zwick, E.. Stimulating Housing Markets. Journal of Finance 75 (2020): 277-321.

[source] United States buyer tax credit; sales and price effects in a post-crisis market.

[14] OFFICIAL PROVINCIAL PROGRAMME GUIDANCE Western Cape Government, South Africa. Housing Subsidy for Income Bracket R3,501-R22,000 (accessed October 2026).

[source] First Home Finance / FLISP qualifying income and subsidy scale; confirm local application rules.

Scope and calculations. The Kenya and India repayment examples are hypothetical fully amortising loans calculated using $A = P \times (r/12) / (1 - (1+r/12)^{-12T})$, with nominal annual rates and monthly instalments. They exclude fees, insurance, taxes, downtime, inflation and early repayment. Kenya's market figures concern outstanding residential mortgages reported by regulated lenders, and cannot be interpreted as all housing credit. India's small-loan percentages are calculated from NHB Annex II's loan slabs excluding pooled purchases; they do not classify household incomes. The text distinguishes causal findings from policy announcements, provider accounts and analytical judgments. Web sources were checked on 19 October 2026.

21. Subsidy accounting and accountability

Public contributions and household benefits

Consider an illustrative example involving three people in Nairobi. A formally employed cleaner sees a housing levy deducted from her payslip each month. A contractor has been awarded work on a large housing estate. A family living in a rented room beside the estate hopes that one of the new flats will finally offer secure tenure. They all participate in the same public programme. Their claims on its benefits differ sharply.

Kenya's Affordable Housing Act established a levy of 1.5 per cent of employees' gross pay, with an equal employer contribution; the law also provides for a levy on other gross income. For a worker earning KES 50,000 a month, the employee deduction is KES 750 and the matching employer payment is KES 750. Across twelve months their combined statutory payments amount to KES 18,000. The employer's ultimate economic burden may fall partly on wages or prices: the statute alone cannot tell us. [1]

This is a substantial financing commitment. Treasury figures reported in August 2026 showed roughly KES 206.5 billion in collections over three fiscal years, including KES 79.1 billion in 2025/26. Yet cash collection and usable housing arrive on different clocks. A special audit of the programme's status as at March 2025 found serious gaps in readiness, coordination and documentation. The audit's affordable-housing project list contained 142 projects; physical verification classified 60 as under way and 78 as yet to start, with four not verified. Those counts describe the particular project list and audit date. They should never be mistaken for a current count of all housing units delivered under the programme. [2-4]

The Auditor-General also reported that, among 394 projects examined for land documentation across a broader programme portfolio including markets and related infrastructure, 269 lacked adequate verifiable records at the time of review. The housing ministry subsequently reported improvements in the number with supporting documents. The audit questioned the absence of a consolidated feasibility study and a formal programme-wide affordability analysis before the rollout. These findings identify implementation risks; they cannot, on their own, establish corruption, the final fiscal cost or the number of future households helped. [3-5]

A five-judge Court of Appeal upheld the Affordable Housing Act and levy on 25 September 2026. It also noted a flaw in the earlier legislative process: the Commission on Revenue Allocation should have had an opportunity to consider the Bill before Parliament acted. The government has gained legal room to proceed. The harder test lies ahead: can it turn public contributions into occupied homes for households with the least choice, while demonstrating who pays, who receives and who gains? [6] Building on Chapter 7's analysis of subsidy incidence, this chapter develops the accounting and contractual arrangements needed to track public contributions and verify household benefits.

Tracking the full public contribution

A subsidy is a public resource supplied on terms more favorable than a market transaction. It can take the form of a cash grant to a buyer, cheap public land, an interest concession, free trunk infrastructure, a tax exemption, a rent payment, a loan guarantee or a favorable development right. These instruments have different accounting treatment. Each consumes fiscal resources, creates a contingent liability or gives up an asset or revenue stream that could have served another purpose.

A government may report that its cash contribution to a housing project was KES 1 billion. The economic contribution may be much larger if the project also received valuable public land, waived charges, a

favorable loan guarantee or a new road. The converse can also occur: an expensive public intervention may induce new private construction, generate taxes and create benefits for neighboring residents. A credible assessment must trace all resources and all outcomes, rather than treat the treasury transfer as the whole cost or the announced unit count as the whole gain.

Four prices determine where housing support goes. The land price sets the entry ticket to a location. The construction price rewards materials suppliers, workers, builders and developers. The financing price pays for capital and risk over time. The residence price, rent, loan payments, service fees, transport, lost earnings and upkeep, determines whether the household can stay. Public money can lower one price while pushing up another.

Imagine a household offered a subsidized flat at a price below its construction cost. The offer has little value if the family cannot raise the down payment, the daily commute absorbs the saving, the building has no reliable water, or a management company collects fees that rise faster than income. Conversely, a modest grant for a household's existing plot can be powerful when the family already has secure location, earning networks and water access. The same nominal subsidy buys different amounts of welfare.

Exhibit 21.1. Points at which public support changes beneficiaries

Decision in the chain	Party with discretion or bargaining power	Typical route by which value shifts	Observable test
Site selection and land transfer	Landowner, planning authority, land agency	Site price rises; public land transferred below its opportunity value	Independent land valuation; title; comparable transactions
Density, use and permits	Municipality, local politicians, large neighbors	Permission creates private land value; delay favors connected builders	Rights granted; approval times; permit-to-completion rate
Roads, water, drainage	Utilities, public works agencies, landholders	Public works increase private site values and landlord rents	Before/after land and rent panels; network-service tests
Materials and contracts	Contractors, suppliers, procurement bodies	Concentrated supply and change orders absorb grant	Competitive bid spread; verified quantities; defects
Finance and guarantees	Banks, developers, fiscal authorities	Cheaper capital boosts bids for scarce land or shifts default risk to taxpayers	All-in interest and fees; stress losses; guarantee claims
Selection and occupation	Allocating agency, brokers, landlords, lenders	Connected or already-bankable households obtain the scarce unit	Applicant-to-occupant audit; income, gender and exclusion data
Upkeep and resale	Building manager, owners' group, utility, local government	Maintenance shortfalls erase value; resale restrictions push sales underground	Fee arrears; defects; resale and twelve-month occupancy

Analytical framework. These are channels to test, not findings that capture occurs in every project.

This framework separates three questions often combined in political debate. Legal allocation asks who is entitled to a grant. Economic incidence asks whose welfare or profits rise after prices and behavior adjust. Additionality asks what would have happened without the programme. A family can receive a legal grant while a landlord captures some of its value through higher rent. A developer can build a subsidized flat that a household would have purchased anyway. A project can help its direct occupants while raising property values for nearby owners. Each is a different claim and requires different evidence.

Price support and housing costs

Suppose a government promises each eligible buyer a KES 900,000 grant. If serviced land is abundant, permits are predictable and builders can add homes, competition gives sellers a reason to reduce net prices and increase output. If the best locations have a fixed supply of permitted plots, some of the subsidy can be bid into land values and asking prices. Owners who purchased land before the policy then receive a windfall. Developers who bought after the rise may have normal profits and still sell expensive homes. The time at which the subsidy is announced matters as much as the identity of the recipient.

The same reasoning applies to rent assistance. The relevant parameter is the response of rents to a change in benefit: how many additional cents of rent follow an extra unit of public aid, for the same dwelling and household, compared with a plausible no-reform path? A rise in housing quality or a move to a better neighborhood complicates the calculation. So does a benefit that is temporary or hard for landlords to observe.

International studies provide a useful warning against easy generalizations. Gabrielle Fack's study of a French reform estimated that 78 cents of each extra euro of housing benefit appeared in higher rents paid by new recipients. Scott Susin's earlier study of US vouchers estimated rent increases of 16 per cent in the low-quality housing market of the ninety largest metropolitan areas under his model. These findings come from specific countries, periods and methods; neither number is a universal landlord share. [15-16] Other designs yield very different results. A 2026 Journal of Public Economics study of a Finnish reform found that an extra euro of allowance raised rent by about 3.6 cents, with a standard error of 2.8 cents. An earlier Finnish study also found little evidence of price changes at allowance thresholds. One explanation is that recipients made only small changes to the dwellings they chose; landlords consequently gained little leverage. In the United States, Robert Collinson and Peter Ganong found that a one-dollar increase in a voucher programme's rent ceiling increased same-address voucher rents by 13-20 cents; a different Dallas ceiling design improved the neighborhoods participants chose. A change in a ceiling is not identical to a one-dollar increase in a household's cash benefit. [17-19]

Exhibit 21.2. Evidence on housing assistance and rents

Evidence and design	What changed?	Reported rent response	What a policymaker should learn
France, Fack (2006), reform-based study	Additional housing benefit for new claimants	Around €0.78 per €1 benefit	Rapid supply response cannot be assumed; landlords may capture much of the gain
United States, Susin (2002), metropolitan comparison	Voucher programme exposure	Modeled 16% rise in low-end rents	Marketwide effects on nonrecipients deserve measurement; identification differs from modern experiments
United States, Collinson–Ganong (2018 research version)	Voucher rent-ceiling rules	$0.13–$0.20 per $1 ceiling increase for same address	Payment rules and ability to move shape incidence and neighborhood choice
Finland, Eerola and coauthors (2026), quasi-experimental reform	Increased allowances for affected units	€0.036 per €1; SE €0.028	Large transfers can accrue mainly to residents when housing choices respond little

These are different causal estimands and markets; figures should be read side by side, never averaged.

The practical inference is conditional. A subsidy designed to help poor tenants should be tested in a market with known vacancies, competing landlords, real tenant choice and a plan to increase well-located supply. Tight price ceilings may protect a treasury budget while preventing access to good areas; loose ceilings may strengthen landlords' bargaining position. Digital rent data can improve assessment, although incomplete records of cash tenancies and informal subletting will bias any model that observes only formal agreements.

Comparing subsidy instruments in India

India's Pradhan Mantri Awas Yojana-Urban is remarkable for its scale. The programme's public dashboard, last updated on 30 September 2026, reported 127.68 lakh sanctioned homes, 121.03 lakh grounded for construction and 99.07 lakh completed, approximately 12.77 million, 12.10 million and 9.91 million homes, respectively. It reported central assistance released of INR 180,582 crore. These are administrative stocks accumulated over the scheme's life, not an estimate of the net number of households newly housed, the total economic subsidy or the quality of occupied neighborhoods. [7] Under the original programme, beneficiary-led construction helped eligible families improve or build on their own land. Affordable Housing in Partnership routed public support through multi-unit projects; a credit-linked scheme helped households with mortgages; and in-situ slum redevelopment attempted to combine land, relocation and construction. These channels solve different problems. Beneficiary-led construction can make incremental investment possible and preserve jobs and social ties. Its binding condition is access to an acceptable parcel. The landless renter in a dense ward can be excluded from that route even if her need is greater than that of a titled owner. [8-9] In 2023 a parliamentary standing committee reported that an average economically weaker section house under PMAY-U cost about INR 6.5 lakh and that the average beneficiary contribution was around 60 per cent. Those figures describe the programme and period examined by the committee; they do not represent every state, project or the later PMAY-U 2.0 design. At that benchmark, 60 per cent means INR 3.9 lakh from the household and other resources beyond the central grant. A nominal subsidy can therefore leave a family with a payment large enough to stop construction. The committee reported that missing state shares in some states increased the household burden. [8] This is a classic problem of divided authority. The Union government can announce a uniform benefit and count sanctions. States must provide their shares and clear land. Cities must issue permits and connect services. Banks decide whether the household can borrow the balance. Families supply savings and labor, often before all agencies have delivered. Each actor can meet its own narrow target while a house remains unfinished. Release of national funds on verified construction stages reduces one information problem, but it does not provide the final rupee that the household lacks.

PMAY-U 2.0, issued in September 2024, makes some of these choices explicit. For beneficiary-led and partnership units in most states, the central government offers INR 1.50 lakh and the state must provide at least INR 1 lakh; funding splits differ in some states and union territories. The interest subsidy reaches up to INR 1.80 lakh under its applicable terms. The new rental vertical allows conversion of suitable publicly funded vacant housing and the construction, operation and maintenance of rental buildings. Applicants for beneficiary-led assistance must establish rights to the land, with states able to provide heritable, nontransferable rights to some landless applicants. None of these design provisions by itself proves that the intended family occupies a good home. [9]

The sharpest test of location value comes from a housing lottery studied by Sharon Barnhardt, Erica Field and Rohini Pande. Winners received the opportunity to move from an urban slum to improved homes on the periphery. Fourteen years later, the researchers found better housing among winners, but no gains in income or human capital and weaker access to family and caste support. Thirty-four per cent of lottery winners never moved in; another 32 per cent subsequently left. These were lottery winners in one programme, not PMAY-U beneficiaries. The causal lesson travels farther than the institutional label: a cheaper or better dwelling can still offer a poor agreement when it severs employment and mutual help. [10] Consider the politics beneath the numbers. Titled owners benefit from construction grants that raise the value of property they already control. A local leader gains credit for a handover. Contractors benefit from long construction runs. State officials seek matching allocations; city officials may hesitate to spend scarce funds on trunk connections. Renters, seasonal workers, migrants, households lacking documents and tenants discriminated against on grounds of caste or religion may enter the process late or never. An application portal can make these exclusions harder to see if the denominator is defined as eligible applicants rather than all housing-insecure households.

The case therefore calls for two distinct audits. One traces money through central government, state, city, developer and household accounts. The other traces people: eligible households, applicants, sanctioned beneficiaries, completions, actual occupants and those who sell, rent out or leave. Link the two only under legal consent and privacy controls. Without both, impressive construction figures and genuine beneficiary gains can coexist with serious exclusion.

Housing levy accountability in Kenya

Kenya's programme raises a different challenge. The compulsory levy pools contributions and finances a national building programme. Its political case rests on a collective agreement: many people contribute, a smaller number obtain a home now, and the stock of affordable housing expands over time. That agreement can be defended in social terms if it delivers, is fair to low- income contributors, and has an allocation rule that citizens trust. It becomes fragile when payments are visible each month while the route from funds to completed, well-located homes remains hard to follow.

At the planning stage, the first risk is site readiness. A selected parcel must pass a chain of tests: public or private ownership, boundaries, rights of occupants, permissible use, access roads, trunk services, resettlement obligations, geotechnical conditions and the legal power to transfer sectional units. A public agency can list the land as free; if the land is disputed, unserved or occupied, a contractor inherits costs and delay that no single budget line properly owns. A site with a low book value can be expensive to society.

At the delivery stage, a levy creates a temptation to announce a large pipeline before land and contracts are ready. Cash can accumulate faster than projects absorb it. The Auditor-General's special audit found weak contract documentation, gaps in approvals and contractor supervision, and the lack of an integrated programme appraisal. Subsequent government work may correct these gaps. That possibility makes dated project-level reporting essential: publish the status as at the audit, what changed afterward and the independent evidence of correction. [3-5] Procurement choices matter because a contractor's payment is not automatically a household's subsidy. Awarding multiple projects to a small set of contractors may bring economies of scale and speed; it may also exhaust working capital and supervisory capacity. Large contractors and political leaders often form a pro-building coalition. Local utilities and county officials face unfunded connections and maintenance obligations. Tenants in informal settlements may fear relocation. The coalition needed to announce and build housing differs from the coalition needed to occupy and maintain it.

The welfare test should follow the entire levy-financed investment. Does a low-income buyer qualify for the home and for finance? What deposit and monthly payment are required? Will the resident pay for transport, water storage, repairs and management? Are the units truly additional to market production? How does the allocation affect households who do not receive one? If a nearby landlord raises rents after roads and water arrive, part of the public investment goes to that landlord, although the physical works may still create social value.

One straightforward reform would give each project a public subsidy record. It would join audited cash flows to land opportunity cost, contract changes, independent certifications, public eligibility rules, verified household occupation and the funded maintenance plan. The identification number would stay with the site when officials or contractors changed. Aggregate information would be public; sensitive records of individual households would remain protected. Kenya's own experience shows why legal mandates and large funding flows make this a state- capacity task, rather than a communications exercise.

Housing assets and job access in South Africa

South Africa built its post-apartheid housing policy around a strong moral claim: households denied decent homes under racial rule deserved a housing asset. Grant-funded ownership has therefore been a prominent route to redress. Yet inherited urban geography puts inexpensive land far from many places where jobs and incomes are found. A government may hand over a debt-free asset and still leave a household worse placed to earn a living.

The Gauteng City-Region Observatory mapped publicly supported housing against major economic centers using provincial data available in July 2008. Average distances between housing areas and the nearest selected centers varied sharply: near Midrand the mean was 7.8 kilometres; for sites on the outskirts of Pretoria and Johannesburg the mean reached 25.7 kilometres and 20.3 kilometres, respectively. These are distances to the chosen centers using an older project dataset, not measures of each resident's actual daily commute. They show the importance of checking location at the parcel level. [13]

Rigorous evidence offers two different answers to the welfare question. Simon Franklin used longitudinal household data and spatial variation in the location of housing projects to study households who received free government housing. His research found income gains driven substantially by increases in women's employment, suggesting that secure housing can ease constraints on work. Nathalie Picarelli used a fuzzy regression-discontinuity design around eligibility rules to study relocation. She found a decline in household labor supply two to four years after relocation, driven mainly by women's hours, with greater distance from opportunity an important possible mechanism. The designs, places, time horizons and treatments differ. Their findings should prevent a sweeping verdict that subsidized ownership always helps or always harms employment. [11-12] The political stakes are large. In March 2026 South Africa's housing minister reported approximately 3.4 million households on the National Housing Needs Register, while cautioning against treating that number as the single official housing backlog. A household that has waited years naturally values a formal allocation. Political leaders can promise a visible asset. Municipal officials may prefer peripheral sites where land assembly meets fewer organized objections. Established neighborhoods resist low-income development nearby. Developers and contractors may favor standardized greenfield projects; the local authority later inherits costly roads and utilities. [14] South Africa also offers a useful counterpoint through regulated social rental housing, where a professional housing institution retains responsibility for the asset. Better locations and sustained operating income can improve access and care. Such institutions face their own risks: debt service, collection failures, subsidies paid late and pressure to dilute income targeting. A tenure model that works in one rental market will fail in another if its cash flows cannot cover repairs and management. [22] A practical rule follows from the two studies. Before comparing a subsidized home with a rental room, value the asset and the change in earnings, household travel time, school continuity, informal insurance, health, upkeep and freedom to move. The household should make the trade-off with credible information. A free house fifteen kilometers from work is a different product from a free house beside work; the grant accountant sees the same line item.

The contrasting employment results make household selection, care responsibilities and job access part of subsidy appraisal. They cannot be reduced to a clean experiment changing only location. Compare the proposed home with the household's real alternative and retain both positive and adverse findings when setting eligibility, location and tenure rules. [11,12]

Public land contributions

Public land deserves separate treatment because its budgetary cost is often recorded as zero. Suppose a government transfers a serviced city parcel to a developer for a nominal fee in exchange for 500 affordable units. The land could instead have been leased competitively, reserved for future schools or used to create more homes through smaller plots and higher density. Its opportunity cost equals the value of the best feasible alternative after taking account of public purposes and legal constraints. An independent appraisal should measure that cost before the agreement is signed.

Land enters politics earlier than the building contract. A landowner benefits when zoning, water and a public road raise what others will pay for a site. A developer with an inside track can secure favorable rights before competitors know they exist. Public-land disposal can transfer decades of appreciation through a single cabinet decision. Planning committees, land registries, courts, incumbent occupants, neighboring owners and utility providers all hold veto points. Some vetoes defend legitimate rights; others protect scarcity rents.

Three design choices can reduce capture without stopping building. First, value land at its highest legally feasible use, with a recorded comparison to other social uses. Second, award sites through a transparent competition that specifies quality, lifetime affordability, location and number of homes, rather than choosing the developer and negotiating benefits afterward. Third, make affordable obligations enforceable for a fixed period, with clawbacks when units are diverted to higher-income buyers or price caps are breached. Public ownership or long leases can preserve land value for future beneficiaries, although those models require durable management institutions.

Where large parcels already contain informal tenants, land regularization and site redevelopment become inseparable from rights. Counting legal titleholders alone misses the people who pay rent, earn locally and depend on the site. Thailand's Baan Mankong programme offers a contrasting institutional model: housing support and infrastructure money flow through community organizations, complemented by savings and collective loans. CODI describes a package of roughly 80,000 baht per household with components for infrastructure, construction and community process, and cooperative land and housing loans at 4 per cent before cooperative on-lending margins. Programme descriptions document its design; they do not provide randomized estimates of housing welfare. Independent scholarship shows both the achievements of collective bargaining and the conflicts within community groups. [20-21]

Changing the recipient of the subsidy changes who has power. A developer-led contract concentrates authority in the firm and the public agency. A community-held budget lets organized residents agreement with landowners and contractors, while creating risks of elite control within the community and exclusion of new migrants or tenants. Neither institutional choice automatically represents everyone. Good design assigns a voice to people who are usually absent from the table.

Subsidy accounting for a 1,000-home development

A public finance team needs a single sheet that joins the budget with the market. Consider a hypothetical 1,000-home development in an African city. The benchmark cost of a completed unit at the same site and specification, using competitively procured construction, the independent value of land and off-site services, is KES 2.71 million. Assume normal competitive margins are already included in the construction amount. The government supplies cash and noncash support. The final price paid by the eligible household is KES 1.65 million.

Exhibit 21.3. Public subsidy and household benefit: an illustrative model

Item	KES per unit	KES million, 1,000 units
Competitive construction and normal margin	2,250,000	2,250
Public land, at independent opportunity value	300,000	300
Public off-site roads and connections	160,000	160

Item	KES per unit	KES million, 1,000 units
Economic benchmark: all-in unit cost	**2,710,000**	**2,710**
Cash subsidy budgeted by government	900,000	900
Noncash public land and service contribution	460,000	460
Gross public resource commitment	**1,360,000**	**1,360**
Actual household purchase price	1,650,000	1,650
Apparent price advantage versus benchmark	**1,060,000**	**1,060**
Unexplained gap between public input and price advantage	**300,000**	**300**

All inputs are invented for teaching. The KES 300,000 gap signals a question for audit. It is not proof of overcharging or corruption: specification changes, financing and measurement errors must first be ruled out.

Three facts fall out of this arithmetic. First, public land and infrastructure make up KES 460 million of the economic contribution, even if the housing agency's budget shows only KES 900 million. Second, the price discount that can be demonstrated from the stipulated benchmark is KES 1.06 million per household, or about 78 per cent of gross public support. Third, an unexplained KES 300 million difference must be reconciled against real costs, quality, timing, developer returns and disposal terms. Counting cash without land conceals both benefits and leakage.

Now add location and continued occupation. Assume the flat requires KES 3,500 more a month in transport and KES 1,200 a month in new fees and repairs than the family's previous dwelling. At a 5 per cent real discount rate, those additional outlays have a five-year present value of approximately KES 244,000 per household. If the family's other benefits and costs were unchanged, a strong and deliberately unrealistic assumption, the apparent KES 1.06 million price advantage would fall to about KES 816,000 after these five-year costs. That calculation omits improved safety, services, tenure, forgone rent, financing payments, resale value, health and employment effects. It demonstrates which data are missing; it estimates no project's actual benefit.

Finally, suppose all 1,000 homes are completed but only 700 are securely occupied by eligible households throughout the first year. The gross public commitment becomes KES 1.94 million per occupied unit, compared with KES 1.36 million per completed unit. Vacancy, diversion and exits are therefore fiscal outcomes, rather than mere management statistics. At sustained full occupancy across ten years, gross subsidy is KES 136,000 per occupied home-year before discounting or upkeep; at 70 per cent sustained occupancy it becomes approximately KES 194,000. A serious project model would discount future years and add long-term public obligations.

No single ratio settles whether the programme is worthwhile. Some households obtain an asset with far greater value than its sticker discount. Other households may receive a unit they would have purchased anyway. People outside the estate may gain from roads or lose through higher rents. The economic analysis must compare the project with credible alternatives: upgrading existing housing, serviced plots, rental grants, small-landlord loans and in-situ redevelopment. The appropriate unit of public output is the additional year of safe, well-located housing for a low-income household, accompanied by measures of welfare and fiscal risk.

Interests in funding and allocating subsidies

Subsidies persist because they produce visible beneficiaries. Their distribution also produces opponents. Homeowners and landlords defend scarcity when added housing might lower rents or bring poorer neighbors. Some developers support subsidies while opposing land release or approval reforms that would increase competition. National politicians favor schemes with clear names, ceremonies and unit counts. Local governments can face the bill for streets, drainage and waste collection without receiving the taxes needed to maintain them. Banks want subsidies paid predictably and collateral that courts can enforce. Contractors value steady works and may lobby for standard designs even where families need a different product.

The people whose political voice is weakest often carry the greatest housing risk. A migrant renter cannot supply a property deed. A woman whose work is informal may lack the documentation a lender's model expects. A Dalit or Muslim applicant can encounter discrimination in the private rental market or exclusion within local housing committees. In South Africa, the geography of apartheid remains embedded in the market for well-located land. Across many African cities, structure owners and landlords mediate access to rental shelter in informal settlements and can collect the gains from infrastructure while tenants bear higher rents.

These interests create a recurring sequence. A leader promises affordable units. The housing ministry obtains a subsidy allocation. Land must then be assembled; a county or municipal government must allow density; a utility must promise connections; a builder must find finance; households must pass eligibility and credit tests. Each stage gives an actor the power to delay the rest. When the overall programme is judged on sanctions or contracts signed, these actors can agreement for special treatment without being answerable for resident welfare. The reform task is to change whose signature releases money and which outcome each actor must deliver.

Exhibit 21.4. Interests and responses in subsidy reform

Actor and gain sought	Effective veto or source of rent	Coalition-building response	Risk that needs a safeguard
Public land authority and incumbent users	Title, land release, compensation, occupancy claims	Independent valuation, consent and negotiated rights; reserve public share of uplift	Displacement of tenants or customary rights
Homeowners and neighborhood groups	Hearings, lawsuits, council votes	Publish service-capacity plans, infrastructure funding and design standards	"Safety" claims used to conceal exclusion

Actor and gain sought	Effective veto or source of rent	Coalition-building response	Risk that needs a safeguard
Developers, material suppliers, contractors	Bids, change orders, insolvency, land banking	Compete on delivered affordable homes; milestone payments and open quantities	Cartels, related-party contracts, diluted affordability
Banks and mortgage institutions	Credit screening and release of construction finance	First-loss support only for verified additional borrowers; repair title defects	Guarantee subsidy to already-bankable clients
Local governments and utilities	Permits, rights of way, trunk capacity, O&M	Pay municipalities for real service obligations; earmark maintenance revenue	Unfunded operating liabilities and selective provision
Tenants, migrants, women, marginalized groups	Often lack formal veto rights	Independent enumeration; appeals; rental and stay-in-place options	Elite-led resident lists and automated exclusion
Politicians and fiscal authorities	Budget priorities, allotment announcements	Public project registers, independent audits, published counterfactuals	Electoral targeting, patronage and inflated pipeline counts

A pro-housing coalition need not be a coalition for the poor. New market-rate supply can ease rents over time, especially where cities allow substantial density. But the first homes in desirable locations may still be priced beyond low-income households' reach. Conversely, a fully subsidized project in an isolated location can provide immediate shelter while leaving nearby exclusive districts untouched. Governments need both additional supply and a credible distribution rule, with honest accounting of the trade-off between them.

US evidence helps explain why place matters to people beyond the recipient. Rebecca Diamond and Tim McQuade studied Low-Income Housing Tax Credit developments and found that new projects in low-income neighborhoods raised nearby house prices by about 6.5 per cent and reduced crime, while projects in higher-income areas lowered nearby prices by about 2.5 per cent and attracted lower-income residents. These are local estimates from US settings. They imply that an affordable development can create neighborhood benefits for incumbent owners in one location and arouse resistance among homeowners in another. The same policy instrument faces very different local coalitions. [23]

This yields a practical political strategy. Begin where legal rights, utility capacity and land can deliver benefits quickly. Offer existing residents enforceable protections before announcing a project. Explain clearly who will receive homes and who will finance connections. Couple density permissions with timely utility investment. Put independent review and appeals around allocation. For expensive central land, require a public account of its value and the time for which homes will remain affordable. Expand only when measured occupation and household welfare justify it. These steps cost political attention and administrative capacity, but they make support harder to capture.

Report outcomes for recipients, rejected applicants, displaced residents and future entrants separately.

Digital accountability and exclusion risks

The information problem is real. A finance ministry cannot review tens of thousands of parcels by hand. A city does not know every household's title status. A construction inspector cannot stand on every site. Remote sensing, digital registries, mobile payments and machine-learning tools can reduce the cost of matching public resources to actual assets and residents. They can also increase the authority of the agency or platform that controls the data.

The relevant technology test has five parts: what constraint changes; by how much; who receives the saving; who gains power; and what new harm becomes possible? The answer changes at each stage of the subsidy.

Exhibit 21.5. Technology and the distribution of subsidies

Use in the subsidy chain	Constraint and measurable gain	Who could capture the gain?	New power and risk	Minimum control
Satellite and parcel screening	Fewer unbuildable sites; lower survey time; earlier flood and access flags	Landowners tipped off before public acquisition; connected developers	Land data can raise speculative bids or expose informal occupants	Publish criteria; restrict pre-acquisition access; verify rights on the ground
Linked land and contract registry	Less uncertainty over ownership, valuation, disposal and title transfer	The state and honest buyers; also registry intermediaries	Digitized false claims gain credibility; exclusion of undocumented rights	Independent title review and accessible claims process
E-procurement and anomaly detection	Lower bid collusion risk; flag repeated contractors, unit-cost outliers and variations	Treasury, buyers; sophisticated bidders can game rules	Model may confuse legitimate remote costs with fraud	Publish unit-cost method; independent engineering audit; human appeal
Geotagged milestones and computer vision	Lower false-completion payments; shorter certification delay	Public fund and eligible buyers; contractor gains if paid sooner	Photos can be recycled; camera access excludes informal builders	Random site inspections; metadata validation; staged cash controls
Linked applications and payments	Fewer duplicate beneficiaries; shorter processing time	Eligible households; banks and platforms can raise fees	Biometric or document errors block migrants and the poorest	Offline channel, human appeals, bias tests, deletion rules
Occupancy and service monitoring	Detect vacancy, resale diversion, failure of water and upkeep	Residents, taxpayers; utility may improve billing	Surveillance of vulnerable households and punitive eviction	Consent, data minimization, aggregated public reports, audit logs

For example, automated satellite screening might cut the time to identify plausible sites by half. That is an **illustrative target to test**, rather than an established impact estimate. A pilot should record hours saved, later land disputes, rejected sites and final serviced-unit cost. If the savings merely enable a developer to bid more for favored land, the reform has improved information but failed to pass value to households. A risk model that rejects a woman because she has no formal salary can make loan processing faster and expand discrimination at the same time.

The information infrastructure should therefore follow the subsidy record. Assign persistent identifiers to land, planning rights, infrastructure commitments, contracts, units and anonymized household outcomes. Keep a historical record of valuations and contract revisions. Permit independent auditors to reconcile announced units, certified homes, legally allocated homes and verified occupation. Release aggregate statistics and methods, while preventing landlords, parties or police from using identifiable records to monitor vulnerable tenants. Better records only change incentives when somebody can act on discrepancies and when those who are wrongly excluded can challenge the record.

Subsidy accountability agreement

Compare beneficiary-led construction, rental support and supplied units within local tenure, employment and service systems. Include land, guarantees, tax concessions, infrastructure and maintenance support in one lifetime public account.

Treasury and housing agencies must reconcile funds and benefits; independent sampling must verify households and non-recipients. Track sustained occupancy, full household cost, work and school access, distribution of subsidy, exclusion and public cost per outcome.

A government considering a housing programme should require a Subsidy Pass-Through Covenant before committing land, capital grants, guarantees or tax benefits. The agreement is a decision process rather than another dashboard. It links public money to additional housing and binds the rights of the intended residents to the contract.

Gate 1: Define the household. Map the local distribution of incomes, irregular earnings, tenure, rents, deposits, commuting costs and household size. Count migrants, women-headed households, informal

tenants and families who lack titles. Use a citywide denominator, then explain the eligibility rule. Reject a programme whose target household cannot pay the total cost of occupying the proposed home.

Gate 2: Price the public contribution. Record cash, land, trunk services, waived fees, tax expenditure, credit support and future maintenance obligations. Obtain an independent land valuation and compare a realistic alternative public use. Where a guarantee is offered, publish an expected-loss estimate and a severe-stress estimate.

Gate 3: Establish the counterfactual. What would the market build without the subsidy, on the same site and over the same period? Would tenants be displaced? Could in-situ upgrading, rental finance or serviced land help more households? Demand three credible options and an explanation of why the preferred option wins on welfare per public rupee or shilling.

Gate 4: Publish a net price. Tender for the maximum verified reduction in lifetime housing cost to eligible households, conditional on standards, safety, service connections and location. Disclose normal developer margin and the method for adjusting construction costs. Prevent public land from disappearing into an opaque joint venture.

Gate 5: Bind inclusion and location. Make rent, deposit and service-fee limits enforceable where required. Count current occupants before clearing land. Provide appeals, resettlement protections, tenure choices and priority rules that can withstand independent scrutiny. Value livelihood and social networks during relocation decisions.

Gate 6: Pay on verified outcomes. Advance funds for works where necessary, with independent certification and safeguards for contractor cash flow. Retain a performance-linked share until basic services work and the specified units are occupied. Record defects and assign responsibility for repair. Housing completions should be checked in the field as well as in the database.

Gate 7: Fund the life of the neighborhood. Show a twenty-five-year plan for roads, water, drainage, buildings and common spaces. Identify who levies fees, collects them, subsidizes hardship cases and replaces major assets. The grant must not end where maintenance starts.

Gate 8: Measure incidence and additionality. Within twelve months of occupation and again at three and five years, publish the share of intended households still present; total shelter and transport costs; changes in work, school access and safety; vacancies and resales; neighborhood rents; and public cost per additional occupied home-year. Use randomized tie-breakers when morally and legally acceptable, phased rollouts when feasible, or carefully matched comparisons. Publish why some evidence remains uncertain.

The agreement should have an owner with authority over budgets and contracts. An interagency committee that merely receives presentations cannot halt a disbursement, remove a stalled parcel or secure a utility connection. The binding condition must be held by a minister, city chief executive or programme board with transparent powers, independent challenge and clear liability for wrongful exclusion.

Exhibit 21.6. Required fields in a public subsidy record

Public field	Why it must be visible
1. Project and parcel identifiers	Reconcile land, contracts, funds and homes across agencies
2. Land rights and current occupants	Prevent disputed transfer and invisible displacement
3. Independent land value and alternative use	Price the in-kind public subsidy
4. Cash and in-kind budget by year	Prevent partial fiscal reporting
5. Buyer or tenant eligibility and appeals	Test whether the poorest can enter
6. Contract awards, related parties and amendments	Detect preventable procurement rents
7. Infrastructure connections and service standards	Distinguish completed walls from usable homes
8. All-in prices, deposits, fees and mortgage terms	Measure the actual household bargain
9. Physical completion and safety certificates	Stop payment for unfinished or unsafe dwellings
10. Allocation, initial occupancy and continuing occupancy	Count homes used by intended residents
11. Maintenance reserve, service provider and defects	Protect value after the handover
12. Independent evaluation, grievances and corrections	Learn, contest and enforce the bargain

Personal identities and sensitive tenancy records remain in secured systems. The public passport provides aggregated eligibility and occupancy outcomes, not household-level dossiers.

A twelve-month reform can start without rewriting all housing law. In the first ninety days, choose two contrasting sites, one existing low-income settlement and one development site, then assemble all agencies around a single land-and-household ledger. The treasury should establish the total resource baseline; the municipality should validate rights, permits and services; independent engineers should verify cost and safety; resident and tenant representatives should verify the people count. Between months four and six, procure or redesign support on the basis of lifetime affordability and resolve disputes before major contracts. Between months seven and twelve, measure construction, applications, price changes and the first occupation outcomes against comparable untreated sites. Publish both the gains and the errors. Stop expansion if title, safety, affordability or the appeal mechanism fails.

Measuring the benefits of public spending

Housing subsidies can change lives. Secure tenure can free resources for work. A well-located rental flat can shorten a commute and allow a woman to take a job. A grant can let a family add a safe room to a home it already owns. Public infrastructure can make a whole neighborhood healthier and more productive. There is no reason to presume every subsidy is captured, or that privately financed housing will serve the poorest unaided. The evidence instead demands precision about market response, location and the rights of households.

Three conclusions follow. First, the subsidy must be measured at its full economic cost, including land and future obligations. Second, its benefits must be measured where families live, work and pay bills, rather than at the moment a ministry approves a unit. Third, a housing programme needs a coalition that will defend inclusion and long-term upkeep after the political ceremony ends. Digital systems can make these commitments easier to verify. They cannot substitute for a credible public duty to act on what the systems reveal.

Public reporting should identify the resources committed, the housing added relative to a credible alternative, the households retaining access, and the other parties receiving economic benefits.

What transfers?

Worked because	security that relaxes a real household constraint; access to work; affordable recurring costs; reliable complementary services
Failed when	remote location; unpaid state or household contributions; benefits captured in prices; outcomes measured only as sanctions or units
Do not copy	a subsidy amount, ownership target or completion dashboard
Transfer instead	purchase verified, durable household access and account for who captures each public contribution
Scale test	At national scale, test fiscal exposure, land-price responses, spatial concentration and the administrative cost of checking actual occupancy.

Sources and evidence notes

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22. Public-land development agreements

Public land and access to jobs

At 355 Main Road in Sea Point, Cape Town, stands the former Tafelberg School. The state owned it. Jobs, buses, schools and clinics stood nearby. The provincial government planned to sell the property to a private school for R135 million. For domestic workers, cleaners and other low-paid people who served the district, land so close to employment was almost impossible to afford.

Housing groups sought social rental housing on the site. Provincial officials defended the sale as lawful and argued that its proceeds would serve other public needs, with housing supplied elsewhere. The dispute concerned both the use of a public asset and low-income workers' access to an expensive urban location.

On 2 July 2026, South Africa's Constitutional Court ruled that the government must treat location as a relevant part of adequate housing and of the duty to address apartheid-era spatial exclusion. It found the public engagement over the proposed disposal defective and required the province and city to report on their actual programmes, budgets and delivery in central Cape Town. The ruling followed a 2024 Supreme Court of Appeal decision that had favored the authorities. The reversal mattered as much for the decision rules as for the land itself. [1-3]

The legal victory did not produce occupied flats overnight. The authorities filed reports in early October 2026. Cape Town said it had released 14 municipal sites and was preparing another 39, while critics questioned the lack of completed social homes in the central locations at issue. Plans for Tafelberg remained in design and approval. Reported unit mixes changed as planning advanced; a land-use application discussed in October envisaged roughly 440 homes of mixed tenure. The proposal remains a proposal. A final test requires signed finance, enforceable allocations, a completed building and low-income tenants who can stay. [4-5]

The case has wider reach. A government ministry sees an underused asset that could finance schools or hospitals. A city sees a potential residential block that needs water, drainage and public transport. A developer sees scarce development rights. A nearby owner may fear congestion or changing property values. A household commuting two hours each day sees a chance to reclaim time and income. All parties are making claims against the value of the same plot. They are rarely judged in the same ledger.

This chapter examines the terms under which public land can support affordable housing: valuation, development obligations, resident rights, infrastructure commitments, and long-term enforcement.

Rights and responsibilities attached to public land

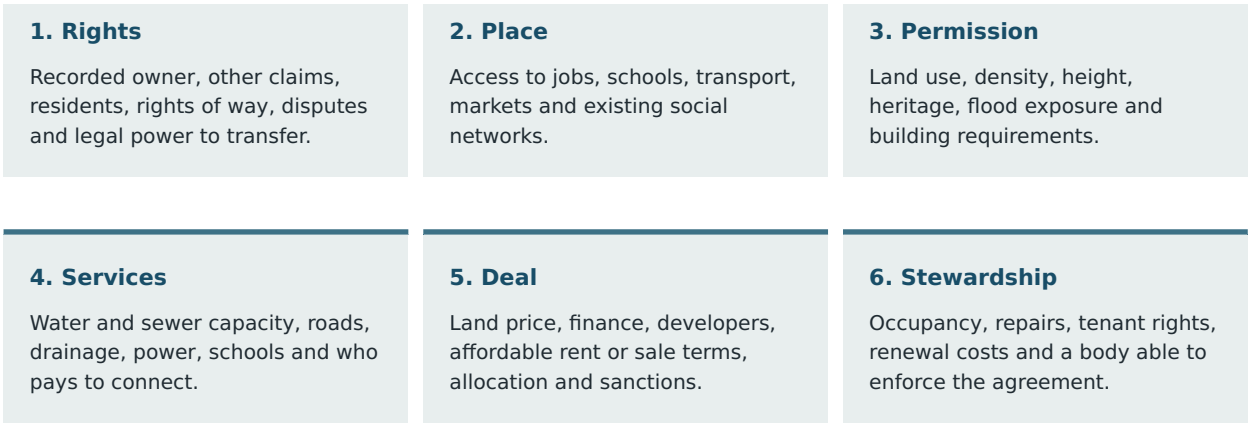
Calling land "public" answers only one question: who appears to control it. It says little about the rights attached to the parcel, its physical condition, its best use, or the people who already rely on it. An old railway yard may be owned by a national corporation, occupied by tenants, used informally for workshops, marked as industrial in a planning map and located beside a transport stop. A vacant military compound may be contaminated or lack a drainage outlet. A former market may contain traders whose claims never entered the registry.

Housing policy fails when an agency treats these unresolved matters as paperwork to clear after a political announcement. There are at least five separate decisions. The government must establish what it owns and who else has rights. It must decide which public service deserves the site. The planning authority must define buildable use and density. Utilities must commit to service capacity. Finally, a developer and a

housing provider must accept an economic agreement that households can live with for decades. Each decision rests with different officials, budgets and legal powers.

Maps can narrow an information gap. They cannot settle a disputed inheritance, confer legal title, negotiate with a street vendor or compel a water utility to connect a project. A public land register that records ownership alone may create the appearance of readiness precisely when the hard work has yet to begin.

Figure 22.1. Conditions for public-land housing development



The chain is sequential, yet failures travel both ways. A developer cannot finance a project without clear rights; a title is of little use when service capacity is absent. These six conditions form the chapter's implementation framework.

Consider three meanings of scarcity. Physical scarcity arises when a well-located area lacks space. Regulatory scarcity arises when plots exist but rules prohibit enough housing on them. Institutional scarcity arises when no agency can release land on credible terms, supply infrastructure, settle disputes and monitor the resulting homes. Public land policy can improve all three, yet a land transfer by itself mainly changes who controls a site.

Ownership also generates options. A city can sell now; lease for a fixed term; develop and retain the buildings; exchange land for a fixed number of affordable units; combine land with transport investment; or protect existing occupants and help them build incrementally. The choice should follow a comparison of lifetime social value. A high auction bid reveals a strong private willingness to pay for a legal interest. It gives the treasury useful information. It does not, on its own, tell the minister how many low-wage workers should be able to live near jobs.

The opportunity cost of public land

Suppose a city contributes land to a housing scheme without receiving cash. Project accounts may call the land free. The public has still surrendered something valuable: the chance to lease the plot at market rates, build a hospital, preserve a park, or save it for a future need. The relevant cost is the value of the best feasible alternative after legal restrictions, development costs and social obligations are considered. In public finance this is an opportunity cost. It belongs in the appraisal even when no money leaves the treasury.

Land has a second feature that makes it politically charged. Government actions change its value. A new station, a drainage channel, extra building rights or a permitted change of use can turn a low-value site into an expensive one. If the state transfers the plot before settling these rights, a buyer may capture much of the gain. If the state waits and sells at full market price, it can collect more revenue but lose a rare chance to secure inclusion in a central location. Public land makes this trade-off visible.

Four prices matter to any deal: the price of rights in land; the cost of serviced development; the amount the household pays over time; and the price of living in that place, including travel, childcare and time. A

project that earns a high land receipt may move families to a remote suburb and create new public expenses for transport and extensions to utilities. A central rental project may surrender land revenue yet reduce the costs borne by workers and employers. These savings should be measured rather than assumed.

Calculating the public contribution of land

> Public economic commitment = the independently appraised market value of the rights granted *minus* the market value of the consideration returned to the state, *plus* cash grants, services and risk guarantees, *minus* verified public revenues or assets retained.
>
> Household gain = the measured difference in shelter quality, cash housing costs, travel, time, employment access and security over a credible alternative, after fees and future upkeep. Land value and household gain use different measures; the analyst should show both rather than add them without care.

Valuing a public-land lease in Nairobi

Take an illustrative two-hectare, well-located public site. Suppose an independent valuation puts a sixty-year unrestricted development lease at KES 1.20 billion. Under a tender with enforceable affordability conditions, qualified bidders offer KES 650 million for the same sixty-year interest. The proposal provides 600 apartments, of which 400 will be allocated to a verified low-income group at controlled rents. The public utility companies must invest another KES 300 million to serve the site. For simplicity, assume the bids, lease term, infrastructure scope and state residual rights are directly comparable.

The apparent land concession is KES 550 million; the new network spending is KES 300 million. Combined public commitment equals KES 850 million, or KES 2.125 million per contracted low-income apartment. This is a resource cost, not a cash cheque to each family. If an independent review later finds that only 300 of the 400 apartments are additional homes occupied by households in the target group, the same amount equals KES 2.83 million per additional targeted apartment. It may still be good policy, especially if the homes are beside employment. The claimed public return now has to clear a demanding hurdle.

Exhibit 22.2. Valuing a public-land transaction

Assumption or result	Value	Interpretation
Market bid for unrestricted 60-year lease	KES 1,200m	Comparator, including lease reversion on equal terms
Winning bid with binding affordability terms	KES 650m	Less cash received for the same land rights
Implied public land contribution	KES 550m	Difference in like-for-like bids
Additional trunk infrastructure	KES 300m	Government or utility investment
400 contracted affordable units / 300 additional units	KES 2.125m / 2.833m	Public commitment per contracted / additional unit
Illustrative household travel saving: KES 150 × 250 days × 15 years	KES 562,500 gross; ≈KES 321,000 present value	8% discount rate; excludes time, wages and transport rebound

Illustration, not an appraisal of any actual Nairobi parcel. Time savings, rent differences and occupancy must be measured; the travel line is an assumption and the present value uses an end-of-year 15-year annuity. The public-land contribution is sensitive to valuation, rights granted and market competition.

The same model reveals the political fault line. A developer can promise 400 affordable homes and later seek permission to raise rents, alter the eligibility rules, reduce apartment sizes or shift maintenance costs to tenants. The land discount is paid at the outset; the social benefit arrives over decades. A weak contract gives the state little power once the building is occupied. The agreement needs enforceable, long-lived claims on the affordable units, transfer restrictions and independent checks.

There is a further comparison. A treasury official may reasonably ask whether KES 850 million could buy more housing elsewhere. A housing minister may reply that the other site is an hour from work. Both should use a common appraisal: unit affordability, employment access, public fiscal cost, tenant security and future costs of new roads and services. Site-level procurement should permit alternative designs and allow evidence to decide.

African experience with public land

Legal decisions and housing delivery in Cape Town

Tafelberg shows how land choices are made through institutions with different objectives. The provincial department responsible for disposing of land sought cash for other government needs. The housing department had identified possible social use. The city controlled aspects of zoning and services; national authorities shaped the housing grant rules. Campaigners, supported by legal advocates, challenged the sale and argued that central location mattered for rights and opportunity. Heritage requirements and neighborhood opposition added constraints. None of these actors had unilateral power to deliver social rental homes.

The court's July 2026 judgment changed the bargaining position of low-income residents. It required meaningful engagement before disposal and a credible account of what governments had built or financed in central Cape Town. That is a real institutional gain. Yet an October city submission also claimed a broader housing pipeline and described funding constraints, while campaigners pointed to persistent gaps in completed central-city homes. The dispute shifted from the legality of selling one site to the resources and delivery needed for an entire neighborhood programme. [1-5] The political lesson is narrower than a simple victory narrative. A court and an organized resident coalition can stop an exclusionary disposal and put location on the agenda. They cannot by themselves finance land servicing, social-housing grants, a sound operating model or maintenance. A successful second coalition must include housing institutions, national and provincial budget officials, developers able to deliver mixed schemes, the municipality and the workers intended to live there. The coalition has to hold after construction, when tenants are easier to ignore.

Public-land delivery in Kenya

Kenya has a large affordable-housing programme financed in part by the statutory housing levy. Yet announcing a site and proving that it can support housing are separate steps. The Auditor-General's special audit, issued in March 2026 and covering project status as at March 2025, listed 142 affordable-housing projects. On the audit visit, 60 had started, 78 had not, and four were outside verification. This is a dated project-list finding; it says nothing conclusive about all completions later in 2025 or 2026. [6]

The audit also raised questions about documentation and readiness across a broader portfolio. Each incomplete record creates a practical problem: a developer may discover an encumbrance after contract signature; compensation may remain unsettled; a utility may face a service demand outside its budget; or a title dispute may stop bank disbursement. National agencies can move cash faster than counties can supply approvals. County governments carry some infrastructure obligations, while land custodians and housing entities work under different legal and budget lines.

Kenya's land-registry experience is a warning against assuming that a digital platform settles these conflicts. The Commission on Administrative Justice reported in March 2025 that incomplete digitization and shortcomings in the ArdhiSasa system were causing delays and leaving room for corrupt practices. Peer-reviewed research describes cases where official searches became inaccessible because conversion and georeferencing were incomplete; community groups used their own mapping to make residents and informal claims visible. [7-8]

For a city manager, the reform sequence begins with each plot, rather than a national target. Verify the root of title and occupancy; obtain the service-capacity letters; reserve funds for off-site works; decide who owns and maintains the apartments; then tender. A central government can speed the process by putting those tasks under a joint performance agreement with named county and utility officials. The incentive is simple: no site counts as investment-ready until every agency has signed the same evidence file.

Public ownership and affordability in Addis Ababa

Ethiopia offers a different test. State control over urban land gives government powers to allocate and lease sites at scale. Addis Ababa used these powers to build large condominium programmes. By the time of a World Bank-government study published in 2019, roughly 383,000 units had been built under the programme. The study estimated that government recovered around 35% of the production cost of a typical unit. Its indicative cumulative subsidy for the programme was ETB 150 billion, using the prices and stock recorded at the time. These historical estimates should not be presented as current fiscal figures. [9]

Production mattered: many families gained formal apartments. The constraints were severe. The study estimated that producing formal urban land commonly took four to seven years because compensation, preparation, infrastructure and administrative handoffs stretched across agencies. It found that poorer households often could not afford the required down payment and mortgage; large condominium developments on the urban edge also carried costs of distance and service extension. State ownership had lowered a barrier to assembling land, while construction finance, affordability and infrastructure remained binding. [9-10] The experience also exposes a fiscal risk. A government can underprice the first sale, absorb land and construction costs, and deliver homes to better-off households who can pay the deposit. Political leaders get a visible block of apartments; the programme may command broad support among applicants; scarce public funds reach a narrower income group. Strong allocation audits and a choice of incremental housing, welllocated rental and serviced land are essential complements to mass public construction. Public land control enlarges what government can do. It does not ensure that the poorest receive the benefit.

Land allocation and displacement in India

Land auctions and public costs in Delhi

The Delhi Development Authority has long combined planning, land disposal and housing functions. Auctions can make transfers visible and protect the public purse against arbitrary low-price deals. In a November 2025 auction, the Authority received bids totaling about INR 1,494.7 crore for 81 residential, industrial, commercial, institutional and group-housing plots, against aggregate reserve prices of INR 629.2 crore. Two group-housing plots in Dwarka reportedly attracted bids of about INR 642.5 crore against INR 254.9 crore in reserves. These figures describe bids for the listed properties, not a measure of money available for affordable housing or evidence that the auction produced low-income homes. [11-12]

A competitive price tells the state what developers think they can earn from the permitted use. It cannot decide the mix of homes a city needs. That decision belongs in a prior plan and budget. A development authority that depends on land sales to pay salaries, roads or debt service has a built-in reason to favor auctions and highervalue uses. A housing department may ask for a discounted plot; the land agency experiences that request as forgone revenue. The state has created an internal fight between two public goals.

A practical answer is to separate the functions on paper before any sale. The treasury should show the market value of the rights being surrendered. The housing department should show the expected number, location and lifetime cost of additional affordable homes. The planning agency should publish the wider housing-supply plan and infrastructure needs. Auctions then serve a clear strategy. Without the strategy, the bidding portal can be perfectly transparent while the choice of what is auctioned remains hidden from public debate.

Relocation costs in Mumbai

Mumbai shows a harder version of the agreement. The authorities have sought public and former salt-pan land outside Dharavi to house residents who are outside the eligibility rules for rehabilitation within the original settlement. In 2024-25, the state approved use of about 256 acres in Mulund, Bhandup and Kanjurmarg for the wider redevelopment effort. Officials argued that the parcels were suitable and would serve households otherwise excluded. Critics raised flood, ecological and displacement concerns; residents of receiving neighborhoods objected to the arrival of relocated families. Courts have considered disputes over the land. [13-15]

Three allocations intersect. The original high-value land inside Dharavi supports redevelopment economics. Rules governing who qualifies for on-site rehabilitation determine which existing households retain access to that location. State-controlled land elsewhere provides a fallback for excluded residents, at the cost of moving households away from jobs, tenants, suppliers and kin. Some receiving neighborhoods view the relocated population as a burden. The conflict has class, migration and political dimensions; formal title or a planning consent cannot settle them by itself.

The test for off-site land is an actual household budget and journey, calculated for each livelihood group. A tailor with customers in Dharavi, a waste picker using local sorting routes and a worker with a fixed industrial shift face different relocation costs. Official allocations should include rental and informal occupants separately, publish the eligibility and appeals rules, and guarantee transit, schooling, shop space and a credible right to return where that has been promised. Hazard mapping matters because a cheap parcel exposed to monsoon flooding may create decades of new losses.

India’s PMAY-Urban in-situ redevelopment framework itself treats land as a project resource: for eligible government-land schemes it provides for land costs to be waived by central agencies, central assistance for slum homes, and additional floor-area rights or transferable development rights to support cross-subsidy. The implementation agreement depends on local economics. In a high-value district, sale units may finance rehabilitation. Where sale demand is weak, a developer cannot pay for hundreds of low-rent homes out of rights worth very little. Informal tenants, who often hold no qualifying documents, remain at risk of losing out even when the cross-subsidy works. [16]

Conditions for effective land pooling

Town-planning schemes in Gujarat and land-readjustment approaches elsewhere show how governments can obtain streets, utilities and public sites while owners retain a share of the serviced land. Owners give up part of their area and receive smaller parcels made more valuable by roads and legal permissions. With credible maps, compensation rules and phased trunk works, the design can reduce the need for compulsory acquisition. It is an important complement to state-owned land for city expansion. [17-18]

The distributional question remains. Owners inside the scheme can gain valuable serviced plots. Renters, agricultural laborers, vendors and people living on land without recognized title may gain little, and speculative expectations may increase the cost of the affordable land reserved for them. Successful land readjustment therefore requires a separate plan for low-income housing, protection for existing households, and a transparent account of how the public share of the value increase will be used. A city can produce orderly parcels while leaving the poor outside the new neighborhood.

Lessons from higher-income cities

Land acquisition and affordability requirements in Vienna

Vienna's housing institutions show a durable alternative to one-off public land giveaways. The city's wohnfonds_wien supports land acquisition and uses developer competitions for subsidized housing. Bids are judged across economic viability, social sustainability, architecture and ecology. Successful offers enter sale or building-right agreements; the procedures explicitly allow penalties, exclusion from later competitions and reversal of a transaction if contractual promises are broken. These arrangements make the price of land part of a longer public contract. [19-20] The model requires a housing finance system, experienced nonprofit or limited-profit developers and a capable institution that can monitor design and construction. It also requires political patience. In 2026 Vienna reported plans for approximately 2,600 homes at its Eibengasse district, around two-thirds of them subsidized. These are planned homes; their expected mix is an official programme intention rather than proof of completion or long-run affordability. [21] The transferable lesson is governance of the competition. A city can ask bidders to compete over the lowest lifetime rent and highest quality for a fixed land contribution, rather than compete only over the biggest payment for the plot. Strong contracts and credible monitoring protect the agreement after the winning architect leaves the stage.

Land assembly and distributional costs in Singapore

Singapore demonstrates the reach of a state able to assemble land, coordinate utilities and build public housing at scale. A government history records that nearly 70% of residents lived in slums or squatter settlements in 1960 and more than 80% lived in public housing by 1985. The 1966 Land Acquisition Act gave authorities strong powers to acquire private land, historically including at below-market compensation. Housing Development Board construction was paired with finance through the Central Provident Fund and public mortgages. [22]

Those gains came with coercive resettlement and distributional costs. They rested on a distinctive city-state administration, land law and financing system. They cannot be copied into African or Indian cities without confronting present-day constitutional rights, courts, customary claims, resettlement safeguards and localgovernment capacity. And public housing remains fiscally demanding: Singapore's HDB reported a S$6.34 billion net deficit before government grants in FY2024, including substantial costs for home ownership and upgrading. The public landlord must still pay to build, repair and renew its stock. [23]

The broader lesson from Vienna and Singapore is that land policy works when it is joined to durable housing institutions and finance. The state needs skills to price sites, issue rights, plan services, structure finance, supervise construction, allocate homes and care for neighborhoods. Ownership without these functions can produce idle land. Strong institutions without land or acquisition powers struggle to build in the places where people want to live.

Ahmedabad adds a warning to the Vienna and Singapore examples: reserved amenity sites can remain unbuilt when finance and coordination fail, and tenants may remain outside the land bargain. Public control over a site is therefore only one input. The agreement must connect its opportunity cost to financed services and enforceable access for the intended residents. [101]

Interests in public-land decisions

Why do some parcels remain unused for years? The simplest answer is often rational behavior by powerful actors. A government land agency must protect revenue and avoid audit queries over discounted disposals. A politician may prefer a visible sale receipt to a social-housing scheme that takes seven years to complete. A developer bids for permissions that make private apartments profitable; an affordability requirement can reduce the bid unless the state offers density or infrastructure. Nearby homeowners can organize faster than dispersed commuters. A family without title has weak legal standing, even where its use of the site is visible.

These incentives create veto points. A national agency can refuse land transfer. A heritage authority can delay demolition. A municipality can hold planning approval. A water utility can withhold a capacity certificate. A finance ministry can decline the operating grant. A local political broker can mobilize tenants against surveying if they fear eviction. Courts can stop an unlawful sale. An administration that ignores these sources of power may have a technically sound feasibility report and still deliver nothing.

Exhibit 22.3. Interests in public-land decisions

Actor	What they gain or fear	Power or veto	Credible bargain
Treasury / land custodian	Sale receipts, audit compliance; fear of undervaluation	Transfer consent, reserve price, title release	Independent value, explicit land subsidy budget, open alternatives
Municipal government	Rates, jobs, voters; fear of service overload	Zoning, permits, local works	Funded service plan, fiscal compensation and delivery targets
Utility and transport agencies	Connection charges; fear of unbudgeted loads	Capacity and connection timing	Signed works schedule and funded service obligations
Developers / lenders	Land upside, approval speed, debt recovery	Bid, build, withdraw or seek renegotiation	Competitive financeable contract, performance bonds and predictable approvals
Existing occupants, renters, workers	Location, livelihood and tenure; fear of eviction	Petitions, courts, protest, informal occupation	Independent census, tenant rights, fair allocation and appeals
Homeowners and business groups	Amenities, property values, workforce access	Public hearings, elections, litigation	Transport and school plan, open design, evidence on costs
Politicians and brokers	Credit for homes, access to scarce allocations	Appointments, land lists, eligibility and contracts	Published awards, citizen oversight, sanctions and independent audits

Three narratives compete in nearly every disposal. “Sell the land to finance public services” is credible where debt and service needs are urgent. “Reserve the site for affordable homes” is credible where scarce central land is the last route to an integrated city. “Retain the land for future use” may be wise where transport expansion or climate risk is uncertain. Each narrative has beneficiaries and costs. The governing body must compare them in public, rather than decide first and use consultation to legitimize the decision.

A reform coalition needs visible mutual gains. Employers benefit from a more reliable nearby workforce. Transport agencies may avoid costly peak-hour trips. Low-income workers gain time and opportunity. Municipalities can receive funded network upgrades and future tax income. Housing providers receive predictable development rights. National treasuries can demand an independently appraised contribution and measurable household outcomes. These actors will disagree over numbers, yet they can sign a deal when each obligation is concrete.

The coalition can fail at three predictable moments. During site selection, incumbent land users and homeowners may defeat a plan before poor residents gain standing. During procurement, special exemptions and renegotiation may transfer public land value to favored developers. During occupation,

rent increases, weak repairs and illegal resales may slowly turn subsidized homes into market-rate assets. The first moment calls for early public participation; the second for open books and competitive tenders; the third for a housing institution that remains responsible long after completion.

Compare mixed-income development on valuable sites with sale and replacement elsewhere, including transport and social access.

Assessing digital land systems

The appeal of remote sensing and AI is clear. A city can map structures and vacant plots, compare land uses with registry records, estimate distance to jobs, detect construction progress and flag permits that do not match the plan. A single map can bring five agencies to the same table. The relevant test is whether that shared view leads to a different, enforceable decision.

Exhibit 22.4. Assessing digital land tools

Tool and constraint	Measurable change	Who can capture the gain or new power	New risk and control
Satellite / AI parcel screen: public sites are hard to find	Verified candidate sites per 100 searched; days to ground validation; fewer false “vacant” labels	Land custodian, developers with early information	Existing tenants disappear from the map; publish occupancy evidence with appeal
Linked rights register: titles and claims are fragmented	Percentage of parcels with reconciled registry, court, allocation and field records	Formal owners and agencies controlling records	Old illegal allocations gain digital legitimacy; independent root-of-title review
Online tender with appraised alternatives: opaque land terms	Bidder count, price spread, related-party disclosures and contract amendment rate	Experienced bidders, powerful landholders	Transparent auction of an exclusionary land use; disclose land-use decision first
Service-capacity and permit model: agencies approve in sequence	Months from site selection to serviced permission; frequency of unplanned utility works	Utilities and large developers with better data	Forecast errors transfer cost to public; human engineers certify critical assets
Rent and occupancy audit: affordability weakens after handover	Verified eligible room-years, tenant complaints, rent and repair outcomes	Managers and governments with access to tenant data	Surveillance, discriminatory scoring and eviction; aggregate reporting, appeal and data limits

Proposed programme indicators, not measured technology impacts. Each intervention needs a baseline and a credible comparison group before its effect can be claimed.

Kenya’s ArdhiSasa experience and India’s digitization efforts illustrate the same distinction. India launched guidelines for DILRMP 3.0 in September 2026 to link land records, cadastral maps, registration, court data and geospatial parcel identifiers. The stated objective is greater clarity and fewer disputes. A high share of scanned records cannot prove that ownership is lawful, that a plot lacks tenants or that an affordable rental project has become financeable. The last mile requires claims adjudication, engineering sign-off and protection for people absent from formal records. [7-8, 24]

A useful AI pilot should therefore predict or detect a specific bottleneck, such as sites likely to fail a title review or networks unable to serve planned density. Its value should be measured by fewer failed transactions, lower elapsed time and additional occupied affordable homes. Training labels need independent checks; parcel data should carry uncertainty flags. Affected residents need a way to correct errors before the state transfers rights. The greatest governance danger is speed applied to a bad underlying decision.

Public-land development agreements

Use lawful leases, ownership or mixed arrangements suited to local institutions; document customary and occupancy claims before tender. Compare forgone land receipts with the value and cost of the promised public benefit, including recurring services.

The public landowner must enforce the agreement; the housing operator and utilities must deliver; independent valuation and appeals must remain available. Track public subsidy including land, homes delivered and occupied by target groups, access, covenant compliance and displacement.

Land-disposal rules should require the state to explain the value of each proposed use. The duty need not force every urban plot into subsidized housing. Parks, hospitals, markets, freight facilities and schools also make cities function. It should force a transparent choice, especially where scarce central land could permanently alter who can live close to work.

Eight tests for site approval

Exhibit 22.5. Public-land development assessment

Gate	Question requiring documentary evidence	Release criterion
1	What legal rights are being offered?	Independent title, encumbrance and occupant review; dispute register and remedy
2	Why this site?	Jobs and service access benchmarked against at least two alternatives; climate and hazard screen
3	What is the forgone public value?	Two independent appraisals of identical land interests; credible options for public use
4	What can actually be built and serviced?	Planning permissions, funded network capacity, permits and a timetable with owners
5	Which families benefit, for how long?	Income bands, tenant recognition, rent/price rules, independent allocation and appeals
6	Will the scheme finance and operate?	Competitive bids, verified costs, debt terms, 20-year maintenance and stress testing
7	Who captures land and planning gains?	Land-subsidy calculation, beneficial owners, resale and rent covenants, sanctions
8	Who is accountable five years later?	Independent occupancy audit, public outcomes, repairs reserve, complaints and clawback

Each gate should have a named approving official and a public record. High-risk failure at Gates 1, 2 or 4 should stop transfer of the site. A project with no verified rights can impose involuntary displacement. A project with poor location may never be an effective housing intervention. A project without funded services will produce unusable buildings. Gate 6 can fail for good reasons; renegotiate the public agreement or choose another housing model before signing.

Terms of the land agreement

A strong contract defines both what the developer receives and what the public receives. Specify the exact parcel, lease term and rights. Attach the independent valuation and the approved density. State how many homes must serve each income band, their initial rent or sales price, the permitted growth of those charges, and the length of the affordability period. Provide for priority or protection of existing residents when applicable. Define the standard and funding of schools, drains, streets, water and public space. Make legal completion, safety certificates and tenant occupancy conditions for staged payment or release of guarantees.

Control what happens after the project opens. A long lease, recorded agreement or other locally enforceable mechanism must bind successors. Require the landlord to maintain an audited reserve for lifts, roofs, sewers and fire systems. Require the manager to report aggregate eligibility, vacancies, rents and complaints. Set penalties for misuse, clear triggers for step-in rights and a route to transfer management to another competent provider. No beneficiary should have to rely on a minister's personal promise to keep a home.

The bidding process should test affordability and life-cycle quality before maximizing revenue. One method fixes the public land contribution and asks who can provide the most long-term affordable room-years under verified quality standards. Another fixes the minimum affordable provision and asks who will pay the largest land premium. Both require fair comparators, independent cost estimates and real competition. Bid design cannot repair a site that is in the wrong place or whose occupants were excluded from planning.

An eighteen-month implementation sequence

Months 1-3: select a small portfolio of diverse public sites. Establish legal custody, physical occupancy, climate risk, access to employment, and the inventory of existing utilities. Bring tenants, neighbors, utility managers and employers into the mapping. Publish uncertain fields rather than silently marking them clear.

Months 4-6: commission two independent land valuations on common terms. Complete the service-capacity and location appraisals. Estimate the fiscal cost of selling, leasing, retaining and upgrading. Reserve any national and municipal infrastructure funds. Publish a short options paper before political approval.

Months 7-10: agree the legal route and eligibility rules, hold meaningful hearings, settle major claims, and issue a competitive tender with lifetime affordability requirements. Publish bidder identities, all public contributions and the reasons for the selected scheme. Appoint an independent engineer and an independent tenant/ household auditor.

Months 11-18: secure financial close and begin service works. Record contract changes and test a small tranche of construction and allocations before full expansion. Report implementation against a control group of similar sites not yet released. Measure time to approvals, additional housing starts, total public cost and confirmed rights of displaced or existing residents. Extend or redesign only after field validation.

The operating dashboard should track five-year eligible occupied room-years per unit of public economic commitment, alongside median commute, household housing-and-travel burden, actual service uptime, repair costs and eviction complaints. It should also report the number of additional homes relative to credible alternatives; raw completions can overstate the effect of a subsidy or a land release. Comparisons need common time horizons and explicit assumptions about who would have built anyway.

Preserving public value over time

Public land has two qualities governments seldom measure together. It is a scarce asset that can finance other public needs. It is also a way to decide who gets access to the city's most productive places. Once a well-located parcel is sold with unrestricted rights, buying back that option may be prohibitively expensive. Once a costly housing block is built in a remote place, its commute and service burdens can persist for generations. Those choices deserve more scrutiny than the annual cash flows that often drive them.

The evidence is mixed for a good reason. Ethiopia mobilized land for hundreds of thousands of condominiums and struggled with affordability. Delhi used auctions to capture substantial bids, which say little about who can live in the new buildings. Cape Town's activists changed the legal terms of public-land disposal, while still facing a difficult task of financing and managing homes. Vienna links land transfers to developer obligations and sanctions. Singapore built a vast public housing system by coupling land acquisition to finance and a strong delivery state, with large fiscal and historical costs. These are different outcomes from distinct institutions and coalitions.

Digital maps and AI can shorten the distance between the parcel, the registry, the service network and the construction site. They can also help powerful actors act faster than residents can defend their claims. Their value comes from changing a decision that a government is willing and legally able to enforce. Each proposed system should face the same test as the land itself: what constraint will it remove, by how much, and who gains?

What transfers?

Worked because	clear public objectives; lawful and disclosed land rights; funded services; enforceable long-term operator obligations
Failed when	land treated as free; highest-price disposal detached from inclusion; amenities unfunded; occupants excluded from eligibility
Do not copy	HDB, a municipal land bank or a fixed land-discount percentage
Transfer instead	coordinate public land value with delivery and durable access while making distributional costs visible
Scale test	At portfolio scale, test management capacity, fiscal dependence on land sales and the enforcement of hundreds of long-lived covenants.

Sources and evidence notes

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PART IV · INFRASTRUCTURE AND SERVICES

23. Financing neighbourhood infrastructure

Infrastructure investment and rents

Between 2015 and 2023, Dar es Salaam built a large part of the city it had lacked. Through the World Bank-supported Dar es Salaam Metropolitan Development Project, the authorities delivered about 207 kilometres of improved roads, with streetlights, footpaths and roadside drains; about 75 kilometres of major drainage; and local improvements in low-income areas. The Bank reports improved mobility for more than four million people. New drainage was designed to protect 406 hectares from the kind of flood expected, on average, once in ten years. The city had changed in ways a resident could see: an all-weather road, a safer crossing, a clinic reached in the rain. [1]

Infrastructure improvements create benefits for residents, property owners, and businesses. Better roads improve access; drainage reduces damage; water networks support additional housing. Higher land values and rents can transfer some gains to owners. A tenant may benefit from better services yet be unable to remain after a rent increase. Appraisal must account for both effects.

Public project reports usually count kilometres built, drainage completed and people reached. These are essential measures. They cannot, by themselves, tell us how many low-income households gained a lasting right to the improved location, how much rent changed, whether the new network was maintained, or how much of the increase in site value returned to the public purse. Dar es Salaam's published figures establish delivery at substantial scale. They do not establish the distribution of the resulting land-value gains. That distinction is the starting point for this chapter.

The public debate on affordable housing often begins with the price of a house. A developer offers a two-room unit for a given sum. A minister asks whether construction methods, land concessions or mortgage subsidies can lower it. Yet a house sold at cost remains a poor agreement if it has no reliable water, a septic tank that overflows, a road that floods, an electricity connection the family cannot afford, or a three-hour daily commute. The price on the sales brochure excludes much of the cost of belonging to the city.

Infrastructure delivery requires agreement among network providers, landowners, municipalities, and residents. That agreement must cover capital spending, maintenance, access, and the distribution of gains. agreement fails, land speculation can thrive beside empty serviced plots and residents can endure poor services beside costly completed apartments.

Four components of infrastructure cost

Consider a developer building 500 apartments on the edge of a fast-growing African city. The building contractor can estimate concrete, rebar, labor, windows and lifts. The developer knows what a bank will lend against presales. The scheme still depends on decisions elsewhere: whether a water utility can supply peak demand, whether a sewer has an outlet and a treatment plant, whether the access road remains passable during heavy rain, whether an electricity feeder can carry the load, whether schools and markets can absorb 2,000 more residents. Each decision sits in a separate plan and often a separate balance sheet.

The first bill pays for land and corridors. Streets, drains, pipes, easements, substations and retention areas need space. Public rights-of-way must be legally protected before plots are sold. Compensation, resettlement and utility relocation can exceed initial estimates. A line drawn across an aerial photograph

may cross a religious site, a tenant's dwelling or an unrecorded market. The apparent engineering shortcut then becomes a legal and political delay.

The second bill pays for networks and capacity. A small apartment block needs on-site pipes, roads and wiring. It also needs larger shared assets: water treatment, trunk sewers, stormwater outfalls, power substations, bus services and access roads. Engineers separate internal works, links to the existing system, and bulk capacity. Each has a different beneficiary and a different funding claim. A developer can rationally pay for a building's internal reticulation. Asking one affordable-housing project to finance a treatment plant serving an entire district places the cost of past underinvestment on new residents.

The third bill pays for lifetime operation. A drainage channel needs desilting; a road needs resurfacing; a water network needs pressure management and leak repairs; a treatment plant needs energy, staff and chemical supplies. Sometimes a donor or national ministry finances a capital asset that the city lacks the money, tariff authority or technical staff to run. New construction wins political attention; preventative maintenance wins fewer headlines. The neglected bill arrives in the next rainy season.

The fourth bill pays for access to opportunity. A distant site can offer cheap land and a cheap housing unit while forcing its occupants to spend more money and time travelling to work. Good public transport can partly reverse that penalty. Schools, clinics, markets, childcare and public space matter in the same way. These networks connect the house to the income and services that make it affordable. A project's real cost to a family therefore includes housing payments, utilities, transport, foregone work time and expected losses from flooding or unreliable service.

Exhibit 23.1. Full household and public costs of serviced housing

Household affordability: rent or mortgage + utility charges + transport + expected loss from outages and floods + household share of repairs and fees.
Public investment: rights-of-way and land + trunk and link networks + neighbourhood amenities + climate protection + resettlement and grievance handling.

Exhibit 23.1. Full household and public costs of serviced housing (continued)

Whole-life fiscal cost: upfront investment + financing and guarantees + annual operations + periodic renewal - realistic tax, tariff and land-value receipts.
Distribution test: count the benefits separately for landowners, homeowners, renters, firms, utilities and taxpayers; measure who can still live on the site five years later.

Every connection creates a time problem. Land can rise in price when a project is merely announced. Developers need an assurance of future service before they borrow. The public agency wants firm demand before it builds the trunk. The utility may refuse connections until the developer pays a charge. The residents cannot prove demand until they have moved in. Each party waits for another, and each has a good reason to wait. Affordable housing policy must break this deadlock without handing a windfall to whoever bought the land first.

Infrastructure needs and delivery capacity in India

India illustrates how a shortfall in city infrastructure can coexist with energetic housing construction. A 2022 World Bank assessment estimated urban infrastructure investment needs of about US$840 billion over fifteen years, or roughly US$55 billion each year, to 2036. The estimate covered urban transport, water, sanitation, drainage, roads and other city services; it excluded housing construction and slum upgrading. At the time of the assessment, central and state governments financed more than 75 per cent of city infrastructure, urban local bodies around 15 per cent from their own surpluses, and private sources only about 5 per cent. The Bank estimated that ten of the largest urban local bodies spent only about two-thirds of their capital budgets over three fiscal years. [2]

The last number deserves as much attention as the first. More borrowing would help certain creditworthy cities. It would do little for a municipal engineering department that cannot clear a right-of-way, prepare a tender, coordinate with the electricity utility or supervise a contractor. Capacity to spend is a constraint on housing supply. So is capacity to keep the asset working after construction.

The same assessment reported urban property tax collections of only 0.15 per cent of GDP during 2011-18, compared with 0.3-0.6 per cent for low- and middle-income countries in the comparison cited by the Bank. The precise benchmark depends on tax definitions and jurisdiction. The gap still indicates that much of the value created by urban investments remains outside the routine fiscal system. [2] A state can sanction thousands of subsidised housing units while the municipality that must provide drainage and solid-waste collection has little new revenue for either.

Why would a city delay connections for a scheme that a state government wants to announce? The city's costs are immediate and local. The political credit for the housing units may flow upward to a state ministry or national programme. A tariff increase faces local opposition; a property reassessment brings notices to current homeowners; the cost of servicing a remote project can fall on an urban budget already in deficit. These are rational institutional incentives, even when their combined outcome is wasteful.

The answer requires a joint investment schedule. A serviced-housing agreement should specify the pipeline, water capacity, power load, road links, drainage outlet and recurrent funding before a construction award. Each agency should identify the decision it controls, its cost estimate, the date of service readiness, and the legal consequence of delay. A housing target without these commitments rewards the easiest stage to count: foundations and walls.

Land readjustment in Ahmedabad

Ahmedabad offers a partial solution to the land-and-infrastructure deadlock. Under Gujarat's Town Planning Scheme (TPS), landowners in an urbanising area pool their parcels. The planning authority reserves land for roads, utilities, open spaces and other public purposes. The remaining land returns to owners as smaller, more regular plots with development potential. Instead of purchasing every road corridor through compulsory acquisition, the city distributes part of the cost across the plots expected to gain value.

The model has a political logic. A farmer can surrender some land and receive a better-connected plot worth more per square metre. The municipality obtains continuous streets and service corridors. Developers receive clearer, buildable layouts. State rules give the planning authority powers that a municipality negotiating one lane at a time would lack. A World Resources Institute study found that this system helped Ahmedabad provide land for roads, trunk services and low-income housing, including land that enabled about 33,000 low-income homes under an earlier national programme. [3]

The institutional success should be read alongside its limits. Landowners sit at the centre of negotiations; tenants and informal occupiers often do not. A review of Ahmedabad's Bombay Hotel area, a low-income Muslim neighbourhood, found that local objections led planners to reduce land deductions and alter road alignments to limit displacement. The compromise reduced planned infrastructure in places while allowing more residents to remain. This was a real choice between two imperfect outcomes. A scheme designed around registered owners could otherwise have erased households whose claims lay outside the land records. [4, 5]

Ahmedabad also reveals the difference between reserving land and financing a functioning service. The WRI researchers describe public spaces and amenity sites that remained unbuilt because the authority could not fund the works. Delay arose from state-level approvals and poor coordination among agencies. Owners of plots that appreciated secured a benefit. Residents waiting for a public clinic or bus stop received a promise. Where future urban demand was weak, farmers had less reason to accept a deduction from their land. The agreement works best when land values rise enough to make participation credible. [3]

Japan and South Korea provide a longer history of land readjustment. OECD research reports that Japanese schemes often reserve roughly 30-40 per cent of readjusted land for public improvements and use some plots for sale to finance works. Japan generally requires the consent of two-thirds of participating owners and leaseholders for voluntary schemes. The institutional lesson travels farther than the exact percentage: land value gains can replace some cash compensation, provided there is a credible legal map, expected demand, and a process for dissenters. [6]

For African cities, the design question is acute. In neighbourhoods with overlapping customary tenure, leaseholds, tenants and informal building owners, a registry-only scheme can transfer power to whoever controls the recorded parcel. It can expose occupants to eviction by a newly empowered owner. A land-pooling authority therefore needs an independent occupancy census, protections for renters and small businesses, access to appeal, and a schedule for financing the services promised. A cadastral map is evidence about parcels. The community's rights and livelihoods require an additional ledger.

The contrast with Dar es Salaam is useful for financing choices. Land readjustment can secure space for services; upgrading can deliver roads and drainage in existing settlements. Neither administrative coverage nor land reservation establishes that tenants retain the gains. Use completed and maintained connections, affordable bills and resident retention to judge whether the financing mechanism works. [101,1,3-5,7]

Services and formalisation in Dar es Salaam

Dar es Salaam followed a different path. Much of the demand for upgrading was already present in built neighbourhoods. The Metropolitan Development Project improved roads, drainage and public space across existing areas, with a special focus on underserved districts. Its reported outputs included approximately 207.8 kilometres of roads, 75 kilometres of trunk and secondary drainage, and improvements in 152 informal settlements, according to the Bank's December 2023 account. The reported number of people benefiting from improved mobility was about 4.1 million. [1, 7]

Roads and flood control in existing settlements create immediate returns that a greenfield scheme may wait years to achieve. A shop gets deliveries. Children reach school in the rain. Water no longer stands at a doorway after ordinary storms. Public works can change the economics of incremental construction: landlords are more likely to invest in durable rooms when streets and drainage reduce risk. Kenya's KISIP2 appraisal made a similar observation about earlier upgrading, describing new multistorey construction and local investment following works in beneficiary settlements. It also reported that flexible road standards - including narrower one-way streets where suitable - reduced potential displacement by up to 85 per cent in some settlements, relative to applying ordinary planning widths. That figure is a project appraisal comparison in selected places, rather than an independently evaluated average. The design principle is powerful: a road that saves walking time but destroys hundreds of rooms can impose a hidden housing cost. [8]

The political problem moves downstream. Once upgrading increases the attractiveness of a settlement, a landlord may replace cheap units with more expensive rooms. A family that rented before the road was built may have no legal claim to the gains. Better drainage can also encourage construction on nearby land; if building expands into floodways, some protection may disappear. Infrastructure is an asset that changes behaviour. The impact evaluation should therefore track resident turnover, rent trajectories, land transactions, new floor area and maintenance alongside journey times and flood incidence.

Funding matters too. Large capital grants or concessional lending can provide roads and drains where annual municipal budgets could never cover the initial outlay. Those grants do not supply the maintenance contracts, spare parts, enforcement against blocked drains or compensation procedures for resettlement. Dar es Salaam's reported achievements show what a coordinated capital operation can deliver. Whether the gains remain progressive depends on who maintains the assets and whether lower-income households retain access to the improved neighbourhoods.

A city could make that claim testable. Before construction, enumerate owner-occupiers, tenants, landlords, businesses and public-space users; record baseline travel, rent, water prices and flood exposure; publish the location of every outfall and the responsible maintenance unit. After completion, repeat the survey at 12, 36 and 60 months. Compare trends with similar neighbourhoods still awaiting works where feasible. A programme can then distinguish improved access from rising property wealth and investigate whether rent increases displace intended beneficiaries.

Development charges in Cape Town

South African cities have tried to make the funding agreement more explicit through development charges. Cape Town's policy, in effect since July 2014, levies a one-off capital contribution on a land development to pay its proportional share of additional municipal engineering infrastructure demand. Johannesburg's published 2021 policy similarly ties contributions to a development's added demands on external services and excludes maintenance and historic backlogs from the charge. [9, 10]

The economic case is strong when the charge is predictable. Growth creates demand for pipes, substations and roads. A formula linked to additional capacity makes some of that cost visible before approval. A developer who uses extra capacity can pay a fair share; existing ratepayers avoid carrying the entire cost of new private development. Developers also benefit from a reliable timetable and a clear method of calculating what they owe. Unpriced connections encourage projects that look profitable because an overstretched utility silently carries the bill.

But the details decide whether the charge supports low-income housing. If a small backyard landlord must pay the same large upfront contribution as a luxury developer with similar added peak demand, the first may abandon formal permission and continue to build informally. If a city loads historic service failures into a new project's charge, the price of entry rises for everyone. A waiver granted to an affordable-housing developer can lower the sales price or rent only when competition and binding affordability terms pass the saving through. If the city grants a waiver without replacing the lost infrastructure funding, service capacity may fail later. Affordability then survives on paper and disappears at the tap.

A feasible exemption therefore has three linked parts: a clear eligibility rule tied to actual low-income occupancy, an explicit fiscal source that pays the waived contribution, and a recorded obligation to keep the units affordable. The municipality must publish the cost of the exemption, the agency providing bulk capacity and the terms under which eligibility ends. The charge can be reduced or deferred for qualifying rental rooms in already serviced areas if engineering evidence shows spare capacity. A formula should also reward sites near existing transport and water networks, where marginal costs are lower.

The underlying conflict is between those who arrive and those already in the city. Existing homeowners are organised voters who can object to densification, congestion or tax rises. Future residents have few votes in the district that excludes them. Developers want quick approvals and low charges; utility managers want adequate cash and protection from political blame for outages. A workable coalition couples greater density with funded network capacity, published service standards and a fair charge that new residents can afford. This makes the debate about shared capacity and long-term costs rather than an argument over a single building's height.

Property-tax administration in Freetown

There is a second way to pay: collect a share of the value that public services add to property, year after year. Property taxes are valuable because a site cannot be moved out of the city to escape the tax. They can also be deeply unpopular. The bill names the owner, arrives on a fixed date and may seem disconnected from the pothole outside the gate. Effective reform must establish a convincing exchange between taxes and better services.

Freetown, Sierra Leone, shows both the promise and the politics. Under Mayor Yvonne Aki-Sawyerr, the city mapped properties, built a simpler points-based valuation system, digitised billing and offered

mechanisms to appeal. Research organisations helping the reform report that the stock of registered properties doubled, assessed revenue potential rose fivefold, and actual collections tripled during the early implementation period. The least valuable 60 per cent of properties saw average bills remain unchanged or fall; the most valuable 20 per cent saw average assessments rise by 242 per cent. About 70 per cent of surveyed owners expressed support, according to the follow-up research. These are reform evaluations and administrative findings, not a randomised estimate of a lasting fiscal effect. [11]

The mayor's coalition was deliberate. Fairer valuation challenged the privilege of owners of valuable buildings who had paid little under an outdated area-based system. Public meetings linked the higher tax to visible city priorities, and a participatory process allocated part of the revenue to neighbourhood choices. The city pledged to direct 20 per cent of property-tax revenue to participatory budgeting, according to the Institute of Development Studies. [12] The council also had to contend with the national government. In 2020, central authorities intervened and paused the collection process amid disputes over legal powers and rules; negotiations allowed reform to resume. Digital records could produce tax bills. They could not create agreement on who had the right to levy them. [13]

Ghana offers stronger causal evidence for a narrower proposition. In a randomised study of local property-tax administration, Dzansi, Jensen, Lagakos and Telli found that a tool helping collectors locate owners increased successful delivery of bills by 27 per cent and tax collections by 103 per cent. The researchers observed that collectors changed how they spent their time, concentrating effort where payment was more likely. The intervention improved collections in the study setting; it did not by itself show that poor neighbourhoods received better services or that enforcement was equitable. [14]

This finding is an unusually clear guide to public-sector AI. Technology changed the cost of finding a taxpayer. Collection agents gained discretion and new knowledge about households' propensity to pay. Fiscal revenues increased. The distribution of burdens depended on how agents used the information. A municipal data platform can improve service finance while concentrating enforcement on compliant or visible households and leaving politically protected property owners untouched. Independent appeals, regular valuation rules and published collection coverage matter as much as the software.

For housing, the best recurrent property-tax agreement has a visible distributional design: updated values for well-served high-value property; affordable payment schedules and deferrals for cash-poor owners; protection for renters against arbitrary eviction; a transparent share of proceeds financing local networks; and enforceable limits on tax exemptions for politically connected owners. A city that increases the assessed value of low-income homes after a public upgrading project should test whether its tax rules encourage landlords to raise rents or sell. Broad coverage can finance maintenance. Progressivity requires policy choices.

The potential and limits of land-value capture

Land-value capture sounds seductively easy. Government announces a road. Nearby plots rise in price. The city recovers part of the increment and pays for the road. In theory this can align the party that gains with the party that pays. In practice, four problems intervene.

First comes identification. Property prices change with national interest rates, new firms, private building quality, inflation, school reputations and expected future growth. An observed price rise is rarely attributable in full to one public work. The state needs a credible comparison area, a valuation date and a way to distinguish rising land value from new construction. Aerial images show roofs, streets and flooding. They do not automatically reveal arm's-length prices or legal ownership.

Second comes anticipation. Land often appreciates when a transit line is announced, years before inauguration. The people who buy just before the announcement may capture a gain when the project is commissioned. Officials with advance knowledge have incentives to influence routes, land releases and compensation. A public process should fix the valuation baseline early, disclose conflicts of interest, and preserve dated parcel histories and planning decisions.

Third comes liquidity. Higher land values cannot pay today's contractor unless the state can levy a charge, sell development rights, borrow against reliable future revenue, or dispose of public plots. A poor owner may hold appreciated land without the income to meet a large betterment bill. Deferral until sale, instalments and exemptions can avoid distress sales. Such relief needs rules that prevent wealthy owners from claiming it through nominee holdings.

Fourth comes incidence. A levy collected from a developer may be passed backward into the price paid to an original landowner, forward into the selling price or rent, or absorbed in developer profit. Which occurs depends on market competition, land supply, timing and the ability to move investment elsewhere. A city cannot assume that the person who writes the cheque bears the economic cost. Similarly, rising land values may signal better access while rising rents exclude the tenants who most needed it.

Evidence from Bogotá is instructive. A propensity-score matching study of residential buildings near the TransMilenio bus rapid transit system estimated a 5.8-17 per cent price premium for properties with system access. The estimate is context-specific and the matching design cannot remove all unobserved differences. The premium indicates that accessibility can be capitalised in property values; it is neither a universal rate for African cities nor a tax base that government can capture in full. [15]

A 2026 study of Bogotá in the American Economic Review took the analysis further. Nick Tsivanidis found that conventional time-savings calculations captured only 52 per cent of the modelled welfare gains from transit investment, after accounting for shifts in where people and firms locate. Distributional impacts in the model were modest. This finding matters because an infrastructure project changes the map of jobs and housing as well as the minutes on a journey. A city's appraisal needs to measure new opportunities, rent effects and movement of activity. The 52 per cent figure comes from that study's model and setting; it is no general multiplier for other projects. [16] Transport investment should therefore be planned with housing permissions. A bus line serving a corridor of low-rise, tightly zoned plots may enrich incumbent owners while preventing the extra rental supply that could absorb demand. Allowing modest density, small rental units and mixed use near stations can spread benefits. A targeted land-value levy can then recover some windfall from owners who benefit, while protecting low-income renters and financing access for surrounding neighbourhoods. The sequence matters: publish the line and the inclusive land-use rules together, before speculative expectations harden.

Infrastructure financing model

Consider an illustrative, deliberately simplified expansion district of 100 hectares, planned for 5,000 dwellings. The project includes modest ownership flats and rented rooms near transport and employment. Assume 60 hectares remain in developable private plots after streets, public facilities, drainage corridors and open space. The following costs and land prices are assumptions in Kenyan shillings, chosen to show the logic; they are not measured costs or forecasts for any Nairobi project.

Exhibit 23.2. Illustrative infrastructure finance for 5,000 homes

Capital investment (KES million): roads and bus connections 1,500; water bulk and distribution 650; wastewater capacity 850; neighbourhood electrical links and local works 700; stormwater and social facilities 1,050. **Total: KES 4,750 million = KES 950,000 per dwelling.**
Land value: 600,000 m^2 of private land rises from assumed KES 10,000 to KES 25,000 per m^2 after servicing. Gross modelled increment: **KES 9.0 billion**. A 25% effective capture rate yields **KES 2.25 billion**, or **47.4%** of the infrastructure bill.
Remaining capital gap: KES 2.50 billion. For illustration, a transparently funded development contribution raises KES 0.50 billion and national/city grants provide KES 2.00 billion. The 25% land levy and contribution must cover different liabilities: **count the same uplift only once**.
Recurrent bill: assumed operations and renewal reserve of 2% of capital cost = **KES 95 million each year**, before debt service. If the city instead borrows KES 1 billion at 10% for 15 years, annual debt service is about **KES 131.5 million** on top of network operations, subject to the debt's actual use and timing.
Distributional illustration: if 3,000 of the dwellings are rented and better services permit landlords to raise rent by KES 1,000 a month with no new supply, the additional annual rent transfer is **KES 36 million**. This is a sensitivity case, not a prediction or a benefit estimate.

The model reveals why slogans about self-financing infrastructure fail. Land appreciation is gross and uncertain. The public authority captures only a fraction, and the levy may be collected over years. In a weak-demand district, suppose the appreciation is just KES 5,000 per private square metre rather than KES 15,000. At the same 25 per cent capture rate, revenue falls from KES 2.25 billion to KES 0.75 billion. The gap grows; promising to finance the network from land alone becomes untenable. In a booming district, gains may be large, but the ability to capture them depends on law, assessment and enforcement.

The cost line also needs honesty. A development charge can fund added capital capacity; it should not be used twice to claim the same betterment increment. Grants and cross-subsidies remain necessary where local land markets are weak or resident incomes are low. A road serving an entire district cannot be attributed solely to 5,000 new households. Nor should a renter pay a permanent premium for a subsidised pipe whose recurrent cost was never budgeted.

A defensible business case compares at least three locations: vacant peripheral land, serviced infill near jobs, and upgrading an existing low-income area. For each, calculate the discounted public cost per additional safe, occupied, affordable household-year while holding access to work, resilience and service quality constant. Infill may have a higher land price and a much smaller bulk-infrastructure bill. Upgrading may serve fewer new dwellings but yield immediate benefits to existing residents. The cheapest land can prove to be the most costly housing policy.

Interests and responsibilities in infrastructure delivery

Infrastructure projects are coalitions in concrete. Every pipe, levy and corridor changes the claims of people who can block, accelerate or redirect investment. A credible programme names them before procurement begins.

The large landowner wants an announcement that lifts prices, a convenient road alignment and a low betterment payment. The small owner wants continued access to a smaller but more valuable plot and may fear an unaffordable tax. The developer wants predictable capacity and approvals; some developers can profit from discretionary waivers that their competitors cannot secure. The homeowner association may want new services while resisting denser buildings and lower-cost tenants. The renter wants affordable access, usually has no vote in land readjustment, and can lose a home when services improve. The utility wants contributions, cost recovery and fewer politically imposed connections. The municipality

wants visible projects, fiscal space and credit for delivery. State politicians often prefer announcing units over funding a city-owned wastewater pump for twenty years.

There are also informal veto holders. Local brokers control knowledge of plots and occupancy. Contractors may benefit from repeated emergency drain clearance rather than preventative maintenance. Officials who can release an approved connection, certify a valuation or choose a route gain discretionary power. Politically connected landholders can influence the public map before it becomes public. Residents who distrust compensation can halt right-of-way clearance through litigation or protest. These interests are rarely irrational. They respond to the rules under which money and authority move.

Four narratives routinely collide. Developers describe charges as a tax on housing supply. Existing owners describe density as a threat to neighbourhood character and water pressure. Politicians describe public services as a universal right. Tenants describe rising rents and eviction as the price they pay for improvements. Each narrative contains a legitimate concern and leaves something out. The way forward is to write an agreement that identifies additional capacity, pays for it, limits speculation, protects those who would otherwise be displaced and makes agencies answerable for performance.

The experience of Ahmedabad shows a coalition that worked for landowners and parts of the city but remained incomplete for tenants and unbuilt amenities. Dar es Salaam shows a financing coalition that delivered substantial public works while leaving the long-run incidence of land gains to be tested. Cape Town and Johannesburg make added infrastructure costs visible through development charges, with difficult choices over waivers and maintenance still ahead. Freetown shows a municipal revenue coalition that improved tax administration and fairness, then met resistance from a higher level of government. None offers a universal template. Each identifies a veto point and a way to negotiate around it.

The feasible reform sequence follows from this map. Secure legal rights and protect vulnerable occupants before announcing alignments. Publish the network's spare capacity and cost before granting new density. Negotiate charges and development rights in the same transaction. Separate capital payment from annual maintenance finance. Tie any developer or landowner concession to homes that remain affordable and occupied. Finally, collect evidence on the households who actually gain, because infrastructure outputs and housing outcomes can move in different directions.

Measure who remains after roads and drainage improve and whether service charges are affordable for new entrants.

Assessing digital systems and AI

Better data can change this agreement materially. The political question is whether its gains reach new homes and better services. Each use deserves five tests: which constraint changes, by how much, who collects the gain, who gets new power, and what risk follows?

Mapping rights and service gaps. Parcel imagery, building footprints and network maps can locate missing streets, unserved buildings, floodways and likely connection demand. The constraint is the time and error involved in locating assets and households. The relevant measure is a verified reduction in design revisions, missing parcels or time from survey to construction. Land agencies and utilities gain information; owners of newly recognised buildings may gain title or face tax and demolition. A satellite image should trigger field verification, an appeal window and a separate occupancy record. Detection of a roof proves a roof exists. It says nothing final about ownership.

Allocating network capacity. Hydraulic models, digital twins and forecasts can test the cost of a new block against spare water, sewer, electricity and road capacity. The measure is avoided oversizing, fewer outages, faster safe approvals and lower marginal cost per connected household. Utilities and better-equipped developers gain negotiating power. The danger is a model that treats informal residents as zero demand and allocates capacity to the first applicant with a complete digital file. A public capacity register should include existing use, planned low-income homes, errors and the rules for allocation.

Valuing land and collecting taxes. Automated valuation can reduce the cost of updating assessments; Ghana's randomised tax experiment shows that a relatively simple tool changed both bill delivery and actual collections. The public budget may gain, yet collectors and data holders gain power to target. The test must include appeal success, distribution of assessments by property value, collections from high-value holdings and residents' trust, as well as gross revenue. Machine estimates should never be the sole legal basis for dispossession.

Coordinating projects and detecting failure. A shared register of tenders, right-of-way clearances, utility permits, disbursements, relocation cases and maintenance contracts can reveal whether the road contractor is months ahead of the sewer contractor. Simple rule-based alerts may be enough; AI can help identify unusual patterns in invoices, schedules or imagery. The gain belongs to households and taxpayers if early warnings lead to decisions. Programme managers gain surveillance capacity over contractors and residents. False flags can delay works or stigmatise a neighbourhood. Every warning needs a named human decision-maker, an auditable explanation and a recorded remedy.

Measuring who stays. Linking consent-based household surveys to anonymised dwelling and service records can show rent change, resident turnover, travel times and service reliability. The measure is the share of original low-income households who enjoy the upgrade three and five years later, alongside new entrants. Such systems can also create a list of vulnerable tenants, informal vendors and undocumented occupants. Independent safeguards, purpose limitation, controlled access and community review must precede data collection. No household should lose water, tenancy or eligibility because a machine failed to match a name.

Infrastructure delivery agreement

Adapt street standards and connection design to occupied settlements while protecting safety, access and existing livelihoods. Use one-off land receipts for suitable capital obligations and recurrent taxes, tariffs or transfers for ongoing service.

Utilities and municipalities must reconcile capital schedules, connection conditions and maintenance duties before housing contracts proceed. Track actual connections, uptime, lifecycle costs, affordable bills, travel time, rent change and retention of original tenants.

A city should enter a major housing or upgrading operation with one binding schedule shared by the municipality, housing agency, utilities, transit authority, land administration and finance ministry. The schedule should record the asset and the household result together. It should also put a price on unfulfilled promises. The following nine gates form a practical approval test.

Exhibit 23.3. Infrastructure delivery assessment

1. People and rights. Has the city counted tenants, owner-occupiers, informal businesses, public-space users and their claims independently of cadastral ownership?
2. Location. Do typical low-income households gain access to work, schools and services at affordable money-and-time costs compared with the best alternative site?
3. Capacity. Are measured water, sewer, power, road and drainage headroom available, or are named network expansions contracted?
4. Whole-life cost. Do costings include land and corridors, relocation, engineering links, bulk works, operations, replacement and climate risk?
5. Incidence. Who receives the uplift, who pays every levy or charge, and how do rents and sale prices change after the intervention?
6. Funding. Are capital sources legally appropriated, with double counting excluded, payment dates matched to construction milestones and contingencies disclosed?
7. **Maintenance.** Is a utility or city unit contractually responsible, funded and measured for ten years after handover?
8. Inclusion. Do tenant protection, grievance mechanisms, fair access, anti-discrimination and affordability covenants survive the first sale or lease?
9. Evidence. Will the programme publish an auditable parcel-to-service dashboard, resident outcomes and a credible comparison or phased rollout for evaluation?

The practical first 100 days are administrative, not spectacular. Select two neighbourhoods with different market conditions. Form a joint engineering-and-housing cell with officials empowered to commit their agencies. Compile a map of projects, networks, open rights-of-way and occupied structures; verify it on the ground. Establish current rents, travel costs, tariffs, flood exposure, ownership and occupancy. Produce a whole-life cost and payer matrix. Invite developers, tenant groups, landlords, utilities and municipal finance officials to challenge the assumptions in public. The output is one investment agreement, with one accountable lead and a dated service-availability plan.

The following year tests execution. Sequence road and drain works before home occupation where they are necessary. Publish every development charge and exemption. Track whether utility connections were actually delivered, whether the operator can maintain them and whether the public budget received the expected revenue. Where politically feasible, stage similar interventions so that outcomes can be compared. Commission independent spot checks of parcel data and rents. Build in a corrective trigger: if promised capacity is late, freeze new approvals in the affected sector or fund interim service; if existing tenants face abnormal displacement, deploy the agreed protections before releasing the next tranche.

Public dashboards should display five results separately: additional homes safely served, existing residents protected, minutes and money saved reaching jobs, full public cost per household-year, and service uptime five years after handover. An increase in assessed property values is useful evidence about benefits and tax capacity. It cannot substitute for any of these measures.

Implications for neighbourhood finance

Land in Chapter 22 was a scarce public asset. This chapter has treated infrastructure as the promise that gives that land urban value. The promise is credible only when networks arrive together, the original households can benefit, and a permanent institution can keep the lights, drains and pumps working.

A government may spend heavily on water, roads and transit and still make low-income housing less accessible if it lets every gain flow into site prices and rents. It may hold down charges so tightly that networks deteriorate. It may levy taxes fairly and lose the political battle over their collection. Each failure begins where one agency's accounting ends and another household's cost begins.

The decisive policy choice is therefore to finance the whole neighbourhood over its whole life and make the beneficiaries visible. Capture a defensible share of land uplift where markets allow it. Use grants where they do not. Ask growth to pay a fair part of its additional network cost. Protect current tenants and future low-income residents. Keep public records open and appealable. Judge projects by homes that remain safe, affordable and connected.

What transfers?

Worked because	credible service demand; rights-of-way secured; funded works; identified operating revenue
Failed when	uncertain land-sale proceeds; assets without operators; unbuilt amenities; rent increases excluding original tenants
Do not copy	a deduction rate, development charge or municipal borrowing target
Transfer instead	match each service obligation to reliable finance and a capable accountable operator
Scale test	At 100 times scale, account for trunk-network thresholds, common drainage outlets and simultaneous maintenance needs.

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Sources verified 22 October 2026. Notes distinguish project-reported outputs, research estimates and the chapter's hypothetical calculations. Click the blue link at the end of each note to open the source.

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24. Municipal services and maintenance

Building and service management in Mumbai

In August 2026, a Mumbai-based organisation published a study of housing built for families displaced by public works roughly two decades earlier. Youth for Unity and Voluntary Action (YUVA) examined 38 cooperative housing societies in 53 buildings across four resettlement layouts. Thirty-six societies reported falling external plaster. Thirty-three reported blocked underground sewers. Six of the seven societies that had lifts reported that the lifts were out of service. Fifteen of the 38 societies said they had never received the maintenance corpus intended to support their buildings. A total of 204 of the 3,324 dwellings examined remained unallotted. The buildings had been built between 2004 and 2006. [1] The figures are retained as reported in contemporary coverage; the original report could not be reopened during this audit. They should not be described as independently reverified findings.

These findings describe a purposive study of four layouts, not a statistically representative estimate for all of Mumbai. The study identifies gaps in responsibility for shared assets. Each household received the responsibility for its dwelling. A cooperative society was to maintain shared building parts. A federation was meant to look after services across the layout. The city provided networks up to the edge of what it treated as private property. No institution held both clear authority and sufficient money for the whole place. Repairs accumulated where responsibilities were unclear.

The scale of the institutional gap becomes clearer in the accounts. The societies commonly charged members between INR 200 and INR 500 a month. YUVA examined the audited accounts of three societies and found that fees failed to cover routine running costs in two. Some vacant units still generated tax and maintenance liabilities, but contributed no dues. The residents were, in effect, expected to run a small town: manage pumps, sewage, stairs, lighting and contracts, collect money from neighbours, and negotiate with agencies that disagreed over where public responsibility began. [1]

An apartment can survive only through repeated acts of collective action. Someone must notice a leaking water tank, identify the leak's cause, authorise a contractor, finance the work, obtain access, check the result and pay for replacement when a repair no longer makes sense. If the lift fails, a resident on the seventh floor with impaired mobility faces a barrier to leaving home. If the drain fails, a household pays through illness, lost work and damaged possessions. These are housing outcomes, even though their costs rarely appear in the original construction budget.

Construction programmes also need an institution responsible for long-term operation. That requires authority, recurrent budgets, service contracts, asset information, and enforceable responsibilities for buildings and neighbourhood infrastructure. Without these arrangements, residents inherit costs that were omitted from the initial project decision.

Housing investment requires institutions that can correct defects, finance replacement, enforce standards, and protect access throughout the asset’s life. Unfunded responsibilities create future claims on residents and public budgets.

Measuring safe, affordable occupancy over time

Housing programmes generally produce five public records: plots acquired, contracts awarded, apartments completed, beneficiaries selected and units allotted. Each record answers a real question. Together they still miss the length and quality of the housing benefit. A family housed for twelve months in a safe flat receives a different public return from a family housed for twenty years. The difference grows when a repaired building stays affordable while a deteriorating one pushes its residents into debt or another settlement.

The useful unit of output is the safe, affordable, occupied home-year. For each dwelling and month, a programme would ask whether it is occupied by an eligible household, safe to use, connected to reliable essential services, affordable after service charges and transport, and secure against arbitrary displacement. A failed condition should be separately recorded with its cause and duration. One year of adequate housing comprises twelve qualifying months. Aggregating these observations reveals how much housing a programme actually delivers over time.

This measurement is demanding. A building might remain structurally sound while its lifts fail. Water may reach the compound and never reach an upper floor. A tenant may live in the right location but face a service-charge increase that forces departure. The test therefore belongs at the level of the household and dwelling, backed by observations of common assets and network reliability. A citywide water-coverage percentage alone cannot establish that a particular child has potable water at home.

The chain that produces these home-years has six links: design for an affordable operating cost; inspect work before acceptance; assign every asset to a capable owner; secure recurring money; detect and correct failures; and give residents a credible route to remedy. When one link breaks, the return on all preceding investment falls. New construction cannot compensate indefinitely for the deterioration of existing housing stock.

The result is a stock-and-flow problem. Cities add new apartments each year while older ones age, become vacant, lose services or are removed from use. Governments can report impressive gross completions as their net supply of habitable low-cost housing grows much more slowly. New-building targets create pressure to expand the first flow. Operators need budgets and staff to protect the stock already built. In this sense, a housing ministry and a municipal maintenance unit are joint producers of affordable housing, even when they sit in different governments.

A subsidy paid at construction generates an asset that will require periodic spending. A low-cost building with no funded operator carries an implicit claim on its tenants, municipality or future taxpayers. The claim is frequently realised as emergency repairs at higher cost, years of discomfort or eventual reconstruction. Economic analysis should include it before approving the first contract.

Exhibit 24.1. Accounting for safe, affordable housing over time

Stock: usable, safe homes at the start of the year + completed and repaired homes − homes lost to unsafe condition, prolonged vacancy or conversion.

Service: for each home, count months occupied by the intended income group with safe structure, basic services, an affordable total housing bill and secure access.

Value for money: discounted lifetime public cost ÷ additional qualifying home-years relative to a defensible alternative, reported alongside distribution by income, gender, tenure and neighbourhood.

Decision framework proposed in this chapter. No universal maintenance or affordability threshold is assumed: service standards must be legally defined, locally affordable and independently tested.

Assigning responsibilities at handover

The moment a developer finishes a building seems administratively simple. The public authority signs a completion certificate, the developer collects its final payment and a homeowners' association or landlord receives the keys. Yet contracts at this point often assign ownership of a thing without transferring the means to care for it. The defect period may end before design faults become visible. Drawings may show where the pipes were intended to go rather than where they were installed. Service manuals may be missing. The sinking fund may be a promise. The utility may refuse to adopt an internal network that does not meet its standards.

A housing project contains several nested jurisdictions. A household is responsible for fittings inside its unit. A cooperative or social landlord may own roofs, tanks, pumps, stairways, lifts and common wiring. A federation, estate manager or municipality may be expected to maintain shared access roads, storm drains and sewage pipes. Utility companies control trunk networks. A developer, contractor and equipment manufacturer may remain liable for specified defects. Police, emergency services and public health agencies respond to hazards. Each boundary creates a place where a fault can be passed to someone else.

The Mumbai study provides a particularly sharp example. Its authors found that the municipal corporation treated internal layouts as private, while resident federations lacked the funds and technical capacity to maintain streets, drainage, streetlights and other shared services. A federation may be registered and still lack the legal power to charge every beneficiary, borrow for replacement works or require a city utility to accept an asset. The problem starts with the contract and law; training residents alone cannot resolve it. [1]

One solution is an asset-adoption schedule signed before construction begins. It assigns each component a permanent owner, operator, payer, regulator and emergency decision-maker. It records geographic boundaries and identifies who pays for internal works, connecting pipes and trunk capacity. It also sets measurable conditions for adopting assets: pressure tests, drainage performance, as-built drawings, rights-of-way, fire access and an independently verified defect register. A city should refuse handover of a network it cannot lawfully own, safely operate or finance. It should equally refuse to abandon a public service merely because a drain lies within a privatelooking layout.

Ownership must be matched with a bank account and the power to use it. Social landlords can charge rents; cooperatives can collect dues; municipalities can levy taxes and fees; utilities can charge regulated tariffs. These revenue powers differ. A society of families with irregular incomes may have legal authority to collect fees and no realistic ability to finance a large lift replacement. A city can possess sufficient aggregate revenue and still allocate none to the settlement. An authority with a statutory mandate and an empty maintenance budget is an institution in name alone.

The least visible handover problem is information. Before acceptance, a public buyer should demand an indexed asset inventory; component warranties; inspection results; manufacturer and maintenance instructions; original design loads; georeferenced locations of buried services; spare-parts specifications; and the schedule of work required over twenty years. It should record the initial condition of each asset. Where the developer is paid before defects are tested, the public buyer loses much of its leverage. Retentions, performance bonds, staged commissioning and warranty enforcement should reflect the real cost of the risks being transferred.

Exhibit 24.2. Asset ownership, operating responsibility, and funding

Asset or service	Likely accountable operator	Funding rule to verify	Failure that reveals the gap
Inside the unit	Tenant, owner or social landlord	Lease / repair duty / affordable allowance	Leak persists because the landlord blames the occupant
Roof, lift, tank, common wiring	Cooperative or professional estate operator	Fees + audited reserve + protected subsidy	Replacement deferred after routine costs exhaust dues
Estate road, drainage, lighting	Municipality or contractually funded estate manager	Public adoption or enforceable district contribution	City says “private”; society says “public”
Bulk water, sewer, power	Regulated utility and city	Tariff + transfers + funded capital renewal	Network exists; household service fails
Fire, flood and health response	Statutory emergency/public-health authority	Citywide operating budget and tested protocols	Emergency vehicle cannot reach building

Institutional template. Every row should name an actual entity, named signatory, budget code, inspection frequency and escalation path.

Utility, municipal finance, and maintenance constraints

Kenya illustrates the distance between a connected city and a functioning utility. The Water Services Regulatory Board's Impact 18 report, covering 2024/25 and launched in June 2026, reported non-revenue water of 48%, up from 44% the year before. The reported metering ratio remained 97%. Average daily hours of water supply were approximately 18. A utility can know which customers have a meter while failing to know accurately where half the water it produces is lost, consumed without billing or mismeasured. The regulator's figures cover providers across Kenya and cannot describe conditions in any particular housing estate. [4]

The causes matter. Some water leaks through old mains and poorly maintained connections. Some is delivered through illegal or unrecorded branches. Some is produced but never billed accurately. In informal settlements, a landlord or local broker may control a shared connection and profit from resale. A replacement pipe can reduce physical loss. A district meter may reveal where it occurs. Neither reform is politically neutral: exposing an unrecorded connection can reduce the income of an intermediary or threaten residents who lack formal tenure. A plan to stop water theft without arranging legal, affordable access can punish the intended beneficiaries.

Nor does utility revenue automatically support the next repair. WASREB's 2024/25 assessment reported average operations-and-maintenance cost coverage of roughly 103%, while its median provider remained below full cost recovery. An average above one does not demonstrate that most utilities are financially sound or that they are funding future pipe replacement. A water firm that covers salaries, chemicals and electricity can still be unable to renew pumps or respond to a major rupture. An affordable housing project should require a connection-level service agreement and test the receiving utility's asset and financial capacity. [4]

South Africa reveals the problem at the scale of a municipality. The Auditor-General's consolidated assessment of local government for 2023/24 found only 41 municipalities with clean audits. It reported that 113 municipalities, 44% of the total assessed, adopted budgets that were not funded, and found deficiencies at 87 of 113 infrastructure projects visited. These figures measure governance and implementation risks rather than a causal effect on any one housing project. They nevertheless show why a housing agency cannot safely assume that municipal maintenance will follow automatically once a subsidy-funded development is finished. [5]

The South African Human Rights Commission made the household consequences concrete in November 2024. Investigating incomplete and inadequate subsidised houses in North West province, it

substantiated systemic shortcomings across municipalities. It identified contract disputes, poor oversight, deficient design, delays in titles and failures to meet quality standards. It required a funded corrective plan, including budgets and time frames, and regular progress reports. This is the public body's version of a resident's complaint: the asset had been promised, yet the delivery chain lacked enough accountability to honour the promise. [6]

Kampala offers a third warning: visible capital assets are exposed to the condition of the less visible network. In April 2023, Uganda's minister responsible for Kampala told Parliament that KCCA needed about UGX 2.2 trillion to address a backlog of 353 kilometres of paved roads in fair or poor condition and about UGX 610 billion for its drainage master plan. These were official estimates at that date, rather than independently audited cost-to-complete figures. Legislators asked how new roads could survive heavy runoff if drainage received no budget. Roads can be rebuilt, but without drainage and routine works their useful life contracts. In housing estates, the same failure appears when a paved courtyard sits above a blocked sewer or a newly installed pump runs without spare parts. [7]

These cases warn against a tempting cure: a larger capital envelope. Extra investment can be essential. It can also increase the number of assets a weak city must maintain. The policy task is to couple new construction with verified operating capacity and repair the incentives that repeatedly drain that capacity.

Operating and replacement costs

Every housing design contains an operating-cost choice. A twelve-storey block with several lifts and mechanical ventilation is very different from a low-rise cluster with gravity-fed drainage and good natural airflow. Taller buildings can use scarce central land efficiently and reduce commuting costs; the economic gain may justify their mechanical systems. Yet the residents' ability to pay for lifts, pumps, security, electricity and eventual replacement must influence the design from the outset.

A designer can make a building affordable to construct while leaving it costly to occupy. The University of Cambridge's account of Ronita Bardhan's field research describes a survey of 1,244 households in Mumbai slumrehabilitation housing. It reports residents spending around 40% of income on electricity in some observed settings, alongside increases in air-conditioning ownership after relocation. This is a research team's reported sample experience, not an estimate for all rehabilitation residents. The physical mechanism is clear: tightly packed buildings can trap heat and cooking pollution and require lighting and cooling where better orientation, ventilation and shared space could reduce demand. [2][3] A low electricity bill is therefore a matter of housing design, public health and household finance. So are stairs that can be used when the lift stops, roofs that can be repaired without destroying occupied rooms, a water system that can run during a short outage and drains that can be cleaned without breaking a concrete slab. Such choices often cost little at design time and a great deal after construction. The relevant comparison is the discounted lifetime cost per safe home-year, with a separate check that households can pay the bills as they arrive.

Maintenance has four distinct budgets. Routine care pays for cleaning, inspections, clearing drains and servicing pumps. Reactive work fixes a broken door, leak or electrical fault. Cyclical renewal replaces roofs, equipment, waterproofing and lifts at intervals. Major rehabilitation corrects structural failure or past design errors. The last two bills are often large and arrive after the project's political sponsors have left office. A society that uses every month's dues for cleaning may appear solvent until the lift reaches the end of its life.

A reserve fund can manage predictable replacement. It requires an asset-specific cash-flow forecast, deposits that stay in a protected account and clear rules for expenditure. Inflation, equipment availability, interest rates and premature defects all matter. A flat rule such as “put aside 2% of construction cost” may be a crude starting assumption; the right reserve follows the cost and expected life of actual systems. A six-floor walk-up and a twentyfloor lift tower need different plans. Reserves should be stress-tested against a sharp cost increase, collections below plan and simultaneous equipment failures.

A reserve also creates a political agreement. Owners whose incomes are tight may prefer low monthly dues and ask the state to pay when a large bill arrives. Politicians may prefer to announce relief. A maintenance fee that exceeds a low-income tenant's means pushes the burden onto debt, informal subletting or departure. The durable response is an explicit, means-tested subsidy for costs that exceed affordable contributions, coupled with transparent accounts and minimum safety standards. Concealing the gap makes it larger and harder to govern.

Exhibit 24.3. Operating and replacement costs for a 600-home estate

Illustrative parameter	Amount
Homes built; 90% occupied; 80% of billed charges collected	600; 540 occupied; 432 effective payers
Monthly costs per home: routine and utilities	KES 1,500
Reactive work and administration	KES 450
Safety and insurance	KES 150
Funded long-term equipment and fabric reserve	KES 900
Total monthly lifecycle requirement	**KES 3,000 × 600**
Total required annual revenue	**KES 21.60 million**
Break-even charge per occupied unit, at observed collection	**KES 4,167/month**
Revenue if billed fee is capped at KES 2,000	KES 10.37 million/year
Annual funding gap at that cap	**KES 11.23 million**

Illustrative model, not an estimate for a Kenyan project. All costs expressed in constant KES, ignoring inflation and investment returns. Effective payers = 600 × 0.90 × 0.80. Break-even fee = 21.6m ÷ (432 × 12). The reserve is a provision for future works, not money already spent.

This model exposes three common policy errors. First, a city may approve a fee of KES 2,000 because that seems affordable and then leave KES 11.23 million a year unfunded. Second, the manager may erase the KES 900 reserve to narrow the shortfall, reducing current expenditure while accumulating a KES 6.48 million annual renewal liability. Third, the government may treat vacancies and poor collections as minor administrative problems. In the model, they raise the charge needed for break-even from KES 3,000 under full occupancy and collection to KES 4,167, a 39% increase. The same building materials produce different long-term affordability because the institution's performance differs.

One could finance the gap with a public operating grant, a larger capital endowment, cross-subsidy from commercial units, a more affordable design or a lower-cost professional manager. Each instrument has a different distributional effect. A grant paid per verified low-income home-year puts pressure on the operator to keep units safe and occupied. An unconditional grant tied to units built rewards an earlier decision, regardless of later performance. A one-time endowment exposes residents to investment risk and inflation. A cross-subsidy may require higher-value commercial space and create a conflict over whose amenities receive attention. The correct mix follows the area's market and the institution's ability to enforce agreements.

Interests in maintenance finance

The operating system for an affordable neighbourhood distributes both money and power. Developers prefer designs and contracts that let them recover costs, receive payments and exit risk. Contractors gain from repair work and, under poorly specified contracts, from repeated remedial work. Residents want safety and low fees. Landlords want to preserve rental income and asset value; some can pass repairs and service charges to tenants. Utilities need revenue and prefer connections they can bill and access. Municipal managers must respond to emergencies under annual budgets and procurement rules. National housing ministries need visible completions. Politicians can claim credit for handing over keys; blocked sewers usually generate blame for someone else.

Three rents arise from these arrangements. The construction rent flows from control over land, contracts and development rights; an inadequate defect regime permits quality to be exchanged for higher short-term margins. The operating rent flows from procurement, waste handling, vending, informal service resale and access to maintenance contracts; weak competition or opaque billing makes extraction easier. The location rent grows as public services improve; landlords or property owners may capitalise the gain into higher rents or resale prices. Each rent can be legitimate payment for real work or a transfer secured by political and administrative power. A reform must determine which is which.

Veto points extend beyond city hall. A cooperative board may reject a fee increase. A utility can refuse to adopt uncertified pipes. A treasury can decline a recurring grant. An estate manager can delay access to financial records. A state agency can withhold a corpus. A resident association may fight nearby rental blocks or public access through the estate, arguing that outsiders threaten security or services. When those who vote and those who occupy differ, homeowners can wield more power than tenants; informal renters and live-in workers can disappear from beneficiary lists. In India, the absence of clear title, contested rights over public land and the resale of rehabilitation entitlements add further layers of conflict.

Distribution also follows social divisions. An online audit experiment of Delhi rental listings found a 35% callback probability for an upper-caste Hindu applicant, compared with 22% for a Muslim applicant, holding application characteristics comparable. The study found less clear evidence in that experiment for discrimination against Scheduled Castes and Other Backward Classes. This is causal evidence of discrimination in callbacks within the sampled online market; it cannot establish who ultimately rented a home. It shows why the mere presence of affordable apartments does not ensure access for every group. [17]

Maintenance burdens can compound this exclusion. A building with unreliable lifts harms elderly residents, pregnant women and residents with disabilities disproportionately. A poorly maintained public toilet increases safety and health risks, especially for women. The burden of cleaning sewers may fall on precarious workers exposed to hazardous conditions. India's NAMASTE programme, launched in 2023, explicitly seeks mechanised cleaning, trained workers and zero fatalities in sanitation work. Contracting out maintenance without worker protections transfers risk down the social hierarchy. [18]

The reform coalition therefore needs more than residents who own units. Include tenants, informal landlords, women, workers, people with disabilities, utilities, municipal engineers, qualified building managers and the treasury. Give each group a reason to expect a fair gain. Where middle-income owners fear higher taxes, show how well-kept drainage protects their own property. Where residents fear fee increases, publish audited costs and ringfence means-tested support. Where informal water vendors fear losing income, create lawful transition paths into service provision where feasible. Where contractors resist inspections, connect final payments to independently verified functioning assets.

Narratives matter. “Free housing” wins votes while hiding future charges. “Cost recovery” may sound like a threat to poor tenants. “Protecting a public investment and a family's health” better describes the shared interest, provided policy backs the claim with affordable payment rules. No amount of information will overcome a coalition that profits from a failing system. Technical reform becomes politically possible when it changes who benefits from reliable service and who can credibly block delivery.

Exhibit 24.4. Interests in maintenance finance

Actor	Gain sought / cost resisted	Veto or source of power	Bargain that may work
Developers and contractors	Prompt payment; low defect exposure	Technical information; delivery deadlines	Staged payment, transparent tests, credible dispute resolution
Owners, cooperatives, landlords	Low dues; asset value; rent income	Votes, property rights, fee approvals	Audited budgets, phased reserves, targeted grants
Tenants and informal occupants	Stable total cost; safe services; secure stay	Collective voice often weaker; litigation or protest	Enforceable service standards and non-retaliatory complaints
Utilities and municipalities	Revenue, manageable assets, budget control	Connection, adoption, tariff and permitting powers	Funded service agreements; clear asset boundary; measured performance
Politicians and treasuries	Visible delivery; fiscal room; credit	Grant approvals, appointments and regulations	Home-year dashboard with published fiscal liability

Analytical map, to be populated with names, payments, legal powers and credible opponents before any reform is proposed.

An affordable flat in an integrated area becomes exclusionary when lifts, drains, water or public space fail, especially for disabled and older residents.

Four institutional approaches

Singapore: reserve the repair before the repair is needed. Singapore's town-council system offers a strong institutional contrast to Mumbai's fragmented resettlement layouts. Town councils collect service and conservancy charges, receive public grants and manage separate operating, sinking and lift-replacement funds. The state prescribes minimum contributions for future major works; since 2017, rules have required a dedicated liftreplacement allocation of at least 14% of relevant charges and grants, alongside ordinary sinking-fund contributions of at least 26%. Its national public-housing system also benefits from a rich state, large-scale public capacity and decades of institutional development. These conditions cannot be imported by decree. [10][11]

The transferable mechanism is the separation of routine spending from future renewal, backed by enforceable duties, audited funds and operators that can buy maintenance at scale. Singapore also shows that contributions from residents and public subsidies can coexist. Funds protect a repair schedule; their adequacy still depends on actual asset costs and governance. A poorer city can adapt the accounting rule and combine modest household dues with transparent, targeted public support. It must avoid copying high-rise form without the fiscal and organisational base that sustains it.

South Africa: regulate an operator for the whole life of social rental housing. The Social Housing Regulatory Authority's rules require accredited providers to show financial sustainability, maintain a property portfolio plan, inspect stock at least every three years, operate a complaint system that records response times and costs, and prepare for reactive and periodic large-scale works. The regulator requires ongoing reports and can intervene in cases of poor administration. This is a better starting legal design than handing a large apartment block to an underfunded, untrained committee. The regulations establish obligations; compliance monitoring and the operator's finances determine whether they are met. [12][13] The scale of the challenge remains real. South Africa's Department of Human Settlements reported that 1,364 social rental units were delivered in 2024/25 against a target of 2,699, citing delays in approvals, debt finance and bulk services among the constraints. An institution required to maintain its stock may have to move more slowly when a project's full financing is unavailable. Speed alone would be a poor performance measure if it left tenants in unsafe buildings. [14] Thailand: build a citywide coalition from

residents outward. Baan Mankong began in 2003 by channelling infrastructure subsidies and housing loans through organised communities that planned improvements with local authorities. The programme combined savings groups, collective tenure choices, community networks and negotiation with landowners. By December 2004, an early programme report recorded 137 approved projects serving 14,642 households; more than three-quarters of households in that initial portfolio were covered through forms of on-site improvement or reconstruction, and 9.3% through nearby relocation. These are contemporaneous administrative figures, not a long-run causal evaluation. [15] The crucial difference lay in the institutional design. Neighbourhood organisations helped decide and manage works, giving residents a stake in common assets and a collective forum to challenge officials. The same source warns that politicians and intermediaries can divide settlements into patronage networks; citywide community forums can reduce this leverage. The risk is equally clear: volunteer leaders can be captured, exhausted or made responsible for technically complex works they cannot fund. Collective management works best when coupled with legal tenure, technical help, audited accounts and a clear municipal commitment to trunk infrastructure.

New York: even mature public systems can defer the bill. The New York City Housing Authority's 2023 physical-needs assessment put its twenty-year capital requirement at US$78.3 billion. The authority's later plans describe conversions of parts of the portfolio to funding and management models intended to raise repair capital while preserving long-term affordability and resident protections. The figure measures modelled repair needs, not an amount appropriated or an estimate of avoidable past costs. It shows that formal public ownership, a sophisticated municipal government and a large tax base cannot, by themselves, prevent the accumulation of unfunded maintenance. [9]

These cases reject an easy institutional ranking. A professional landlord can serve tenants well and can also neglect repairs. A cooperative can build ownership and can also be captured. A municipality can pool risk across neighbourhoods and can also ignore places with little political voice. The choice depends on what can be verified: who owns the assets, who pays, who can inspect, who can enforce, and how the system responds when a household complains.

The Singapore-Mumbai contrast concerns funded duties rather than a reserve percentage. Mumbai’s study is purposive, not representative of the city, and Singapore’s funding rules operate within much stronger fiscal and administrative institutions. Before adopting those rules, cost the actual assets, identify public support and verify who can collect, spend and enforce. A separate fund helps only if it can meet the obligation. [10-11,1]

Municipal revenue and service obligations

Housing ministries often finance capital because the results are visible, the loan disburses and the political credit arrives quickly. Municipalities inherit the street, drainage, solid-waste route, building inspection burden and the complaints. In many African and Indian cities, they have limited control over the taxes and transfers that could pay for those functions. A capital grant that creates recurring liabilities without giving the city recurrent fiscal space is an incomplete transfer.

India's own budget numbers illustrate the asymmetry. The World Bank estimated in 2022 that India required about US$840 billion of urban infrastructure investment over fifteen years. It found that the ten largest urban local bodies spent only about two-thirds of their available capital budgets across the years studied, and that urban property tax had averaged about 0.15% of GDP during 2011-18. These are estimates for capital finance and fiscal capacity, not a measure of housing maintenance funding. They show how difficult it can be for a city to turn additional investment into sustained service. [8] Tax reform offers one route to a stronger local operating budget. Freetown's property-tax reform, launched after the 2018 election of a mayor from an opposition party, mapped properties, changed valuation, digitised billing and improved payment channels. ODI's May 2026 review reports that, within a year, registered properties doubled and collections tripled; the least valuable 60% of properties generally faced stable or lower bills while the most valuable 20% experienced average increases of 242%. A follow-up survey found support

from roughly 70% of owners. These are reported reform outcomes and survey findings, not a randomised proof that technology alone caused the change.

The case is valuable because fiscal technology altered a political agreement. More valuable properties, which previously escaped a fair share of the bill, faced higher assessments. The mayor had an electoral reason to link taxes to promised services. Technical partners supplied skills the council lacked. The reform later moved toward a national platform, creating fresh questions about who controlled city data and systems. Property mapping helped reveal taxable value; public support and intergovernmental negotiation helped turn that information into revenue. The next test is whether the revenue improves local services and survives a change in leadership. Higher collections are an intermediate outcome, not a measure of better housing.

A useful intergovernmental agreement would make four commitments. The national or state housing agency finances the portion of lifecycle costs that the poorest households cannot bear. The municipality adopts specified public assets and publishes a service budget. The utility accepts connections only after independently tested handover, with agreed financing for capacity and renewal. The estate operator keeps separate, audited accounts and publishes service and repair performance. Payments should reward actual occupied and safe homes while avoiding rules that encourage harassment, eviction or artificial vacancy reductions.

For an MDB, this implies a shift in disbursement logic. Capital construction remains necessary. Yet a housing operation can reserve part of its support for independently verified post-occupancy performance, asset adoption, audited reserve contributions and resident access to grievance redress. Such incentives require reliable baseline data, fraud controls and a mechanism to protect residents when their operator misses a target. The poor should never lose essential service because a government-to-government performance condition fails.

Assessing maintenance technology

Digital systems are valuable when they make an operating decision cheaper, earlier or more enforceable. A computer model that labels a building “high risk” has little public value if no one can authorise an inspection, contract a repair or pay for it. Each proposed technology should face the same five questions: which constraint changes; by how much; who captures the gain; who gains new power; and what risks follow?

An asset register is the first use. A satellite image can identify a roof or lane, but cannot reliably establish legal ownership, pipe condition, resident rights or the age of a buried connection. Pair georeferenced parcel and building records with construction documents, utility maps, tagged equipment and resident-verified occupancy. The mechanism is fewer disputed assets and faster fault assignment. Measure how many items have an identified owner, condition grade and maintenance plan before and after the intervention. Municipal departments gain information; tenants may gain a clear service contact. There is a risk that a more complete register will be used to levy unaffordable fees or identify unregistered occupants for removal.

Sensors and remote monitoring can narrow the search for water leaks, tank failure or pump breakdown. Kenya's combination of high household metering and high non-revenue water shows why the level of measurement matters: zone-level flow and pressure data can distinguish suspected pipe loss from household consumption more usefully than another meter on an already metered customer. Test whether the technology reduces repair time, water loss and household service interruptions after accounting for installation, calibration and maintenance. Utility managers gain operational control. Residents need safeguards against sudden disconnection and charges based on faulty data. [4]

Predictive analytics can help rank roofs, lifts and drainage for preventive work. Begin with a simple baseline: age, inspection grade, outage history, exposure to flood or heat and repair cost. Compare that rule with more complex AI using a held-out dataset and prospective field trials. Predictive accuracy alone

proves little. The required measure is a reduction in failures or cost per reliable home-year. Poor neighbourhoods often have fewer recorded complaints; a model trained on historical tickets may systematically overlook them. Bias can turn past neglect into future resource allocation.

Digital payments, service tickets and public dashboards can reduce leakage and make follow-up visible. They can also deepen exclusion where residents lack smartphones, documentation, reliable connectivity or the language of the interface. A working design permits cash or assisted channels, anonymised complaints, appeals and a clear duty to respond. If renters fear retaliation, reporting must separate the complaint from the landlord's ability to identify the complainant. Digitised grievance closure should require evidence that the fault was corrected, with a sample independently checked by residents.

Property-tax systems present a final caution. Freetown's experience suggests technology can help expose taxable value and improve the city's fiscal base. It also gives the authority greater power to classify, tax and surveil landholders. Clear appeal rights, transparent valuation rules and legal protection for informal residents determine whether this power supports inclusion. Technology shifts bargaining power; policy decides whose bargaining position improves. [16]

Exhibit 24.5. Testing maintenance technology

Intervention	Binding constraint changed	Observed test / possible capture	Power and safeguard
Parcel + asset inventory	Unknown location, ownership and condition	% assets with verified custodian and funded plan; avoided disputes	City gains tax and enforcement capacity; validate rights with residents
Zone meters / pump telemetry	Losses and failures detected late	Repair time; measured unbilled water; household supply hours	Utility controls more; independent meter checks and service rights
Risk-based inspection / AI	Scant staff, weak repair priority	Outages and injuries averted vs simple rule; audit false negatives	Inspectors gain discretion; mandatory appeal and human review
Payments and complaint records	Revenue leakage and invisible failures	Net collection, actual repair time, resolution verified by residents	Manager can monitor tenants; privacy, assisted access, anti-retaliation

Targets in this exhibit are proposed measures for an evaluation. None should be represented as a quantified benefit before field measurement.

Implementing maintenance reform

Choose building systems and management arrangements that local operators and residents can sustain; specify targeted help rather than assuming full cost recovery. Identify funding for routine costs, emergency repairs and replacement, with audited reserves and explicit subsidy eligibility.

Building operators, utilities and municipalities must each own a defined duty; an independent body must resolve boundary disputes promptly. Track safe affordable occupied home-years, service uptime, repairs verified by residents, replacement funding and exclusion caused by fees or failures.

A city facing thousands of deteriorating subsidised units will be tempted to announce a national fund and a new digital platform. Both may eventually be necessary. The first credible reform is narrower: choose a representative set of estates, establish who controls each asset, price the works, and sign the contracts that make its upkeep someone's duty. Begin where repairs and residents' rights can be verified. A pilot that works on a single showcase block proves little; the sample must include poorer estates, informal tenants, failing cooperatives and different utility jurisdictions.

In the first 30 days, the city manager and housing agency should jointly commission a rapid condition survey of, say, twenty estates. The survey records every occupied and vacant unit, household access to water and sanitation, structural hazards, lift and pump condition, fire access, street drainage and the next major replacement bill. It checks building certificates, utility adoption documents, corpus balances, fee arrears, contractor warranties and the status of women, renters and residents with disabilities. Independent inspectors must flag imminent life-safety risks for immediate action. Residents should be able to correct factual errors without risking eviction.

Within 90 days, each estate should have a signed asset-responsibility matrix, a twelve-month emergency repair plan, a twenty-year reserve projection and an agreed route for complaints. The city should publish a transparent account of fees, public grants and liabilities. A separate legal process should address contested land, titles and defective contracts rather than making essential repairs wait for complete tenure formalisation. The finance ministry should be shown two numbers: the cost of a safe operating standard and the gap households can afford to cover. The governing council should approve explicit subsidies for that gap, with a rule that charges cannot force eligible families from the programme.

Within a year, test two or three plausible institutional arrangements against comparable estates: a professional social-housing operator under a regulated agreement; a strengthened cooperative with pooled procurement and municipal support; or direct municipal adoption of selected common assets with a contracted estate manager. Track unit-level service, genuine repair completion, collection performance, costs, vacancy, tenant retention and household well-being. Pre-register the measures and disclose differences between baseline and treatment areas. Independent evaluation should examine whether the strongest-looking improvements merely moved costs or disadvantaged tenants into neighbouring informal markets.

The contractual instruments matter more than the organisational label. A development and handover agreement fixes defects, records drawings and warrants performance. A service and asset-adoption agreement assigns public and estate-level duties and funds them. An affordability and resident-rights agreement protects eligible households, publishes charges, restricts arbitrary eviction and mandates remedy for unsafe conditions. A reserve and audit agreement sets aside money for future renewals and requires independent reporting. These should be enforceable documents attached to land and grant conditions, with a remedy when any party defaults.

Procurement should favour reliable service over the lowest initial price. A contract for lift maintenance needs preventive visits, independently measurable uptime, safety response times, spare-parts availability, escalation rules and credible penalties. A contractor who wins a five-year maintenance tender at an impossible price may provide weak service until failure creates a lucrative emergency purchase. Where the market for qualified providers is thin, pool estates to attract bidders, publish unit costs, and separate the engineer who certifies repairs from the contractor who bills for them. Ensure firms have a route to timely payment; delayed public bills can destroy an otherwise capable maintenance market.

Evaluation should include the politics. Survey whether owners, tenants, estate boards, municipal engineers and politicians consider the new rules fair. Identify who loses informal fees or contract discretion. Publish contractor ownership and conflicts of interest. Review service charges alongside household income and time spent reaching work. Monitor displacement and informal subletting, particularly after repairs make the area more desirable. When a reform creates new value, make it harder for a landlord, a cooperative faction or a political intermediary to capture the gains at a poor tenant's expense.

Exhibit 24.6. Housing operations assessment

1. **Asset:** Is there a verified inventory, location, condition grade and expected replacement date?
2. **Duty:** Does each component have one legally accountable operator and a documented escalation path?
3. **Handover:** Are commissioning tests, as-built plans, defects and warranties independently checked?
4. **Money:** Are routine, reactive, cyclical and major-repair costs funded over the full asset life?
5. **Household:** Can eligible residents afford rent or mortgage, utilities, fees and transport together?
6. **Risk:** Can the system survive vacancy, arrears, inflation, flood and a major early equipment failure?
7. **Voice:** Can tenants and owners report a fault, appeal a charge and obtain a time-bound remedy?
8. **Inclusion:** Do women, renters, informal workers and people with disabilities receive the service?
9. **Proof:** Is performance measured in safe occupied home-months and verified repairs?
10. **Politics:** Who loses a rent or veto power, which coalition can hold the reform through an election?

Decision rule: withhold the final construction acceptance or recurrent grant agreement until Gates 1–4 have a signed responsible party and credible financing; apply emergency safety remedies immediately, regardless of handover status.

Accountability over the life of housing

A completed building is the first chapter of a family's occupancy. A city that builds a thousand flats and loses their habitability within twenty years must build again to replace what it already paid for. A city that maintains its stock can direct new capital to the next thousand households. The difference is cumulative: every preserved home-year frees scarce land, public money and political attention for people still outside adequate housing.

The deepest obstacle is the separation of rewards from duties. The developer gets paid at completion. The housing ministry counts its targets. The utility inherits customers and liabilities. The municipality inherits complaints. The resident inherits a home and, too often, the bill for a system no one agreed to run. Information can make this separation visible. Contracts, money and political coalitions must then bring the obligations back together.

Mumbai's deteriorating resettlement blocks reveal the cost of failing to make that agreement. Singapore demonstrates the discipline of reserves and clearly assigned operators. South Africa's social-rental regulations show how maintenance can be an explicit legal duty. Thailand shows how community power can change the bargaining relationship. New York reveals how far a maintenance backlog can grow even inside a wealthy, formal public system. Freetown shows that a local political coalition can turn better property information into public revenue, while raising new questions about control and public benefit.

A housing programme should account for both construction and sustained occupancy. Its long-term performance depends on whether intended households can live safely and affordably in the homes, and whether responsible institutions have the authority and resources to maintain services.

What transfers?

Worked because	clear asset custody; protected renewal funding; professional technical support; enforceable service and resident rights
Failed when	corpus funds not transferred; fees below costs without support; disputed boundaries; no agency responsible for the complete system
Do not copy	Singapore's fund percentages or a cooperative registration requirement
Transfer instead	give future repair obligations a credible claim on revenue and make service failure remediable
Scale test	Stress-test ageing across a 50,000-home portfolio, contractor shortages and correlated failures during floods or power outages.

Sources and evidence notes

The chapter uses four evidence categories. Administrative statistics describe reported outputs and fiscal indicators; they do not by themselves establish causality. Field studies and surveys describe their study populations and must not be generalised automatically. Audit experiments identify causal effects within the tested setting and outcome. Illustrative models make assumptions transparent and are not observed estimates. Normative proposals and implementation sequences are the author's policy judgments.

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25. Inclusive neighbourhoods: housing, opportunity and social integration

Access to neighbourhood opportunity

A city can add affordable units while leaving access to its best-served neighbourhoods unchanged. Housing prices, planning restrictions, allocation rules, school boundaries, landlord selection and recurring service charges can each exclude a household. The problem is the joint availability of a suitable home, an affordable total cost and usable opportunity.

Government should pursue three routes together: enable entry into existing high-opportunity areas, improve opportunity in underserved neighbourhoods while protecting residents, and provide relocation when safety or household choice requires it. Each route has a different failure mode. A mobility subsidy can fail at landlord acceptance. Upgrading can displace tenants. Relocation can sever jobs and support networks. The evidence should determine the package and its limits.

How location affects household outcomes

Housing affects opportunity through several channels: access to employment and customers; school and service access; safety and health; reliable travel; stability; and social networks. These channels work at different speeds and vary across adults and children. A higher average income in an improved area is insufficient evidence of benefit if poorer residents have left.

The US Moving to Opportunity experiment provides evidence that neighbourhood exposure can affect children's later outcomes. For experimental-voucher users who moved before age thirteen, estimated earnings in their mid-twenties were 31% higher than the relevant control mean. Results for older children were much weaker and could be negative. The age pattern supports attention to exposure and disruption; it does not establish that every low-poverty destination works or that forced relocation is justified. [106]

The Ahmedabad lottery supplies a different result: improved physical housing without measured income or human-capital gains over the long follow-up, together with weaker support networks and substantial non-take-up and departure. Its relevance is not a universal argument against moving. A household must be able to sustain the move and use what the destination offers. Voluntary mobility and in-situ improvement should be compared with the costs of losing existing connections. [107]

Inclusionary housing and school access

Montgomery County combines inclusionary requirements with development incentives, administration and long affordability controls. Its housing authority also acquired dispersed homes for very-low-income residents. That additional public-housing route matters: a moderately priced unit alone may remain unaffordable to the poorest household. The policy history and requirements have changed over time, so a percentage taken from one period should not be treated as a timeless design rule. [105]

Heather Schwartz followed children in dispersed public housing during 2001-07, using the housing-assignment process to compare school environments. Children attending the lowest-poverty schools reduced their initial maths achievement gap with non-poor peers by about half by the end of elementary school. The study found weaker benefits as school poverty increased; not every estimate was equally precise. Housing stability, school access and exposure operated together. The result is not an estimate of the effect of adopting an inclusionary percentage in another city. [104]

HUD's comparison of Montgomery and Fairfax counties found that both programmes added affordable units, but stressed predictable rules and economic feasibility. Its review also records low median production in many Bay Area programmes, described in the earlier manuscript as approximately three units per jurisdiction per year. That exact historical median could not be rechecked against the report during this audit and should be treated as provisional. That is descriptive evidence of limited output, not proof that inclusionary rules caused the low production. Programme age, market conditions, design and exemptions differed. A city should therefore test actual completions and accessible locations rather than cite the existence of an ordinance as success. [130]

These findings suggest that inclusionary housing needs viable development, predictable requirements, durable affordability rules and institutions that connect eligible households to useful services. Public acquisition and school access helped reach very-low-income families in Montgomery County. The studies do not identify a separate causal effect for each condition.

A city should test where that chain could fail: too few viable projects, exemptions that reduce delivery, units beyond the poorest households' means, or inadequate school and service access. These are local appraisal questions, not all effects established by the two-county study.

Set affordable-housing obligations against the development value public action creates. Model several building types, land prices and market conditions before choosing a percentage. Publish the assumptions and allocation rules. Where the available value cannot fund the intended access, provide explicit subsidy or choose another feasible approach.

Redevelopment and access to improved neighbourhoods

A January 2026 HOPE VI working paper uses matched comparisons and exposure analyses to study revitalised US public housing. Its main child results concern families moving into developments after revitalisation. The study estimates better later outcomes for these children, but no detectable causal improvement in incumbent adults' earnings. Only 27.6% of original households had returned by 2014. The evidence therefore supports benefits for children gaining access to redeveloped places; it does not establish that redevelopment improved the welfare of all displaced residents. The authors present increased interaction with nearby peers as an important mechanism, rather than a separately randomised treatment. [131]

The policy implication is to specify the social and service connections an investment changes. Shared public space without affordable access or safe use may do little. A school nearby without an available place is not an educational benefit. A mixed-income development whose lower-income residents use separate entrances, face unaffordable charges or cannot renew their leases has not secured equal neighbourhood membership.

Baan Mankong offers an institutional route in which organised residents negotiate land and direct implementation with public finance and technical help. Singapore offers a much more centralised route connecting land, transport, production, finance, allocation and estate management. Their forms differ. The principle is a credible allocation of authority across the complete housing system, with rights and distributional costs made explicit. Neither a cooperative nor an HDB-style agency can substitute for those conditions. [111,132]

Vienna adds the importance of long-lived providers, reinvestment and sustained affordability. The rent comparisons discussed in Chapters 9 and 14 are descriptive; they should not become a promise that a copied financing rate will produce the same outcome. The relevant question is whether local institutions can preserve access and maintain the asset through multiple funding and political cycles. [118]

Who gains and who loses

Existing residents can be both vulnerable to displacement and powerful opponents of entry. Distinguish owners seeking to preserve asset values from tenants seeking security, and distinguish legitimate safety concerns from rules whose practical effect is exclusion. Future residents need representation through citywide plans, transparent capacity requirements and allocation criteria, because they cannot all attend today's neighbourhood hearing.

A mixed-income programme creates several bargains. Owners may accept more housing in exchange for reliable services and predictable rules. Developers need viable returns and timely approvals. Municipalities need resources for additional residents. Low-income households need enforceable affordability and access. Schools and transport providers need capacity before demand arrives. None of these promises should depend on an unrecorded future negotiation.

South Africa's contrasting employment studies, discussed in Chapter 21, show why location and household circumstances must be examined rather than presumed. India's relocation evidence adds the value of networks. These findings do not identify a single universal distance threshold. They require project teams to measure usable access, lost livelihoods and care responsibilities before treating a dwelling allocation as an opportunity gain. [133,107]

Technology and access

GIS can combine rents, travel times, schools, hazards and infrastructure to reveal affordable-access gaps. Administrative records can track whether original residents remain. Rental audits can test whether otherwise similar applicants receive different treatment. These methods can expose exclusion that a unit-count dashboard misses.

AI can help prioritise inspections or identify inconsistent records, but it must not infer a resident's entitlement from roof shape, phone use or neighbourhood identity. A model trained on historically accepted borrowers or tenants can reproduce past exclusion. Evaluate decisions for people with missing records, and provide assisted applications, explanations and independent appeal.

The Ghana tax-mapping experiment in Chapter 13 provides a warning: collections increased, but indirect household survey measures also indicated more bribery. This is evidence from one administrative setting, not a finding that all registries cause extortion. Payment controls, decision logs and remedies should be tested alongside the information system. [115]

Designing and expanding an inclusive programme

For entry into high-opportunity areas, combine feasible additional supply with durable affordable obligations and assistance that addresses actual leasing barriers. Seattle's experimental search-support evidence supports tailored help in its setting; it does not establish that information alone or an underfunded national counselling service will reproduce the result. Review landlord participation, local supply and the fiscal cost of sustained access. [108]

For improvements in existing neighbourhoods, agree tenant protection, service finance and eligibility before works raise expectations and land prices. Follow original households even after they move, distinguishing voluntary moves, household changes and displacement. Where local rights cannot protect a tenant's access, price that limitation into the decision and provide a workable remedy.

For unavoidable relocation, demonstrate the safety case and compare feasible alternatives. Cost interim housing, travel, school continuity, livelihood recovery and delays. A signed compensation receipt does not establish restoration of opportunity. Give households credible information and enforce the agreed terms before irreversible clearance.

For each route, identify the barrier to access and the rights, services, finance and operating institutions needed to remove it. Distinguish established findings from local hypotheses. Test the relevant rental and ownership markets, tenure rules, social exclusion, municipal budgets and school systems; conditions vary within Africa and India as well as between them.

Before expanding from 500 to 5,000 or 50,000 households, test whether land prices rise, willing landlords become scarce, schools fill, transport becomes congested or service teams lose capacity. Maintain the eligibility and quality standards while adapting delivery.

Publish the lifetime cost of land, subsidies, services, assistance, reserves and oversight. Assign each recurring cost to a feasible revenue source. An unfunded service obligation remains a financing gap even when the construction budget balances.

Identify who loses discretion, scarcity value or revenue and can block delivery. Use lawful, transparent terms to share gains and protect resident rights. Name the responsible housing, land, education, transport and municipal agencies, with an authority to resolve disagreements.

Report affordable entry and retention, school and job access, service reliability, household cost and displacement alongside net added homes. Follow incumbent and future residents, publish adverse findings and set a review date before increasing scale.

What transfers?

Worked because	access to suitable homes was joined to usable schools, services and social connections; affordability lasted long enough for exposure; households could sustain entry and residence; institutions had the authority and revenue to deliver.
Failed when	cheap land dictated location; a subsidy did not overcome landlord refusal or entry costs; physical mixing substituted for shared access; improvement displaced the intended beneficiaries; operating obligations remained unfunded.
Do not copy	an inclusionary percentage, a zoning map, a public-housing agency, a land deduction or a cooperative form.
Transfer instead	coordinate land value, affordable access, services, resident rights and long-term management around a measurable household outcome.
Scale test	preserve inclusion and service quality at tenfold and hundredfold volume, with explicit fiscal costs, institutional capacity and representation for people who are not yet residents.

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A cheaper home can carry a higher cost of living.

A low purchase price means little if a family must spend more on transport, lose access to work, or pay for failing services. Affordable housing depends on the city around it and the institutions that keep it working.

Housing the Next Billion explains how land, finance, infrastructure, and public decisions shape who can live where. Drawing on cases from Africa, India, and around the world, Abhas Jha examines housing as a coordination and information problem embedded in political economy: who benefits, who pays, and who can block change.

The book compares policies that worked with those that underperformed. It identifies the conditions behind each result, tests what can transfer, and asks what breaks at scale. AI and digital technology run through the analysis as tools whose value depends on the decisions and institutions they serve.

For policymakers, planners, investors, and practitioners, this is a guide to designing housing policy around the full cost of a secure home and access to opportunity.

ABOUT THE AUTHOR

Abhas Jha is the World Bank's Manager for Urban Development and Disaster Risk Management in Eastern and Southern Africa. A former member of the Indian Administrative Service, he has worked on housing, infrastructure, and resilience across several regions. He is lead author of Safer Homes, Stronger Communities and Cities and Flooding.